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The European Bathroom & Kitchen Product Markets

- 2021 Edition -

Sweden

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 66 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (1)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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SWEDEN

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Sweden is the largest of the Nordic countries, and the third-largest country in the European Union (EU) by area, with a total surface area of 449,964 km². The country is divided into 21 counties and 290 municipalities. Of the total 10,379,295 inhabitants (5 March 2021), 22.9% live in the region with the capital and largest city, Stockholm, which alone contains 9.4% of the population. The Swedish climate is a major reason for the large concentration of people living in the south of the country (climate zone three and four), accounting for approximately 82% of the total population. Given the vast size of the country, Sweden has a low population density, with only 25 inhabitants per km². Sweden is a member of the EU single market and the Schengen Area. It is also part of the common Nordic energy market with Denmark, Finland and Norway. The main urban areas are concentrated in and around the regions of Stockholm, Gothenburg and the southwest county of Skåne. Sweden has 10 cities with populations that exceed 100,000 inhabitants, but only four cities that exceed 150,000 inhabitants (Stockholm, Gothenburg, Malmö and Uppsala). The distribution of population growth reflects the trend of urbanisation, with the largest growth being in and around the major population centres.

Sweden is a parliamentary representative democratic constitutional monarchy. The monarch is formally the head of state but has little real power, and largely a ceremonial role. The current monarch is King Carl XVI Gustav, who has been ruling since 1973. Executive power lies with the government under the prime minister. Legislative power is vested in the parliament, *Riksdagen*, and the government. The prime minister is appointed by the Riksdag through its speaker, the *Talmannen*. The Riksdag is a unicameral legislature with 349 members, each elected for four years. The current prime minister is Stefan Löfven of the Swedish Social Democratic Party. He was only caretaker after losing his old majority in the general elections of 9 September 2018, which resulted in a deadlock in the Riksdagen. The deadlock only ended in January 2019 with a new coalition between the Social Democratic Party, the Greens and two centre parties (the Liberals and the Centre Party) from the former centre-right alliance that governed Sweden from 2006 to 2014. This coalition was not campaigned for in the general election and is an attempt to exclude the Sweden Democrats, a far-right populist party, from influence. The coalition is considered very fragile as it relies on parliamentary support from the socialist Left Party, while the politics is supposed to be moving towards the right.

However, Sweden is a remarkably stable country and has been so for over 200 years. The Swedish state was established around the 12th century. From the early 15th century, a Swedish Empire took form, centred around the Baltic Sea and most notably including a significant colonisation of Finland. This resulted in a significant Swedish-speaking minority in Finland and the Finnish minority in Sweden. Norway was given to Sweden from Denmark in 1814, for participation in the Napoleonic Wars. The military conflict that ensued with Norway was the last time Sweden was at war. The personal union with Norway did not lead to colonisation or any

significant diaspora. Since 1814, Sweden has had a policy of neutrality, which kept it out of both world wars in the 20th century and subsequently NATO and the Warsaw Pact. However, since 2009 Sweden has moved closer to NATO through various agreements. Following increased Russian military activity around the Baltic Sea and particularly its aggression against Ukraine and the Caucasus, Swedish NATO membership is openly discussed and believed to be closer than ever before.

Swedish is the official language of Sweden. Finnish is the largest official minority language, with around 5% of the population speaking it. Other official languages include Sami, Romani, Yiddish, and Meankeli. The liberal immigration policies pursued by Sweden have also brought minorities in significant numbers, with Syrians, Iraqis and Poles being the largest groups in addition to Finns. As a Scandinavian language, Swedish is mutually intelligible with Norwegian and Danish, with the former being easier to understand for most of the population while Danish is easier for Swedes on the southern tip of the country – closest to Denmark. English has been a compulsory language at school for a very long time, and therefore it is widely spoken. The close cultural, linguistic and geographic ties with the other Nordic countries have been highly beneficial for Swedish businesses, which have a very strong presence in the neighbouring countries. This has inspired one of the classic theories of internationalisation of a firm, called the 'Uppsala Model'.

Sweden is a very prosperous country due to early industrialisation, stability and ample natural resources. GDP per capita is high and social inequalities are low. The country is an export-oriented economy and depends heavily on foreign trade. According to the World Economic Forum, Sweden has the seventh-most competitive economy in the world. Despite Sweden's membership of the EU, it is not a member of the Eurozone. This was rejected in a referendum in 2003. The country is formally required to join the Eurozone, but there is no deadline for it so Sweden simply keeps postponing joining. The Swedish central bank is called the Riksbanken. The Swedish Krona (SEK) is a highly-liquid currency that is traded freely, but the Riksbanken maintains a managed float regimen.

As Sweden is a relatively large country, the climate varies significantly based on the latitude. The northernmost parts of the country are above the Arctic Circle and experience numerous days without sunlight in the winter and harsh conditions. On the other hand, the southernmost parts can experience a very short or indistinct winter. Sweden has four climate zones, according to the Köppen climate classification system. Tundra (ET) is in small mountainous areas in the north, close to the Norwegian border, and the Subarctic (DFC) zone covers most of the sparsely populated northern half of the country. Below this, you have the cool summer humid-continental zone, where you can experience proper winter conditions for a prolonged amount of time. These areas border on the most densely populated ones, which have an oceanic climate with very short, distinct winters, which are comparable to the UK, northern France and Germany.

Macroeconomic Overview

Numbers from SCB (*Statistiska centralbyrån*) show that, amid COVID-19, the Swedish economy performed better than previously anticipated. Sweden's GDP declined by 8.6 percent in the second quarter of 2020 and the unemployment rate kept rising. Anyhow, COVID-19 had a rather limited impact on the economy when compared to most other European countries. This was mainly due to softer preventative restrictions against COVID-19 earlier in 2020, as the country stayed open throughout the year. No national lockdown was introduced, but people were recommended to work from home if possible. Towards the end of 2020, Sweden closed some schools due to an increased infections spread.

After an economic downturn in spring 2020, Sweden experienced a strong recovery in the third quarter and, according to IMF, it contained the GDP contraction to a projected -2.2% in 2020. Despite a relatively good performance, the business confidence index has declined whilst rising unemployment rates are anticipated to weigh on economic recovery in 2021. According to the Swedish government the growth forecast is at 1.3%. Differing from most advanced economies in Europe, Sweden has a current account surplus and low public debt.

Population growth and renovation requirements will increase pressure to spend money on infrastructure and particularly healthcare. Immigration has decreased in Sweden, through restriction policies. According to SCB statistics, immigration to Sweden declined by 29% in 2020, which was mainly among refugees/persons eligible for subsidiary protection and family members of refugees. On the other hand, 80,175 people were granted Swedish citizenship in 2020, which is 25% more than in 2019. Job creation slowed down in 2019, raising Sweden's unemployment rate, which was further impacted by COVID-19 and the recommended restrictions that then followed. Despite not having a national lockdown, Sweden urged people to keep social distance, which impacted negatively the service industry. The government introduced compensation schemes, which helped limit further unemployment. Rising health and welfare costs have driven the Swedish government to introduce generous unemployment compensations and allocate additional funds to local authorities. In November 2020, the unemployment rate was 8.7%, and it is projected to rise further due to reduced employment opportunities for low-skilled migrants.

Despite the relatively weak Krona and the current state of economic prosperity, the Swedish central bank has been struggling for a long time to reach the target of a 2% inflation rate. The bank maintained the interest rate at -0.50% throughout 2017, and it increased in December 2018 to -0.25%. The inflation target has been reached since the start of 2018. The central bank increased the interest rate in December 2019, to 0%. At the start of Europe's lockdown, the Swedish Krona weakened sharply, with one euro fetching SEK 11.2025 in spring 2020. Since then the Swedish Krona has recovered, and the interest rates have been kept at 0%. The Riksbank does not expect the inflation target to be hit until 2023. The IMF has urged patience with regards to a new interest hike, to make sure the economic outlook is consistent with meeting the inflation target. An increased interest rate will have a negative effect on both housing RMI and new housing. However, underlying

factors are good, with the interest rate at a historically very low level and high demographic demand for investment.

The IMF remains concerned about the rising portion of households with high debt. This is highly correlated with the imbalance in the housing market, which is pushing up prices and debt. This is a trend that is seen especially in the bigger cities of Sweden. New amortisation requirements were enforced in June 2016, which imply that all new borrowers who borrow more than half of the housing value must amortise annually. Even stricter requirements came into effect from 1 March 2018. Despite all this, the real estate prices for one- and two-family dwellings rose by 6% in 2020, compared to 2019, and for seasonal houses the increase was 10%, according to SCB.

Thanks to increased tax revenues, Sweden has historically been able to continue high government spending and still maintain a tight fiscal policy with decreasing public debt. Changes to the fiscal policy were seen as the Swedish economy bottomed-out in the spring 2020. Recovery of the economy started in H2 2020, but the government assesses it will take several years for the country to overcome recessions caused by COVID-19. In September 2020 a new budget was proposed for 2021, including temporary measures to restart the Swedish economy, but also long-term reforms that will help solve societal problems. With these new measures, public finances are expected to weaken significantly in 2020 and 2021, whilst the expansionary fiscal policy will help to stimulate the economy and accelerate the recovery, and over time this will lead to stronger finances again.

The development of the Swedish economy in 2021 is hard to predict, due to the COVID-19 outbreak. The economy has started recovering well, but the country and its trading partners have been hit by a third wave of the virus, which presents the main downside risk to the GDP forecast for Sweden. Returning back to work is anticipated to boost a bounceback in consumption growth in 2021. Economic growth is expected to turn positive, estimated at 1.3%, in 2021, as obstacles slowly dissolve and the economies of major trading partners should start to recover.

Residential Construction

Overview

Sweden has emerged from the financial crisis, and the residential construction market experienced growth until 2018, before starting to decline in 2019. Preliminary numbers show that in 2020 new dwelling completions decreased sharply for new apartment completions, while housing numbers increased slightly. While these are very high numbers historically, the housing gap is still very large. The end of the boom in the new housing market has long been expected to come soon. The fall appears to have started in the summer of 2018, which was sooner than expected.

The growth has been dampened by a lowering of maximum payback from the incentive plan to promote RMI work on housing, stricter amortisation requirements,

and a shortage of qualified labour. However, the effects of this are expected to stabilise and RMI demand is projected to be relatively stable over the forecast period.

New Housing

Based on preliminary figures from SCB, new housing experienced a sharp decrease in 2020. Despite house completions increasing slightly, the big drop in apartment completions caused the overall dwelling construction to decline. The reason for this is the decrease in new smaller dwelling completions. New dwelling completions reached their highest level in 2018 since the end of the Million Housing Project, which was implemented between 1965 and 1975. As mentioned, a further decrease was experienced in 2020, but new housing is expected to increase in 2021 before decreasing further, until stabilising in 2025.

Despite low new housing completion levels, the housing shortage continues to rise, as the population growth has been higher than the rate of new dwelling construction. Even though there is a need for new housing, the number of new dwellings continued to decrease in 2020. Furthermore, the housing market is driven by a credit expansion, which the government has tried to reign in with a mortgage limit and stricter repayment requirements. The recent downturn in the market has made people nervous, and there is a fear of a downward spiral for housing prices. Despite all initiatives, the goal appears to be difficult to reach and the housing shortage should remain a major problem for many years ahead.

Housing RMI

Historically, residential renovation activity has been more stable than new construction because of the large share of the dwelling stock built between 1965 and 1975 (as part of the Million Housing Project), which needed renovation. A weak economy in the 1990s and a lack of incentives offered by the government have delayed these required renovations for many years, but with improved incentives and the government's efforts to reduce energy consumption in the existing dwelling stock, renovation demand has increased in recent years, despite the slow-growing economy. This development has been strongly influenced by the implementation of the ROT scheme in December 2008, which is a tax deduction scheme for home repairs, maintenance and improvements. The scheme gives Swedish households the benefit of deducting 30 percent of the total labour costs as part of housing RMI jobs, giving a payback of a maximum of SEK 50,000 per person.

It is estimated that approximately 20% of the 850,000 dwellings built between 1960 and 1975 have been modernised, but only a small share of these have been renovated to account for future energy-efficiency requirements. Furthermore, about 70,000 dwellings need renovation up until 2050, according to BYGGVÄRLDEN. This is set to lead the way for more refurbishment and modernisation projects, and should contribute to sustaining healthy housing RMI demand over the coming years, together with private consumption, which is among the highest in Europe.

The outlook for housing RMI activity for the forecast period is projected to continue to be stable or slightly positive. The total residential renovation market increased in 2020, as a high percentage of the Swedish workforce have been working from home without big changes in income, causing consumers to invest more in home renovations. According to EUROCONSTRUCT, the housing RMI segment is expected to experience a decline after a high increase in 2020, and pick up again in 2022 and 2023. The non-residential renovation is expected to grow at a slightly higher level than residential renovation over the forecast period.

In addition, rising household debts may also affect the future renovation demand negatively. More families now own homes rather than rent them, which in combination with rising housing prices and the new amortisation requirements has led to the higher debt-to-income ratio. As previously stated, this in turn could affect renovation demand, as many renovations take place when households switch homes. It is still uncertain how these rising debt levels may affect the borrowing requirements offered by the banking industry in the future, and how much impact the new amortisation requirements will have.

Non-Residential Construction

Historically, the public sector has remained more stable than the other non-residential sectors. The investments from the private sector increased rapidly at the beginning of the 2000s, but declined during and after the onset of the financial crisis of 2008. Nevertheless, the market has been relatively stable since 2010, and especially strong since 2014, due to low interest rates and a higher employment rate.

The non-residential construction depends on political initiatives, which are driven by population growth. Sweden has experienced high popularity growth in the last couple of years, which has driven the non-residential construction market. The non-residential market, and particularly the office segment, increased in 2017 and 2019, due to high demand for new office space in the Stockholm area. In addition, new buildings for education and industrial buildings peaked in 2017 and 2019, before starting to slightly decline since then.

The demand for new projects from the private non-residential sector declined slightly in 2020, after a strong growth the market had experienced in the previous couple of years. Public non-residential building demand is highly dependent on political initiatives, which are driven by changes in demographic structures, centralisations and population growth. As the Swedish government decided to keep the economy open in 2020, the construction market stayed stable, and no major disruptions were seen. Ongoing projects are expected to continue as planned, but some projects that were planned to start in 2021 might get postponed.

II.2 Key Figures

SE - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

SE - MACROECONOMIC KEY INDICATORS

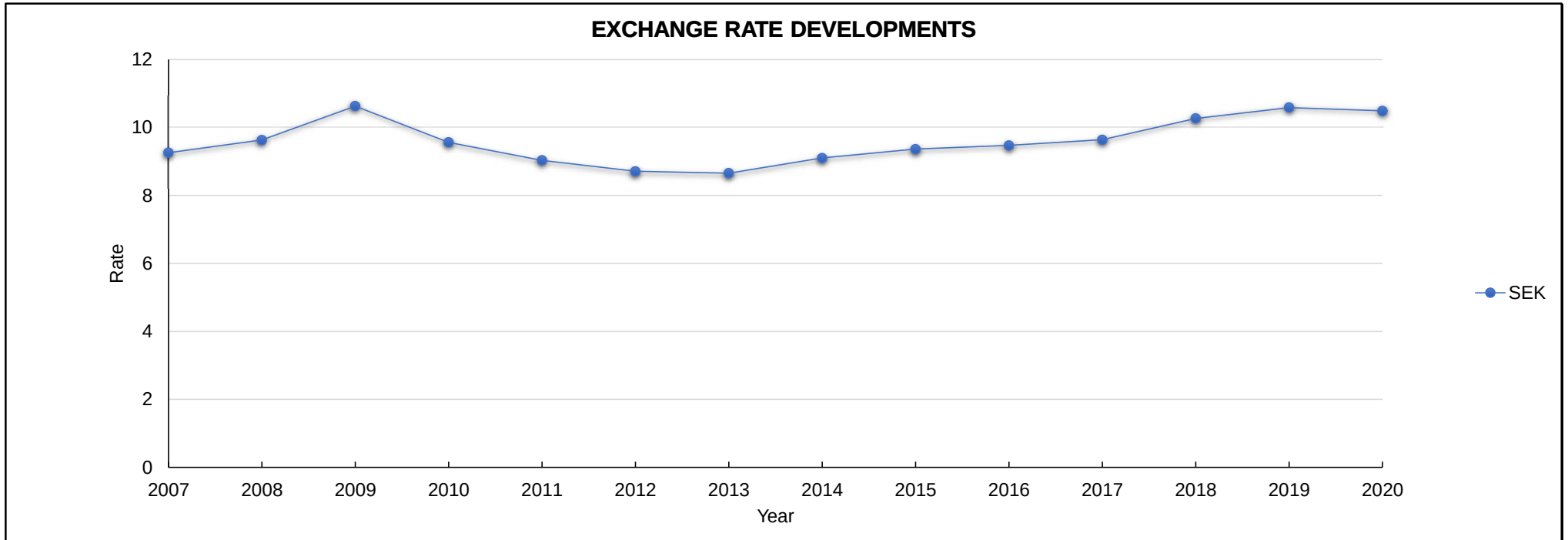
Value	Year																				
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer Price Index(% change)	1.11	1.40	2.30	2.67	2.32	1.78	0.84	0.97	0.25	0.31	0.85	1.43	1.78	2.22	1.70	0.39	1.50	1.20	1.63	1.84	1.94
GDP (% change)	2.86	4.66	3.44	- 0.45	- 4.34	5.95	3.20	- 0.59	1.19	2.66	4.49	2.07	2.57	1.95	1.37	- 2.82	3.06	2.96	2.35	2.07	2.05
Government Balance(% of GDP)	1.83	2.23	3.33	1.90	- 0.72	- 0.05	- 0.23	- 1.01	- 1.40	- 1.53	0.00	1.01	1.40	0.83	0.51	- 4.00	- 3.86	- 1.75	- 0.16	0.08	0.33
Household Saving Rate (% of Disposable Income)	2.85	5.00	7.63	9.39	8.76	9.71	10.63	13.09	13.33	13.74	11.90	13.33	12.19	13.37	16.05	19.32	17.39	0.00	0.00	0.00	0.00
Private Consumption (% change)	3.15	2.99	3.99	0.42	1.04	4.17	1.99	0.73	1.79	2.88	3.93	2.30	2.61	1.85	1.18	- 4.68	0.00	0.00	0.00	0.00	0.00
Unemployment Rate(%)	7.64	7.04	6.12	6.17	8.30	8.58	7.77	7.97	8.00	7.93	7.40	6.95	6.68	6.33	6.77	8.29	8.72	8.39	7.70	7.25	7.17

Source : IMF and OECD. N.B. Household Saving Rate and Private Consumption not Available for all Forecast Years.

II.4

Historical and Current Exchange Rates

SE - EXCHANGE RATES : HISTORICAL AND CURRENT



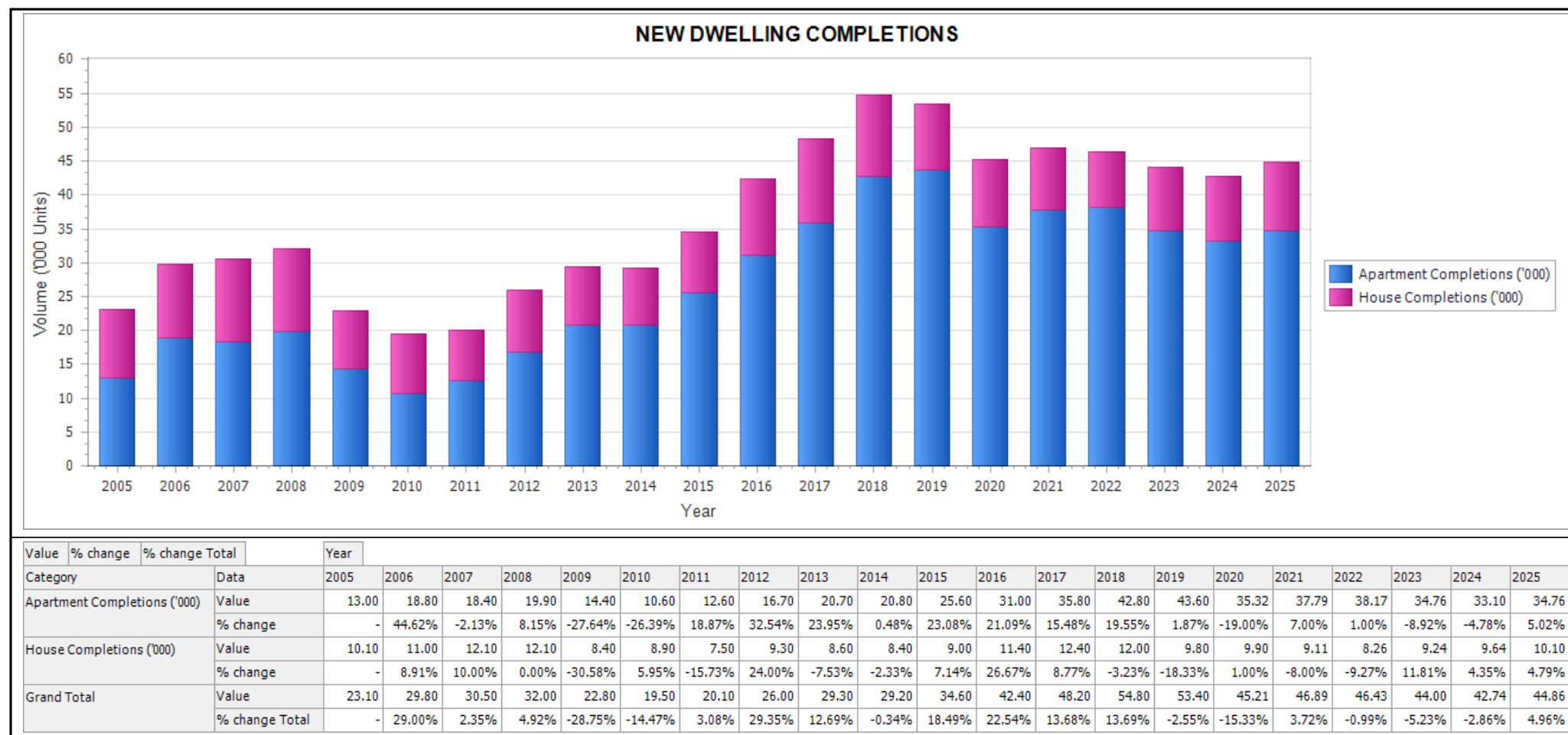
Local Currency	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020
EUR / SEK	9.25	9.63	10.63	9.56	9.03	8.71	8.65	9.10	9.36	9.47	9.64	10.26	10.58	10.48
% change		4.04%	10.41%	-10.06%	-5.53%	-3.59%	-0.62%	5.16%	2.84%	1.18%	1.76%	6.49%	3.11%	-0.93%

Source: OANDA

The Swedish Kronor (SEK) is the Currency of Sweden. The Exchange Rates Shown are the EUR to the SEK.

II.5 New Dwelling Construction

SE - NEW DWELLING COMPLETIONS ('000 UNITS)



Source: BRG based on Country Statistics.

II.6 Dwelling Stock by Type and Tenure
SE - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2020
Dwelling Stock by Type	Apartments ('000)	2 755.00
	Houses : Rural (%)	13.89
	Houses : Rural ('000)	769.00
	Houses : Urban (%)	36.33
	Houses : Urban ('000)	2 011.00
Dwelling Stock by Tenure	Primary Owned (%)	55.00
	Primary Owned ('000)	3 044.00
	Primary Rented : Private (%)	12.57
	Primary Rented : Private ('000)	696.00
	Primary Rented : Public (%)	21.48
	Primary Rented : Public ('000)	1 189.00
	Secondary (%)	10.59
	Secondary ('000)	586.00
	Vacant (%)	0.36
	Vacant ('000)	20.00

Source: BRG based on Country Statistics.

SWEDEN

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution of bathroom products in Sweden is often associated with the trade of VVS (*Värme, Ventilation & Sanitet*) products, which comprises heating, ventilation and sanitary ware, in addition to electrical and refrigeration products. The largest industry association, VVS FABRIKANTERNAS RÅD, has 97 member companies in total, comprising heating, ventilation, and bathroom manufacturers. Of the key bathroom manufacturers, GEBERIT (including the GEBERIT, IFÖ, and IDO brands), FM MATSSON MORA GROUP, HANSGROHE, ORAS, and GUSTAVSBERG are members. The association and its member companies account for approximately 85% of the Swedish VVS industry's turnover.

The three-step approach – manufacturer-to-wholesaler-to-contractor/installer – is the dominant distribution strategy amongst Swedish manufacturers. Although variations between bathroom markets exist, most bathroom products in Sweden are distributed through VVS wholesalers and VVS installers. The wholesale channel has traditionally been a strong sector for VVS products in Sweden, where the largest volumes are sold to trade customers, building contractors / construction companies and large installer chains, due to the predominance of the professional segment. This segment is projected to remain strong.

Despite the dominance of the three-step approach, there is a growing trend towards business-to-consumer (B2C) sales; this has, however, not been especially notable in recent years due to the large proportion of sales in the new housing segment, where the three-step approach is most common. B2C is expected to become a more important focus for manufacturers in the future, as consumers become more decisive about which products they like and are increasingly the key decision makers in bathroom product purchases. Due to the growing popularity of the internet, consumers tend to rely more on their own research on products, rather than asking an installer or specialist for advice. After doing the research, it is also increasingly likely that the consumer will buy the product, before consulting an installer for help with the installation.

Other structural changes have been observed within the bathroom products' distribution in recent years, including the growing trend toward direct selling operations amongst manufacturers, as VVS installation chains (such as COMFORT) and DIY retailers have expanded steadily. In order to strengthen their own role in the supply chain, an increased focus on private labels has thus been observed among wholesalers and DIY chains alike. Private label assortments within the VVS market, which were started by AHLSELL in 2005, have expanded yearly, and the other leading wholesaler, DAHL, now offers a complete bathroom product line under its ALTERNA brand, including bathroom furniture, taps and mixers, shower walls, baths, ceramic sanitary ware, and bathroom accessories. AHLSELL has also increased its presence within the private label market, with its A-COLLECTION brand, but remains largely focused on sales of taps and mixers and ceramic sanitary ware products – and has a smaller assortment than DAHL.

GELIA, which mainly sells taps and mixers within the bathroom market, is an example of a private label brand within the DIY sector. This development has disrupted both trade patterns and pricing within the bathroom distribution market in Sweden.

Wholesalers are increasingly looking into the DIY and e-commerce sectors to increase their sales. There has been an increase in products sold from wholesalers to DIY retailers, following a series of acquisitions made by the largest wholesalers within the DIY sector, such as BYGGHEMMA acquiring GOLVPOOLEN in 2017. The growing share of online sales within the wholesale channel is mainly driven by sales to the professional market, wherein AHLSELL in particular has made significant investments in its new e-commerce platform: its online and mobile shop to make its product range more easily available to its B2B customers. The market is characterised by strong brand loyalty and supply relationships between installers and wholesalers, and as a professional service, the effect of online sales on price levels has been rather limited when compared to that of the private sector. Online sales are now becoming normal for the DIY chains, with most now having e-commerce platforms. The growing popularity of the internet, with websites such as BYGGHEMMA and BUILDOR, is expected to have small crowding-out effects on the DIY market in the future. The former made an IPO on the Nasdaq Stockholm stock exchange in March 2018.

With the growing share of private label brands, DIY and online sales in the market, it has become gradually more challenging for manufacturers to define and control their distribution and pricing strategies. As a result, an increasing share of manufacturers now offer dedicated product lines for different distribution channels, to avoid cannibalisation and large price discrepancies within their own product ranges.

In terms of volumes distributed, GEBERIT (IFÖ, IDO, and GEBERIT), VILLEROY & BOCH (GUSTAVSBERG, VILLEROY & BOCH), and FM MATSSON MORA GROUP (FM MATSSON, MORA ARMATUR, and DAMIXA) are the leading players. These manufacturers have a particularly strong presence in the professional market, selling to installers and contractors / construction companies, mostly through wholesalers. With well-established relationships with wholesalers and installers alike, they can take higher margins and their products have wider availability in the wholesale and installer networks.

Other leading manufacturers include SVEDBERGS, VANNA GROUP (INR, ASPEN and SANKA), IKEA, and HAFA BATHROOM GROUP. In January 2017, HAFA BATHROOM GROUP announced that it had acquired NORO. HAFA BATHROOM GROUP now offers three brands continually: HAFA, NORO, and WESTERBERGS. HAFA and WESTERBERGS sell either directly to installers or through retailers, with a higher design and B2C focus. Furthermore, SVEDBERGS acquired MACRO DESIGN in December 2016 and has not divested afterwards. Along with the acquisition, SVEDBERGS established a new sales organisation, SVEDBERGS PROJECT, which is more focused on the wholesaler and project distribution channels. SVEDBERGS also sells directly to installers or through

retailers, but has changed distribution strategy and does now focus on wholesalers and projects as well. Because of relatively low volumes being distributed, these companies also offer lower margins to installers than the leading brands do. VANNA GROUP utilises more diversified distribution channels than SVEDBERG and HAFA BATHROOM GROUP. It also has a stronger presence in the professional market, because of its market-leading position in the shower wall market. IKEA is a unique player, with the potential to upset the market in a big way. It is firmly rooted in the DIY market selling directly to customers, while doubts about the quality of its products and prestige are still believed to deter customers in the professional segment.

Imported brands are usually sold directly, either to small installers or to consumers via specialist, internet and/or DIY retailers. Due to the strong dominance of domestic brands, it is challenging for foreign players to enter the market and gain access to the main distribution channels without having a strong local sales organisation. New entrants therefore often enter through DIY or internet retailers, selling directly to end-consumers. Due to the maturity of the market, the dominance of local manufacturers and the strong presence of large wholesale and VVS chains, the structure of the Swedish distribution market has also remained relatively stable historically, with most sales going via wholesalers.

The internet has had a certain impact on the distribution channels within the bathroom market in recent years. Internet retailers, such as BYGGHEMMA and BUILDOR, are becoming more popular, whereas retailers with stores only are losing share. For this same reason, many specialists have opened their own e-shops, which are expected to become more popular in the future. This, in combination with deals that combine both the products and the installation, is expected to ensure that specialists remain strong players. Conversely, BYGGHEMMA opened its sixth showroom in 2019. In these stores, customers can come and look at the products and get help from advisors present in the store – to make orders online at a later stage.

Wholesale Level

The Swedish VVS trade is very concentrated, whereby the three wholesaler groups AHLSELL, DAHL, and ONNINEN account for approximately 85% of the total national VVS product wholesale market. The main VVS wholesalers have built up a significant presence in all distribution routes through several strategic acquisitions over the years, including electrical, refrigeration and DIY retailers.

The Swedish association of plumbing, sanitary and heating wholesalers, SVENSKA RÖRGROSSISTFÖRENINGEN (RGF), currently counts seven members, namely: AHLSELL SVERIGE AB, DAHL SVERIGE AB, BRA GROSS SVERIGE AB, ONNINEN AB, JOHN FREDRIK AB, SOLAR SVERIGE AB, and AB RÖRPOJKARNA. In addition, there is VVS GROSSISTER I SAMVERKAN (GIS), which is an informal buying group consisting of JOHN FREDRIK AB, AB RÖRPOJKARNA, and BRA GROSS SVERIGE AB. The group coordinates purchasing and logistics in order to provide a full product range to the professional

market.

In addition to these wholesalers, a few private-label brands exist in the wholesale market for bathrooms. AHLSELL has dedicated product lines for several product types, such as bathtubs, towel warmers, taps and mixers, and WCs – using its brand A-COLLECTION. DAHL sells its private-label products under ALTERNA. ONNINEN has the brand OPAL, which offers products such as shower walls, mirror cabinets and packages with base units, a washbasin and mirror cabinets included. In Sweden, private-label branded-products are typically economy products, cheaper than brands offered by local manufactures, and thus, according to most local manufacturers, private label brands are not in competition with their products. It is difficult to quantify how many private-label products are sold annually.

In Sweden, wholesalers are known for buying and selling in bulk, which pushes down prices and allows them to make sizeable margins. On the other hand, the prices have been pushed up by increasing raw material costs and a weak Krona.

Statistics from SVENSKA RÖRGROSSISTFÖRENINGEN (RGF) show that the wholesale market was stable in 2020. The market had large variations in demand in different customer segments, which was due to the economic downturn and ongoing COVID-19 pandemic.

Retail Level

Retail trade has grown in Sweden in recent years, as consumers perceive DIY stores and the internet as more affordable choices than buying directly from VVS installers. The majority of bathroom products sold via DIY, internet and specialist retailers are sourced directly from manufacturers and importers, but a rising share of bathroom products are also sold via wholesalers, such as AHLSELL, DAHL, and ONNINEN.

In recent years, in line with the growing presence of retail trade on the Swedish distribution market, retail chains such as BAUHAUS and K-RAUTA have diversified their product ranges, undercutting the major bathroom product suppliers' prices. As a result, there is a growing trend among manufacturers to offer dedicated product lines for each distribution channel, to avoid creating large price differences within each of their product lines. The share of products in the economy/standard price segment is growing for that reason. On the bathroom market, private label sales have been less influential in the retail trade than in the wholesale channel, wherein established local manufacturers still make up the vast majority of sales.

Manufacturers have started to change their distribution strategies to be more internet-focused, in line with having more focus on B2C. Many internet retailers have showrooms, which means that the customer can see and feel the products before going online to purchase. Internet retailers can also keep their prices low, due to having lower overhead costs when compared to other retailers. Additionally, it is easier to receive data on, and feedback from, customers through the internet channel than through other channels, which has attracted manufacturers to the

internet. It is therefore likely that we will see a larger amount of online retailers on the Swedish bathroom market in the future. The growing popularity of the internet is putting pressure on both specialists and DIY chains. Many specialists have now opened their own webshops and are thus now expected to increase sales. More specialists are offering products with installation included, which is also expected to become more common in the forecast period.

Also, AMAZON launched amazon.se at the end of 2020, which is expected to affect the market in the upcoming years.

Sales going through the DIY channel are expected to continue to increase slowly as a general trend, in line with growing sales from wholesalers and an expected increase in DIY online sales. Anyhow, a slight decrease in DIY sales could be expected at the end of the forecast period, due to the popularity of internet retailers and the lower demand from bigger renovation projects.

DIY Retailers

The Swedish DIY and building merchant markets are more fragmented than the wholesale market, and characterised by a significant share of foreign-owned players. Other companies include voluntary buying groups/chains such as WOODY BYGGHANDEL, XL-BYGG, and small independent DIY stores with a local presence. DIY is the second-largest distribution channel for bathroom and kitchen products, whereby sales are channelled either through wholesalers or directly from manufacturers. The majority of DIY sales go to the private sector, on which most DIY retailers and builders' merchants have their focus. Bathroom furniture, in particular, is a product with a growing presence in this channel.

The largest builders' merchant and DIY chains in the market are OPTIMERA (France), BAUHAUS (Germany), RUSTA (Sweden), K-RAUTA (Finland), BYGGMAX (Sweden), BEIJER BYGGMATERIAL (Sweden), HORNBACH (Germany), and JULA (Sweden). OPTIMERA and HORNBACH focus on the professional market, while the other chains mainly sell to the private market.

There are several leading buying groups within the building merchant segment and the DIY trade. WOODY BYGGHANDEL (which is part of the European EURO-MAT buying group) mainly sells products from SVEDBERGS, BALLINGSLÖV, and HABO. XL BYGG is part of the larger Scandinavian buying group XL-BYGG NORDIC (previously SCANDEK). These stores have a broad selection of big and popular bathroom brands.

In addition, several wholesalers have a significant presence in the Swedish DIY market through DIY divisions. GELIA INDUSTRI is AHLSELL's DIY division and the company offers VVS products both to the private and professional markets, either through builders' merchants or directly to installers. The company does not sell directly to consumers. GELIA is present in all the Nordic countries, and in Sweden it supplies BAUHAUS, CLAS OHLSON, JULA, WOODY BYGGHANDEL, BEIJER BYGGMATERIAL, JÄRNIA, BOLIST, and XL-BYGG. GG CARAT, which has

belonged since 2004 to DAHL SVERIGE AB, is owned by SAINT-GOBAIN. The company supplies OPTIMERA, K-RAUTA, and EKESIÖÖ. ONNLINE and OPAL are two private label brands of ONNINEN. The ONNLINE brand is sold to the professional market, whereas the OPAL brand is sold to consumers through various retailers. OPAL's bathroom product line includes shower walls and bathroom furniture, while ONNLINE mainly sell taps and mixers.

Throughout 2020, DIY shops were allowed to stay open in Sweden, which further increased their share. Sales going through this channel are expected to continue to increase over the forecast period, in line with growing sales for wholesalers and an expected increase in DIY online sales. Further growth could be hindered by an increase in DIY sales going to internet retailers.

Specialist/Other Retailers

'Specialist retailers' refers to VVS retailers or specialist bathroom retailers, selling to both consumers and installers. Most suppliers within this channel are companies with a local or regional presence, and as a result, sales channelled through this segment are relatively low. Specialist retailers are mainly utilised by manufacturers of bathroom furniture, hydrotherapy products, baths and shower wall products, which are product segments wherein the dominance of the wholesale channel is lower. The main barrier to growth for this channel is, however, the dominance of the nationwide VVS installation chains, such as COMFORT, which also has retail stores and showrooms.

In terms of sales volumes, bathroom furniture is the largest product segment within this channel, mainly due to the dominating presence of IKEA on the market. Overall, specialists have accounted for a relatively low volume of the total sales in recent years. Sales going through this channel are projected to remain relatively stable over the forecast period.

Internet Retailers

Like DIY and specialist retailers, internet retailers mainly target the private housing RMI market, and their role has gradually grown in significance in recent years. Internet sales still account for a relatively small share of the total market. Traditionally, online sales of bathroom products have been a niche market in Sweden, due to the dominance of wholesalers. Sales through internet retailers grew in 2020, which was given a strong push due to the COVID-19 pandemic and consumers preferring socially distanced purchasing channels. Internet retailers are projected to continue to grow in the future. As B2C sales are projected to increase, the internet is expected to play a more important role. It is the increased availability of products, ease of ordering online and relatively low prices when compared to other channels that have made internet retailers a more attractive choice for consumers. An effective online pricing strategy has become imperative. The growing trend amongst people to buy the products themselves, to then have an installer install the products, is also benefitting the market.

BYGGHEMMA SVERIGE AB is currently the largest specialist internet retailer on the Swedish market. The company has been growing at an annual growth rate of c. 30-40% over the last five years. In February 2012, the company signed a collaboration agreement with XL-BYGG. Under this agreement, XL-BYGG gained access to BYGGHEMMA's e-commerce platform, while BYGGHEMMA received access to XL-BYGG's wider product range and local distribution centres. In December 2016, NORDSTJERNAN, part of FAMILJEN AX:SON JOHNSONS INVESTMENTBOLAG, announced that it had sold BYGGHEMMA to the venture capital company FSN CAPITAL (also owner of the retailer KJELL & COMPANY). In 2018 the company was registered on the Stockholm Stock Exchange.

Other internet retailers specialising in bathroom products and/or VVS include BUILDOR AB, owned by BYGGMAX AB; DIN VVS BUTIK, owned by TRIOPART INTERNATIONAL AB; TRETTE AB, owned by CDON GROUP AB; VVSONNET VVS; and BADRUMSSPECIALISTEN AB.

III.2 Summary of Leading Distributors
SE - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)													Buying Group Affiliation
				Year End	EUR million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other		
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify	
WOLSELEY PLC	BEIJER BYGGMATERIAL AB	DIY Retailer	DIY Assortment	N/A	N/A	72	National	20%	-	5%	5%	-	10%	55%	30%	10%	10%	5%	25%	DIY Assortment	
BAHAG BAUSBETEILIGUNGSGESELLSCHAFT mbH	BAUHAUS & CO KB	DIY Retailer	DIY Assortment	2019	718.0	17	National	35%	5%	15%	10%	-	5%	20%	10%	5%	5%	-	45%	DIY Assortment	
JULA HOLDING AB	JULA SVERIGE AB	DIY Retailer/ Other	Heating, Sanitary/Plumbing & DIY Assortment	2019	437.0	90	National	20%	5%	5%	5%	-	5%	35%	20%	5%	5%	5%	45%	DIY Assortment	
BYGGHEMMA GROUP NORDIC AB	BYGGHEMMA SVERIGE AB	Internet Retailer	DIY Assortment	2019	140	5	National	45%	10%	20%	10%	-	5%	25%	20%	-	5%	-	30%	DIY Assortment	
AHLSSELL AB	AHLSSELL SVERIGE AB	Specialist Merchant	Heating, Sanitary, Plumbing, Electrical, Tools & Machinery, Refrigeration & DIY.	2018	487	107	National	65%	24%	19%	15%	7%	-	-	-	-	-	-	35%	Electrics	RGF
ONNINEN OY	ONNINEN AB	Specialist Merchant	Heating and Sanitary/Plumbing	N/A	N/A	19	National	10%	5%	5%	-	-		10%	10%	-	-	-	80%	Electrics, Tools, Lighting	RGF
LUNDAGROSSISTEN AB	LUNDAGROSSISTEN AB	Specialist Merchant	Heating and Sanitary/Plumbing	N/A	N/A	14	National	50%	10%	20%	15%	-	5%	-	-	-	-	-	50%	White Goods, Lighting, Kitchen	
BRA GROSS SVERIGE AB	BRA GROSS SVERIGE AB	Specialist Merchant	Heating and Sanitary/Plumbing	2019	21.4	5	Örebro, Skåne	85%	40%	30%	15%	-	-	-	-	-	-	-	15%	Filters, Tools	RGF/GIS
SOLAR A/S	SOLAR SVERIGE AB	Wholesaler	Electrical, Heating, Plumbing, Sanitary & Ventilation Components	N/A	N/A	48	National	80%	25%	25%	10%	15%	5%	-	-	-	-	-	20%	Lighting, Tools, Components	RGF
SAINT-GOBAIN	DAHL SVERIGE AB	Wholesaler/Retailer	Heating, Sanitary/Plumbing & Vent/Air Con	2019	818	69	National	42%	10%	15%	15%	2%		20%	10%	-	10%	-	38%	Plumbing, Tools	RGF
INTERPARES	WOODY BYGGHANDEL AB	Wholesaler/Retailer	Mixed Merchant/DIY Assortment	2019	248	101	National	20%	-	-	10%	-	10%	50%	20%	10%	10%	10%	30%	Furnishing, Lighting, Tools	EURO-MAT
INTERPARES	BYGMA AB	Wholesaler/Retailer	Mixed Merchant/DIY Assortment	2019	118	18	National	40%	10%	15%	5%	5%	5%	25%	15%	-	5%	5%	35%	Kitchen, Furnishing, Lighting	
BYGGTRYGG AB	BYGGTRYGG AB / XL-BYGG AB	Wholesaler/Retailer	Mixed Merchant/DIY Assortment	2019	372	130	National	40%	5%	10%	10%	5%	10%	40%	20%	5%	10%	5%	20%	Tools, Lighting, Garden	SCANDEK

Source: BRG based on company information. Turnover shown for the latest available financial year while number of depots are shown up to date of publishing this report.

x = marginal activity

xx = substantial activity

xxx = core activity

SWEDEN

BATHS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Swedish bath market is relatively mature and has been experiencing a deterioration of market share over the last few years, as a direct result of competition from wet rooms with showers only. This substitution trend has been driven mainly by the quest to reduce water consumption, but in recent years the shower wall demand has increased because of superior functionality, especially in apartments. This is driven by the requirement of accessibility in new housing.

Sales of shower trays in Sweden are low, and estimated to be around only 1,500 pieces per year. Showers in the country are rarely used in combination with shower trays, since most bathrooms have either tiled or PVC floors with open drain outlets, contained either by a shower enclosure or a shower curtain. This trend applies to both the residential and non-residential segments. Nearly all new builds have wet rooms, with either tiled or PVC floors. Most shower trays are sold to the non-housing segment and are made of steel or acrylic.

Steel baths have historically dominated the Swedish baths market. Steel baths have been preferred because of their durability, but the growing importance of design has gradually favoured the sales of synthetic baths, which have partly contributed to the drop in sales of steel baths. Today, the popularity of synthetic baths is growing in new houses, while steel baths are still dominating in apartments, where contractors often choose durability over design, for cost reasons. However, the most important changes have been witnessed within the housing RMI segment, wherein the sales of synthetic baths have increased at the expense of steel and hydromassage baths. In line with this substitution trend, sales of synthetic baths have shown stable growth over the last five years, whereas steel bath sales have declined steadily. Cast iron baths only represent a niche market in Sweden, and demand in recent years has remained low and relatively stable.

Hydromassage baths entered the Swedish market in the 1980s, but sales have remained small when compared to the overall market for baths. It is considered to be a niche market, wherein most products are sold in the upper/luxury priced segment. The hydrotherapy product market sustained good growth from the turn of the millennium until 2007, when the total volume sales more than doubled. As hydrotherapy products in Sweden are overwhelmingly discretionary purchases, growth during this period can be partly explained by high levels of private consumption, healthy home finances and low interest rates – combined with increased levels of borrowing. This led to a growing popularity of hydromassage products among consumers. The popularity of hydromassage baths was the main driver of growth during this period. After the financial crisis the market suffered, declining each year. Increased competition from outdoor hot tubs and the displacement of cubicles have also added to this negative trend.

The bath market is mainly driven by the development of the house/villa market, wherein available space allows for the installation of both a shower and a bath in

the bathroom. In apartments where space is more limited, wet rooms are dominating but, also in this sector, there is a growing trend among consumers to install baths, often smaller models such as sit baths or shower baths. The most popular models on the market are still the larger freestanding baths, but the popularity of the combined bath/shower has increased in the last couple of years. This is a result of the better functionality this product represents, especially in terms of space saving.

Recent Market Trends

The shortage of qualified labour, the reduction of the tax deduction scheme, ROT, and the stricter amortisation requirements weighed the RMI market down in 2019, and fewer bathroom renovations were made. Continuing the trend, BRG expected the overall bath market to experience a significant decline in 2020, mostly due to the uncertainty of the effect of COVID-19, but Sweden kept the economy open – which allowed the market to stay stable. Sweden was one of the only countries in Europe not to have a nationwide lockdown, and as consumers focused on RMI activities in 2020, the overall bath market stayed positive – despite declining sales in the new housing and non-housing segments.

Swedish consumers found themselves spending extra time at their homes, which supported the need for renovations – thus leading synthetic bath sales to grow slightly in 2020, due to increased housing RMI. Demand for steel baths suffered as a result of the growing preference for synthetic baths and a lack of non-housing projects. Cast iron baths remain a niche market in Sweden, and are still predominately premium-priced models sold through specialist retailers. As previously anticipated, the sales of cast iron and hydromassage baths decreased slightly in 2020.

Prices and Market Values

The average manufacturers' selling price (in SEK) increased in 2020 when compared to 2019. Raw material costs, especially for steel, increased further in the year, which had a slight impact on price developments by pushing prices up – for steel baths in particular. The increased popularity of designer products on the synthetic bath market is pushing prices up in this segment; however, the increasing popularity of using the internet as a distribution channel has continued to reduce prices across all segments.

The average price in SEK for cast iron baths has again increased moderately, due to a weakened SEK and increased raw material prices. The cast iron bath market decreased in value in SEK in 2020, whilst all the other bath segments increased. This is because the overall sales volumes of cast iron baths fell, while steel baths and synthetic baths continued to increase in volume. Hydromassage baths decreased in volume, but the yearly price increase kept the market value from decreasing.

The Riksbank has kept Sweden's interest rate extremely low for the last few years in order to boost consumer spending, as Sweden has an export-orientated economy that the weak Krona has helped to boost. This increase in demand increased the average MSPs in SEK for all products in 2020.

New Housing

The share of baths in new housing has been declining in favour of showers over the last decade, but this trend appears to have levelled out since 2014, as baths' popularity is slowly starting to pick up again. Baths have a significant penetration in both one- and two-family houses and larger apartments, as families with young children prefer to install them due to their functionality. Synthetic baths have a higher penetration in privately owned one- and two-family dwellings. Given their lower prices and durability, steel baths are usually installed in publicly owned apartments, even though penetration rates are lower in this segment than in houses.

New dwelling completions decreased in 2020 compared to 2019, due to a reduced amount of apartment completions. House completions increased slightly, which enabled combined bath sales to stay stable, as there is a higher penetration rate of baths in new houses than in apartments.

New housing is expected to be a less important end-use segment for baths during the forecast period, as the housing market completed its cyclical upturn in 2018. The new construction market has started to decelerate, which will have a notably negative effect on the bath market throughout the forecast period. At the same time, baths have also regained, somewhat, their popularity among Swedish consumers in recent years, which should affect the penetration rate of baths in new housing positively in the near future. Growth rates should remain moderate, as new housing is expected to decline in 2021 before stabilising in 2023 onwards.

Housing RMI

The overall market is heavily dependent on RMI sales and any new like-for-like replacement or displacement trends, which in turn have a significant effect on the overall development of the market. The displacement of baths with showers has had a considerable effect on the housing RMI market to date, as housing RMI demand for steel baths in particular suffered in the years prior to 2014. At the same time, a growing preference for synthetic baths has made up for some of the fall in steel bath sales. The presence of synthetic baths within this end-use segment has increased in recent years, partly because of an increased displacement of steel baths with synthetic baths, and partly due to falling demand for hydrotherapy baths.

Sales of hydromassage and cast iron baths in 2020 declined as expected, while housing RMI for synthetic and steel baths stayed stable. Pure replacement sales seemed to have remained constant, keeping the market from declining. Bathroom renovation demand is expected to decline slightly in 2021, as the world is expected to start opening back up, before stabilising in 2022 onwards.

Non-Housing

Sales of baths to the non-housing market weakened in 2020 as all product categories experienced a decrease, with sales of hydromassage baths seeing the sharpest fall in percentage terms. Sales to the non-housing segment are marginal and mainly consist of sales to the tourism accommodation industry, which was on hold in 2020. In contrast to the residential market, steel baths are the main driver of growth, because of their durability and long lifespans – and the majority of sales are like-for-like replacements. Yet, synthetic baths are gaining popularity progressively, which will benefit future growth in the non-housing market.

Non-residential construction demand for bath products remained low in 2020, and the largest increase in terms of construction was seen in industrial and commercial buildings.

Supply Structure

The Swedish steel bath market is characterised by the dominance of domestic brands IFÖ and GUSTAVSBERG, owned by GEBERIT and VILLEROY & BOCH. SVEDBERGS is the third-largest supplier of steel baths from Sweden. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (more commonly known as MACRO) in late 2016, which made the former one of the leading companies within the bathroom furniture and shower wall markets in Scandinavia. SVEDBERGS has established three sales departments: *Macro* (a specialist retailer), *Svedbergs Consumers* (which focuses on sales to specialists and DIY), and *Svedbergs Project* (focusing on sales to wholesalers and projects).

The overall bath market is mature and very concentrated, with these three players accounting for over two thirds of the total market. Other suppliers include LANGENFELD (ECOBAD and KALDEWEI), the HAFA BATHROOM GROUP (HAFA and WESTERBERGS), and GEESA. The HAFA BATHROOM GROUP acquired NORO AB at the beginning of 2017, which means that the latter will now go under the name of the HAFA BATHROOM GROUP. WESTERBERGS will still focus more on sales to specialists and the bath (including hydromassage) and outdoor spa sectors. DAHL's private label brand ALTERNA is part of 'others', and is sold via the wholesaler's own network. KALDEWEI, which is sold by LANGENFELD in Sweden, is the only significant non-Nordic brand present on the market.

The supply of synthetic baths in Sweden is more fragmented than that of steel baths, and includes a number of smaller, local suppliers. The main manufacturers are SVEDBERGS, the HAFA BATHROOM GROUP, BYGGHEMMA (BATHLIFE), and NORDHEM. These account for approximately half of the market. The remaining share of the market is made up by a number of smaller local manufacturers. VILLEROY & BOCH is present on this market through SVENSKA BADKAR and VILLEROY & BOCH. VILLEROY & BOCH operates both brands. The category 'others' includes DAHL (ALTERNA), VVS MARKETING (DUSCHOLUX

and DANLINE), NORO, DEMERX, CAMARGUE, and SWEBAD. Many of the players present on this market also sell hydromassage baths.

Most of the leading suppliers of hydromassage baths also supply hydrotherapy cubicles, as part of full shower/bath product assortments. Given the large dominance of hydromassage baths, these manufacturers are the prominent ones in terms of volume sales. The HAFA BATHROOM GROUP is the market leader with its WESTERBERGS and HAFA brands, closely followed by the domestic manufacturer SVEDBERGS. Together these two companies make up almost half of the market. The HAFA BATHROOM GROUP acquired NORO AB at the beginning of 2017, and since then the latter has gone under the name of the HAFA BATHROOM GROUP. WESTERBERGS will still focus more on sales to specialists and the bath (including hydromassage) and outdoor spa sectors.

The supply structure has remained relatively stable historically, with the two largest market players accounting for approximately one third of the total market. NORDHEM, found in the standard and premium price segment, has grown rapidly in the last two years, gaining share against other suppliers. The same is true for BATHLIFE (former TRENDIMPORT), which was acquired by the internet retailer BYGGHEMMA in 2015.

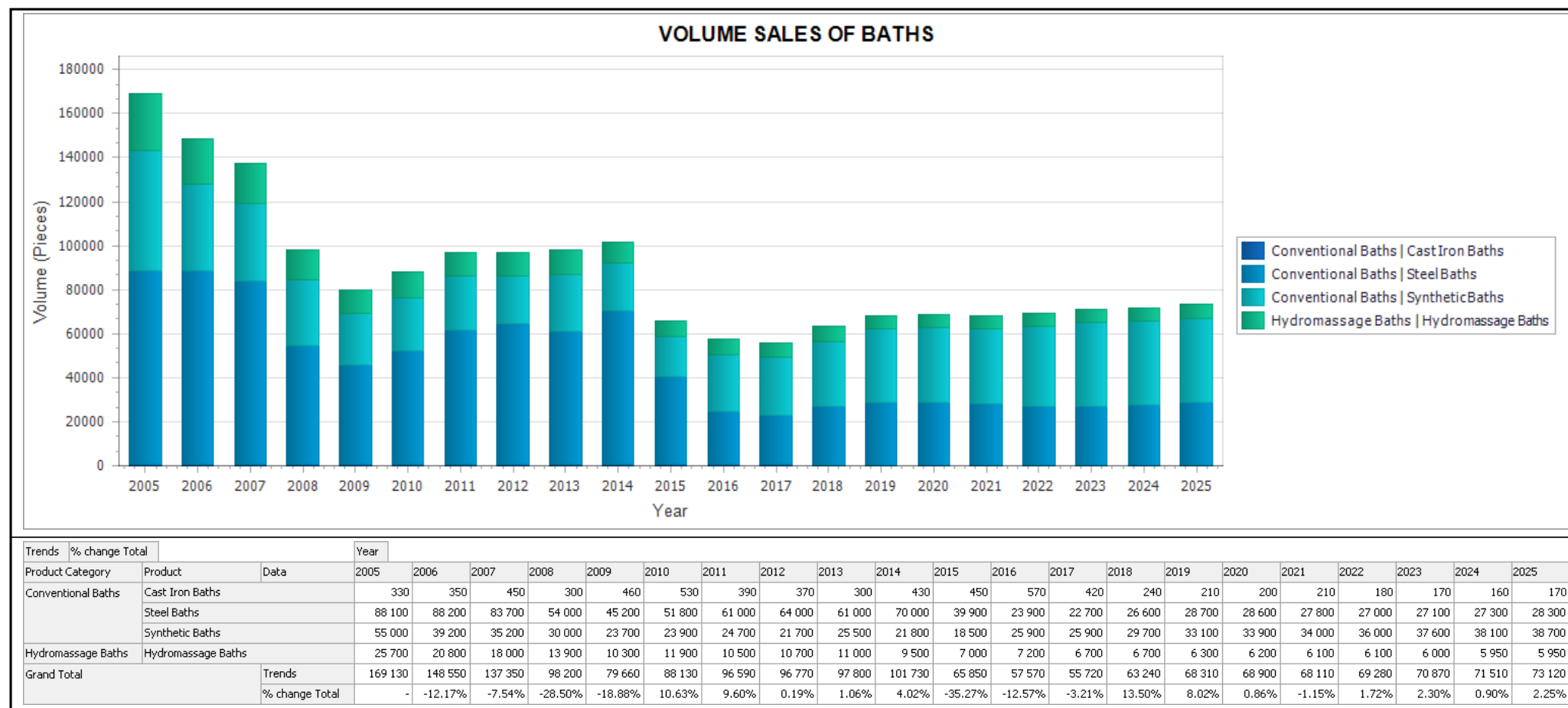
Forecasts

The overall bath market is projected to decline in 2021, as steel and hydromassage bath sales should continue to decline due to weakening demand from all end-use segments, and decreasing demand from non-housing in particular. After a strong RMI year, housing RMI is expected to have a slight decline in 2021, as people start to shift investment focus away from home renovations.

Steel bath sales are expected to decline gradually in 2021, 2022 and 2023, being negatively driven by a weakening demand from the new housing market. The market is expected to increase in both 2024 and 2025, however, due to an increase in non-housing and replacement demand. Synthetic bath sales are expected to continue to increase throughout the forecast period, driven by their growing penetration in the housing RMI segment and popularity in new housing. The popularity of hydromassage baths, on the other hand, should continue to fall over the forecast period, but due to RMI demand the market should stay relatively stable for the next couple of years. Consequently, the overall bath market is forecast to grow steadily, but the total growth rate will to a large extent be influenced by the fluctuating new housing market.

1.2 Historical Trends and Forecasts

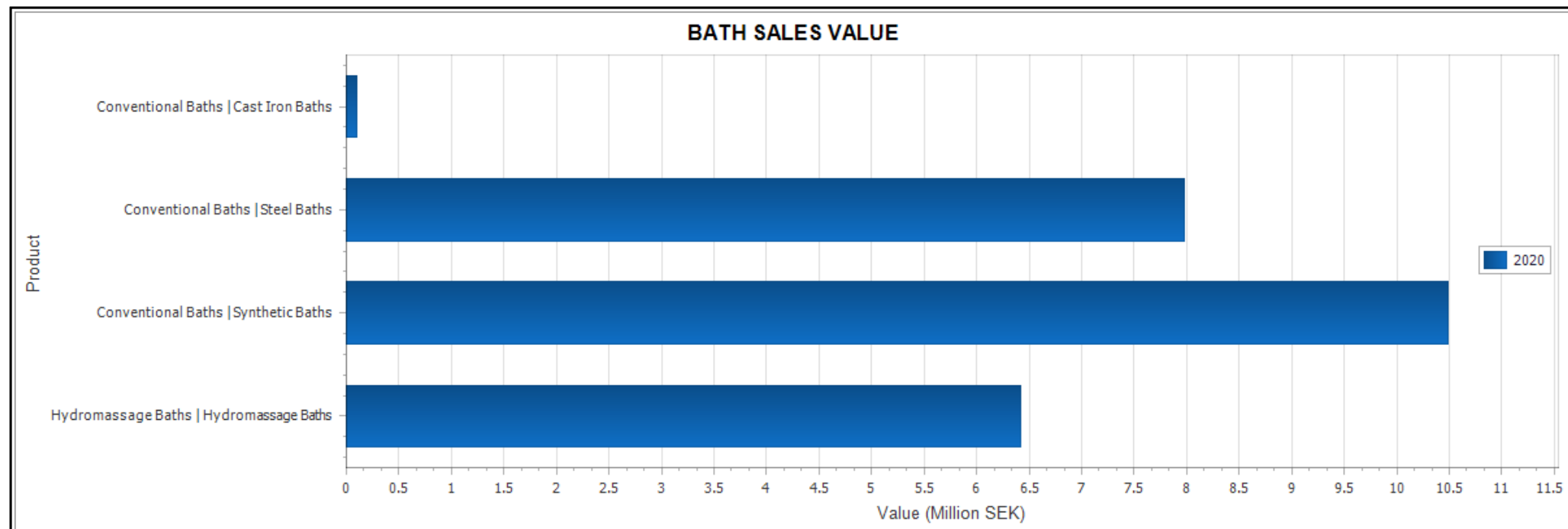
SE - SUMMARY OF TRENDS IN THE BATH MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths

SE - ESTIMATED VALUES OF THE BATH MARKET

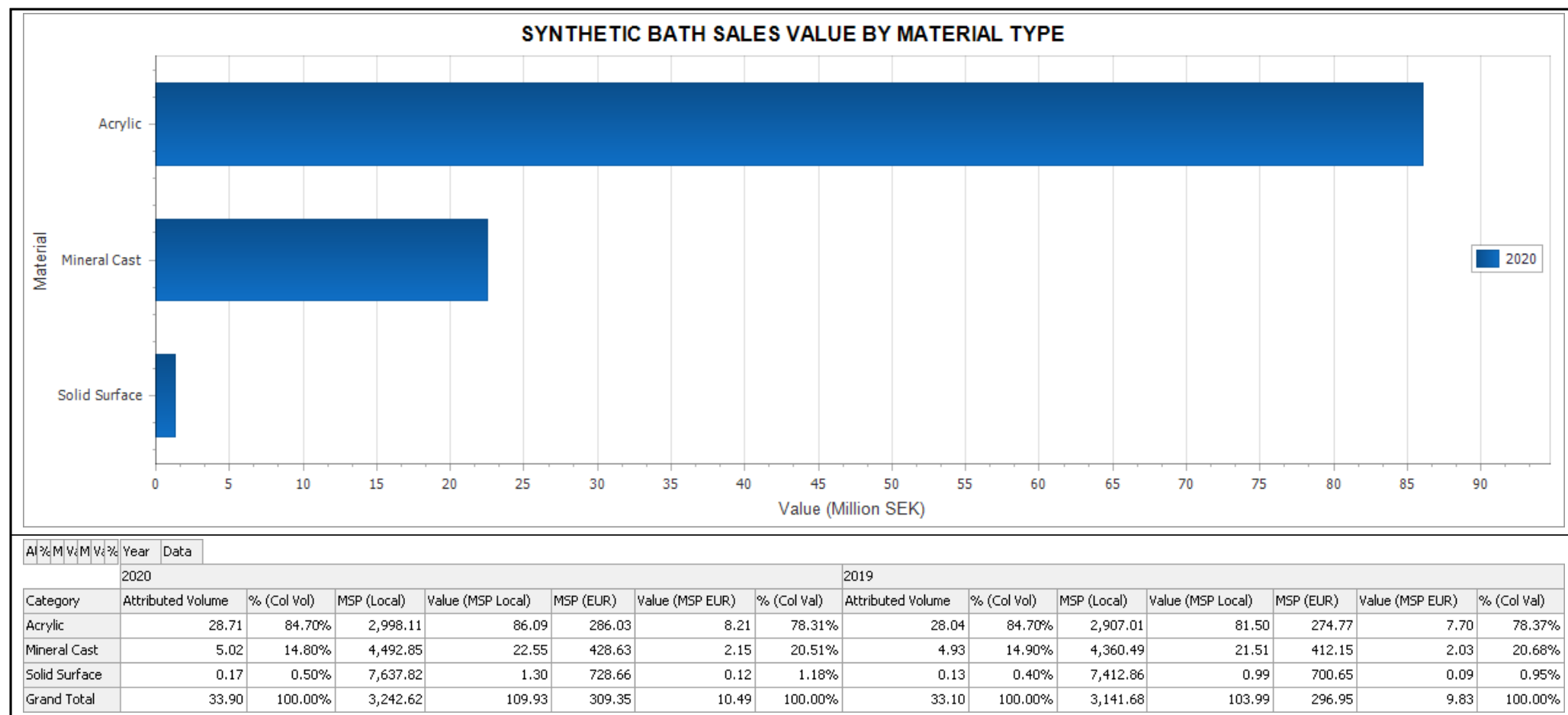


Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Year	Data					
		2020					2019				
Product Category	Product	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)
Conventional Baths	Cast Iron Baths	200	5,156.20	1.03	491.91	0.10	210	5,001.52	1.05	472.73	0.10
	Steel Baths	28 600	2,923.53	83.61	278.91	7.98	28 700	2,849.72	81.79	269.35	7.73
	Synthetic Baths	33 900	3,242.50	109.92	309.34	10.49	33 100	3,141.63	103.99	296.94	9.83
Hydromassage Baths	Hydromassage Baths	6 200	10,856.31	67.31	1,035.71	6.42	6 300	10,519.27	66.27	994.26	6.26
Grand Total		68 900	3,800.78	261.87	362.60	24.98	68 310	3,705.12	253.10	350.20	23.92

Source: BRG based on industry interviews. Local Prices in SEK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

1.3.2 Prices and Market Values : Synthetic Baths

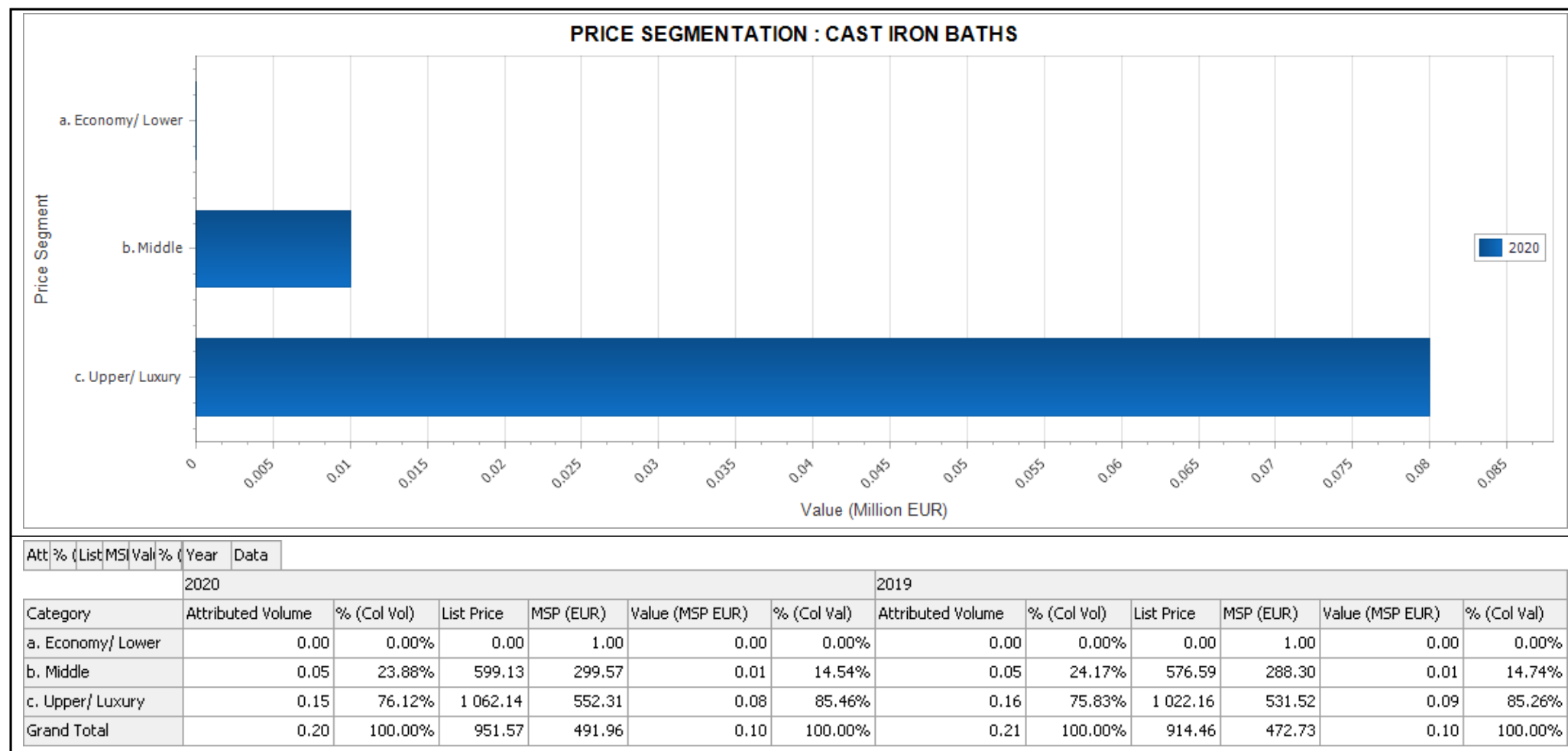
SE - ESTIMATED VALUES OF THE SYNTHETIC BATH MARKET BY TYPE OF MATERIAL



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Local Prices Shown in SEK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.3 Price Segmentation : Cast Iron Baths

SE - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

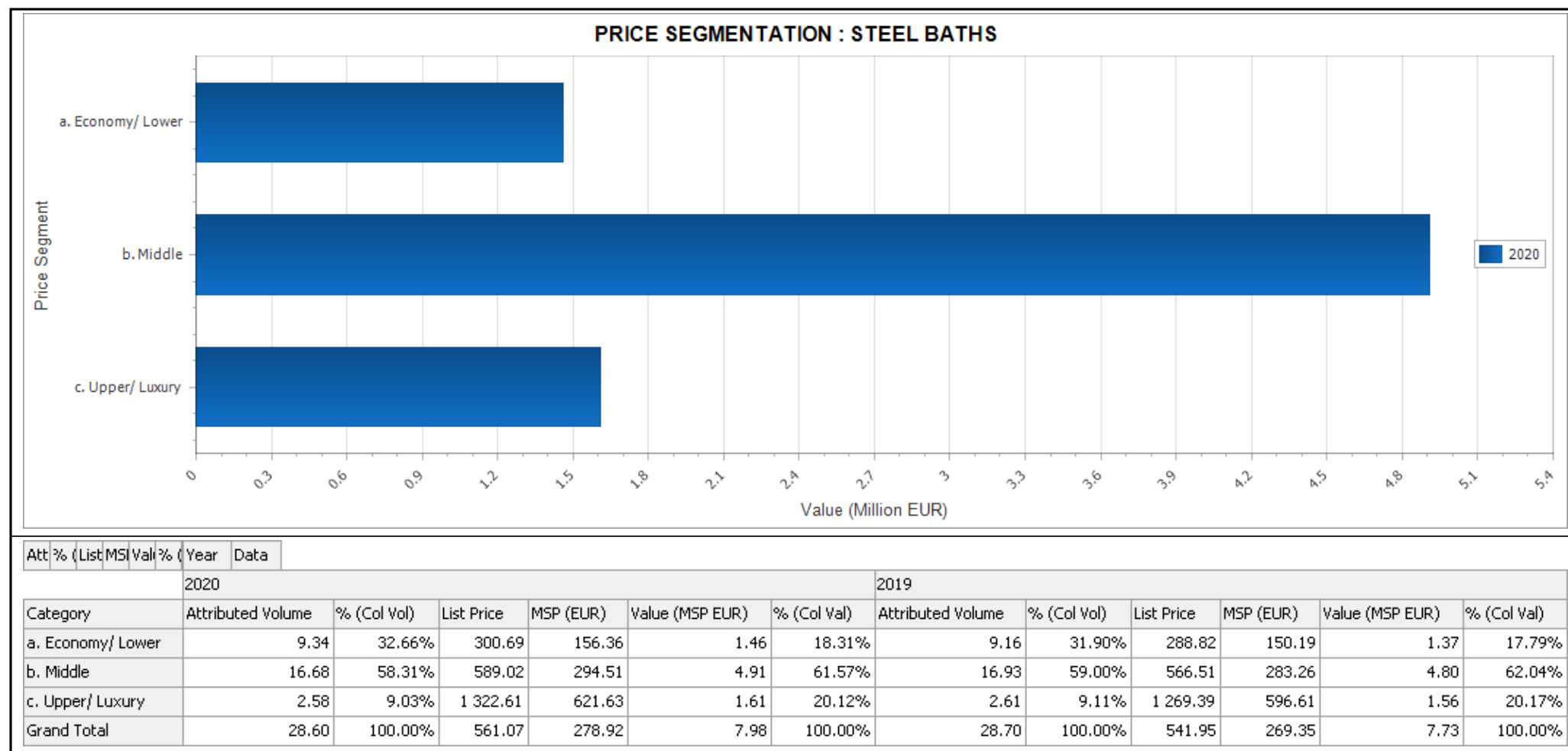


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.4 Price Segmentation : Steel Baths

SE - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

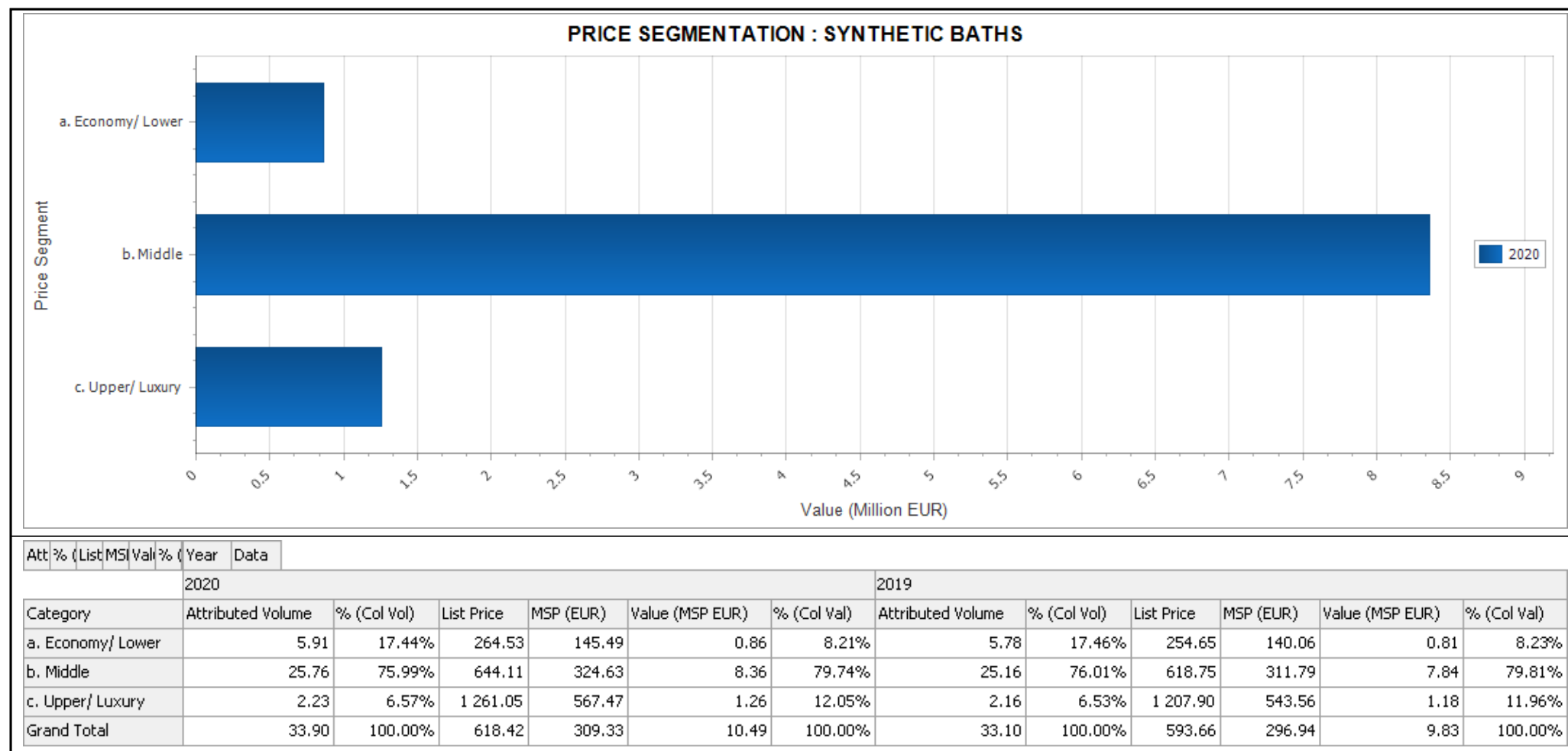


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.5 Price Segmentation : Synthetic Baths

SE - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

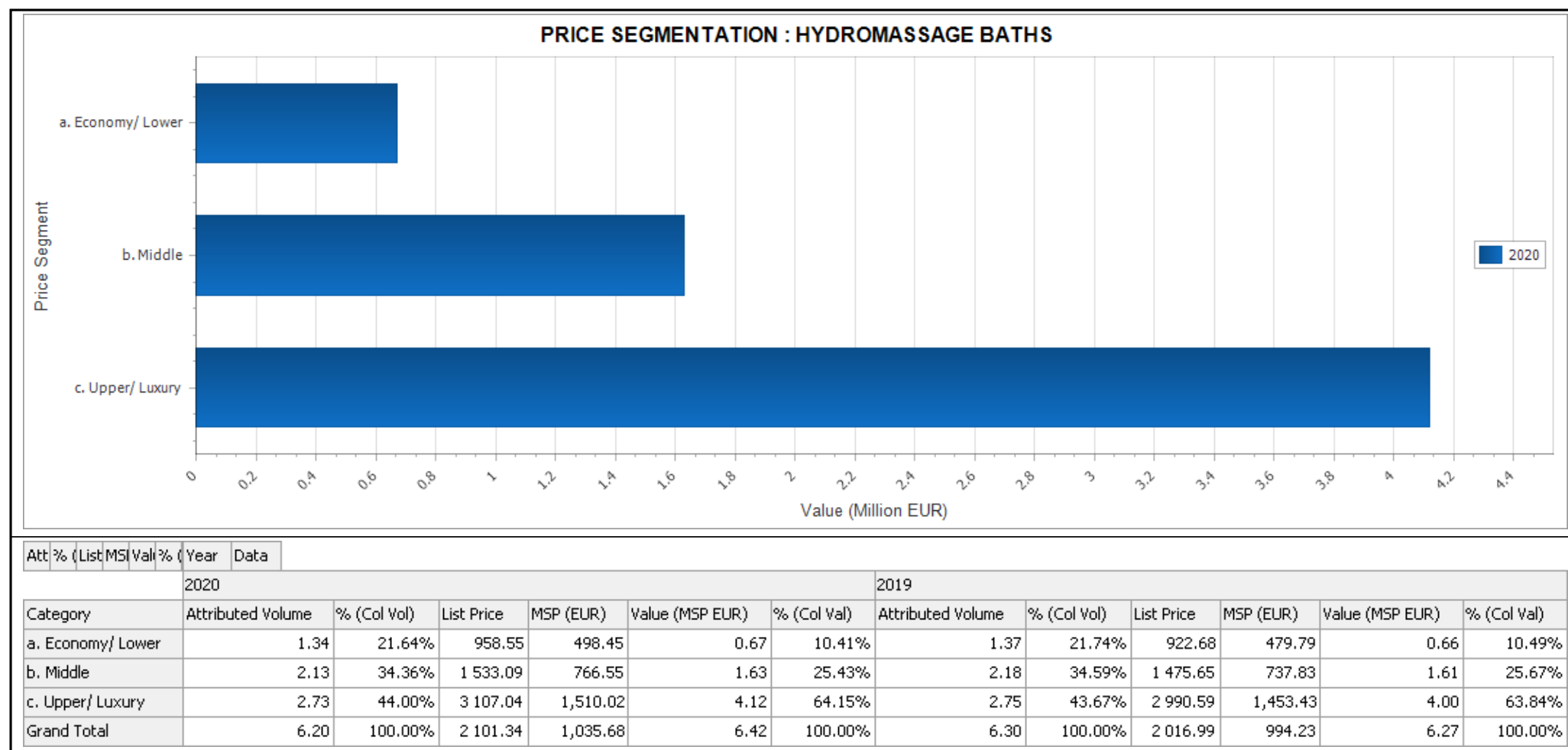


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€200, Middle €200-€400, Upper/ Luxury >€400

1.3.6 Price Segmentation : Hydromassage Baths

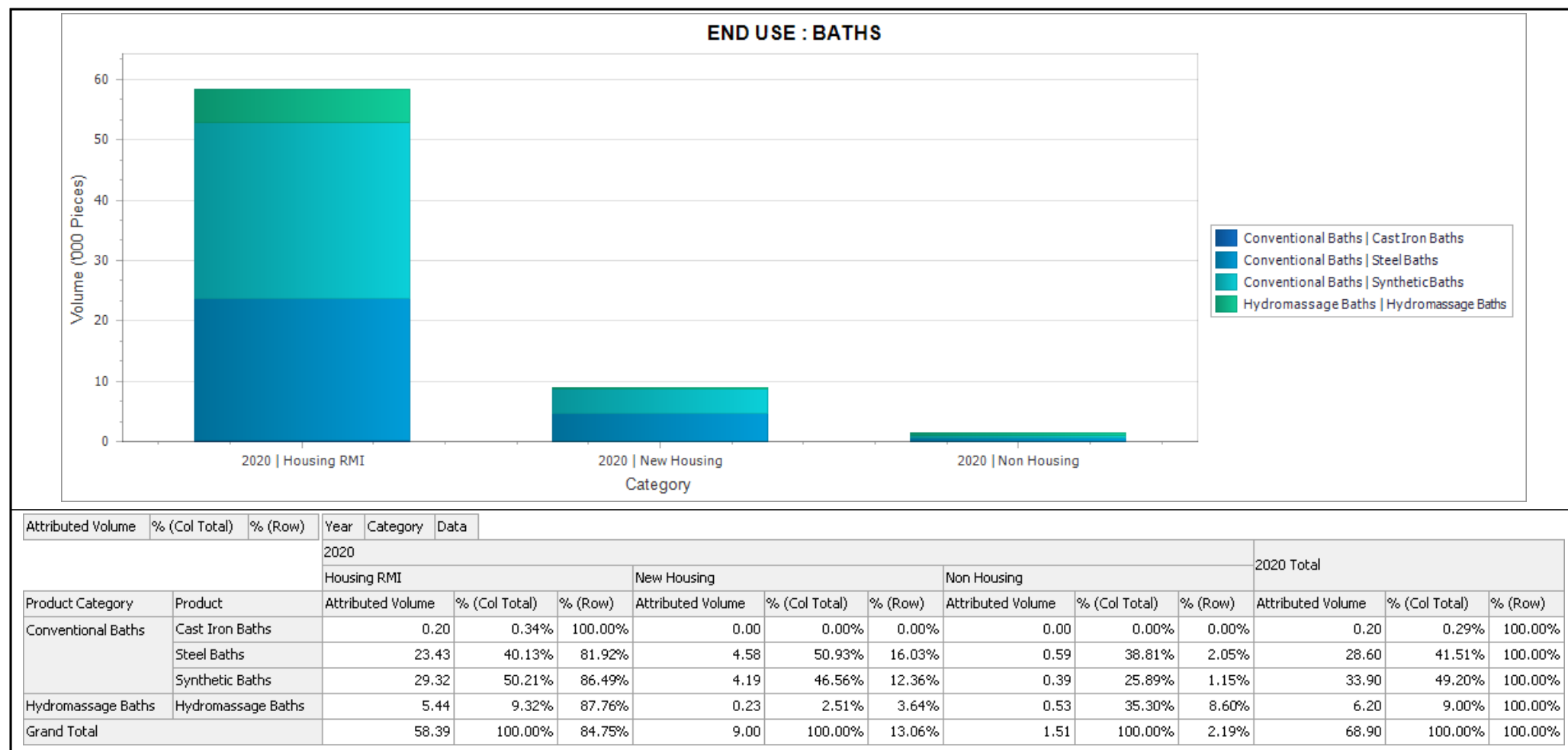
SE - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,200, Upper/ Luxury >€1,200

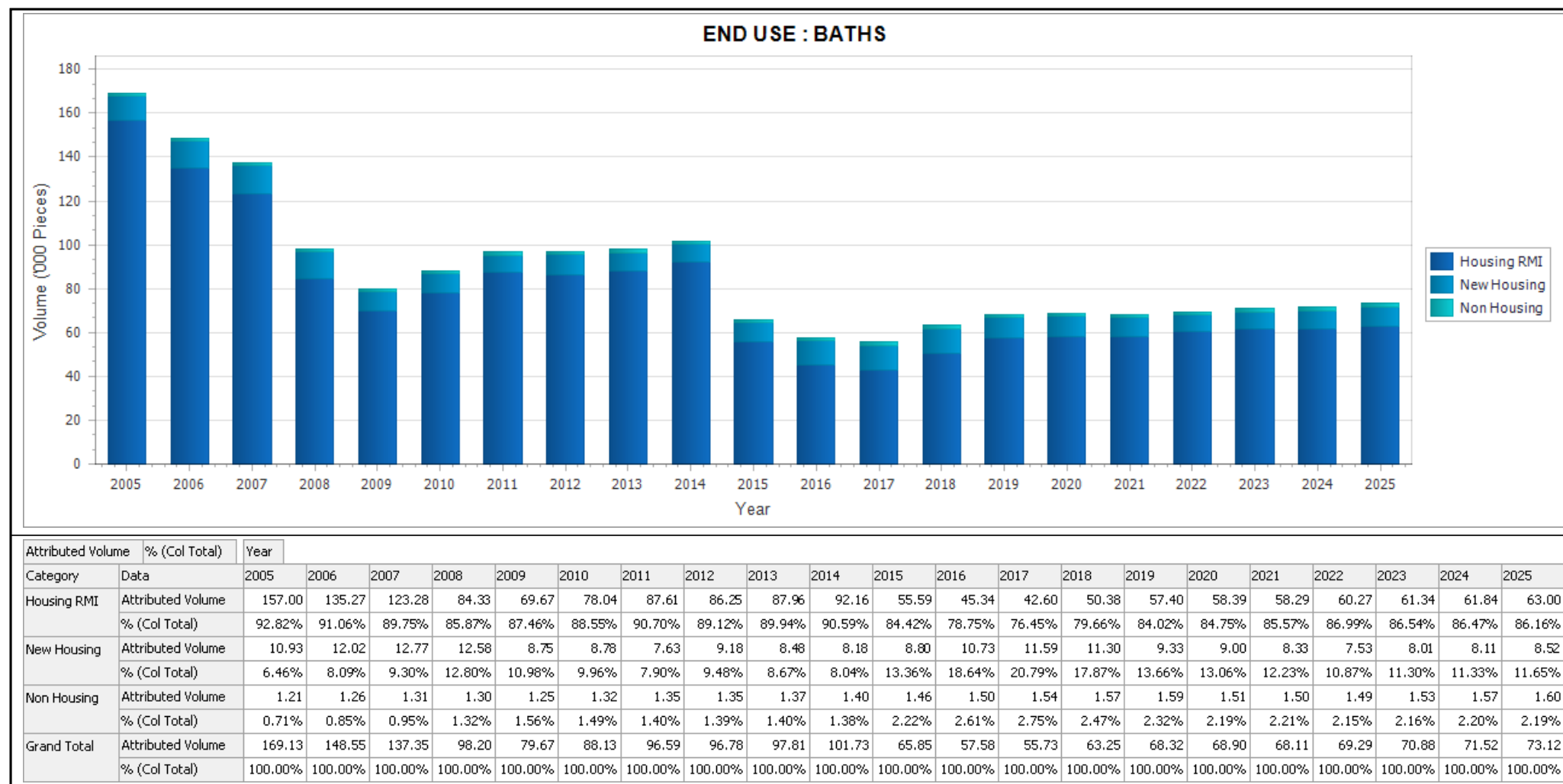
1.4.1 End Use : Base Year
SE - SALES OF BATHS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

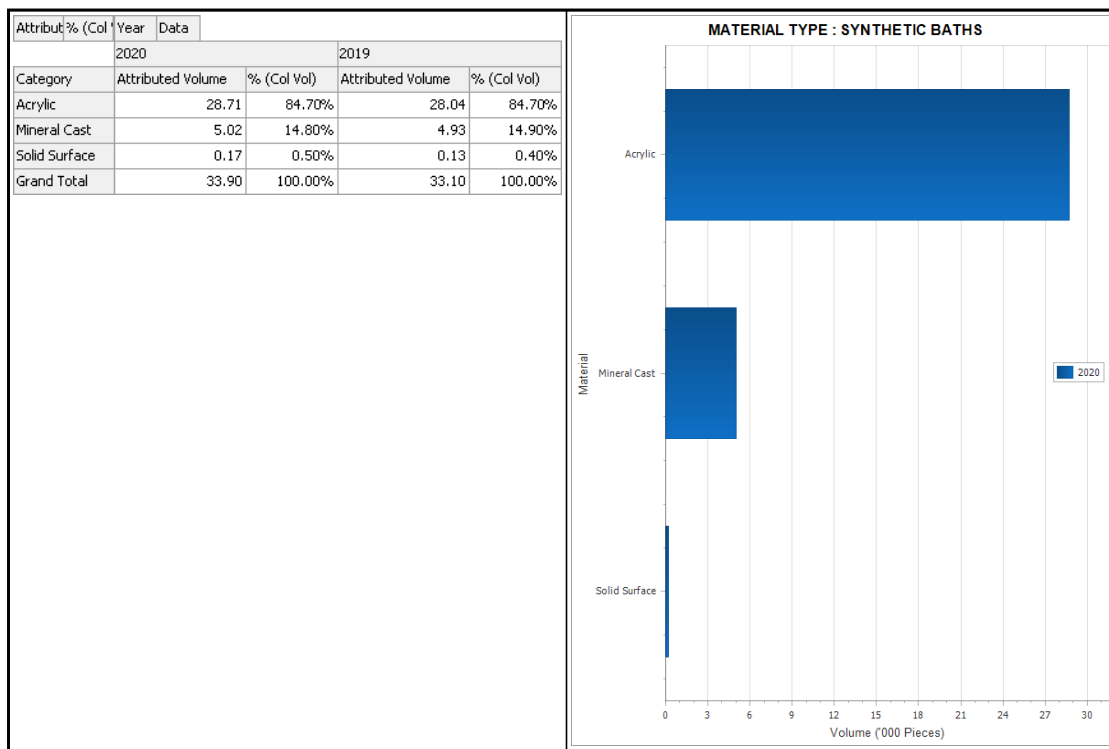
SE - SALES OF BATHS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Material : Synthetic Baths

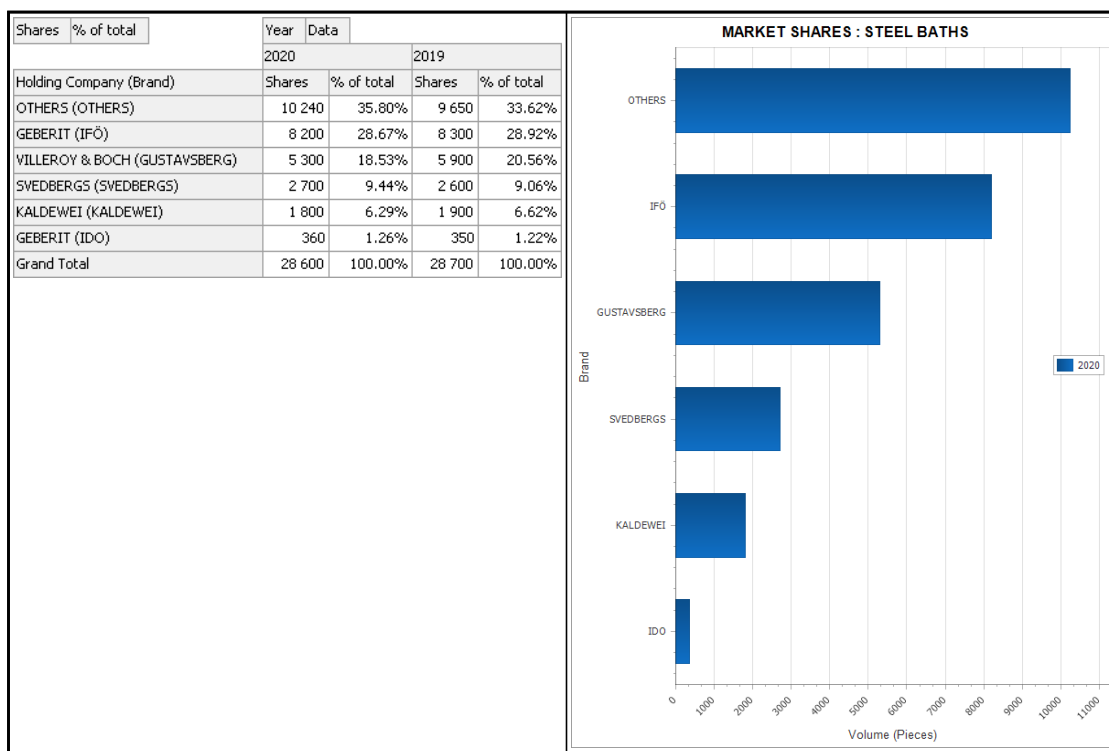
SE - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

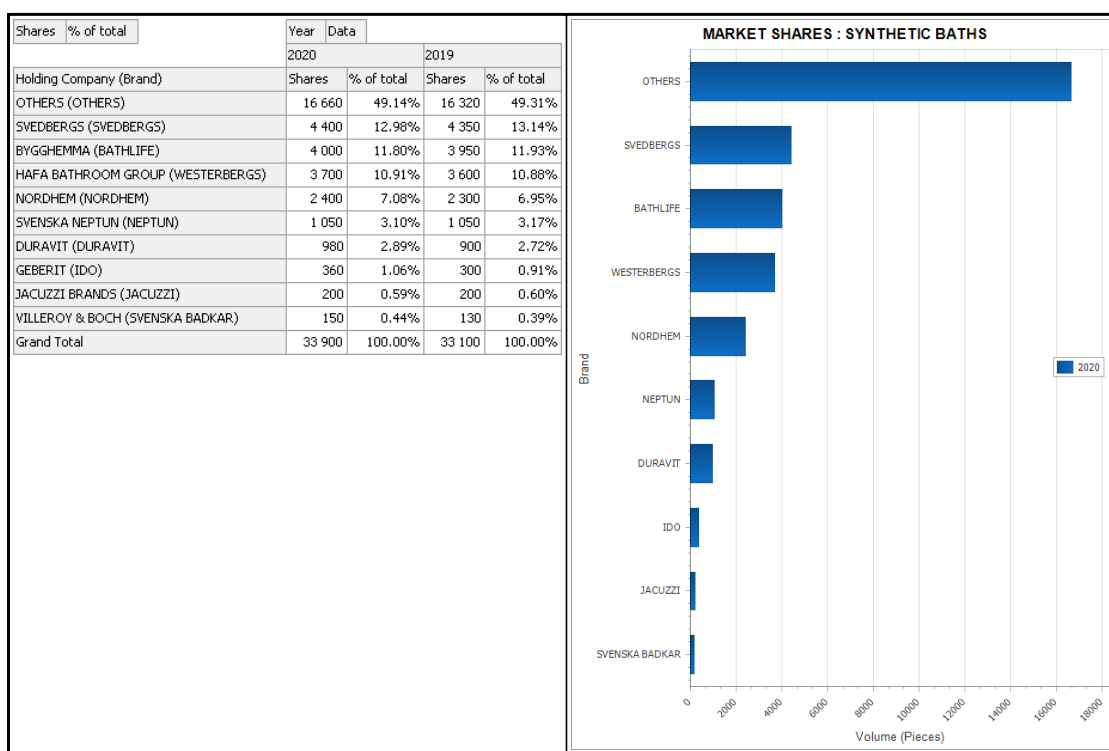
SE - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

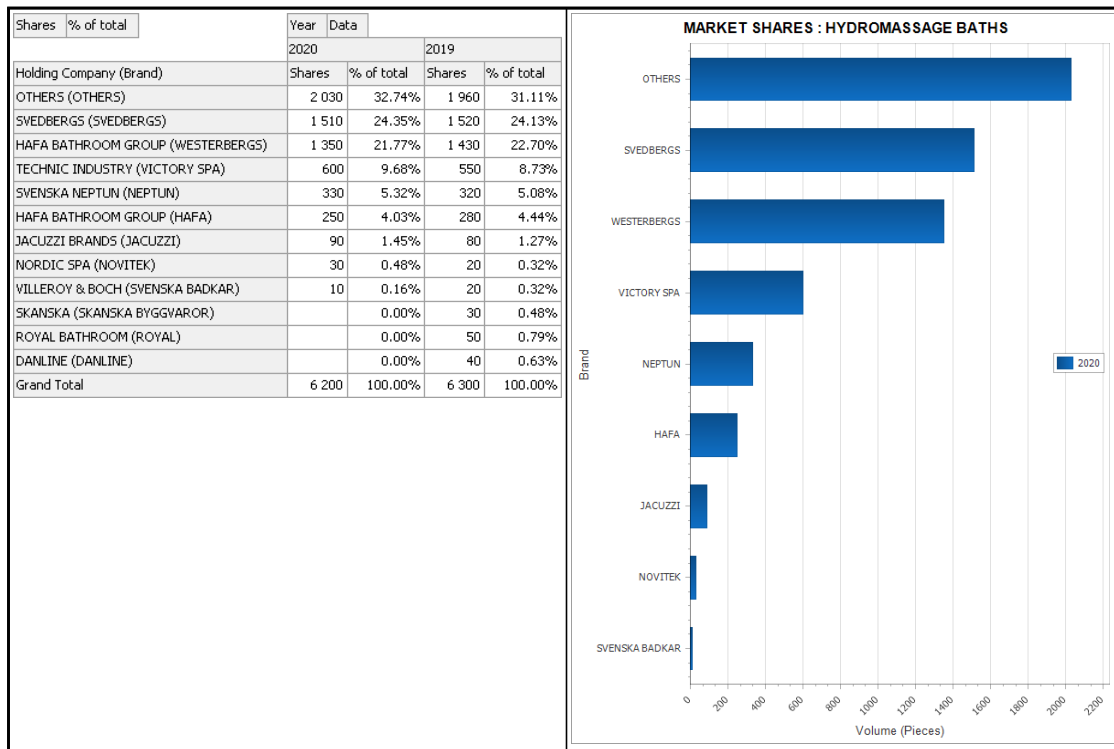
SE - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

SE - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.6.1 SE - IMPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Portugal	133	78.3%	349	77.2%	117	66.8%	276	64.3%
Germany	27	16.0%	69	15.3%	32	18.2%	81	18.9%
China	9	5.3%	31	6.9%	26	14.9%	71	16.6%
OTHERS	1	0.4%	3	0.7%	0	0.0%	1	0.2%
Total	169	100.0%	452	100.0%	175	100.0%	429	100.0%

Source : Trademap

1.6.2 SE - EXPORTS OF BATHS AND SHOWER TRAYS - CAST IRON 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Norway	46	65.2%	187	55.5%	24	58.7%	182	59.3%
Denmark	11	15.7%	86	25.5%	12	29.7%	88	28.7%
Finland	8	11.7%	51	15.1%	4	10.6%	37	12.1%
Russian Federation	4	6.0%	9	2.7%	0	0.0%	0	0.0%
Lithuania	1	1.1%	2	0.6%	0	0.5%	0	0.0%
OTHERS	0	0.4%	2	0.6%	0	0.5%	0	0.0%
Total	71	100.0%	337	100.0%	41	100.0%	307	100.0%

Source : Trademap

1.6.3 SE - IMPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	275	60.6%	913	52.2%	274	55.0%	880	44.9%
Germany	176	38.8%	771	44.1%	222	44.6%	1 042	53.1%
OTHERS	3	0.6%	64	3.7%	2	0.4%	39	2.0%
Total	454	100.0%	1 748	100.0%	499	100.0%	1 961	100.0%

Source : Trademap

1.6.4 SE - EXPORTS OF BATHS AND SHOWER TRAYS - STEEL 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Norway	16	57.9%	105	60.7%	7	46.8%	49	65.3%
Finland	8	27.4%	35	20.2%	6	42.4%	22	29.3%
Denmark	2	7.1%	9	5.2%	1	8.6%	4	5.3%
Estonia	2	5.9%	9	5.2%	0	0.0%	0	0.0%
OTHERS	0	1.6%	15	8.7%	0	2.2%	0	0.0%
Total	28	100.0%	173	100.0%	15	100.0%	75	100.0%

Source : Trademap

1.6.5 SE - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	2 611	79.1%	9 102	62.4%	2 727	83.0%	8 716	64.4%
Estonia	147	4.5%	1 302	8.9%	76	2.3%	684	5.1%
Czech Republic	135	4.1%	816	5.6%	33	1.0%	396	2.9%
Poland	132	4.0%	579	4.0%	114	3.5%	471	3.5%
United Kingdom	79	2.4%	364	2.5%	70	2.1%	348	2.6%
Denmark	74	2.3%	685	4.7%	45	1.4%	368	2.7%
Norway	36	1.1%	414	2.8%	23	0.7%	170	1.3%
OTHERS	87	2.6%	1 330	9.1%	199	6.0%	2 387	17.6%
Total	3 303	100.0%	14 592	100.0%	3 287	100.0%	13 540	100.0%

Source : Trademap

1.6.6 SE - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Norway	373	36.9%	3 022	25.7%	353	51.5%	2 236	33.9%
Germany	219	21.7%	2 814	24.0%	83	12.1%	1 211	18.4%
United Kingdom	95	9.4%	1 501	12.8%	30	4.4%	485	7.4%
Denmark	80	7.9%	782	6.7%	71	10.3%	902	13.7%
Finland	57	5.7%	640	5.4%	54	7.9%	373	5.7%
Netherlands	36	3.5%	460	3.9%	16	2.4%	203	3.1%
Austria	35	3.5%	544	4.6%	10	1.4%	148	2.2%
France	33	3.2%	514	4.4%	18	2.6%	278	4.2%
Switzerland	27	2.6%	790	6.7%	12	1.7%	299	4.5%
Belgium	25	2.5%	367	3.1%	6	0.9%	82	1.2%
Poland	15	1.5%	36	0.3%	20	2.9%	40	0.6%
OTHERS	17	1.7%	274	2.3%	13	1.9%	339	5.1%
Total	1 012	100.0%	11 744	100.0%	686	100.0%	6 596	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
SE - ESTIMATED DISTRIBUTION FOR BATHS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.1%
	Wholesalers / Merchants
	67.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.4%	2.3%	6.0%	9.1%	13.9%	9.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.7%		15.1%		23.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.5%	28.0%	1.7%	4.6%	5.8%
Installers				
45.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	17.7%	7.7%	9.9%	17.0%	45.4%	0.0%	0.8%	0.3%	0.6%	0.3%	0.2%
	Residential						Non-Residential					
	97.8%						2.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	13.1%			84.8%			1.0%			1.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.9%		1.2%	8.9%		75.9%	0.8%		0.2%	0.7%		0.5%

1.7.2 Route to Market: Baths
SE - ESTIMATED DISTRIBUTION FOR BATHS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	67.4%
	Wholesalers / Merchants
	67.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	7.6%	4.5%	6.0%	9.2%	13.5%	10.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.1%		15.2%		23.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
5.5%	29.0%	2.2%	2.5%	6.9%
Installers				
46.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	13.5%	9.4%	12.6%	16.5%	45.8%	0.0%	1.0%	0.5%	0.1%	0.3%	0.3%
	Residential						Non-Residential					
	97.8%						2.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	11.6%			86.2%			1.8%			0.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	10.1%		1.5%	6.1%		80.1%	1.5%		0.3%	0.3%		0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

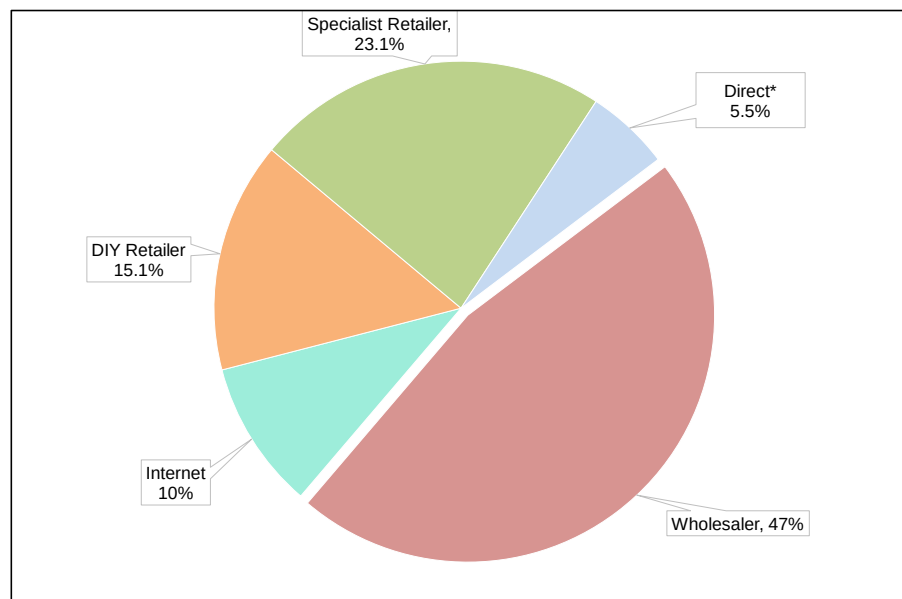
1.7.3 Route to Market - Consolidated View : Baths
SE - ESTIMATED DISTRIBUTION FOR BATHS : 2020

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
46.5%	9.7%	15.1%	23.1%	5.5%	20.8%	1.5%	77.0%	0.7%
100%					22.3%		77.7%	

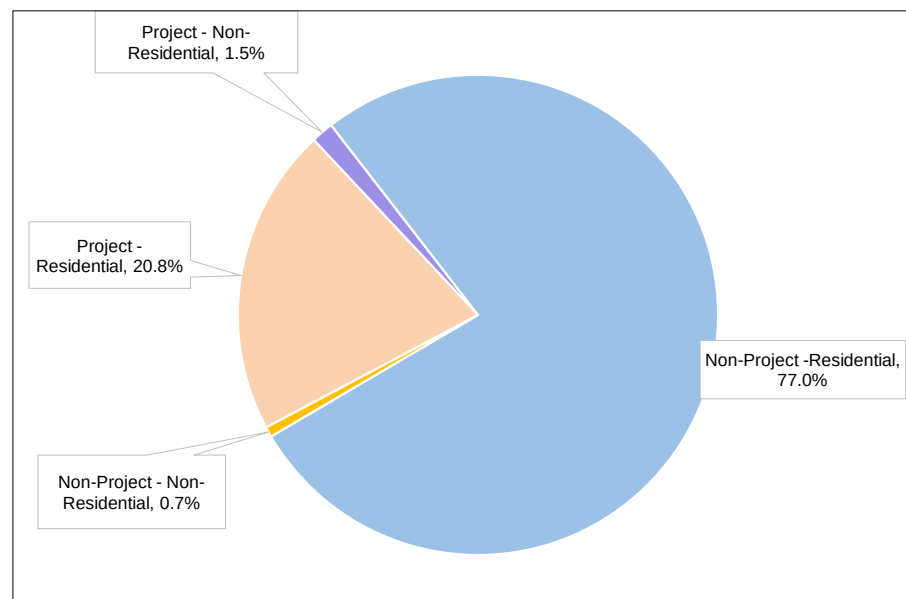
1.7.4 Route to Market - Consolidated View : Baths
SE - ESTIMATED DISTRIBUTION FOR BATHS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
43.5%	12.1%	15.2%	23.7%	5.5%	16.2%	1.8%	81.6%	0.4%
100%					18.0%		82.0%	

SE - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2020



SE - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2020



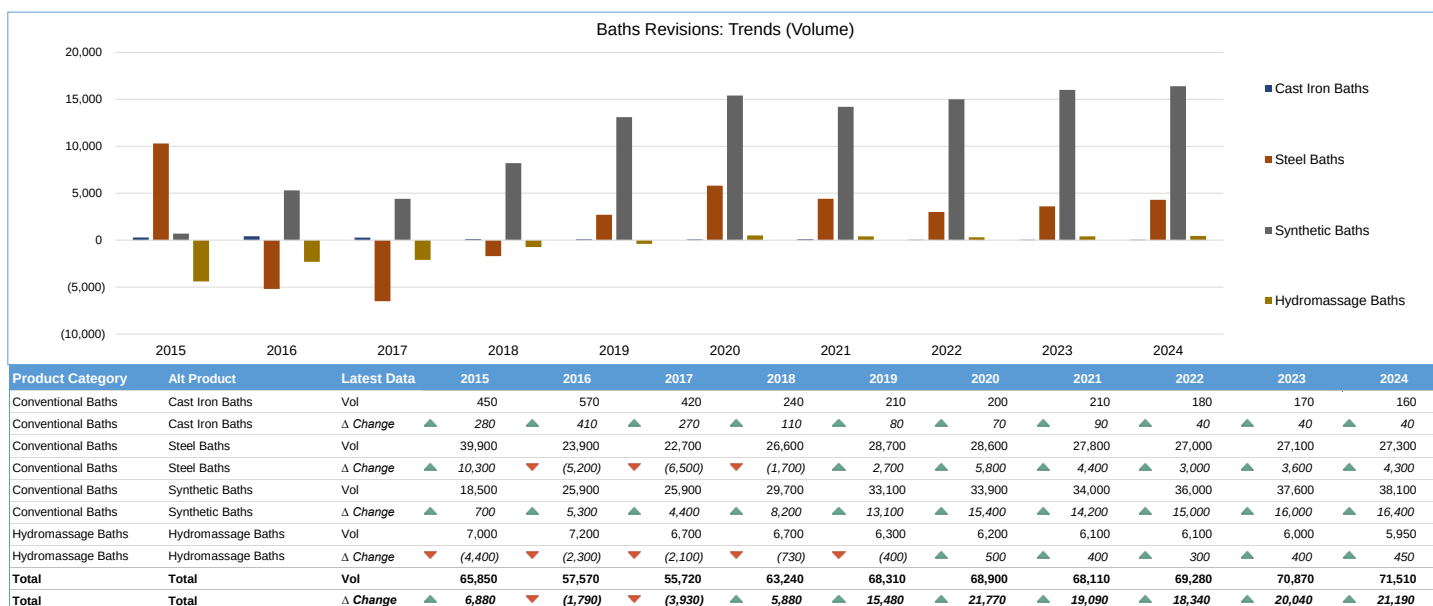
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Swedish Baths Market (April 2021)

SE - REVISIONS IN THE SWEDISH BATHS MARKET

Data Comparison: April 2020



The overall market for cast iron baths was revised upwards historically and for the base year. This was largely based on a closer examination of imports and further feedback from local suppliers. Indeed, local manufacturers of such products are believed to be now non-existent and year on year sales often rely on orders for specific projects where these products are installed. Due to this, sales of cast iron baths see strong fluctuations between years. Since the beginning of the 2000s, the overall market has consisted primarily of imports from Portugal and China with only sporadic supply from other countries.

Overall sales of steel baths were revised across all years, including the base year. The total share of steel baths within the market was particularly strong in the 2000's, partially due to relatively strong local manufacturing of such products. However, even then the total number of imported baths was quite significant with Dutch, Polish and German products playing an important role in the supply structure. Since then local manufacturing suffered during the 2010s with total production declining almost every year as companies began to struggle with the influx of Chinese imports that are on average much cheaper. Today, German and Chinese imports represent the vast majority of the total market. As such sales of steel baths were underestimated for the large portion of historical years while sales for the period of 2016-2018 were adjusted downwards to correctly reflect the shift towards synthetic products.

Sales of synthetic baths were revised significantly upwards historically and for the base year. Similarly to the steel bath market, synthetic sales were missing a large portion of Chinese imports in our previous data. In addition, the share of Polish imports is also quite significant and was previously underestimated. These products are believed to be largely OEM sales channelled through local DIYs and specialist retailers. Local production is believed to be very marginal now with the overall production declining year on year for the past decade, locally sourced products are present mostly in the luxury priced segment, while imports from China and Poland represent mostly economy priced products.

Sales of hydromassage baths were revised down across the majority of historical years and also for the base year. Overall share of local production of these models was previously overstated especially in the past decade. High price point and maintenance discouraged many consumers from investing in such products and the overall trend away from hydromassage baths accelerated at an earlier stage than our previous data suggested. Hydromassage baths demand is believed to be historically quite niche in Sweden as more traditional hot tubs are preferred.

No or only marginal changes were made to the MSPs across all baths.

SWEDEN

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The ceramic sanitary ware (CSW) market is mature, and highly affected by movements in the professional segment. Installers and contractors have traditionally been the main decision-makers when it comes to choosing the products and brands and, as a result, functionality rather than design has been the main driver of CSW demand. This has changed gradually over the years, fuelled by rising private consumption and discretionary spending on bathroom products among consumers. With more design-conscious consumers and increased consumer involvement in the decision process, the market has consequently responded with increasing product and brand diversity in recent years, paving the way for growth in both the lower and upper price segments of the market. Following this development, there has also been a growing trend towards products such as wall-hung WCs and countertop washbasins. The different product segments within the CSW category are tightly linked, and WCs and 'other CSW' represent the two largest segments.

Sales of floor-standing WCs dominate the market for WCs/toilets, but their share has declined slowly over the last five years, as wall-hung WCs have gained share in the residential market. Although the long-term trend indicates that the sales of wall-hung WCs will continue to grow in line with the importance of design and functionality, sales are hampered by the relative cost benefits of installing floor-standing WCs.

All floor-standing WCs are sold together with an exposed ceramic cistern, while wall-hung WCs are installed with a concealed plastic one. Exposed WC cisterns, which are part of the category 'other CSW', account for the largest share of this market. Sales of exposed ceramic cisterns are directly linked to the sales of floor-standing WCs, as these products tend to be sold together. Replacement sales of either product separately are negligible, as the two products' durability and lifespan are close to equal. With a lifespan of approximately 30 years, bathrooms are often renovated before they wear out. It is also more common to replace individual parts such as flush valves or toilet seats, which tend to break more often than the actual cistern and WC. In full bathroom renovation projects, it is getting more common that both units are displaced with a wall-hung WC and concealed plastic cistern. There is no significant market for exposed plastic cisterns in Sweden, because of the dominance of floor-standing WCs installed with a ceramic cistern. Concealed cisterns, therefore, make up most of the market for plastic cisterns. The complex nature of replacing concealed cisterns means that these are often replaced only when bathrooms are fully refurbished. Floor-standing WCs and exposed cisterns, and wall-hung WCs and concealed cisterns, tend to have equivalent lifespans. As a result, the sales development of the two product markets is relatively correlated.

Sales of washbasins have been declining in favour of countertop basins over the last few years, especially on the residential side, but traditional washbasins continue to hold a strong position on the Swedish market. This is mainly due to the

large number of rental apartments in the dwelling stock, wherein functionality is chosen over features such as design. Kitchens and bathrooms in rental apartments and houses are often renovated with inexpensive solutions to cut back on costs, which hinder the further growth of countertop sales. The penetration rate of countertops in new housing, on the other hand, is higher, whereby most bathrooms in new houses are equipped with countertop washbasins and base units. There is also a growing trend for countertops in new apartments, wherein there is a trend towards smaller, space-effective base units. The sales of pedestals and half-pedestals, which are part of the category 'other CSW', have been declining lately in line with falling washbasin sales and an increasing penetration of countertops and wall-hung washbasins.

The remaining product categories within 'other CSW' are all niche markets, and include products such as urinals, which take the largest share of the market. Urinals are a relatively small market, entirely made up of sales to the non-housing sector. Historically, ceramic urinals have accounted for slightly less than two thirds of the total market and are always equipped with flushing valves. Ceramic kitchen sinks are also a niche market, since a large share of kitchen sinks are made of stainless steel. The market for bidets in Sweden is negligible; the few units sold every year are mainly sold to the non-housing segment, usually to hotels or similar.

For non-ceramic sanitary ware, demand has remained relatively stable in recent years when compared to ceramic sanitary ware. One of the main reasons for this is that non-ceramic products are mainly installed in the non-housing sector. Another explanation is the dominance of non-ceramic kitchen sinks in this product segment. As most of these products are installed in commercial and public environments, where the emphasis is placed on durability, most of the demand for kitchen sinks is for stainless steel products.

For non-ceramic washbasins, the popularity of other materials such as synthetics, glass and cast marble has increased in line with the growing preference for design and countertops. In the residential segment, cast marble is the dominant material, particularly in the case of hand washbasins and countertops.

Recent Market Trends

The overall sanitary ware market increased in 2020, which was mainly due to an increase in the 'other CSW' segment. All product categories experienced decreases in new housing, and only urinal flushing valves increased in non-housing. This decrease in two important segments was nevertheless covered by a strong housing RMI in sanitary ware. Many of the market leaders have been pushing new product lines and marketing campaigns, with an aim of drawing consumer focus to renovating their bathrooms to parallel hotel bathrooms with luxurious feeling.

Overall sales of CSW increased slightly in 2020, driven by demand in housing RMI. The growth in sales of concealed plastic cisterns continued to be strong in the year,

and reflected the trend of wall-hung WCs being preferred to floor-standing. The non-ceramic sanitary ware market also improved in 2020, being once again primarily driven by increased sales of non-ceramic kitchen sinks.

Prices and Market Values

Average MSPs (in SEK) increased in 2020 when compared to 2019. Overall prices experienced a slight increase, mainly due to the weak Krona and increasing competition. It is worth noting that the overall market has become increasingly fragmented, due to project sales pressing the profit margins. Sales have also gone towards lower price segments, due to a stronger focus on cheaper new build apartments constructed for the rental market rather than self-ownership. The amount of cheap solutions has pressured prices down, while the growth in sales of more expensive products, such as wall-hung WCs (which are costlier than floor-standing WCs), has dragged prices upwards. DIY and online sales to the private market, which are the distribution channels wherein price strategies are the most aggressive, increased due to the COVID-19 pandemic.

New Housing

The penetration rate of CSW products in new housing has remained relatively stable historically, as the average number of bathrooms/toilets has remained rather intact in both apartments and houses. The largest fluctuations are caused by changes in the dwelling completion mix, whereby the share of apartments has increased significantly since 2005.

The sales volume of CSW products sold to new housing experienced a decrease in 2020 across all CSW markets, due to decreasing dwelling construction. New housing is expected to fluctuate during the forecast period, as according to a preliminary figure from SCB new housing is increasing in 2021, but should experience a slight decrease after, before picking up again in 2025. As demand for wall-hung WCs continued to increase in 2020, it was no surprise to see the large volume of concealed plastic cisterns sold to this end-use sector. The decline in the total number of new apartments built should drive the sales volatility in this segment most for the forecast period, but the market should pick up again toward the end of this time. The house/villa market should also contribute to this development, but it should be more stable towards the end of the forecast years – after a significant fall in 2020.

Housing RMI

Due to the maturity of the market, CSW sales are heavily dependent on the housing RMI segment. Housing RMI demand for CSW products can be divided into two distinctive markets, the private and professional, each with its own characteristics and drivers. The private market, which consists of homeowners and housing cooperatives, is quite consumer-driven and relies on the ROT incentive scheme and private consumption. The professional market, on the other hand, which is made up of property developers and real estate companies, is driven by

factors such as housing prices and changes in rental rates, as well as cost and access to capital and general economic conditions. This market mainly comprises upgrades, refurbishments and conversions of primary-rented dwellings. As a consumer-driven market, the private segment has been influenced by trends such as design, which have led to an increase in the volume sales of wall-hung WCs, countertops and premium-priced goods in the market. The professional or project market is more cost-driven, which has led to higher price pressure and a preference for more standard products.

Staying at home in 2020 increased the amount of investments in home renovations. The market for housing RMI activity for CSW increased in 2020, mainly due to a huge growth in concealed plastic cisterns and a moderate growth in ceramic washbasins / bathroom sinks. The decrease in new dwelling construction also affected housing RMI positively. The sanitary ware market should benefit from the projected increase in the number of large-scale modernisation projects over the forecast period, during which a significant share of the dwelling stock is set to be refurbished.

Non-Housing

Demand for sanitary ware products in the non-housing sector declined in 2020, after a strong demand in 2019. Overall sales of sanitary ware products to this end-use segment have increased steadily in recent years, expect 2020, and are expected to stay stable before continuing to increase again in 2023 onwards.

As in the residential market, WC sales account for the majority of sales in the non-residential one, with floor-standing models most commonly preferred. Compared to the residential market, the share of wall-hung WCs is slightly larger in the non-housing sector, also explaining why demand in this end-use sector is higher for concealed plastic cisterns than it is for CSW products as such. Sales of urinals and bidets are also mostly found in the non-housing sector.

The non-housing market is expected to decrease in 2021 due to the COVID-19 outbreak, but from 2023 onwards the market is anticipated to increase steadily each year, due to the public sector being driven by population growth and demand for health and educational buildings.

Supply Structure

The Swedish CSW market is highly concentrated, with the four leading brands (IFÖ SANITÄR, IDO, GUSTAVSBERG, and SVEDBERGS) all being well-established Nordic brands. These four account for the bulk of sales of CSW products, with IKEA also selling significant numbers of washbasins and bathroom sinks. The remaining shares are split between smaller domestic and foreign suppliers, such as DURAVIT, CERSANIT, the HAFA BATHROOM GROUP, and ROCA. The category 'others' includes suppliers such as NORO, BALLINGSLÖV, TWYFORD, IKEA, ALTERNA (private label of DAHL), and A-COLLECTION (private label of AHLSELL). The HAFA BATHROOM GROUP acquired NORO AB at the beginning

of 2017, which means that the latter will now go under the name of the HAFA BATHROOM GROUP. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (more commonly known as MACRO) in late 2016, which makes it one of the leading companies within the bathroom furniture and shower wall markets in Scandinavia. SVEDBERGS has established three sales departments: *Macro*, *Svedbergs Consumers* (which will focus on sales to specialists and DIY), and *Svedbergs Project* (focusing on sales to wholesalers and projects).

Competition from non-Nordic suppliers is low, but increasing steadily over time, as the total sales volume of products sold in the lower price segment through DIY and internet retailers is growing. These two distribution channels are the ones offering the easiest access for smaller foreign players without local sales offices.

WCs and 'other CSW' in particular are very concentrated markets, in which the supply structure has remained relatively stable in recent years. The minor changes in the supply of these products have been influenced by developments within the DIY market, with an increasing number of wall-hung WCs being offered. Changes in the supply structure of washbasins have mainly been caused by the larger share of countertops sold in the total washbasin market. A growing number of bathroom furniture manufacturers offer packages with washbasins included.

Concealed plastic cisterns are closely linked to the WC market but, in terms of supply structure, these two markets differ significantly. GEBERIT is the clear market leader, following the acquisition of SANITEC, and accounts for around half the total concealed plastic cistern market. GROHE and GUSTAVSBERG are the two other leading players in the market. The category 'others' includes suppliers VEGA and TECE, private label brands such as ALTERNA, and imported goods.

Forecasts

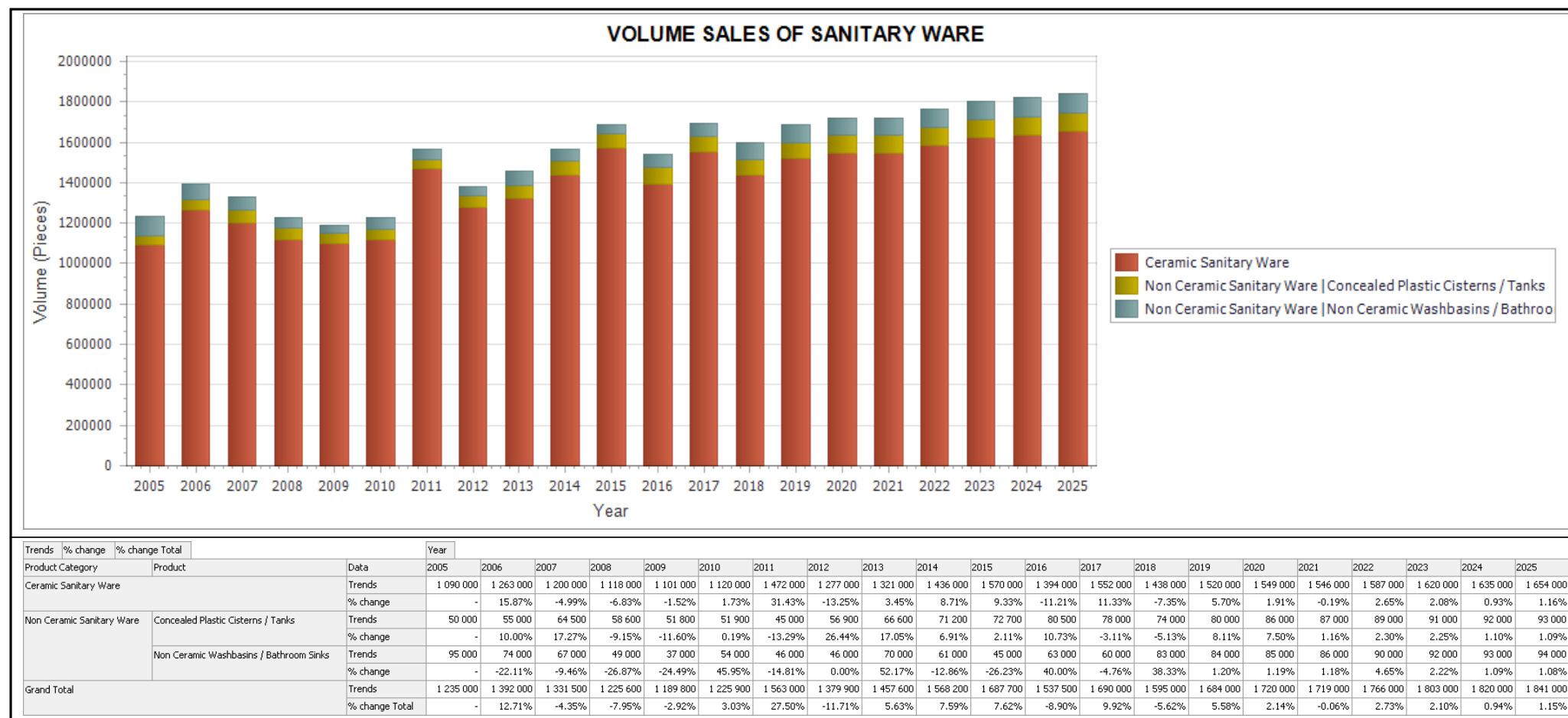
The overall sanitary ware market is expected to experience a slight decline in 2021, mostly due to a natural downturn after a strong RMI year in 2020. Despite the decline in 2021, the overall volume of products should stay higher than it has been in historical years, signalling overall good performance. Ceramic sanitary ware should increase in new housing, as new dwelling completions are expected to rise. Other CSW should decline slightly in 2021, as all the markets experience an equal decrease, including non-ceramic kitchen sinks. Wall-hung WC bowls are expected to gradually increase their popularity in new housing during the forecast period, as they gain share from traditional close coupled WC bowls. The RMI for WCs is expected to stay stable in 2021, whilst new housing should experience a slight increase and non-housing should decrease.

The housing RMI market is expected to be the main driver behind the total growth of the sanitary ware market over the forecast period. After the decline in 2021, the overall market should start to pick up again and stay stable throughout the forecast years. Sales of sanitary ware to the non-housing sector are expected to come from positive momentum of the construction industry and favourable developments from, particularly, the public sector. Other CSW, ceramic washbasins / bathroom sinks,

WCs/toilets, concealed plastic cistern/tanks, and non-ceramic washbasins / bathroom sinks are all expected to have increased sales volumes from 2022 onwards. This market stabilisation will be driven by an increase in the housing RMI and non-housing markets. New housing sales are expected to stay stable.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

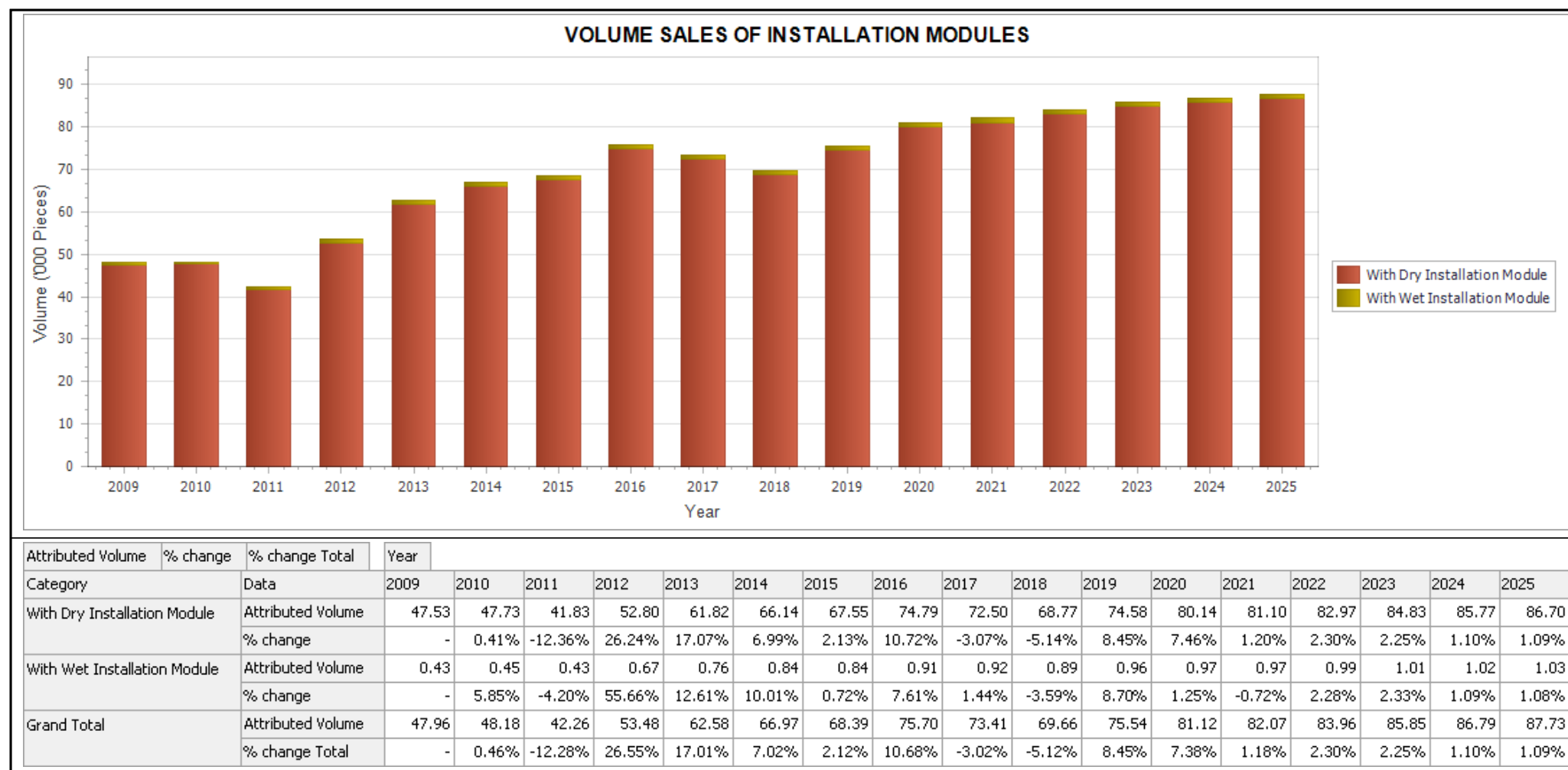
SE - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. NB: Ceramic Sanitary Ware Includes Ceramic Shower Trays.

2.2.2 Historical Trend and Forecasts: Installation Mod.

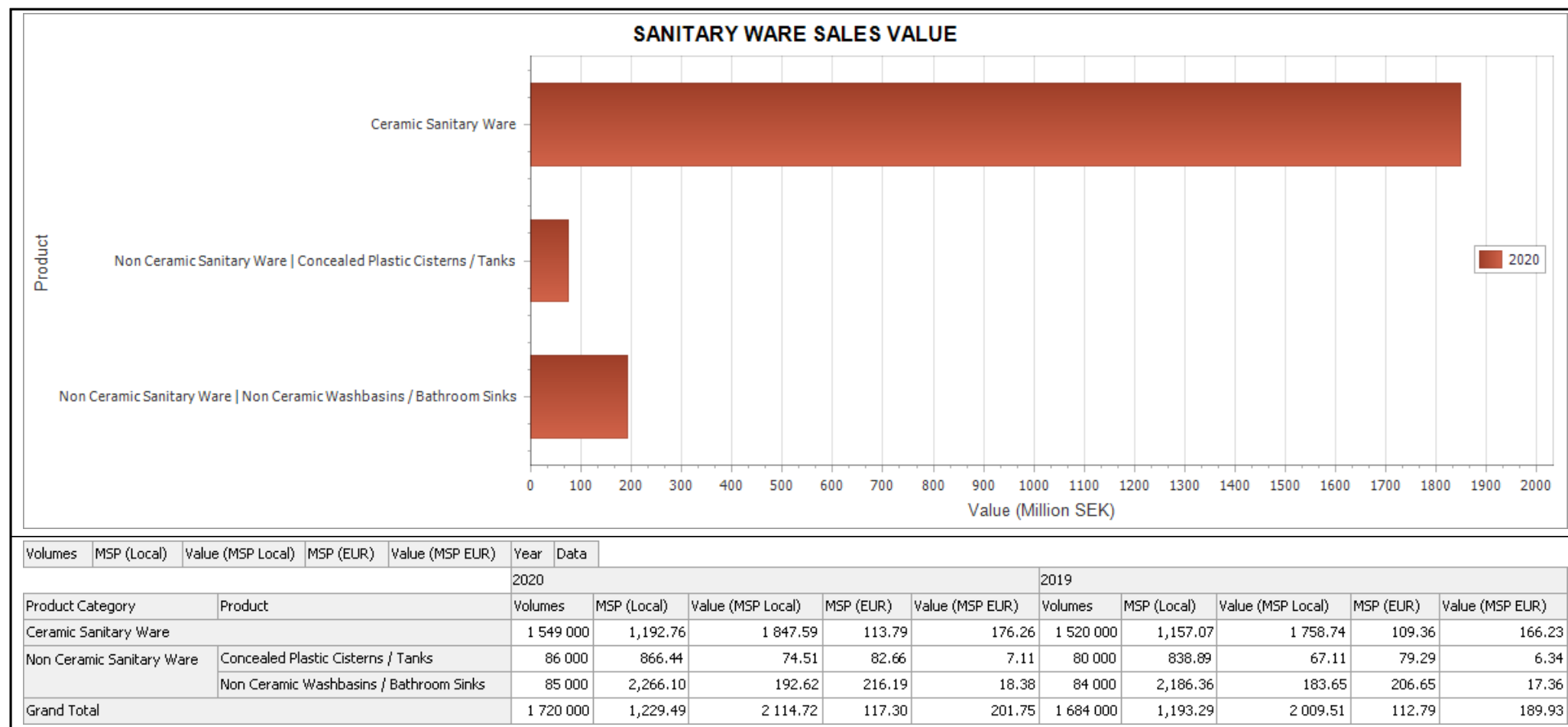
SE - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

SE - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices in SEK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

2.3.2 Prices and Market Values by Type : CSW

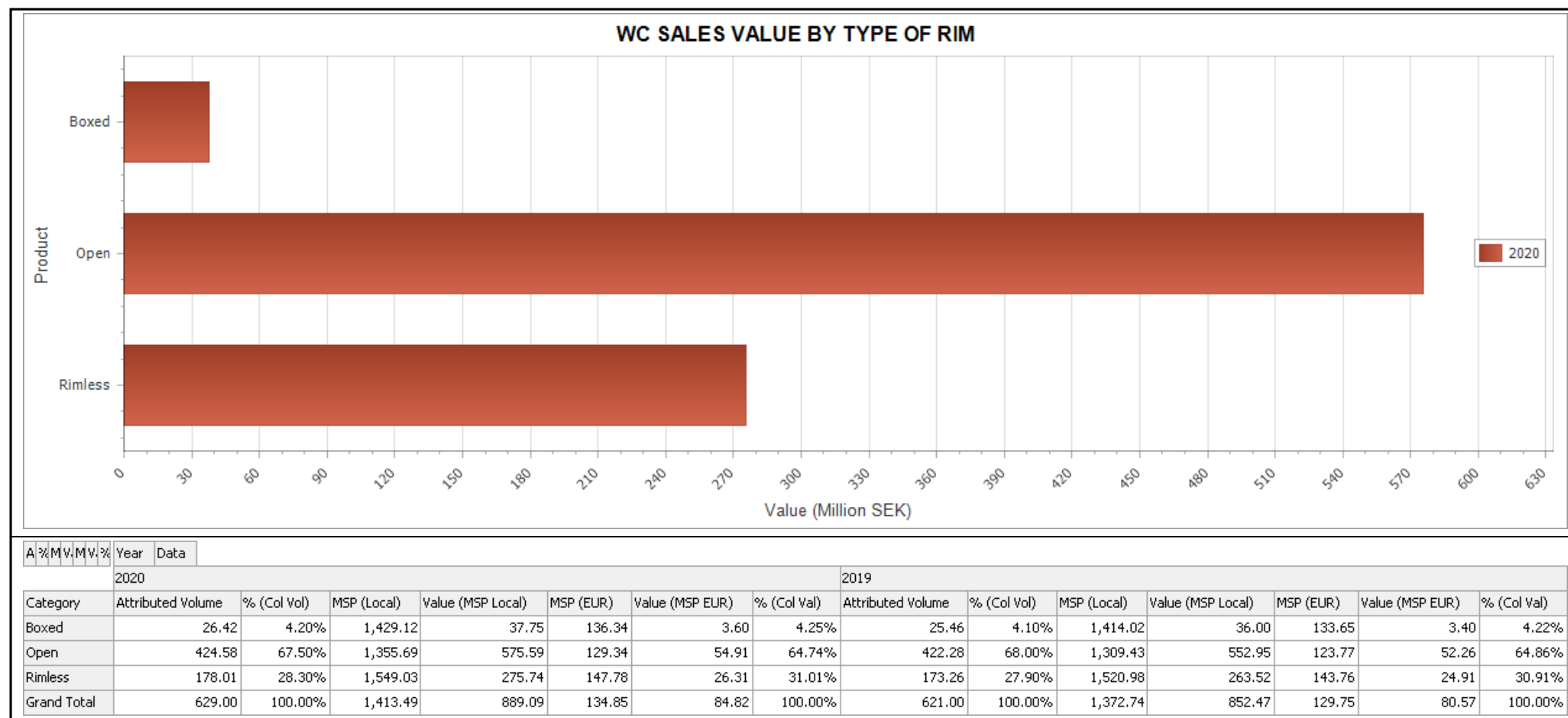
SE - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attribute	% (Col Vol)	MSP (EUR)	Value (M\$)	MSP (Local)	Value (M\$)	% (Col Val)	Year	Data
2020								
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	MSP (Local)	Value (MSP Local)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	181.26	55.60%	81.23	14.72	851.45	154.33	46.68%
	Hand Washbasins	49.88	15.30%	49.20	2.45	515.66	25.72	7.78%
	Inset Washbasins	7.82	2.40%	149.69	1.17	1,569.00	12.28	3.71%
	Pedestal Washbasins	3.26	1.00%	168.57	0.55	1,766.90	5.76	1.74%
	Semi-Recessed Washbasins	10.11	3.10%	214.43	2.17	2,247.60	22.71	6.87%
	Undermount Washbasins	15.97	4.90%	137.96	2.20	1,446.10	23.10	6.99%
	Wall Hung Washbasins	57.70	17.70%	143.40	8.27	1,503.07	86.73	26.23%
Other CSW	Bidets	0.59	0.10%	135.86	0.08	1,424.08	0.85	0.13%
	Close-Coupled Cisterns	577.84	97.28%	98.20	56.74	1,029.33	594.79	94.74%
	Others	0.71	0.12%	189.06	0.13	1,981.73	1.41	0.23%
	Pedestals & Half Pedestals	6.54	1.10%	143.97	0.94	1,509.04	9.86	1.57%
	Urinals	8.32	1.40%	240.17	2.00	2,517.41	20.93	3.33%
WCs / Toilets	Close-Coupled WC Bowls	551.95	87.75%	140.63	77.62	1,474.08	813.62	91.51%
	Wall Hung WC Bowls	77.05	12.25%	93.44	7.20	979.39	75.46	8.49%
Grand Total		1 549.00	100.00%	113.79	176.26	1,192.74	1 847.56	100.00%
2019								
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (EUR)	Value (MSP EUR)	MSP (Local)	Value (MSP Local)	% (Col Val)
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	180.31	56.70%	78.07	14.08	825.98	148.93	47.80%
	Hand Washbasins	47.54	14.95%	47.36	2.25	501.02	23.82	7.65%
	Inset Washbasins	7.00	2.20%	144.33	1.01	1,527.01	10.68	3.43%
	Pedestal Washbasins	3.34	1.05%	162.10	0.54	1,715.02	5.73	1.84%
	Semi-Recessed Washbasins	8.90	2.80%	207.66	1.85	2,196.99	19.56	6.28%
	Undermount Washbasins	15.26	4.80%	132.89	2.03	1,405.98	21.46	6.89%
	Wall Hung Washbasins	55.65	17.50%	138.19	7.69	1,462.00	81.36	26.12%
Other CSW	Bidets	0.58	0.10%	129.75	0.08	1,372.70	0.80	0.13%
	Close-Coupled Cisterns	565.31	97.30%	94.25	53.28	997.16	563.71	94.79%
	Others	0.58	0.10%	180.93	0.11	1,914.24	1.11	0.19%
	Pedestals & Half Pedestals	6.39	1.10%	138.47	0.89	1,465.01	9.36	1.57%
	Urinals	8.13	1.40%	229.13	1.86	2,424.14	19.72	3.32%
WCs / Toilets	Close-Coupled WC Bowls	545.86	87.90%	135.26	73.83	1,431.00	781.12	91.63%
	Wall Hung WC Bowls	75.14	12.10%	89.75	6.74	949.50	71.35	8.37%
Grand Total		1 520.00	100.00%	109.36	166.23	1,157.05	1 758.71	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in SEK and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

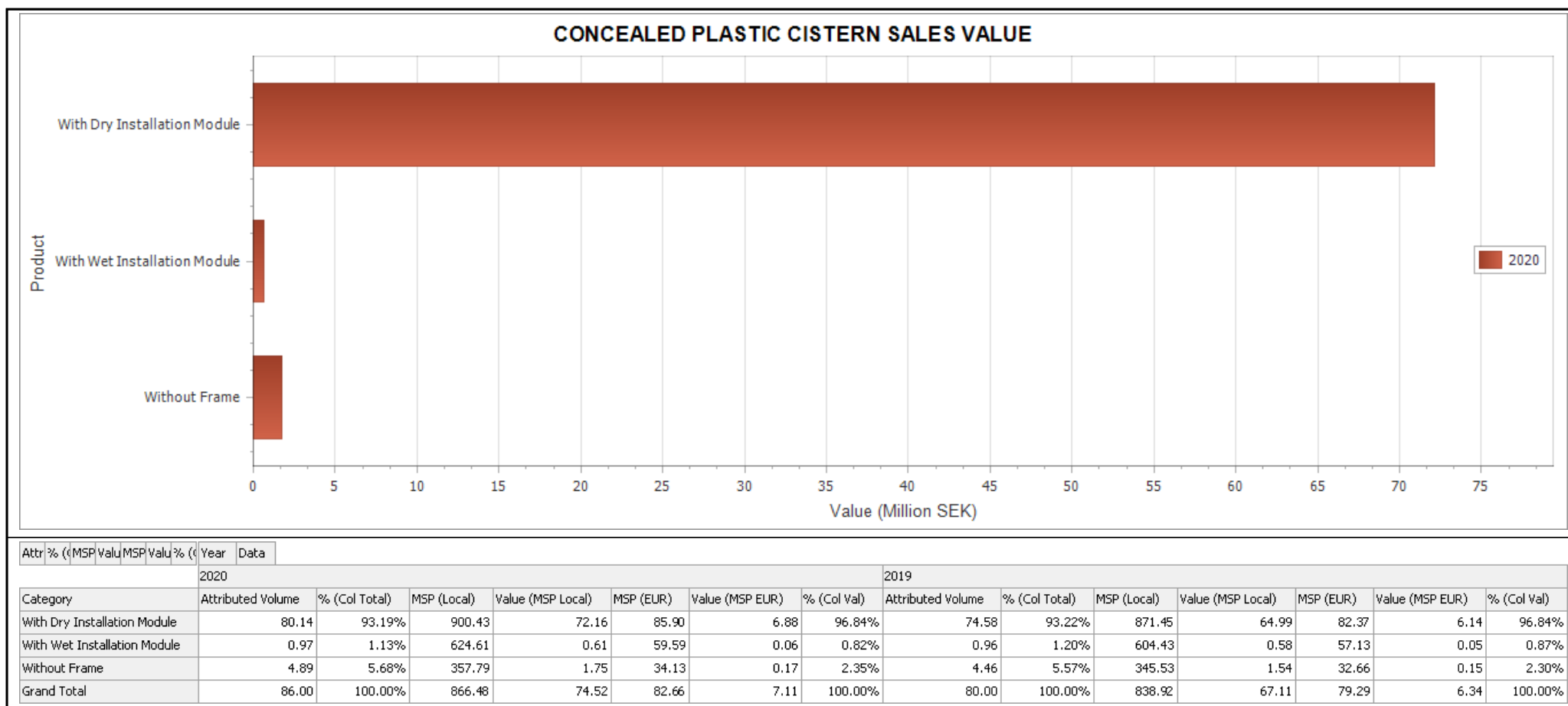
SE - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in SEK and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

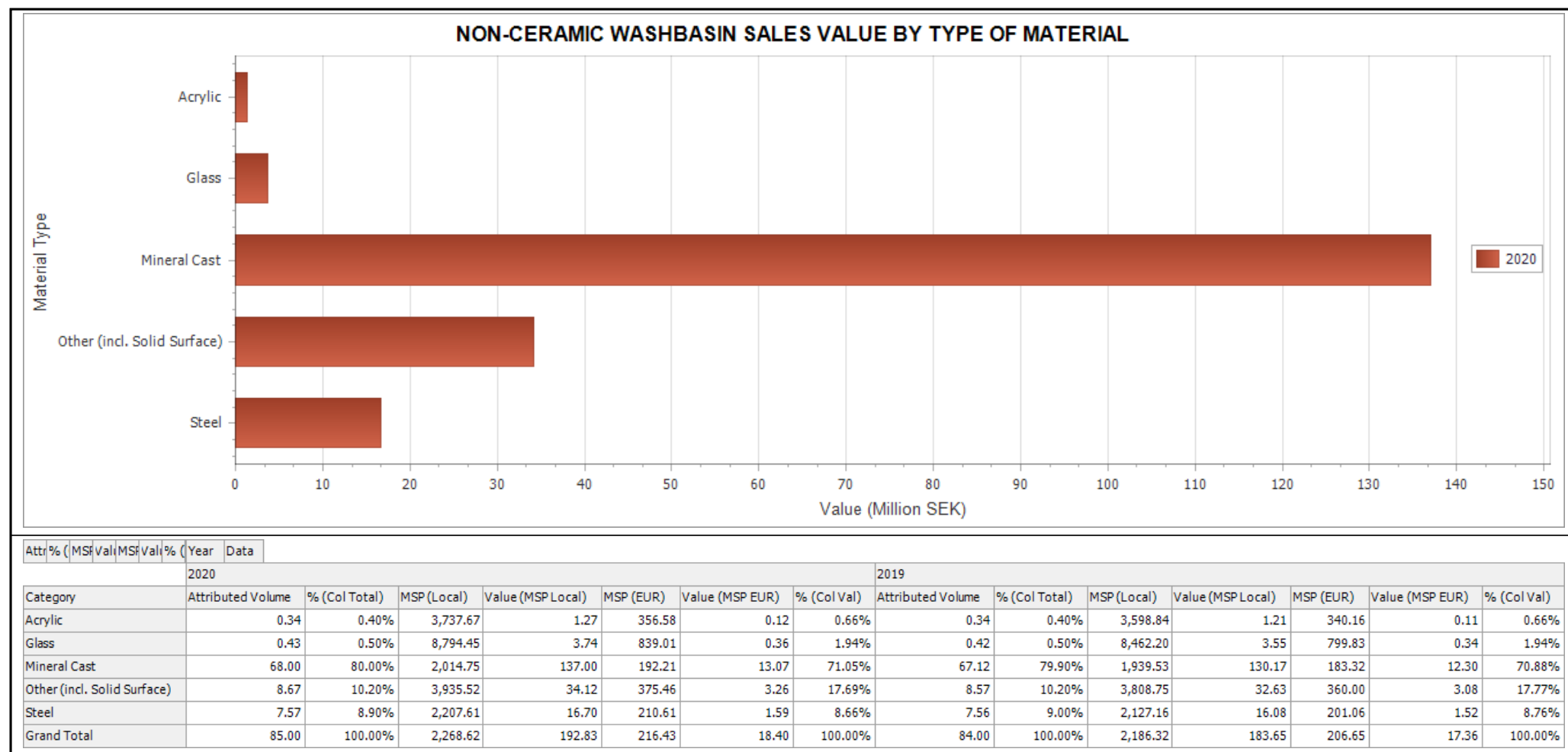
SE - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in SEK and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

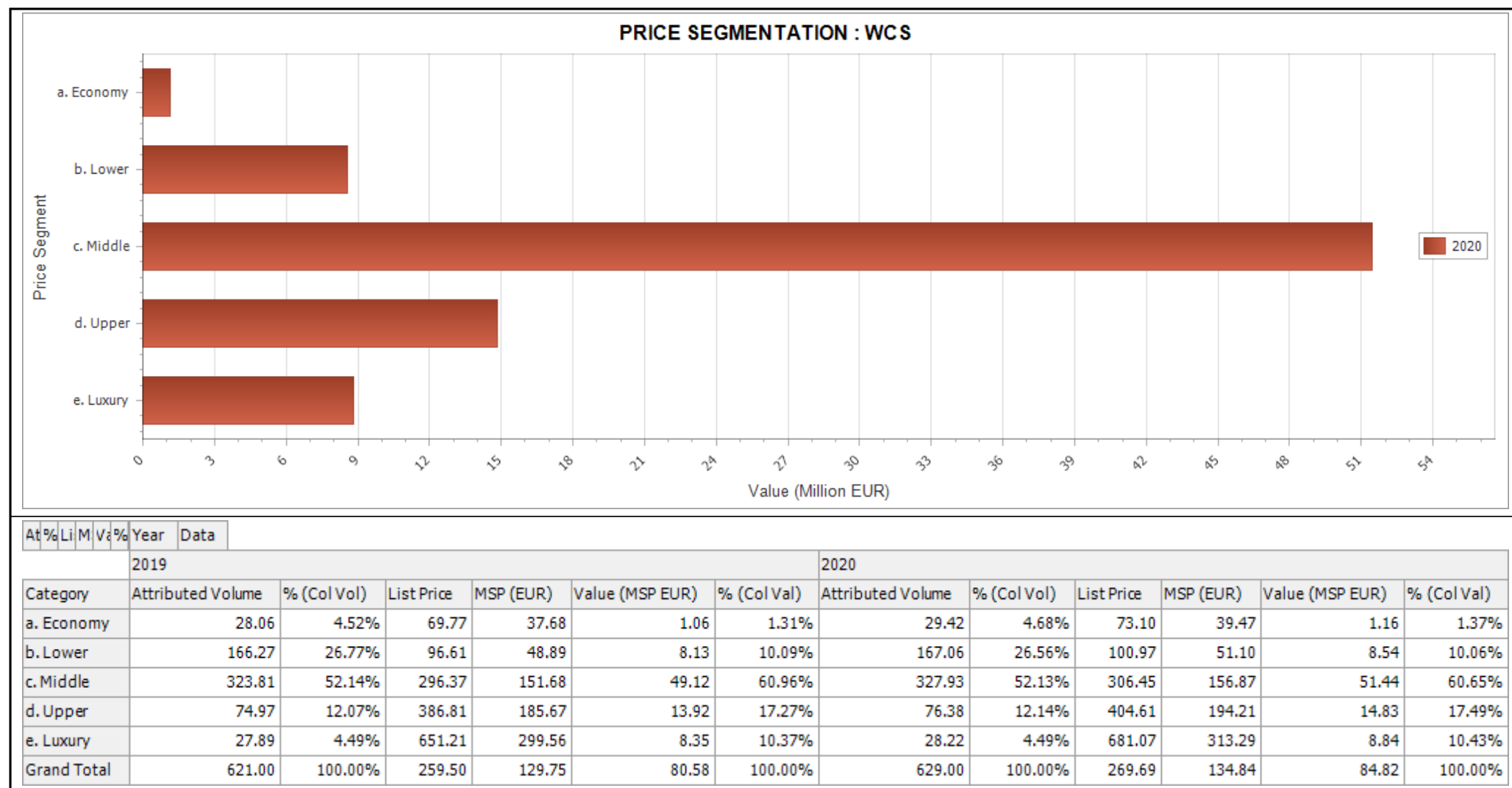
SE - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in SEK and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

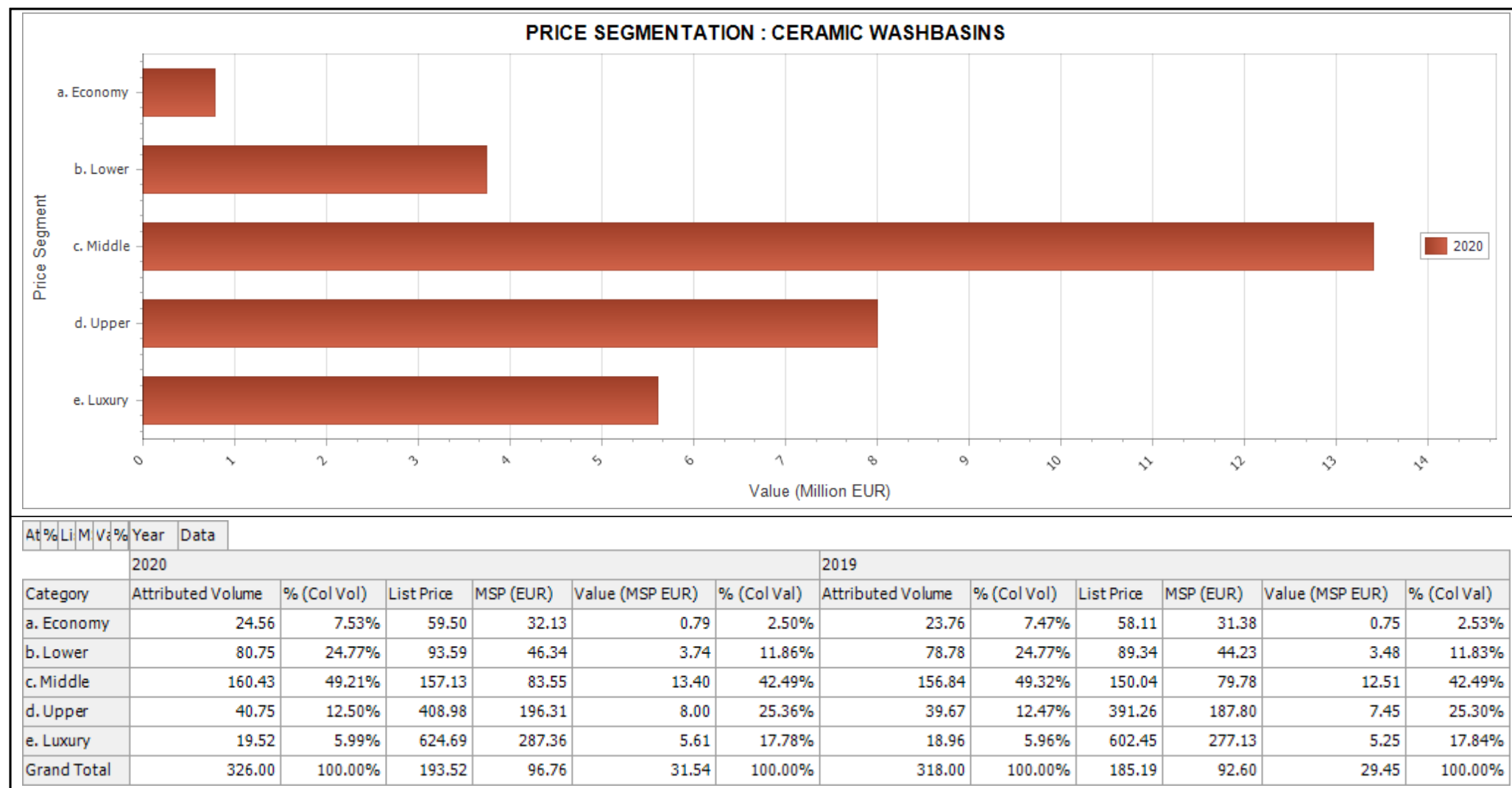
SE - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€45, Lower €45-€80, Middle €80-€175, Upper €175-€250, Luxury >€250

2.3.7 Price Segmentation : Ceramic Washbasins

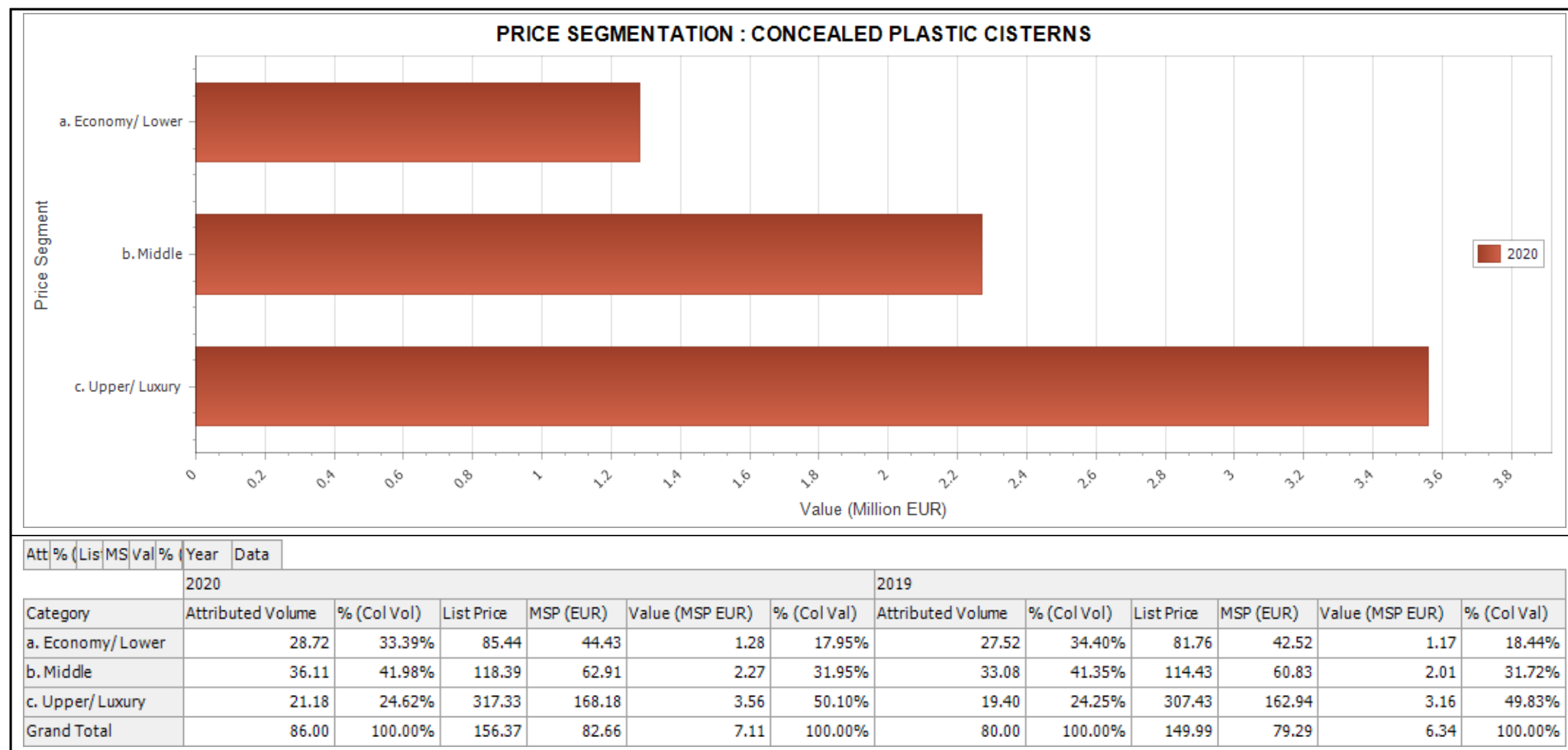
SE - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€75, Middle €75-€140, Upper €140-€220, Luxury >€220

2.3.8 Price Segmentation : Concealed Plastic Cisterns

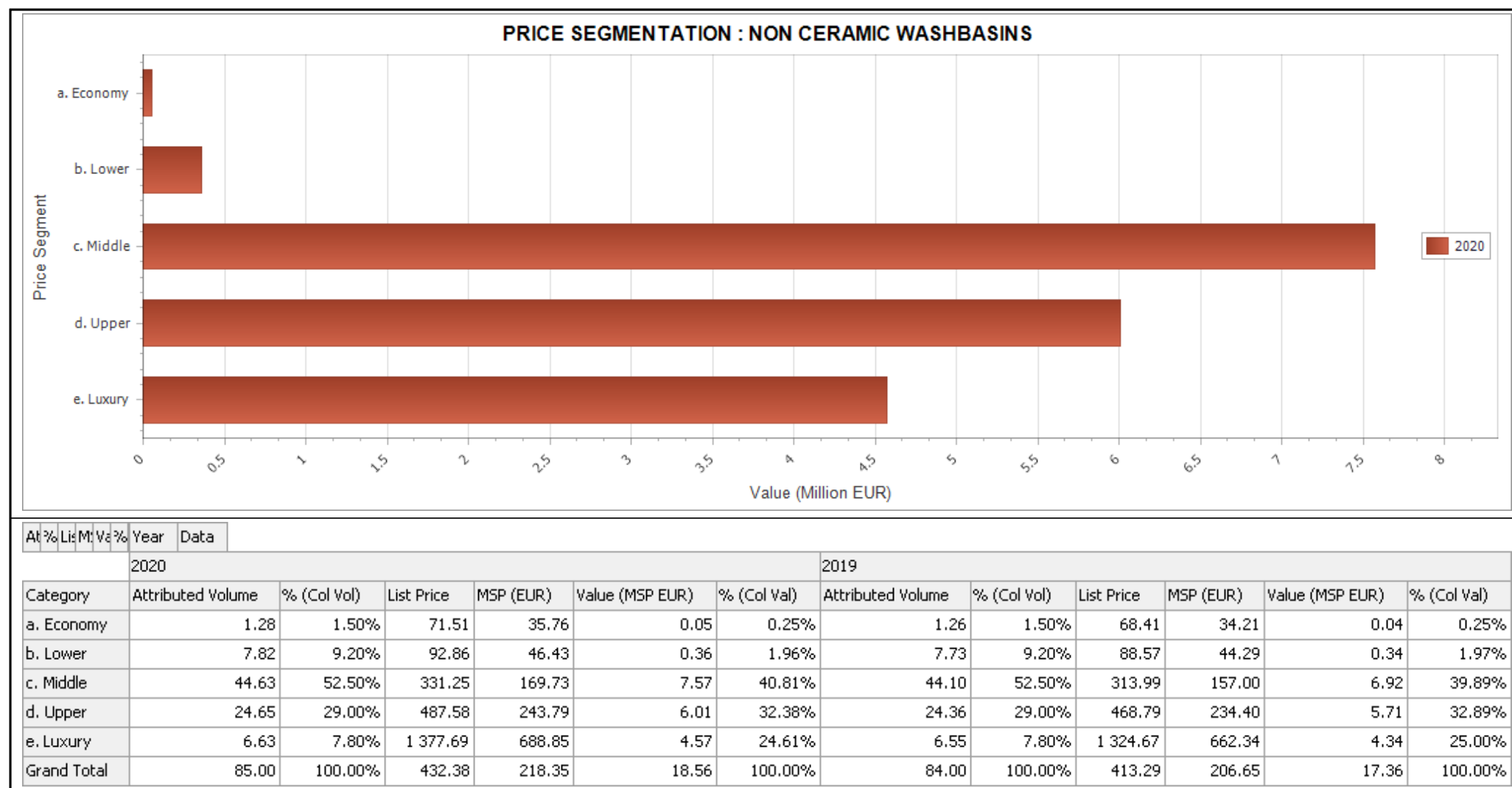
SE - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€50, Middle €50-€120, Upper/ Luxury >€120

2.3.9 Price Segmentation : Non Ceramic Washbasins

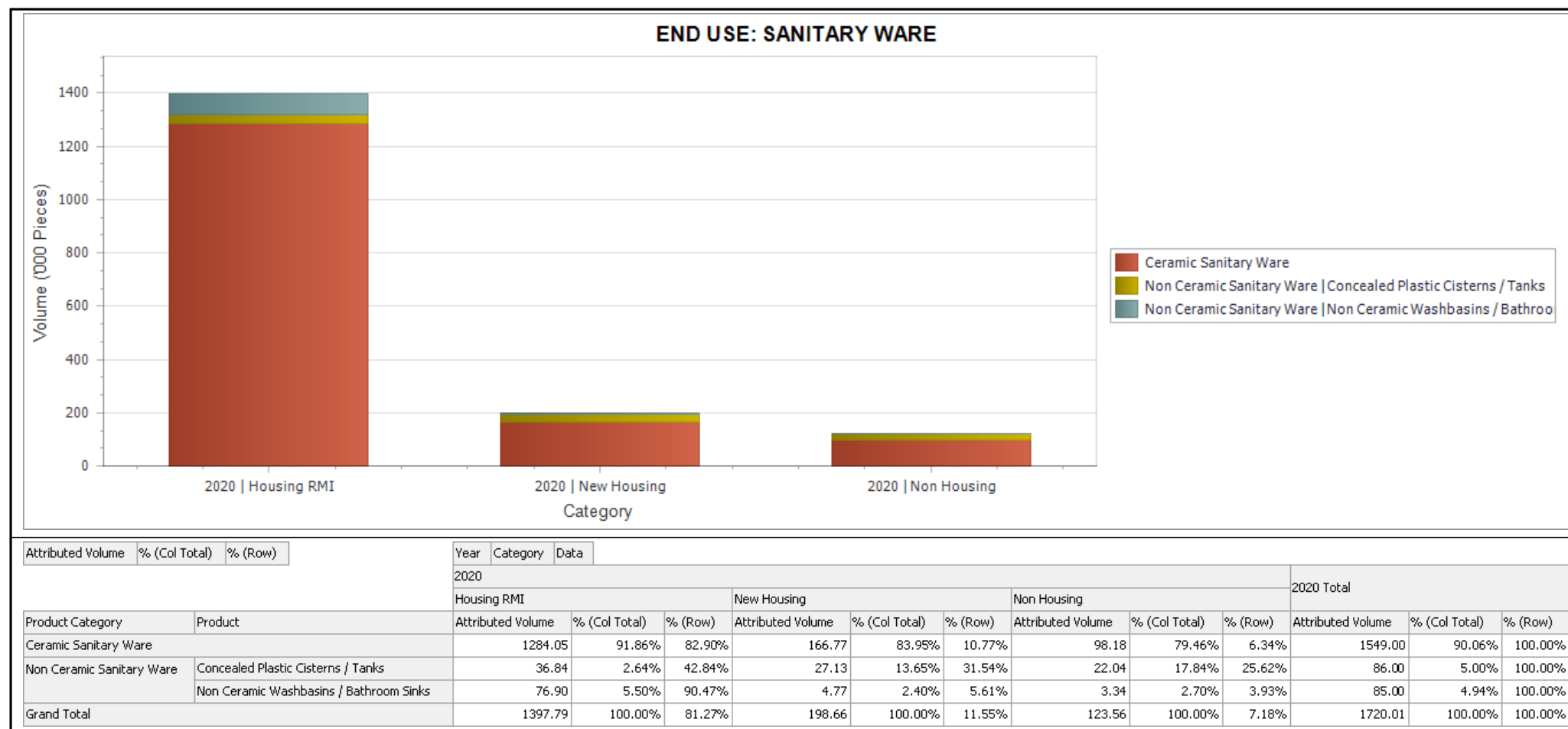
SE - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€100, Middle €100-€200, Upper €200-€300, Luxury >€300

2.4.1 End Use : Base Year

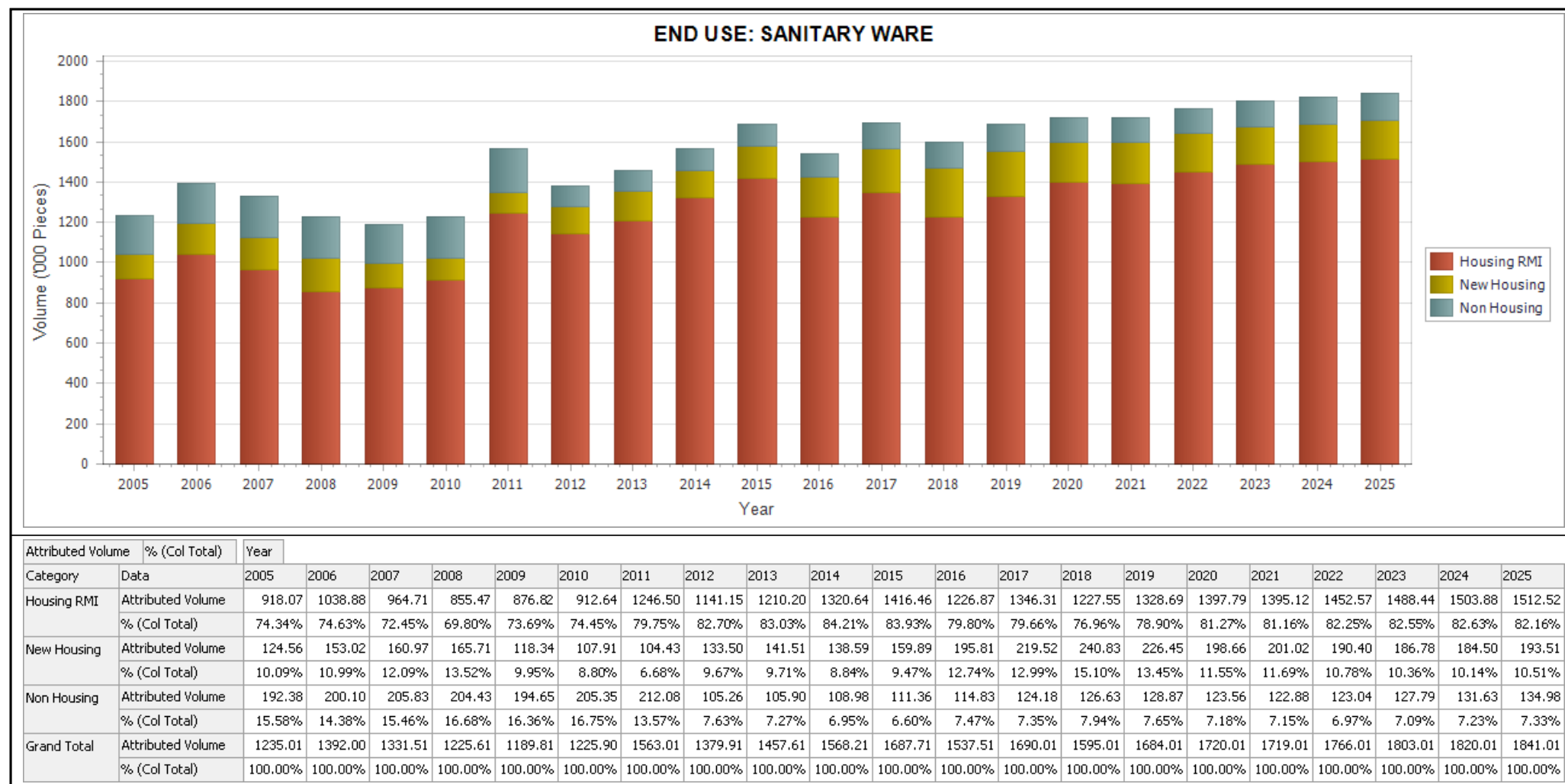
SE - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

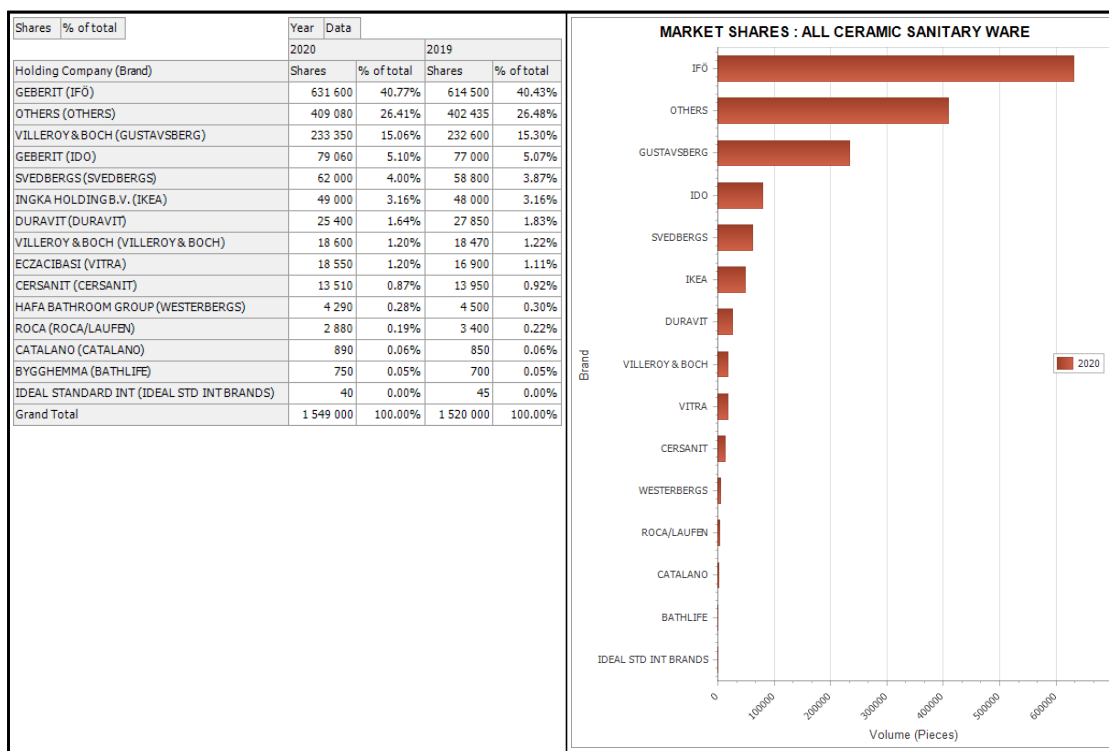
SE - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

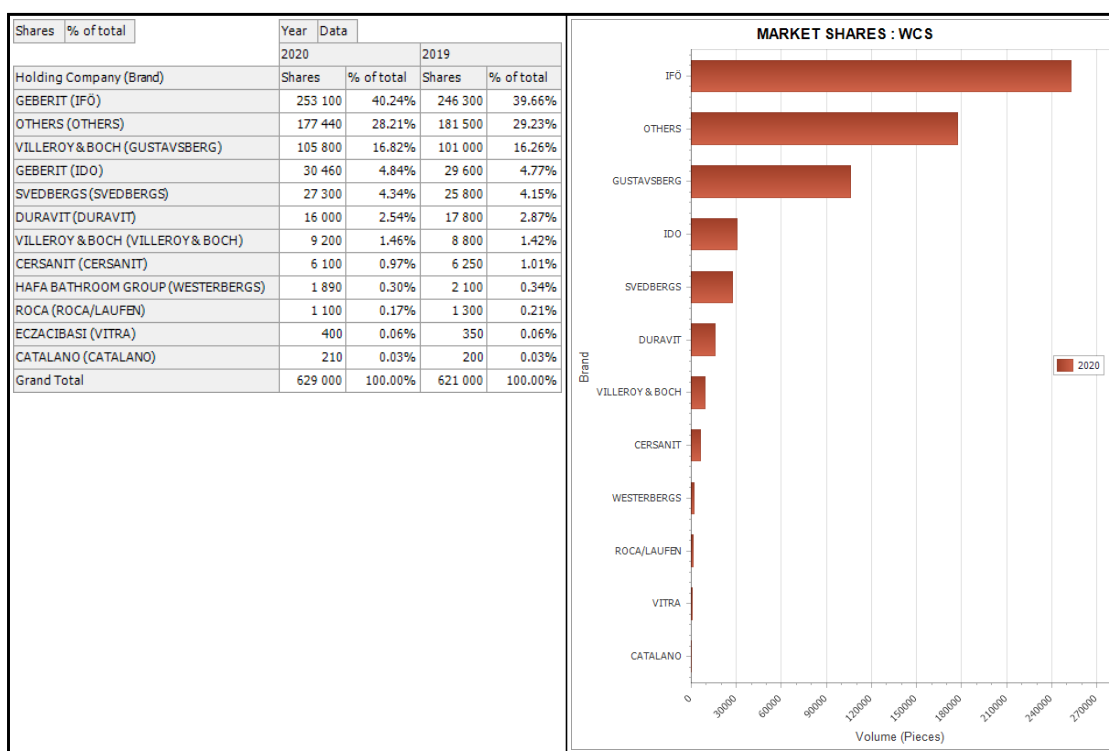
SE - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

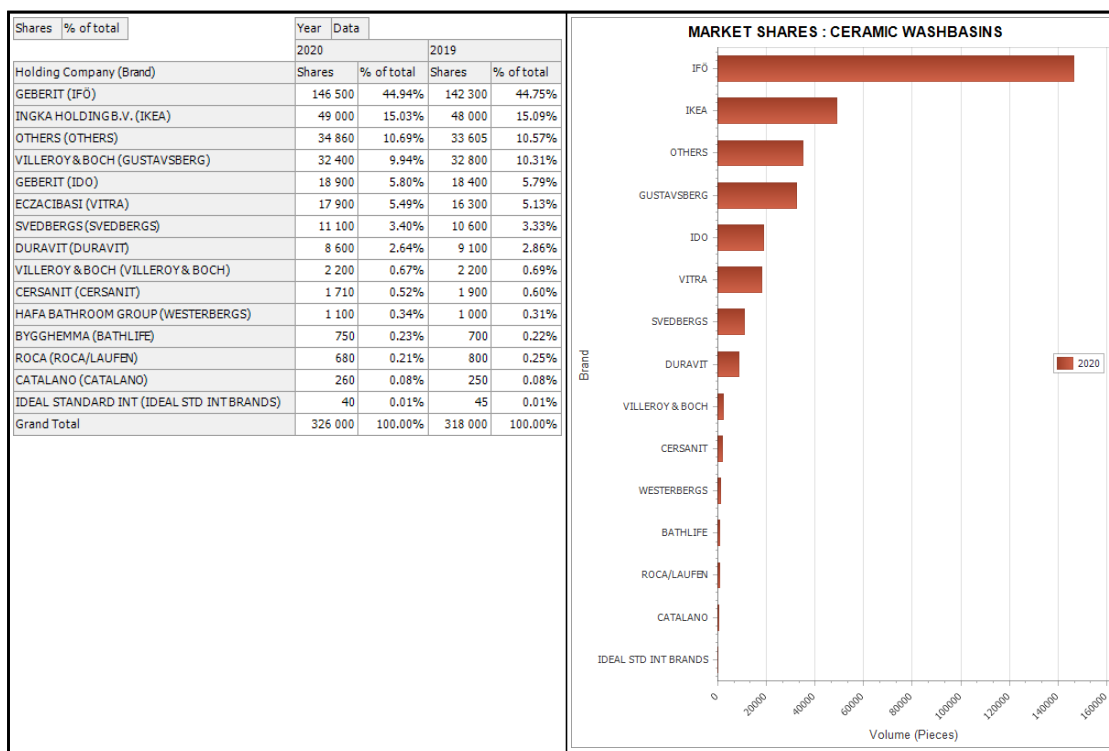
SE - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews.

2.5.3 Market Shares : Ceramic Washbasins

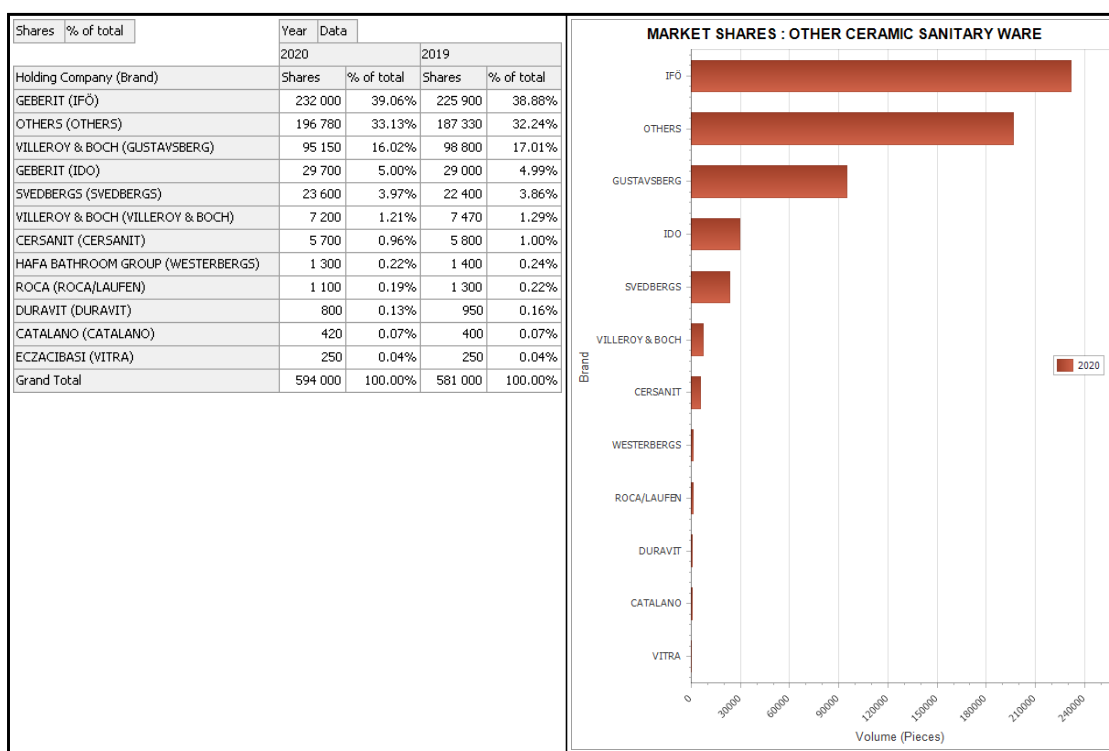
SE - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

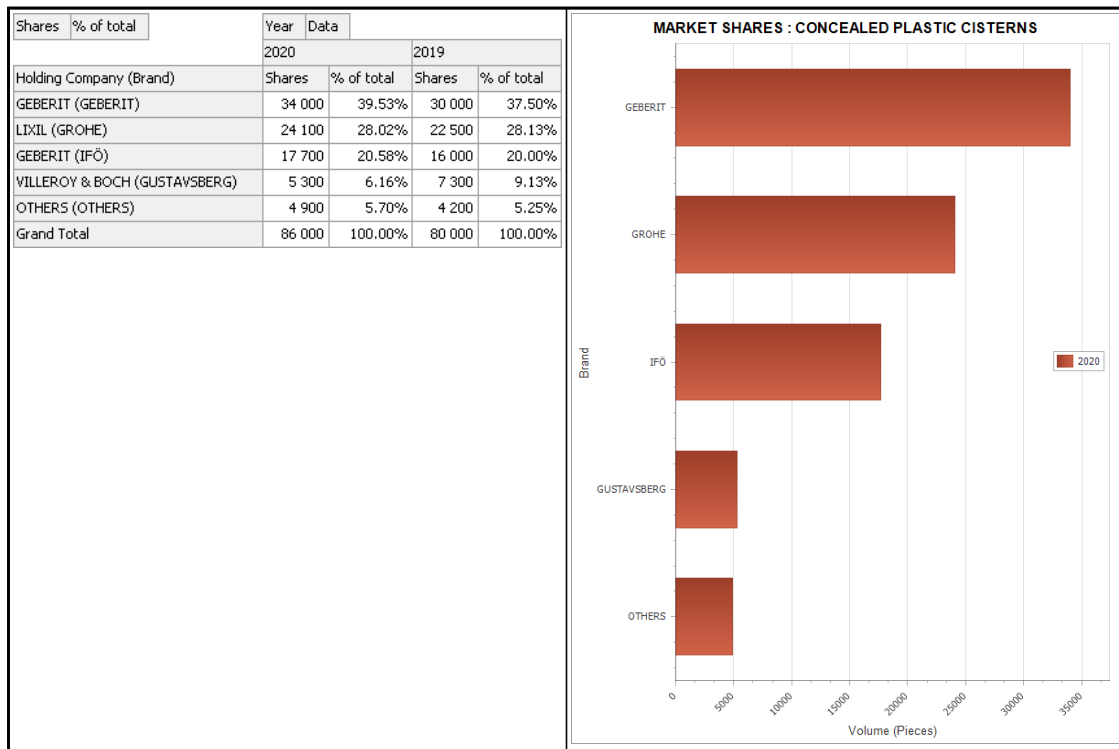
SE - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

SE - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.6.1 SE - IMPORTS OF ALL CERAMIC SANITARY WARE 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Hungary	5 825	31.9%	11 511	22.5%	5 573	29.6%	10 512	20.4%
Turkey	2 824	15.5%	5 316	10.4%	3 114	16.5%	6 271	12.2%
Finland	2 073	11.3%	6 169	12.1%	1 916	10.2%	6 864	13.3%
Thailand	1 236	6.8%	2 882	5.6%	1 099	5.8%	2 376	4.6%
Italy	1 112	6.1%	4 832	9.5%	1 123	6.0%	4 366	8.5%
Egypt	959	5.2%	1 419	2.8%	1 173	6.2%	1 822	3.5%
Germany	953	5.2%	5 726	11.2%	1 034	5.5%	5 449	10.6%
Romania	952	5.2%	2 325	4.5%	1 127	6.0%	2 868	5.6%
China	709	3.9%	2 072	4.1%	868	4.6%	2 219	4.3%
Poland	661	3.6%	1 506	2.9%	670	3.6%	1 532	3.0%
Denmark	366	2.0%	2 704	5.3%	511	2.7%	2 591	5.0%
OTHERS	602	3.3%	4 658	9.1%	610	3.2%	4 691	9.1%
Total	18 272	100.0%	51 120	100.0%	18 819	100.0%	51 561	100.0%

Source : Trademap

2.6.2 SE - EXPORTS OF ALL CERAMIC SANITARY WARE 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Denmark	6 178	39.9%	28 762	47.7%	6 475	38.1%	25 472	44.8%
Norway	2 791	18.0%	8 817	14.6%	3 236	19.0%	10 254	18.0%
Germany	2 600	16.8%	6 175	10.3%	3 100	18.2%	5 794	10.2%
Finland	2 359	15.2%	8 572	14.2%	2 527	14.9%	8 143	14.3%
Estonia	590	3.8%	1 990	3.3%	660	3.9%	2 123	3.7%
Iceland	249	1.6%	3 435	5.7%	259	1.5%	2 565	4.5%
Latvia	194	1.3%	702	1.2%	204	1.2%	669	1.2%
Lithuania	188	1.2%	481	0.8%	136	0.8%	489	0.9%
OTHERS	340	2.2%	1 303	2.2%	408	2.4%	1 365	2.4%
Total	15 489	100.0%	60 237	100.0%	17 005	100.0%	56 874	100.0%

Source : Trademap

2.6.3 SE - IMPORTS OF PLASTIC CISTERNS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	508	31.6%	3 251	24.8%	501	29.5%	3 560	23.5%
China	229	14.2%	1 347	10.3%	155	9.1%	1 162	7.7%
Finland	126	7.9%	2 109	16.1%	131	7.7%	2 020	13.3%
Slovakia	113	7.1%	1 159	8.8%	98	5.8%	991	6.5%
Denmark	101	6.3%	541	4.1%	121	7.1%	1 018	6.7%
Netherlands	96	6.0%	1 021	7.8%	58	3.4%	969	6.4%
France	93	5.8%	800	6.1%	75	4.4%	599	4.0%
Poland	79	4.9%	84	0.6%	102	6.0%	114	0.8%
Portugal	54	3.4%	610	4.6%	267	15.7%	2 424	16.0%
Turkey	41	2.5%	318	2.4%	32	1.9%	247	1.6%
Viet Nam	39	2.4%	291	2.2%	18	1.1%	139	0.9%
OTHERS	127	7.9%	1 602	12.2%	143	8.4%	1 895	12.5%
Total	1 608	100.0%	13 133	100.0%	1 700	100.0%	15 138	100.0%

Source : Trademap

2.6.4 SE - EXPORTS OF PLASTIC CISTERNS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Norway	453	45.9%	5 895	47.5%	1 288	71.4%	11 489	66.8%
Denmark	138	13.9%	1 627	13.1%	115	6.4%	1 294	7.5%
Finland	128	12.9%	1 242	10.0%	119	6.6%	1 221	7.1%
Iceland	76	7.6%	1 211	9.8%	80	4.4%	952	5.5%
Germany	35	3.5%	605	4.9%	34	1.9%	533	3.1%
China	35	3.5%	288	2.3%	42	2.3%	376	2.2%
United States of Amer	35	3.5%	434	3.5%	19	1.1%	380	2.2%
Czech Republic	15	1.5%	201	1.6%	5	0.3%	82	0.5%
Canada	13	1.3%	179	1.4%	12	0.6%	155	0.9%
OTHERS	62	6.3%	732	5.9%	90	5.0%	710	4.1%
Total	988	100.0%	12 414	100.0%	1 805	100.0%	17 192	100.0%

Source : Trademap

2.7.1 Route to Market: Ceramic Sanitary Ware
SE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.1%
	Wholesalers / Merchants
	73.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.8%	4.0%	5.8%	8.3%	6.6%	18.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.8%		14.1%		24.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
9.7%	35.5%	0.3%	4.3%	2.1%
Installers				
51.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	6.1%	8.1%	8.5%	22.4%	48.6%	0.0%	0.9%	0.4%	1.3%	0.4%	3.3%
	Residential						Non-Residential					
	93.7%						6.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.8%			82.9%			3.1%			3.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.8%		1.0%	3.2%		79.7%	2.6%		0.5%	2.9%		0.3%

2.7.2 Route to Market: Ceramic Sanitary Ware
SE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.2%
	Wholesalers / Merchants
	73.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.8%	4.1%	5.5%	8.4%	6.6%	18.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	8.9%		13.9%		25.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
9.7%	36.0%	0.7%	3.1%	2.1%
Installers				
51.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	5.1%	7.4%	9.7%	22.5%	49.0%	0.2%	1.2%	0.7%	1.1%	0.4%	2.7%
	Residential						Non-Residential					
	93.7%						6.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.6%			84.1%			3.1%			3.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.5%		1.1%	5.9%		78.2%	2.7%		0.4%	2.6%		0.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

SE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2020

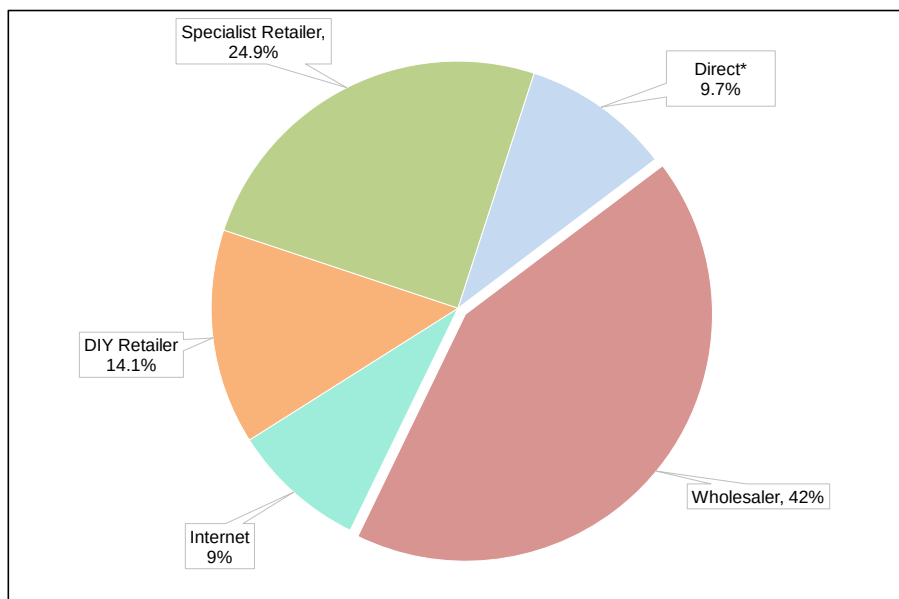
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
42.5%	8.8%	14.1%	24.9%	9.7%	13.0%	5.5%	80.7%	0.8%
100%					18.5%		81.5%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

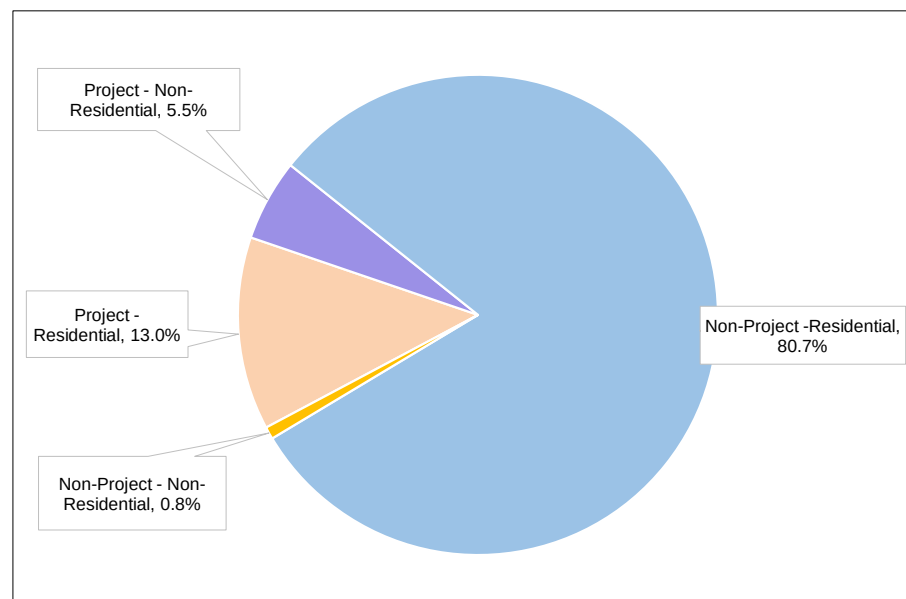
SE - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
42.3%	8.9%	13.9%	25.0%	9.9%	14.4%	5.3%	79.3%	1.0%
100%					19.7%		80.3%	

SE - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2020



SE - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2020



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
SE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.6%
	Wholesalers / Merchants
	72.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.1%	1.1%	8.4%	5.8%	6.5%	5.2%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.2%		14.2%		11.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
8.5%	51.0%	1.6%	1.5%	8.6%
Installers				
71.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	8.3%	3.2%	12.3%	2.5%	48.1%	0.0%	1.2%	0.4%	0.4%	0.6%	23.0%			
	Residential						Non-Residential								
	74.4%						25.6%								
New Build				Residential RMI				New Build				Non-Residential RMI			
31.5%				42.8%				11.2%				14.4%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
28.6%		2.9%		15.2%		27.6%		10.6%		0.6%		12.1%		2.3%	

2.7.6 Route to Market: Plastic Cisterns
SE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.6%
	Wholesalers / Merchants
	72.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.0%	1.2%	8.1%	5.2%	6.4%	5.4%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.2%		13.3%		11.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
8.9%	52.0%	1.9%	1.2%	8.3%
Installers				
72.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer			
	0.0%	7.4%	2.5%	11.9%	2.6%	47.0%	0.0%	1.4%	0.8%	0.2%	0.9%	25.3%			
	Residential						Non-Residential								
	71.4%						28.6%								
New Build				Residential RMI				New Build				Non-Residential RMI			
31.6%				39.8%				14.2%				14.4%			
Project		Non-Project		Project		Non-Project		Project		Non-Project		Project		Non-Project	
28.6%		3.0%		15.2%		24.6%		12.1%		2.1%		12.1%		2.3%	

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

SE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2020

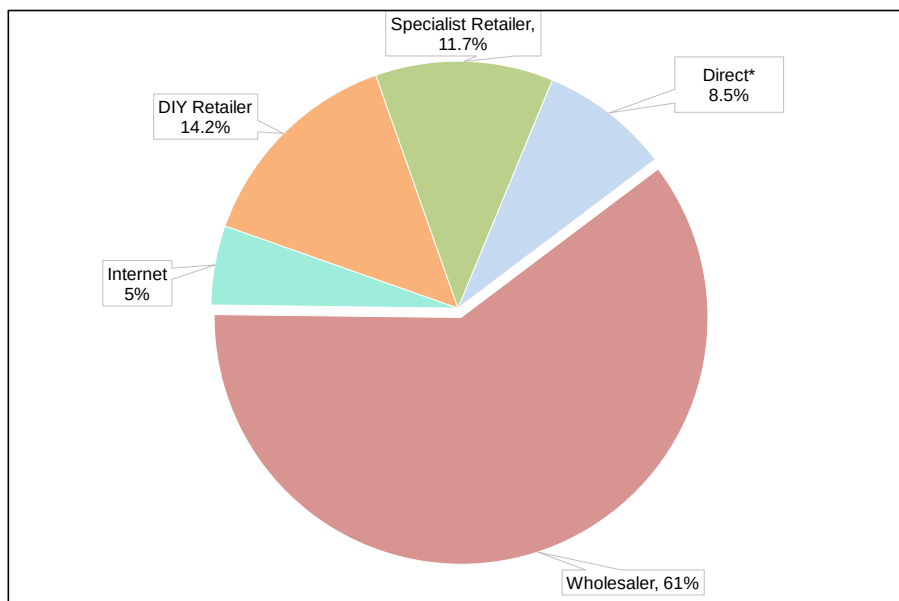
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
60.5%	5.2%	14.2%	11.7%	8.5%	43.8%	22.7%	30.6%	2.9%
100%					66.5%		33.5%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

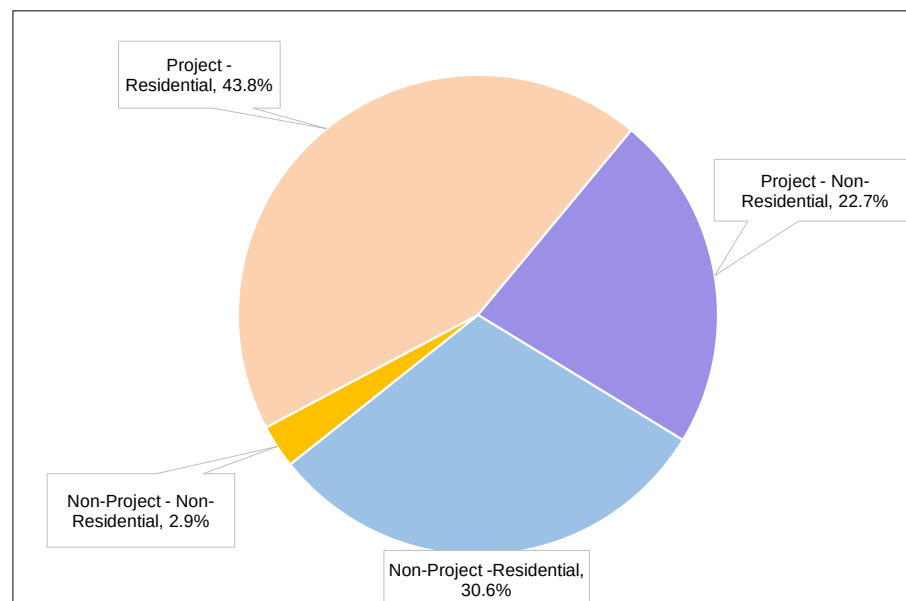
SE - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
60.8%	5.2%	13.3%	11.8%	8.9%	43.8%	24.2%	27.6%	4.4%
100%					68.0%		32.0%	

SE - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2020



SE - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2020



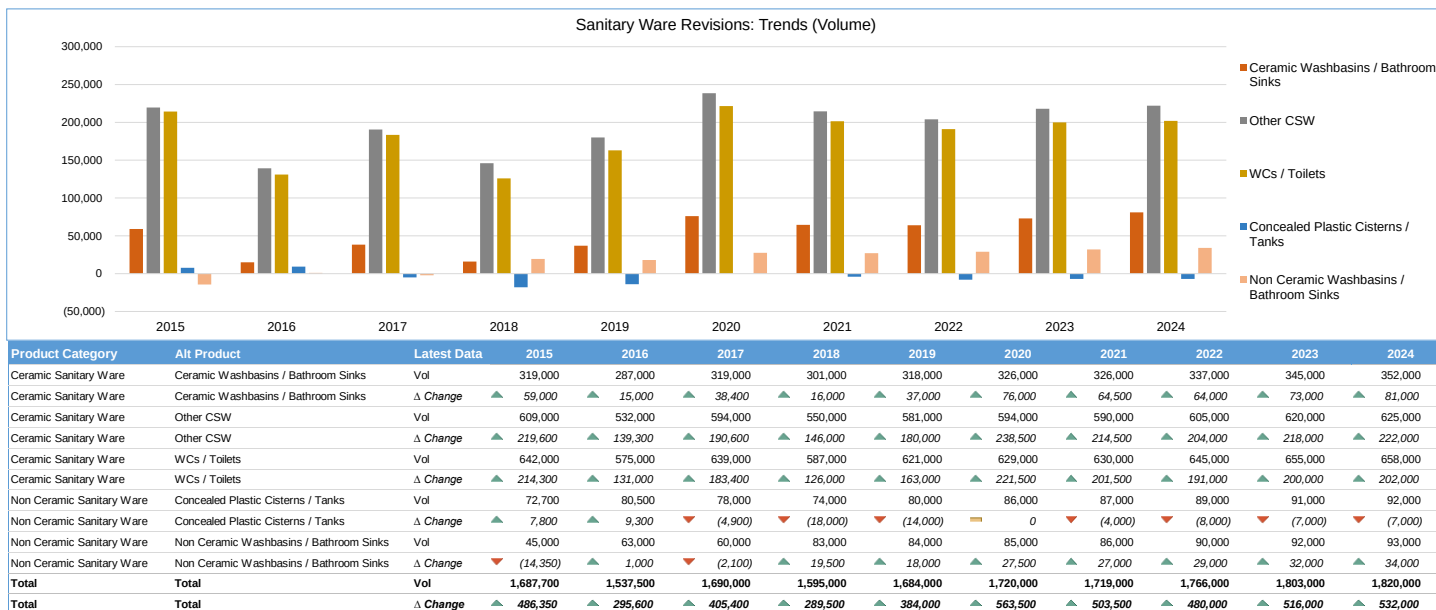
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Swedish Sanitary Ware Market (April 2021)

SE - REVISIONS IN THE SWEDISH SANITARY WARE MARKET

Data Comparison: April 2020



The overall market for ceramic sanitary ware was revised upwards across all historical years and base year. Additionally, the split between other CSW, ceramic washbasins and WCs/Toilets was also revised. Unlike baths, local production of sanitary ware still represents an important part of the total products sold on the market. However, the share and volume imported from Turkey, Egypt, Thailand and China were previously vastly underestimated leading to the aforementioned revisions. Imports from Egypt and Thailand were omitted from previous data as these increased in prominence from 2012 onwards. The majority of these are believed to be sold through DIYs and would be counted as OEM products.

The concealed plastic cisterns sales were revised across the historical series and for the base year. These revisions were based on a further examination of import statistics that revealed that an uptake of these products increased at a faster rate during the 2000s and 2010s than previously thought. In more recent years the sales were revised slightly downwards. Although growing across all end-uses, the concealed cistern market is still relatively underdeveloped thanks to the prevalence of more traditional ceramic cisterns.

Sales of non-ceramic washbasins were revised historically and for the base year. This was largely based on imports which suggested that penetration of such products was increasing at a lower rate historically than previously expected. The Swedish market continues to remain traditional in regard to sanitary ware and ceramic washbasins are losing popularity at quite a sluggish pace.

No or only marginal changes were made to the MSPs for sanitary ware products.

SWEDEN

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Swedish taps and mixers market has remained relatively stable in terms of volume over the years, characterised by a significant replacement demand. This market has resisted the financial crisis better than the sanitary ware market, mainly due to strong replacement demand for taps and mixers (which have a relatively shorter life than other bathroom products) and the lack of competition or substitution trends posed by alternative products.

One-head and thermostatic mixers are dominating the Swedish taps and mixers market. One-head mixers are the largest segment, as these products are mostly installed in combination with washbasins and sinks. The share of thermostatic mixers has historically remained relatively stable over time, and this type of mixer is only used together with baths and showers. With the recent increasing sales volume of showers and, despite a falling bath market until 2014, sales of thermostatic mixers have significantly increased in recent years. Sales of pillar taps and two-head mixers only account for a small share of the overall market. However, sales of two-head models have gradually taken over the market for pillar taps. Two-head mixers have historically been mainly used with baths and washbasins, and are commonly sold as a premium product.

The Swedish market for kitchen mixers is slightly different from those sold for use in bathrooms. The kitchen mixer market is much more focused on design, as the kitchen is considered a more important space in terms of aesthetics than the bathroom. The distribution channels are also different, with the internet and retail channels being more significant than for bathrooms. The focus on design is illustrated by the higher penetration rate of mixers with colours in the kitchen market.

A paramount issue in the kitchen market is that industry regulations (*Säker Vatteninstallation*) require the mixers to have a dishwasher valve. This is so that water can be cut off from the dishwasher when not used. Another such measure, particular to Sweden, requires the tap water temperature to not exceed 60 degrees Celsius. This has hindered so-called 'boiling hot water taps' from gaining popularity in Sweden. In 2018, GROHE introduced a product and classified it as a 'permanently installed water boiler'. Furthermore, stringent Swedish requirements for water flowing inside walls have made it difficult to sell concealed solutions for taps. However, the industry is currently developing solutions that aim to satisfy these requirements.

Sales of electronic and self-closing mixers are almost entirely driven by demand from the non-housing sector, even though some manufacturers have tried to market electronic taps and mixers to the residential market. There is a growing trend towards using these products in this market, because of their relatively higher associated water efficiency.

Recent Market Trends

The taps and mixers market experienced an increase for all product applications in 2020, despite earlier negative expectations. The market boomed due to people investing in their homes, starting with small changes such as replacing taps and mixers. The shift towards various designs has started, as consumers have become more focused on visually pleasing products, rather than the particular technical performance.

The dominant RMI market performed well in 2020, having high growths in sales volumes in all products segments, after a disappointing year in 2019. A trend toward colourful taps and mixers is slowly starting to take effect, which is affecting the housing RMI sector. The Swedish colour palette is very settled and earthy, favouring natural colours. This trend is expected to stay, as Scandinavian design keeps holding its popularity. Therefore bright, popping colours will stay a minority market. Chrome taps and mixers are still holding their share in all product categories. Black taps and mixers have historically been very popular, but a slight shift towards other natural colours is expected.

Sales volumes of taps and mixers in the non-housing sector were positive in 2020. This is still mainly the result of high activity in the health sectors, which remains a strong driver for the overall market development.

New housing completions declined in 2020, resulting in a decline of overall sales of taps and mixers.

The trend of thermostatic mixers taking market share and completely dominating the application for showers and baths has continued in recent years. Therefore, sales of thermostatic mixers currently play the pivotal role in the growth of the taps and mixers market.

Prices and Market Values

The average manufacturers' selling prices (MSPs) in SEK for taps and mixers have been relatively high in Sweden when compared to other European countries. This is the result of a high share of well-established brands in the market, and the preference for high-quality products among consumers and professionals.

The lower and medium price segments continue to represent the bulk of mixer sales, even though the volume sales of taps and mixers are going towards the lower and economy price segments. This came as a result of the growing importance of private labels on the Swedish market, especially in the DIY sector, and extremely tough competition in the project market pressing prices downwards. At the same time, design has become a more important factor in the consumers' decision making, making the luxury products more popular and driving prices up.

The average MSPs in SEK went slightly up across all tap and mixer product segments in 2020. In line with overall market increase, the value of all markets in EUR increased in the year.

New Housing

New dwelling completions declined significantly in 2020, which led to a decrease in sales of taps and mixers within this end-use segment. Sales of one-head mixers continued to dominate the total sales going to the new housing segment, being driven by strong demand due to installations of washbasins and kitchens. Sales of thermostatic mixers decreased when compared to 2019 in this end-use sector, for both baths and showers. The volume of two-head mixers, self-closing taps and electric mixers also decreased in new housing in 2020. New housing is expected to weaken in importance as an end-use sector for taps and mixers over the forecast period, as the new build sales are expected to go down. The largest share of taps and mixers in new housing is set to continue to be primarily driven by new apartment completions.

Housing RMI

Overall sales of taps and mixers within the housing RMI sector increased in 2020. The market for bath taps and mixers experienced an increase in 2020, bringing the market back up after a significant decrease in 2019. Kitchens, washbasins, and shower taps and mixers all experienced a big increase in 2020, which was driven by the overall market's increased housing RMI. Shower taps and mixers had the highest increase, aligning with the increased bathroom renovations.

Due to the dominance of pure replacement sales over renovation sales, a significant percentage of the housing RMI market is made up of sales going directly to end customers, through DIY, specialist or internet retailers. As washbasins and kitchen sinks have a higher average lifespan than taps and mixers, this partly explains the relatively higher ratio of taps and mixers per application for one-head mixers. Housing RMI demand for taps and mixers is expected to improve from 2021 onwards. The positive outlook is expected to come primarily from like-for-like replacement sales (taps and mixers sold without a washbasin/shower).

Non-Housing

Historically, sales of taps and mixers to this end-use segment have remained relatively stable because of the large share of demand stemming from replacement or maintenance sales. As for the residential market, this is a major stabiliser in the market, and helps to preserve the large volumes sold each year. Any fluctuation in sales from year to year is, therefore, often caused by changes in construction or modernisation work.

The non-housing market for taps and mixers declined in 2020, being negatively driven by a steady decrease in all product segments. After a very good construction year, this decline was expected. Non-housing is expected to continue to decrease

in 2021, but should stabilise afterwards.

Most taps and mixers in this end-use sector continue to be used together with washbasins and kitchen sinks. As in the residential market, one-head mixers are the most common type of mixer sold, but sales of self-closing and electronic taps and mixers have gradually increased over the last decade. Electronic taps and mixers are especially gaining a lot of popularity. The penetration rate of thermostatic mixers, which are used with showers and baths, is rather low in the non-residential sector, and such models can be mostly found in hospitality, health and sports buildings.

Supply Structure

The Swedish taps and mixers markets have traditionally been dominated by domestic brands. The FM MATTSSON MORA GROUP (former OSTNOR) is the leading manufacturer, with its three brands FM MATTSSON, MORA ARMATUR, and DAMIXA. While the two original brands are market leaders, DAMIXA is still a relatively small market player. The FM MATTSSON brand targets the middle price segment, while MORA ARMATUR's products target the upper price segment. DAMIXA's products range from the lower to the upper price segments, with the majority of sales found in the lower and middle price segments.

The rest of the market consists of a number of small-scale and medium-scale manufacturers. In the medium-scale range, GUSTAVSBERG, ORAS, TAPWELL, and IKEA are the most established brands. IKEA's sanitary/kitchen taps and mixers have been sourced from various manufacturers, including for example DAMIXA (Denmark), NSK ARMATUR (Turkey), ECZACIBASI VITRA (Turkey), VALFSEL ARMATÜR SANAY (Turkey), PAINI RUBINETTERIE (Italy), SHANGHAI RODDEX BATH HARDWARE (China), and the GLOBE UNION INDUSTRIAL CORP (Taiwan).

The small-scale range includes brands such as HANSGROHE, SVEDBERGS, PRIMY, and GROHE. While GROHE and HANSGROHE are specialist manufacturers of taps and mixers, SVEDBERGS outsources its production to Italian manufacturers IB RUBINETTERIE and SOCOMESIT. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (more known as MACRO) in late 2016, which makes it one of the leading companies within bathroom furniture and shower walls in Scandinavia. SVEDBERGS has established three sales departments: *Macro*, *Svedbergs Consumers* (focusing on sales to specialists and DIY), and *Svedbergs Project* (focusing on sales to wholesalers and projects).

Competition from non-domestic brands has increased steadily in recent years, particularly within the DIY and specialist retailer segments, but the FM MATTSSON MORA GROUP still accounts for around half of the market. ORAS is a rather project market brand, and faces strong competition from the three market leaders FM MATTSSON, MORA ARMATUR, and GUSTAVSBERG.

The 'others' category consists mainly of OEM imports, commercialised through wholesale and DIY retail chains such as private labels, domestic suppliers with full bathroom assortments, and smaller specialist suppliers. There is a growing share of private label brands on the market, where BAUHAUS, K-RAUTA, HORNBACH, BILTEMA, AHLSELL, and DAHL are the main players. The HAFA BATHROOM GROUP, NORO and INR, NIVITO, STRAND, ZAZZERI, and GESSI are examples of companies selling through specialist bathroom and kitchen retailers. HAFA BATHROOM GROUP acquired NORO AB at the beginning of 2017, which means that the latter now goes under the name of HAFA BATHROOM GROUP. WESTERBERGS will still focus more on sales to specialists and the bath (including hydromassage) and outdoor spa markets.

Forecasts

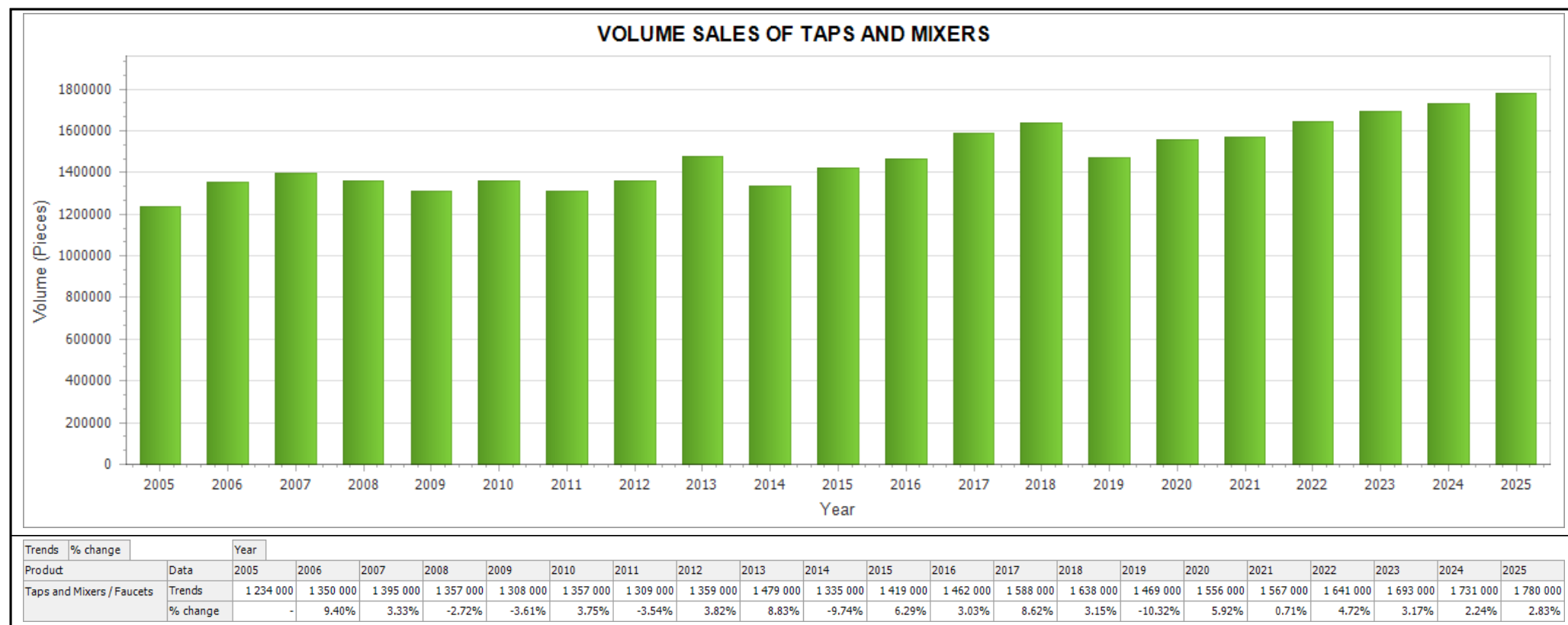
The overall taps and mixers market is expected to stay relatively stable throughout the forecast period. The market should enjoy high housing RMI activity in 2021, with increased sales in all product segments, except bidet taps and mixers and flushing valves – as their market is rather small in Sweden. This increase will be due to a more stabilised economy and increasing construction. Kitchen taps and mixers should have a slight decline in 2021, as the market stabilises after a high housing RMI period. Bath taps and mixers will follow the overall trend of baths, with the market increasing after a decline in 2021.

The kitchen taps and mixers market is expected to increase again after a slight decrease in 2021, as RMI picks up and non-housing increases. A stable growth in the bath taps and mixers market is expected for the rest of the forecast period, with RMI increasing yearly. The RMI increase will mainly come from the shorter lifespans of taps and mixers when compared to the baths.

Electronic taps and mixers are slowly gaining popularity due to recent years' improvements in efficiency and technology, and are therefore expected to be more seen in new housing, even if the volume is small in this segment. As mentioned above, boiling hot water taps are only just starting to be introduced in Sweden. These units are very popular in other countries, including neighbouring Denmark, but it is too early to say whether or not they will be an equally big success in Sweden. Solutions for concealed mixers that are good enough for the country are being developed by big players within the industry. This is believed to be a coming trend, especially within the higher price segments.

3.2 Historical Trends and Forecasts : Taps and Mixers

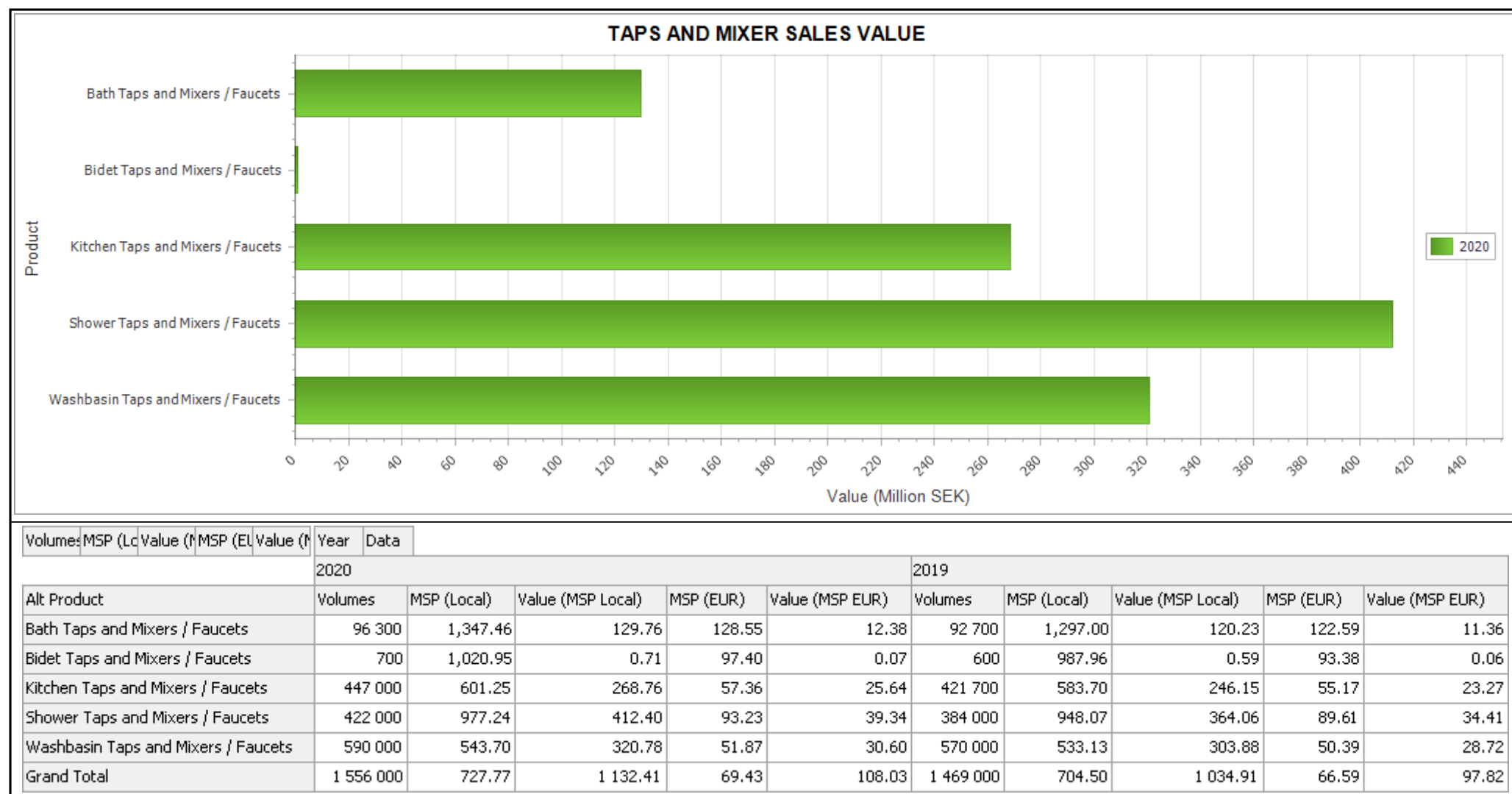
SE - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

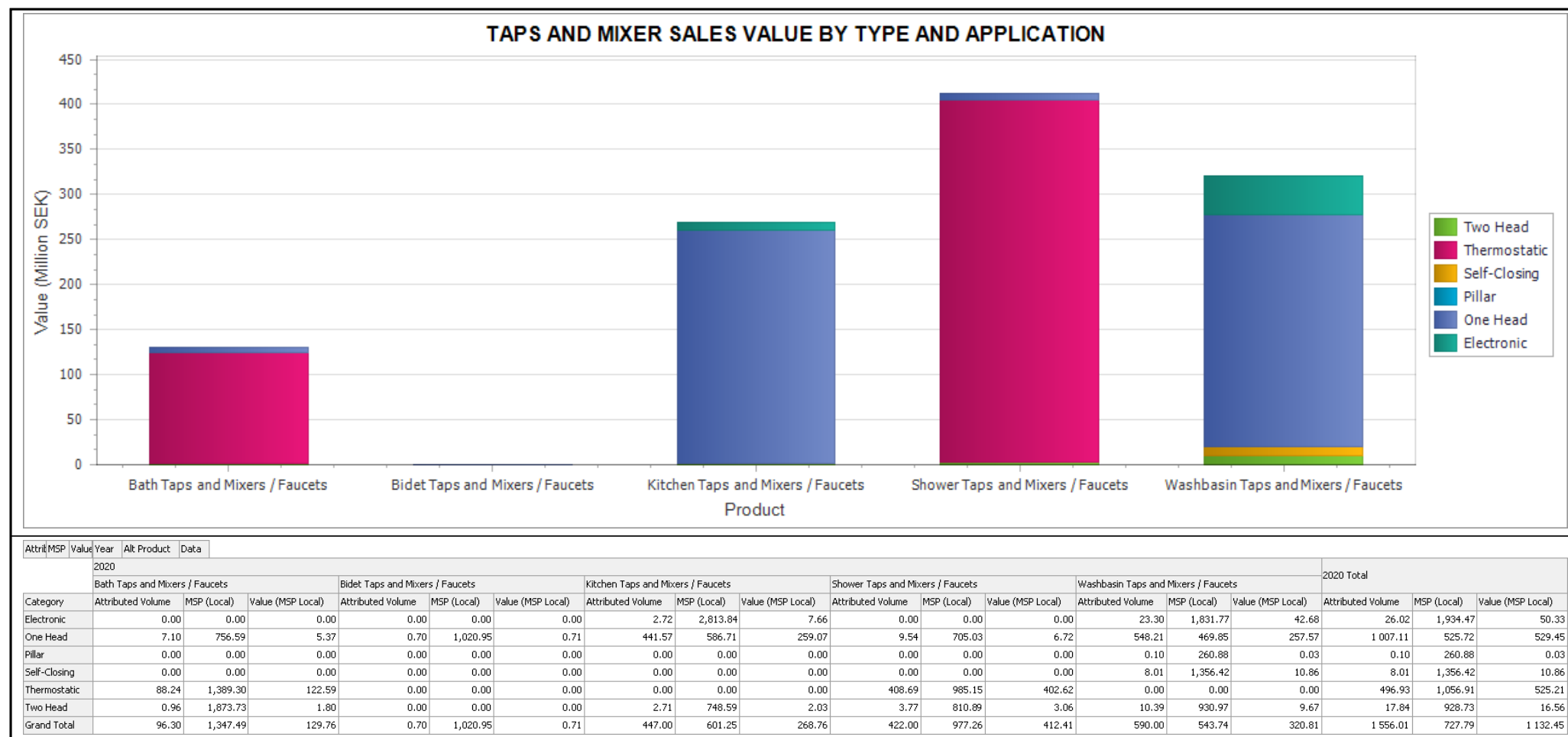
SE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands, Local Prices in SEK and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

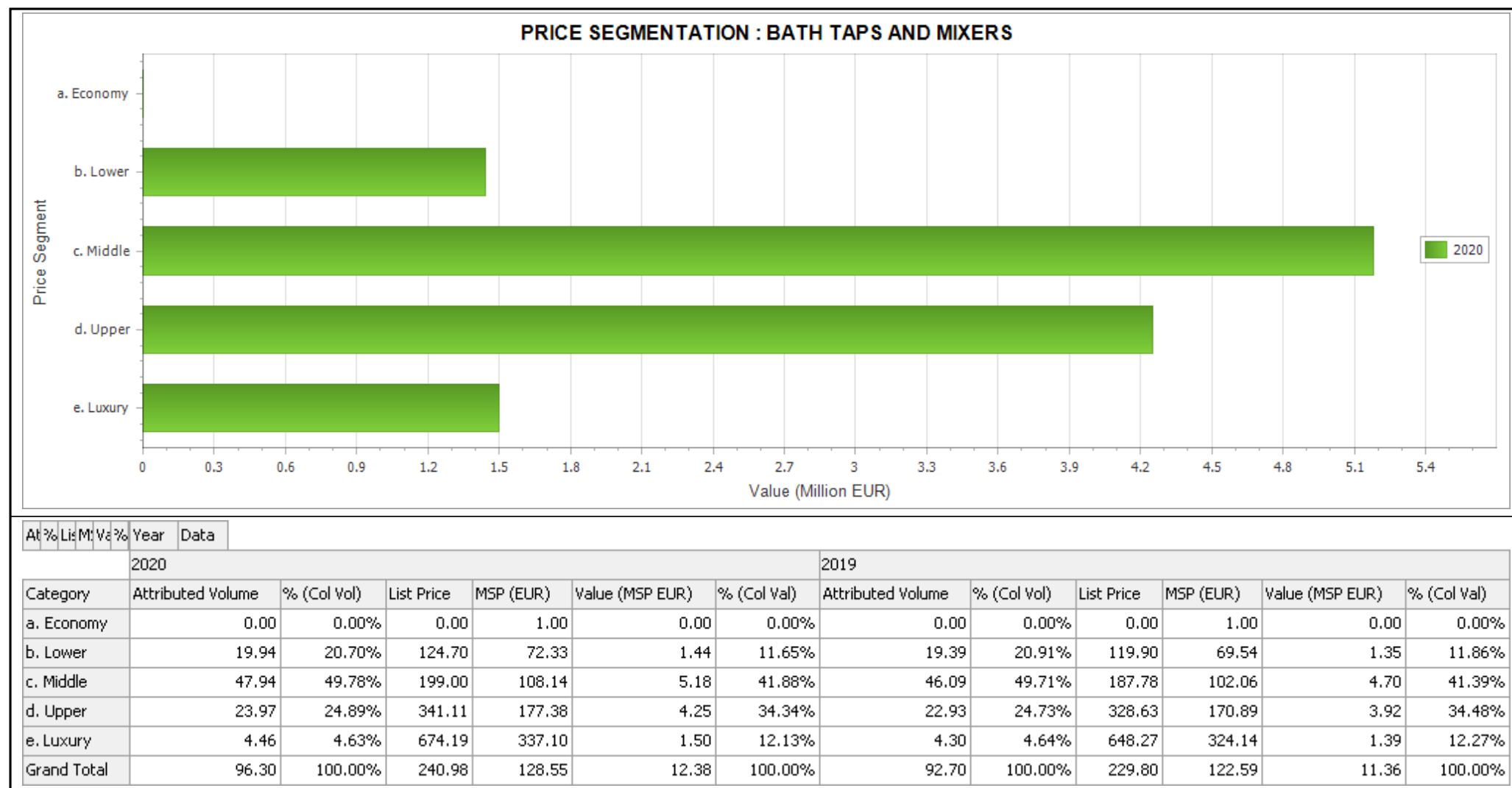
SE - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE AND APPLICATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices in SEK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

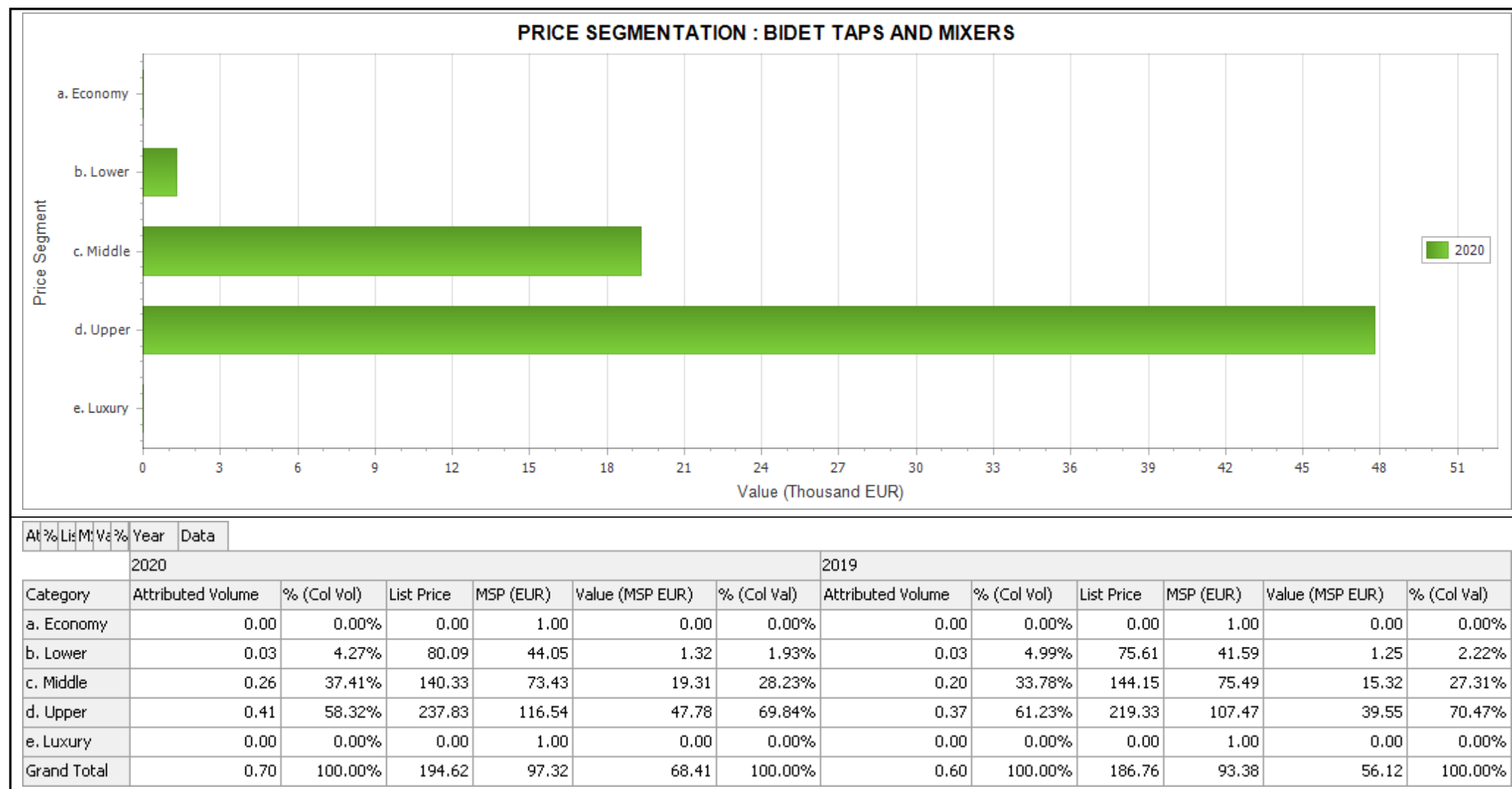
SE - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€100, Middle €100-€150, Upper €150-€250 and Luxury >€250

3.3.4 Price Segmentation : Bidet Taps and Mixers

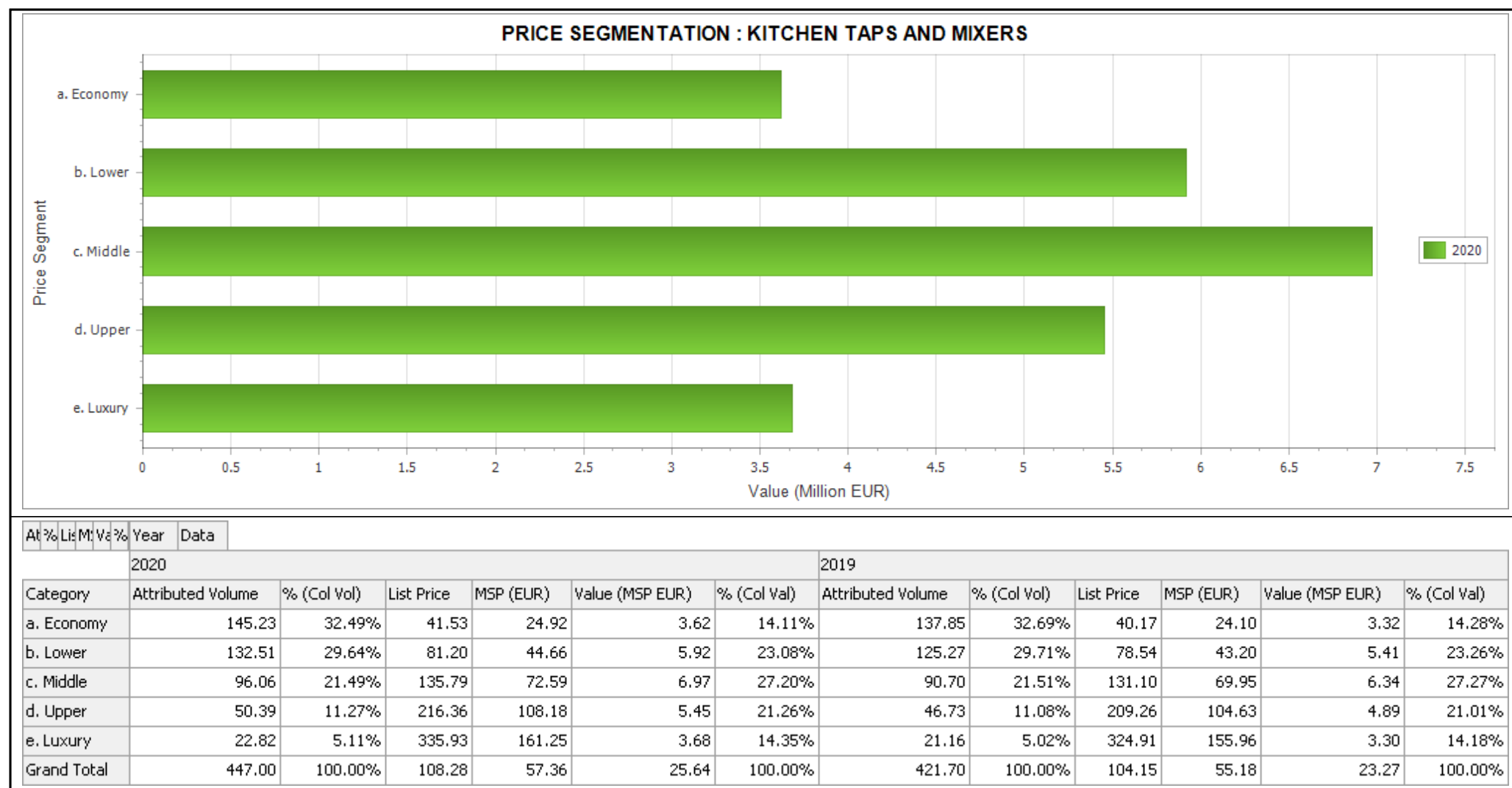
SE - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€60, Middle €60-€90, Upper €90-€150 and Luxury >€150

3.3.5 Price Segmentation : Kitchen Taps and Mixers

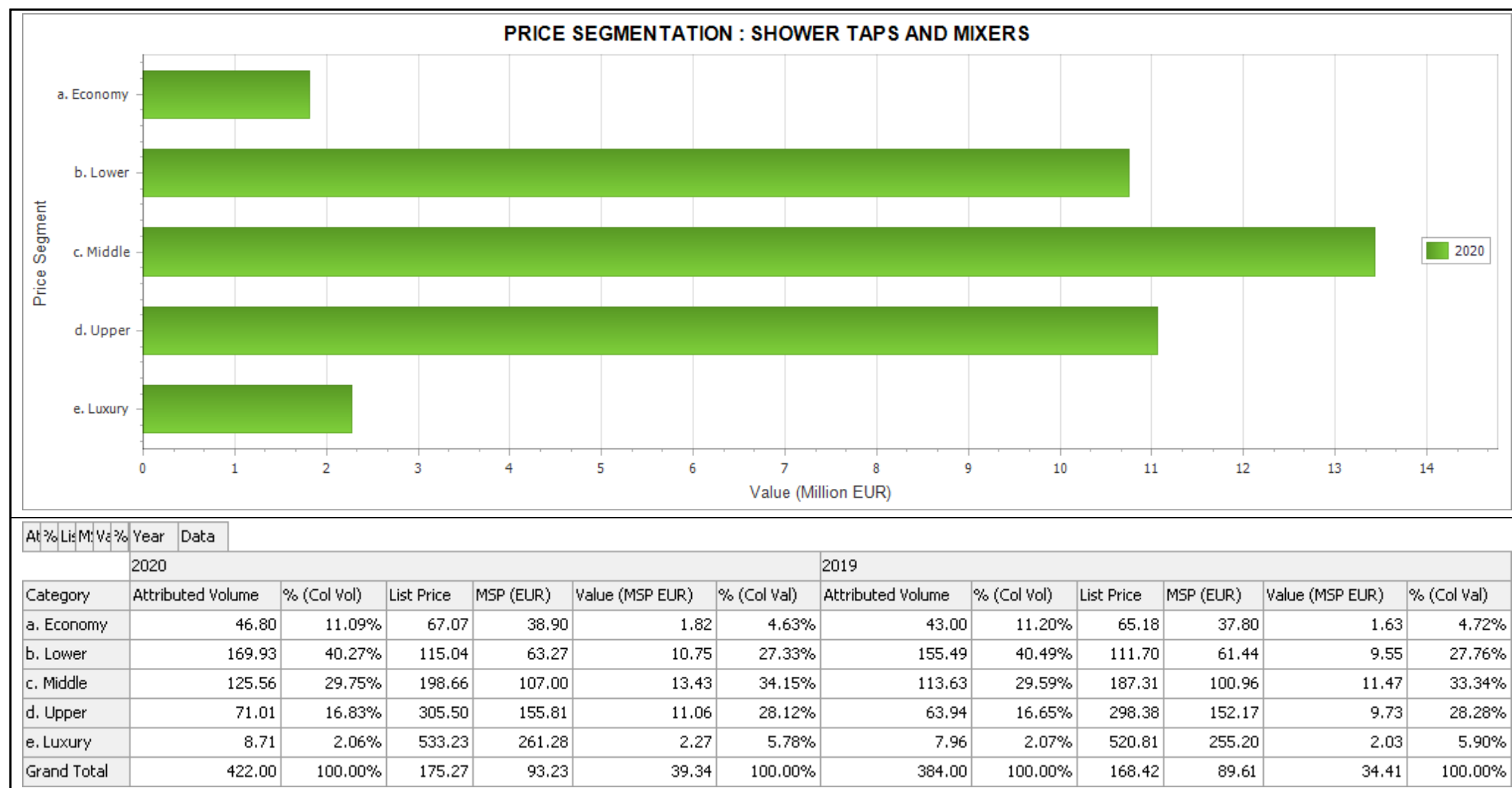
SE - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€40, Lower €40-€70, Middle €70-€100, Upper €100-€150 and Luxury >€150

3.3.6 Price Segmentation : Shower Taps and Mixers

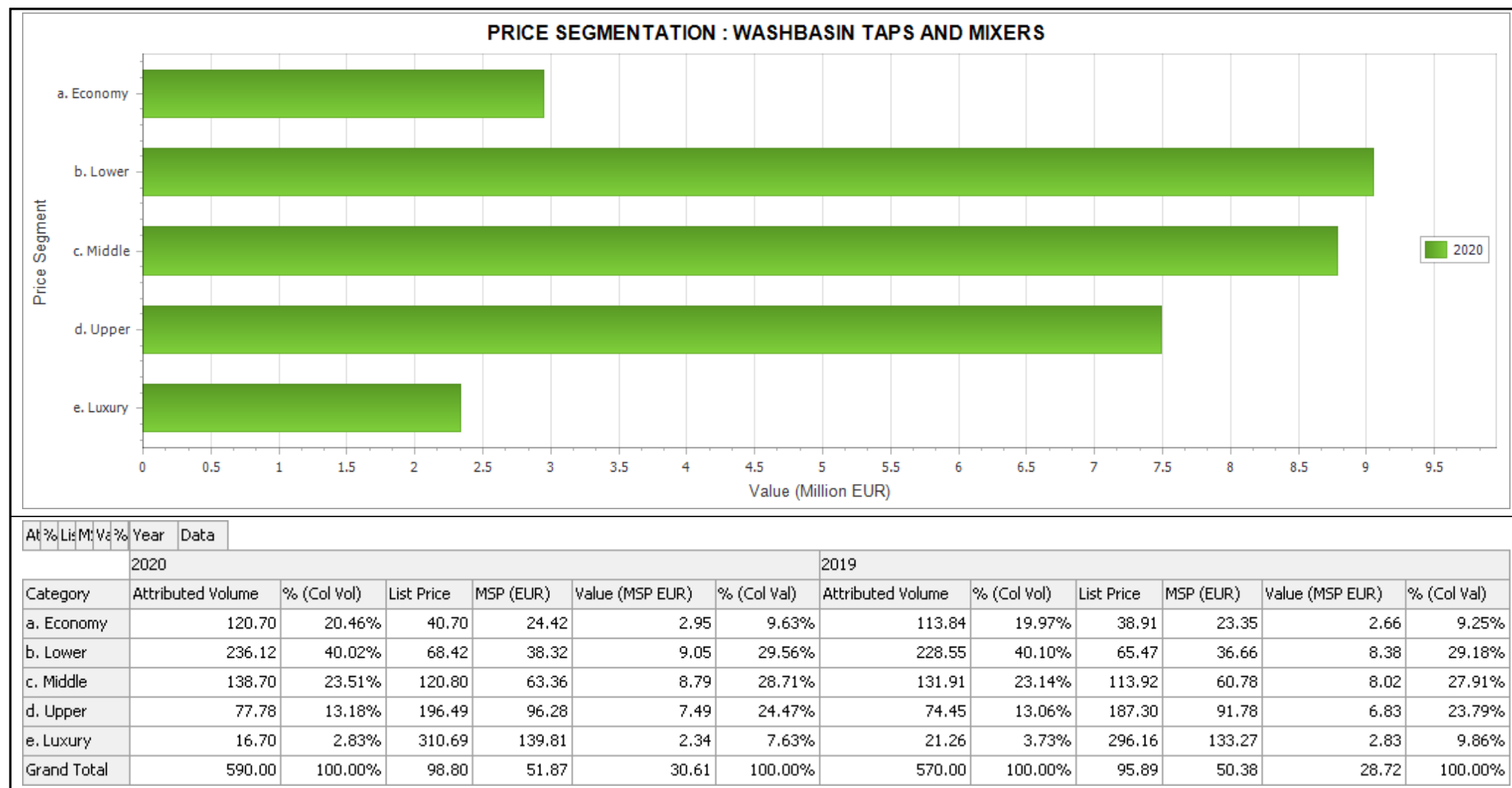
SE - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€60, Lower €60-€100, Middle €100-€150, Upper €150-€250 and Luxury >€250

3.3.7 Price Segmentation : Washbasin Taps and Mixers

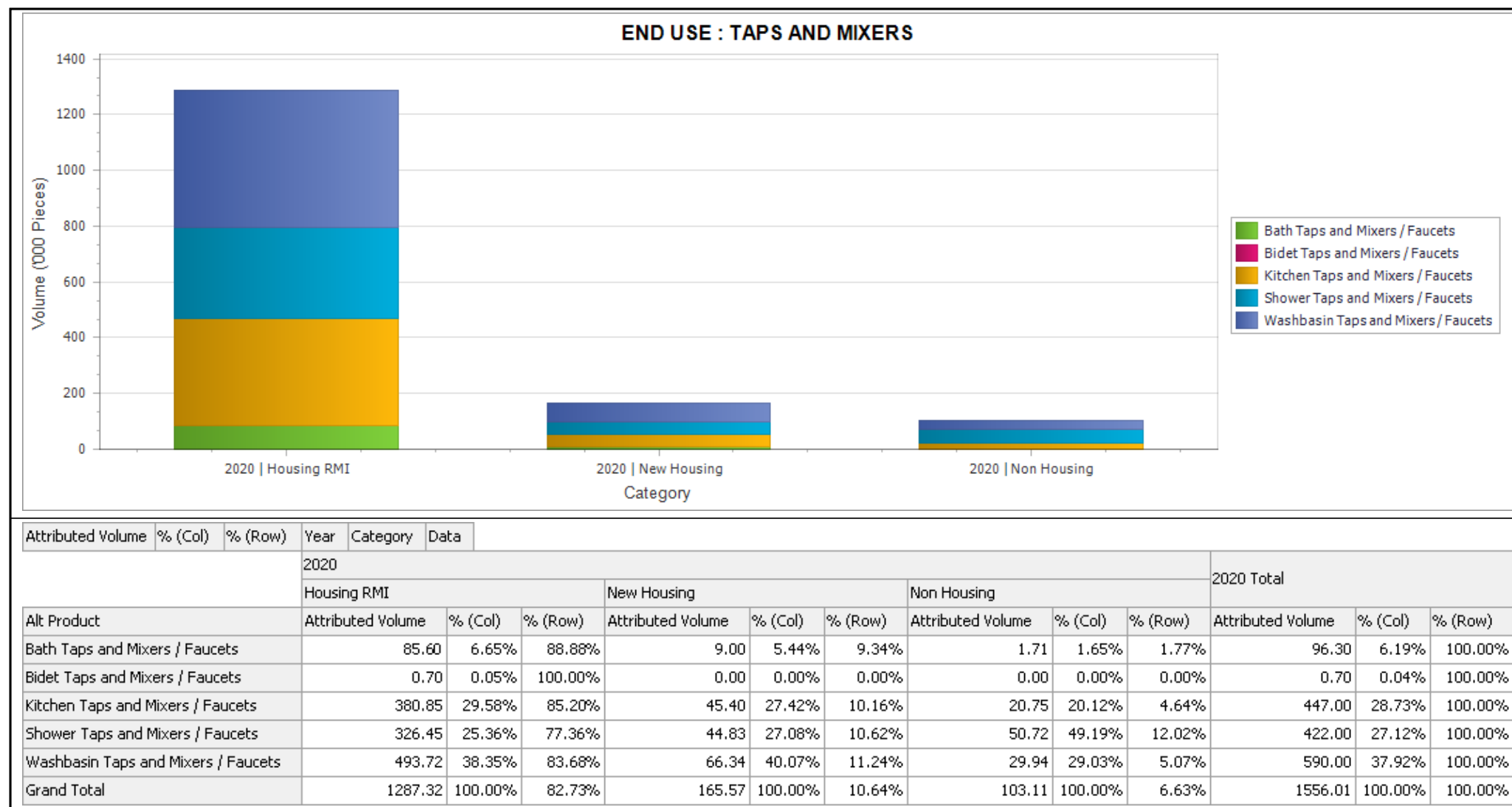
SE - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€35, Lower €35-€60, Middle €60-€90, Upper €90-€130 and Luxury >€130

3.4.1 End Use : Base Year

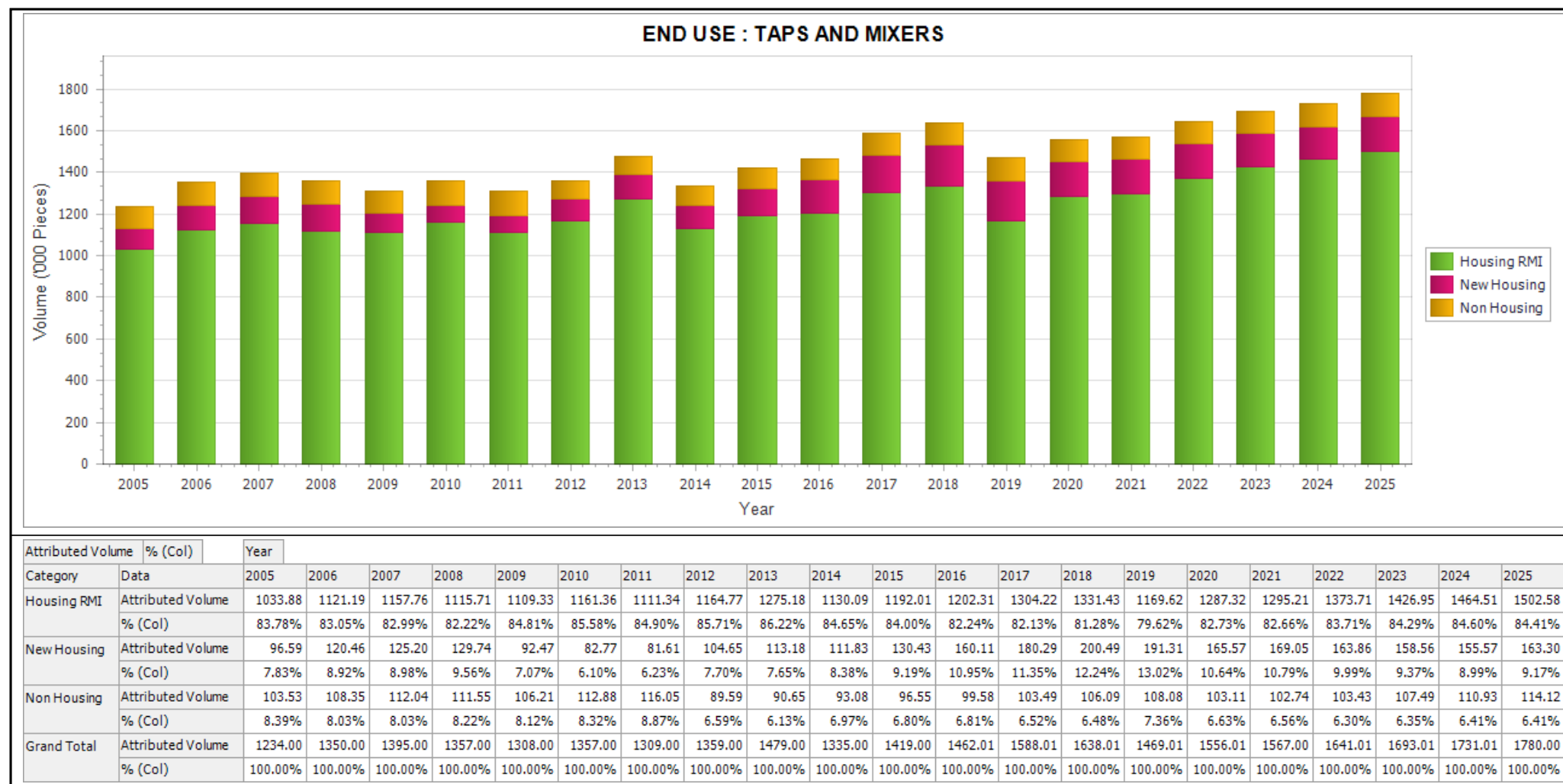
SE - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

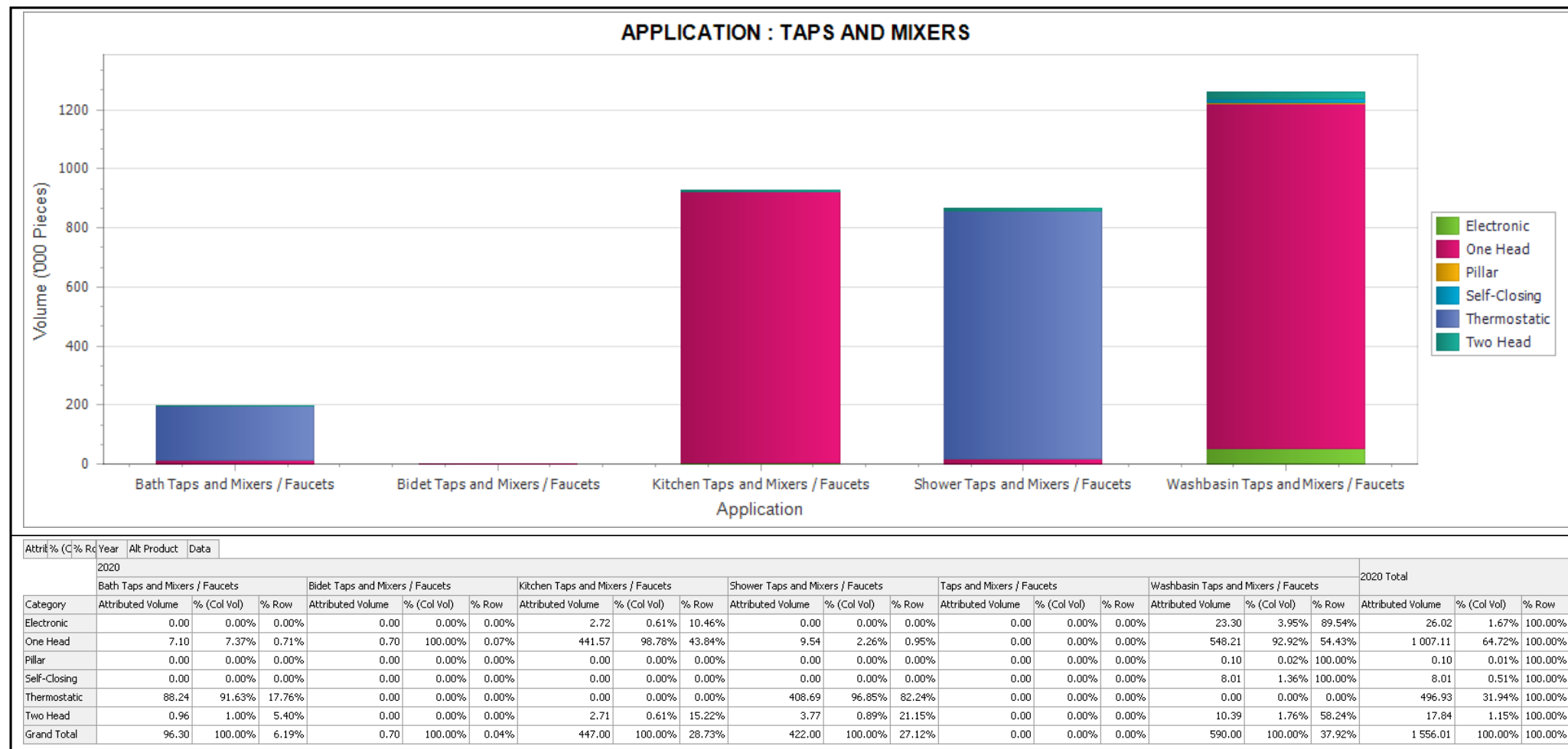
SE - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

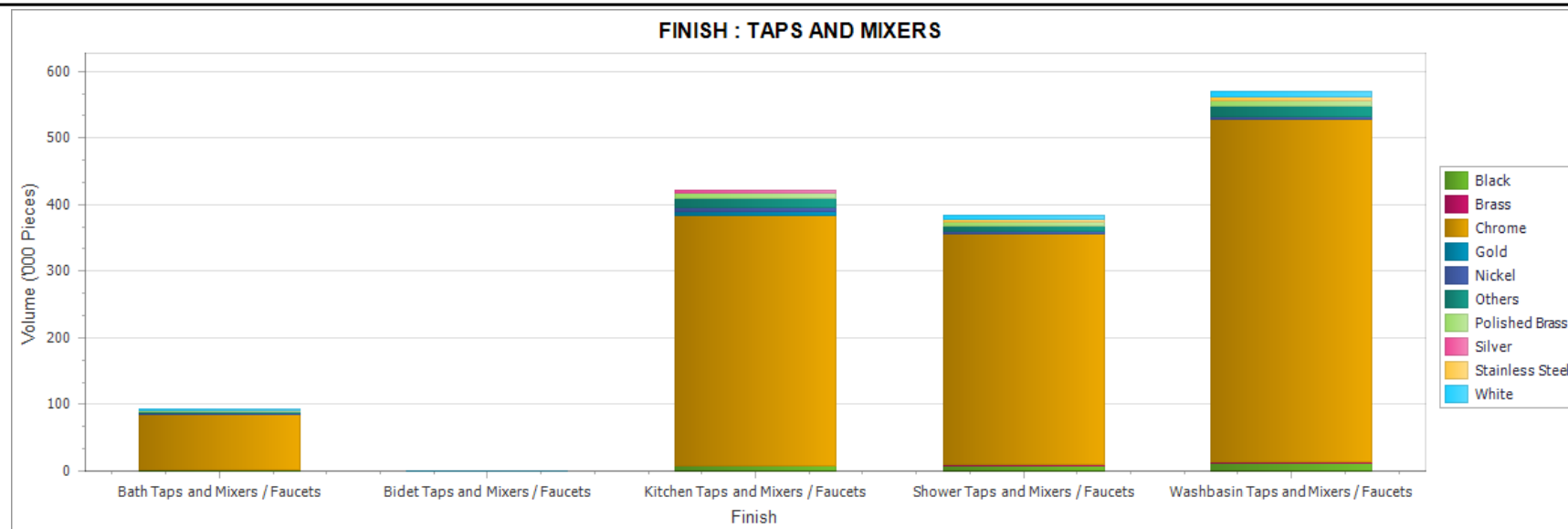
SE - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

SE - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

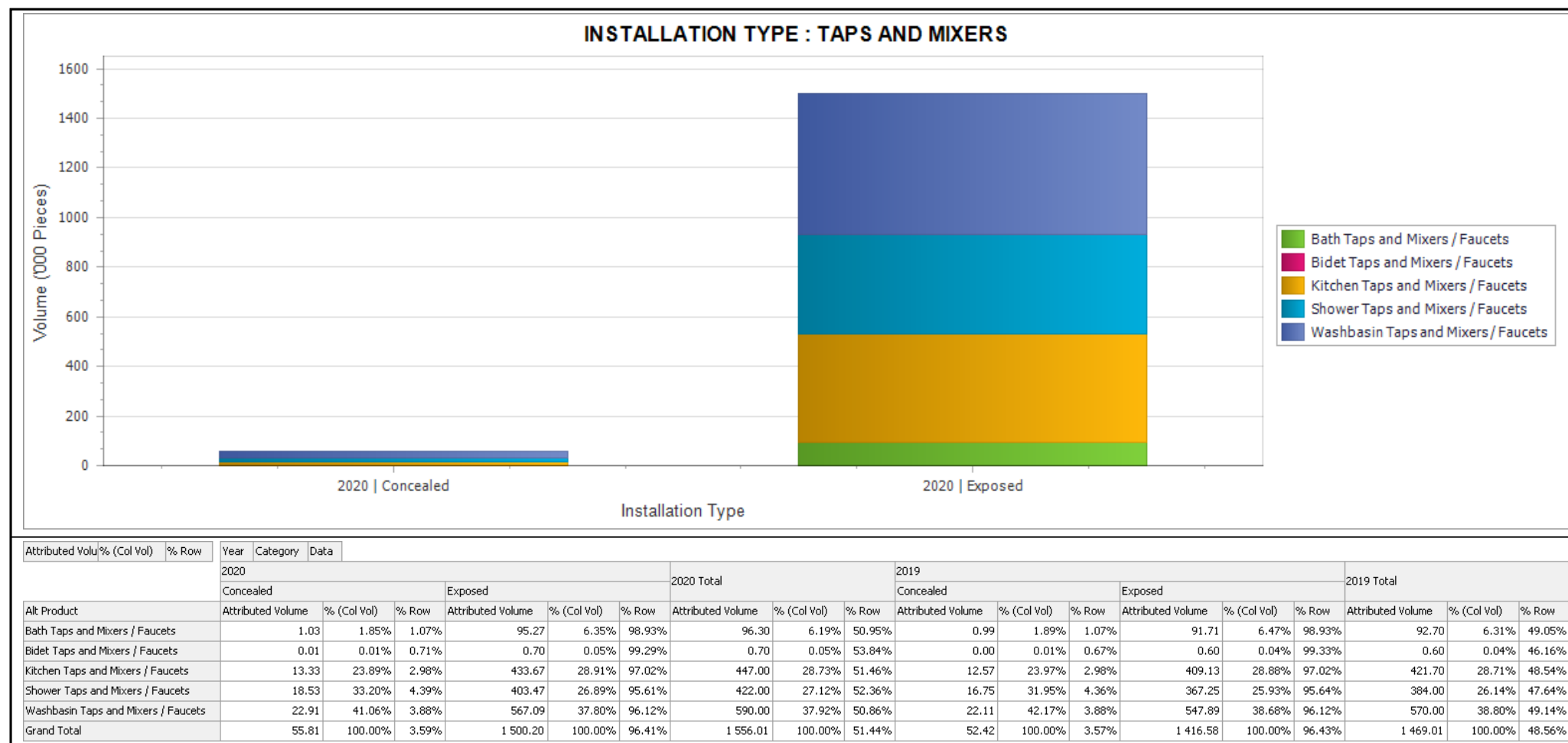


Attribute	% (Col Vol)	Year	Alt Product	Data												
					2020											
					Bath Taps and Mixers / Faucets		Bidet Taps and Mixers / Faucets		Kitchen Taps and Mixers / Faucets		Shower Taps and Mixers / Faucets		Washbasin Taps and Mixers / Faucets		2020 Total	
Category	Attributed Volume	% (Col Vol)			Attributed Volume	% (Col Vol)			Attributed Volume	% (Col Vol)			Attributed Volume	% (Col Vol)		
Black	1.93	2.00%			0.01	1.99%			8.94	2.00%			8.44	2.00%		
Brass	0.48	0.50%			0.00	0.57%			0.00	0.00%			2.11	0.50%		
Chrome	86.67	90.00%			0.63	89.74%			397.83	89.00%			379.80	90.00%		
Gold	0.00	0.00%			0.00	0.00%			6.71	1.50%			0.00	0.00%		
Nickel	0.96	1.00%			0.01	1.00%			6.71	1.50%			4.22	1.00%		
Others	2.41	2.50%			0.02	2.56%			13.41	3.00%			10.55	2.50%		
Polished Brass	1.45	1.50%			0.01	1.57%			8.94	2.00%			6.33	1.50%		
Silver	0.00	0.00%			0.00	0.00%			4.47	1.00%				0.00%		
Stainless Steel	0.96	1.00%			0.01	1.00%				0.00%			4.22	1.00%		
White	1.45	1.50%			0.01	1.57%			0.00	0.00%			6.33	1.50%		
Grand Total	96.30	100.00%			0.70	100.00%			447.00	100.00%			422.00	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

SE - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



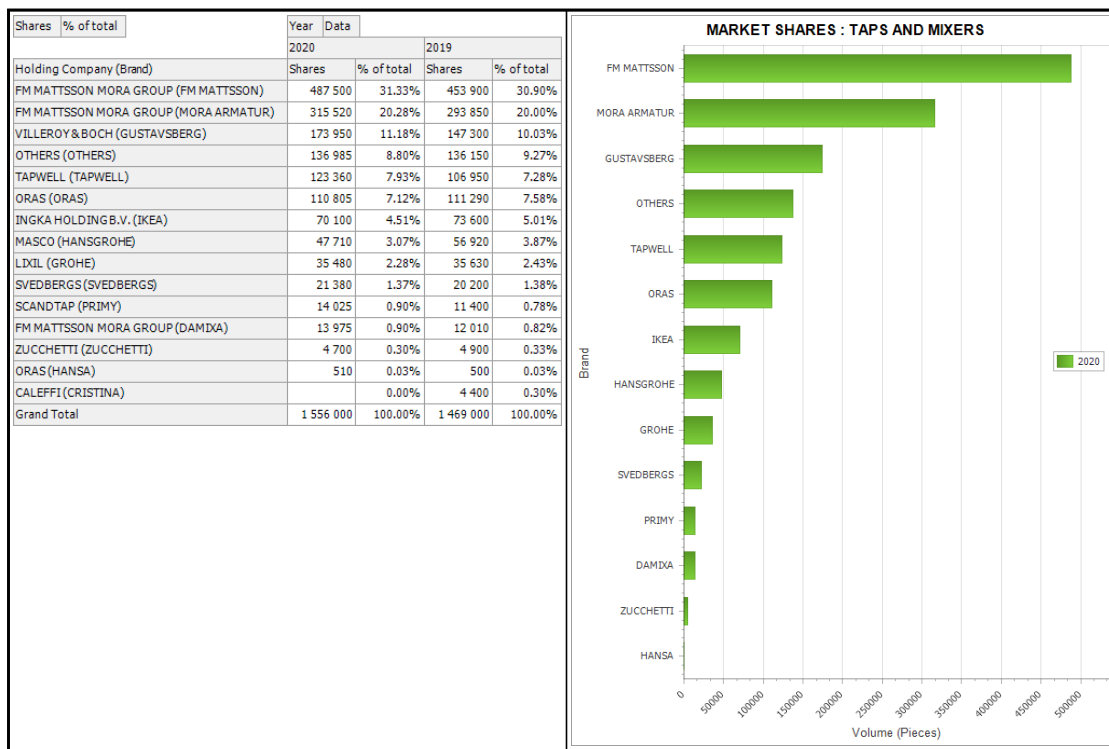
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

SE - TAP AND MIXER SALES BY MOUNTING TYPE ('000 PIECES)



3.5 Market Shares : Taps and Mixers

SE - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 SE - IMPORTS OF TAPS & MIXERS 2020

Source Country	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Denmark	1 652	30.7%	22 097	24.3%	1 815	35.7%	23 039	26.5%
Germany	871	16.2%	14 837	16.3%	848	16.7%	14 696	16.9%
Italy	808	15.0%	15 969	17.6%	808	15.9%	14 887	17.1%
China	691	12.8%	9 114	10.0%	551	10.8%	7 076	8.1%
Finland	425	7.9%	10 527	11.6%	403	7.9%	10 017	11.5%
Portugal	377	7.0%	4 076	4.5%	60	1.2%	2 379	2.7%
Poland	249	4.6%	5 686	6.3%	244	4.8%	5 444	6.3%
Norway	107	2.0%	1 652	1.8%	86	1.7%	1 314	1.5%
OTHERS	202	3.8%	6 840	7.5%	262	5.2%	8 204	9.4%
Total	5 383	100.0%	90 798	100.0%	5 077	100.0%	87 056	100.0%

Source : Trademap

3.6.2 SE - EXPORTS OF TAPS & MIXERS 2020

Destination	2020				2019			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Norway	985	40.8%	23 525	35.7%	896	36.0%	22 341	32.7%
Denmark	390	16.2%	11 610	17.6%	389	15.6%	11 084	16.2%
Germany	336	13.9%	8 177	12.4%	442	17.7%	11 215	16.4%
Finland	189	7.8%	6 747	10.2%	194	7.8%	6 738	9.9%
Russian Federation	66	2.8%	1 278	1.9%	63	2.5%	1 323	1.9%
Austria	60	2.5%	2 059	3.1%	49	2.0%	1 560	2.3%
Iceland	41	1.7%	1 549	2.4%	46	1.8%	1 482	2.2%
France	40	1.7%	1 192	1.8%	38	1.5%	1 093	1.6%
Czech Republic	35	1.4%	1 746	2.7%	28	1.1%	1 392	2.0%
Estonia	31	1.3%	867	1.3%	33	1.3%	921	1.3%
Australia	30	1.2%	889	1.4%	31	1.2%	996	1.5%
OTHERS	211	8.7%	6 196	9.4%	283	11.4%	8 235	12.0%
Total	2 413	100.0%	65 835	100.0%	2 491	100.0%	68 380	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
SE - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.8%
	Wholesalers / Merchants
	59.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	9.3%	3.5%	9.4%	12.5%	9.9%	12.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	12.8%		21.9%		22.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
11.6%	17.2%	0.3%	7.8%	15.2%
Installers				
52.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	12.5%	12.2%	13.3%	6.9%	48.5%	0.0%	1.6%	0.3%	0.8%	0.3%	3.6%
	Residential						Non-Residential					
	93.4%						6.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.6%			82.7%			3.1%			3.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.1%		1.5%	6.0%		76.7%	2.4%		0.7%	2.6%		0.9%

3.7.2 Route to Market: Taps & Mixers / Faucets
SE - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.5%
	Wholesalers / Merchants
	59.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	10.1%	4.5%	9.1%	12.0%	9.8%	13.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	14.6%		21.1%		22.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
11.5%	18.1%	0.6%	7.4%	15.4%
Installers				
53.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	10.0%	13.4%	13.2%	6.9%	50.1%	0.0%	1.8%	0.6%	0.5%	0.6%	2.9%
	Residential						Non-Residential					
	93.6%						6.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	9.2%			84.4%			4.1%			2.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.1%		1.1%	20.0%		64.4%	3.4%		0.7%	1.8%		0.5%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

SE - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2020

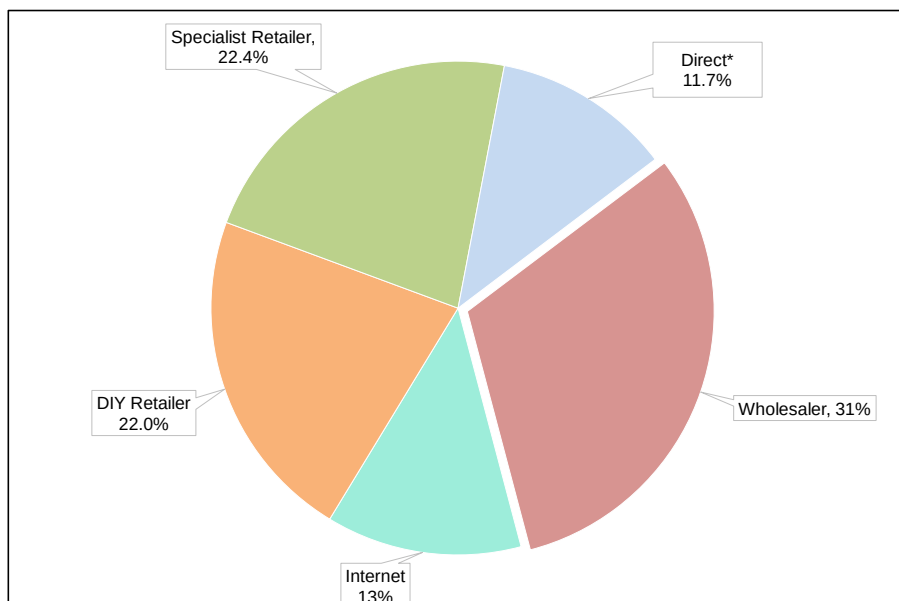
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
31.2%	12.8%	22.0%	22.4%	11.7%	15.1%	5.0%	78.3%	1.6%
100%					20.1%		79.9%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

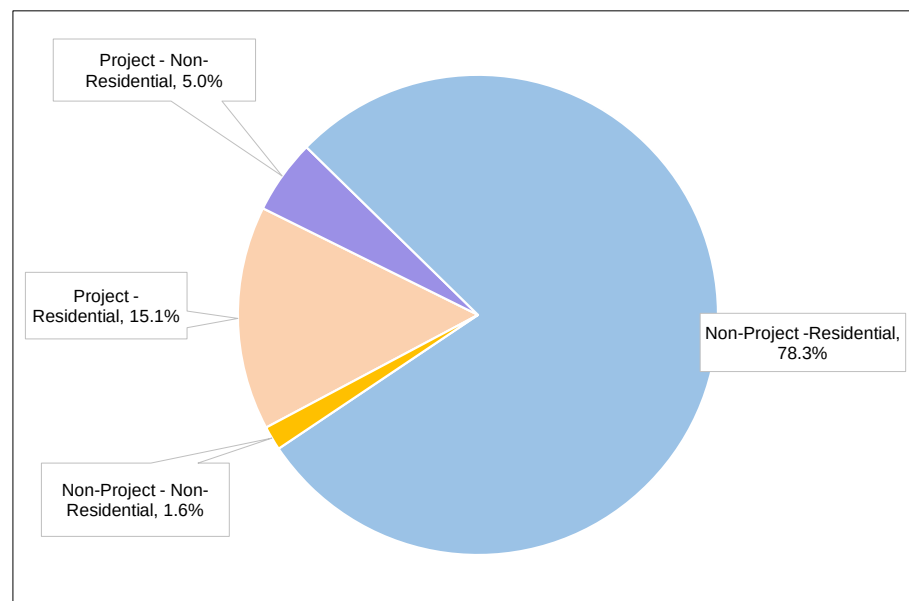
SE - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
29.9%	14.6%	21.1%	22.9%	11.5%	28.1%	5.2%	65.5%	1.2%
100%					33.3%		66.7%	

SE - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2020



SE - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2020



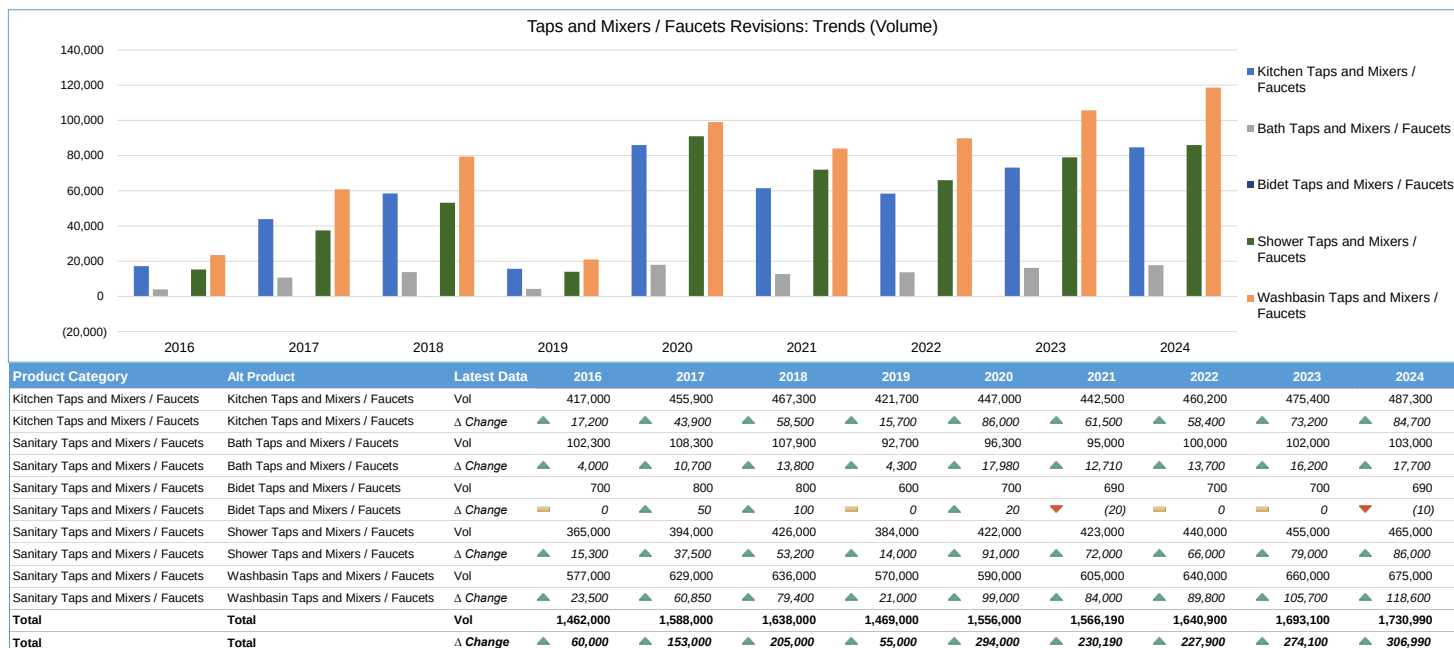
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Swedish Taps and Mixers / Faucets Market (April 2021)

SE - REVISIONS IN THE SWEDISH TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: April 2020

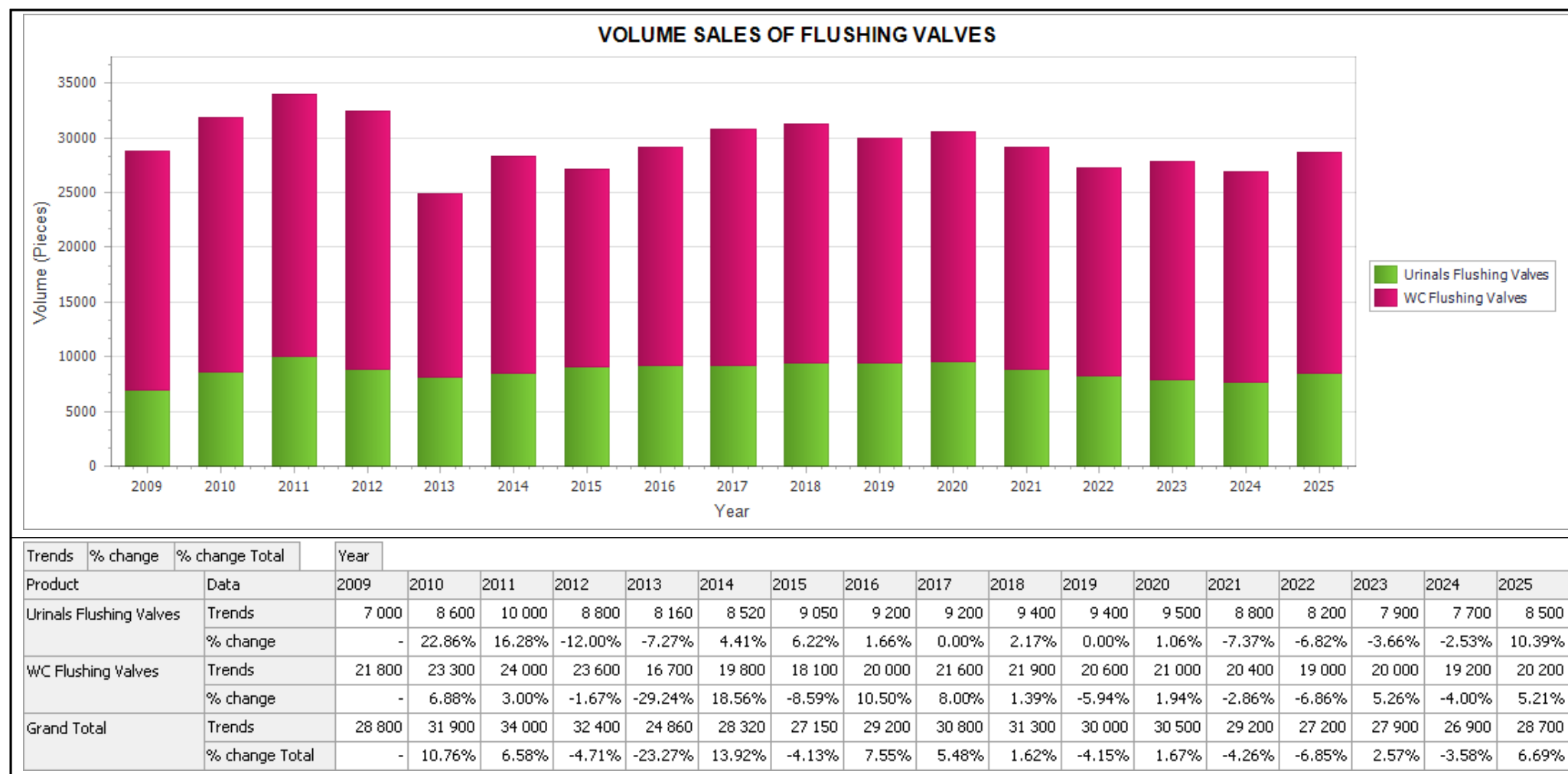


Overall volumes for taps and mixers were revised upwards across all historical years and base year. These changes were made across all taps and mixers with the exception of bidet T&M. Through extensive analysis of import data and further data obtained from local players, it became clear that a share of imports was previously partly omitted from our calculations. Local production still accounts for the highest share of products sold, however, a number of Swedish companies source T&M under OEM agreement from Italian manufacturers and in addition German imports developed well over the last two decades, increasing their total market share in the process. Imports from Italy, Germany, China, Finland (through Poland) and Denmark are believed to account to close to 90% of total imports in more recent years. Total imports hold over 40% share of total T&M sold in the country.

Overall MSPs for taps and mixers across applications were revised downwards for all years. This was largely due to the changes made to the prices for one headed mixers. Indeed, prices for one head mixers in previous reports were largely overstated, on average between 30-50%. This overestimation was caused partially by an incorrect split between price segmentation as well as a low share of cheaper imports in the overall market. An important part of the total market is represented by economy priced products, largely imported from Italy and Poland but also an important part of local production. This omission led to the high prices for one-head types primarily. As one head mixers represent almost two thirds of total demand, the effect on the overall MSPs was significant. Revised MSPs should now accurately portray the supply structure in the country.

3.9.1 Historical Trends and Forecasts : Flushing Valves

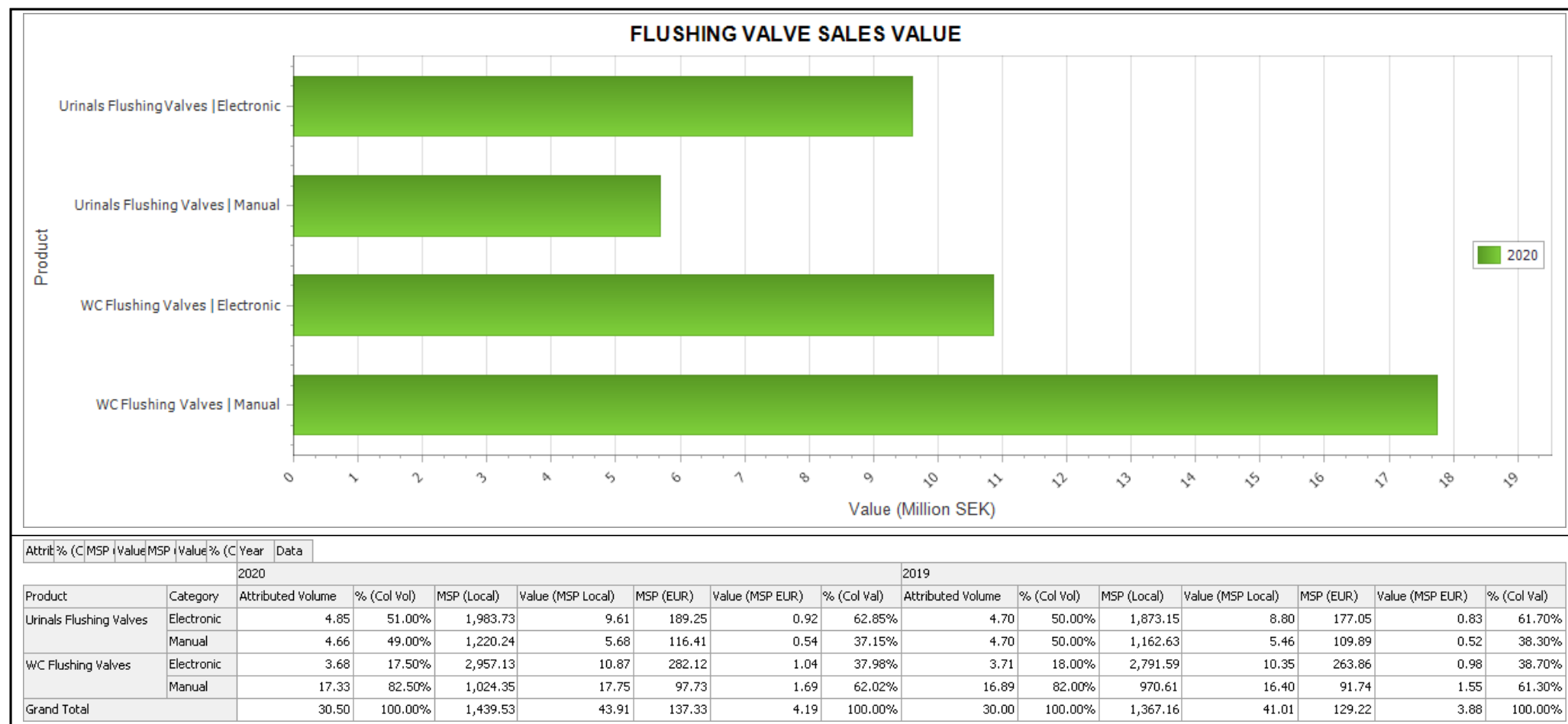
SE - SUMMARY OF TRENDS IN THE FLUSHING VALVE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

3.9.2 Prices and Market Values : Flushing Valves

SE - ESTIMATED VALUES OF THE FLUSHING VALVE MARKET

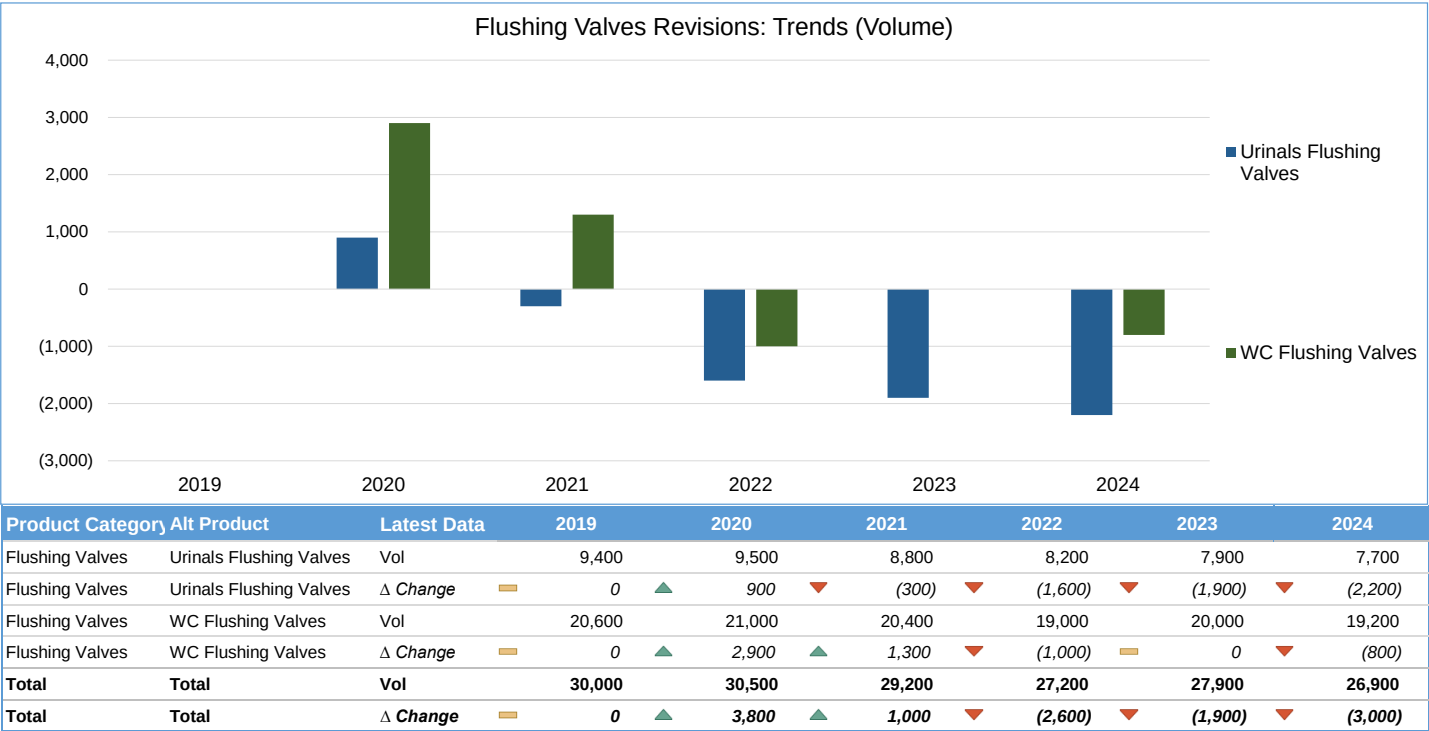


Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Local Prices Shown in SEK. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.10 Revisions in the Swedish Flushing Valves Market (April 2021)

SE - REVISIONS IN THE SWEDISH FLUSHING VALVES MARKET

Data Comparison: April 2020



No revisions have been made to historical volumes and values for this market.

SWEDEN

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Swedish shower wall market has seen sales grow successively over the years, mainly driven by shower enclosures, as wet rooms have become the standard in most bathrooms. Most dwellings are either equipped with a shower or with both a shower and a bath. Sales of shower wall products nearly doubled between 1998-2007, boosted by strong residential housing RMI activity, a growing economy and strong growth in new housing construction output. Sales declined in recent years, however, due to the unfavourable economic environment, but have recovered since 2014. The shower wall market has benefitted from the decline in bath sales, for which popularity declined sharply between 2005 and 2012, before it eventually started to slowly regain popularity among Swedish consumers.

Ever since the early 1990s, the Swedish shower walls market has been characterised by the dominance of shower enclosures. With a growing share of wet rooms and shower trays installed, shower enclosures have gained shares over conventional shower cubicles in recent years. This trend has partly been influenced by the increasing design-focus among Swedish consumers and a preference among installers and property developers for wet rooms. The market is, therefore, still relatively young when compared to other more mature markets such as ceramic sanitary ware. The majority of shower enclosures on the Swedish market are made of glass, and are door or round models fitted with hinges.

Today, conventional shower cubicles are mainly an option for households without wet room installations. As new dwellings today have wet rooms installed because of the requirements of accessibility, the share of cubicles sold to this end-use segment is insignificant. The market for cubicles is, therefore, mainly driven by like-for-like replacement sales in existing dwellings or secondary homes that lack wet rooms. Like in other Nordic countries, most shower cubicles sold in Sweden are sold with mixers, shower accessories and built-in shower trays included. Most cubicles are equipped with glass doors.

Demand for hydrotherapy cubicles and shower panels has been low over the years, due to the historical preference for shower enclosures and conventional shower cubicles. After the financial crisis, the market suffered and declined each year after. Hydrotherapy showers are mainly installed in holiday homes or in existing dwellings, as like-for-like replacements or as a result of conventional shower cubicles' displacement. Because of the important penetration of wet rooms in new dwellings, hydrotherapy showers are seldom installed in the new housing segment.

Historically, bath screens have not been common in Swedish households due to the high penetration of shower curtains, but the number of baths equipped with a bath screen has gradually increased over the years due to the growing preference of consumers for baths in new and existing dwellings. Baths installed with bath screens are commonly referred to as 'shower baths' among Swedish

manufacturers and are characterised by an emphasis on design and functionality. Such products are viable options in apartments as they take up less space than traditional free-standing baths, and can also be found in all dwellings and secondary homes where there are no wet rooms.

Recent Market Trends

The shower wall market experienced growth in 2020, driven by a high increase in housing RMI. Despite a big decline in new housing and non-housing, the overall market recovered after a decline in 2019.

The shower enclosure market has expanded rapidly in recent years, because of their continued high penetration in new dwellings. Despite new housing declining, the shower enclosure market had an increase in 2020, with most demand coming from housing RMI. The ongoing trend towards shower enclosures is further encouraged by increased private consumption and design focus, which has led to a higher share of bathrooms being equipped with shower enclosures rather than shower curtains and cubicles.

Conventional shower cubicles continued to decline in 2020, negatively influenced by the substitution trend towards shower enclosures or shower baths. Sales of these products are expected to keep declining, as other products in the market continue to increase in popularity.

Hydrotherapy shower cubicles are following the negative trend in overall hydrotherapy products. Decline in hydrotherapy shower cubicles has been ongoing for a long time, and the market is not expected to pick up in the forecast period. Most of the sales are coming from RMI and non-housing, whilst new installations in new housing are extremely rare.

Bath screens increased slightly in 2020, following the increase of baths. This market is very small when compared to other European countries, due to the popularity of showers in wet rooms. Wet rooms are expected to keep their popularity, but new houses/villas with bigger bathrooms with space for a bath are slowly becoming more popular.

Prices and Market Values

The average MSP (in SEK) for all shower wall segments increased in 2020, when compared to 2019. The developments in the MSPs were influenced by the ongoing dominance and increase in sales of shower enclosures. As shower enclosures account for the vast majority of the total sales of shower wall products, the average MSP for shower wall products is mainly determined by the fluctuations in the prices seen in the shower enclosure segment.

Average MSPs (in EUR) for bath screens and shower enclosures increased in 2020, after a decrease in 2019 caused by the depreciation of the Swedish Krona against the Euro. On the other hand, the average MSPs (in EUR) for conventional

shower cubicles decreased in 2020, as the Krona fluctuated and the share of imports increased.

New Housing

New housing is a significant end-use segment for shower wall products, as the majority of bathrooms in new builds are wet rooms, generally equipped with shower enclosures.

After a decline in the completions of new apartments and houses in 2019, the total volume of shower enclosures sold to new housing continued to decline in 2020. Sales of cubicles (conventional and hydrotherapy) kept declining, and stayed only marginal in new housing. The number of bath screens installed in new housing was also fairly small in 2020, but this product experienced the smallest decrease out of all shower wall products. Installations of bath screens mainly comprised shower baths installed either in new apartments instead of shower enclosures or in houses with two separate bathrooms. In houses where both a bath and a shower are installed in one larger bathroom, bath screens are less common.

New housing is expected to be a less important market for shower wall sales over the forecast period, despite the housing market being expected to increase slightly in 2021. A moderate decline rate is expected for the next couple of years, before sales of shower wall products eventually resume growth in 2025. The dominance of shower enclosures in new housing is expected to continue to increase further over the forecast period.

Housing RMI

The shower enclosure market is primarily dependent on housing RMI activity. Shower cubicles are often preferred in houses without waterproof insulation, due to the lower costs of bathroom renovation. Some displacements, however, have been seen in recent years between cubicles and shower enclosures, where an increased focus on design has led to higher discretionary spending on full bathroom renovations. Housing RMI sales of shower enclosures are also negatively influenced by the growth in bath screens, which are installed together with baths as an alternative to cubicles in houses without waterproof bathroom insulation.

Housing RMI still remains the largest end-use segment for the shower wall market. It experienced a solid increase in 2020, after a big decline in 2019. The number of full bathroom renovations in recent years has been negatively affected by the changes in the tax deduction scheme ROT from 2016, a shortage of qualified labour, and stricter amortisation requirements.

Bathroom renovation demand is expected to be negative in 2021, after a very high level of housing RMI in 2020. Demand from now should be driven positively by further growth in private consumption, although loan indebtedness should play a crucial role in how the market will behave, together with the new requirements for amortisation loans. The share of shower enclosures is expected to continue to

increase over the forecast period, at the expense of shower cubicles, in this end-use sector.

Non-Housing

Sales of shower walls to the non-housing segment are marginal and mainly consist of sales to the hospitality industry or holiday homes. Sales of conventional shower cubicles are driven by demand from holiday homes that lack the presence of wet rooms. Sales of conventional shower cubicles have faced increased competition in this end-use segment, from hydrotherapy cubicles, in recent years.

Non-housing demand for shower wall products decreased slightly in 2020, as all the product segments went down due to a lack of non-housing projects. The market is dominated by shower enclosures/doors, and other products are very minor in this market. Non-housing activities are projected to stay stable in 2021, and slowly start picking up toward the end of the forecast period.

Supply Structure

The supply of shower wall products in Sweden is fragmented and dominated by Nordic brands. Because of a growing trend towards purchasing a complete bathroom offering at one time, many suppliers offer a diverse range of bathroom products. Many shower enclosure suppliers are, therefore, also present in the conventional shower cubicles segment – and vice versa.

With the large predominance of shower enclosures, this segment makes up most of the market. The shower enclosure market is more fragmented than product segments such as taps and mixers and CSW, which are dominated by one or two players only. The shower enclosure market is dominated by domestic brands, with INR, IFÖ, and SVEDBERGS accounting for about half of the total sales. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (commonly known as MACRO) in late 2016, which is one of the leading companies within bathroom furniture and shower walls in Scandinavia. SVEDBERGS has established three sales departments: *Macro* (a specialist retailer), *Svedbergs Consumers* (which focuses on sales to specialists and DIY), and *Svedbergs Project* (focusing on sales to wholesalers and projects).

Other significant players include BALLINGSLÖV INTERNATIONAL, INNREDA BADRUM, the HAFA BATHROOM GROUP, SKANSKA BYGGVAROR, DUSCHBYGGARNA, and DUSCHOLUX.

'Others' refers to the undisclosed sales made via DIY retailers such as BAUHAUS and K-RAUTA, many of whom source directly from foreign low-cost manufacturers. Also internet-only retailers such as FOLKDUSCHEN, which specialises in the economy/lower price segment, sources all its products from China and sells directly to both private consumers and installers. In addition, 'others' includes brands such as NORO, BATHLIFE, TYLÖ, WESTERBERGS, and NORDHEM. HAFA BATHROOM GROUP acquired NORO AB at the beginning of 2017, which means

that the latter will now go under the name of HAFA BATHROOM GROUP. WESTERBERGS will still focus more on sales to specialists and the bath (including hydromassage) and outdoor spa segment.

Conventional shower cubicle sales are dominated by GEBERIT, and its two brands IFÖ and IDO account for a large share. This market also has a large share of unidentified market players. 'Others' includes many of the same manufacturers present on the shower enclosures market, which typically sell cubicles to provide a complete shower assortment and are mainly distributed through DIY and internet retailers. This is believed to include brands such as INR, NORO, ARROW, BATHLIFE, CAMARGUE, SVEDBERGS, HAFA, SKANSKA BYGGVAROR, MACRO, DUSCHOLUX, and COMBAC. There is also a growing share of private label brands on this market, such as DAHL's ALTERNA. Hydrotherapy cubicles are supplied by HAFA and ARROW, as well as many foreign imports.

The bath screens market is quite fragmented, with many well-known actors involved to varying degrees. INR dominates the market and is closely followed by MACRO. The large share of 'others' mainly consists of foreign brands directly imported by specialist retailers, as well as BATHLIFE, HAFA BATHROOM GROUP, IFÖ, IDO, SVEDBERGS, and DUSCHBYGGARNA.

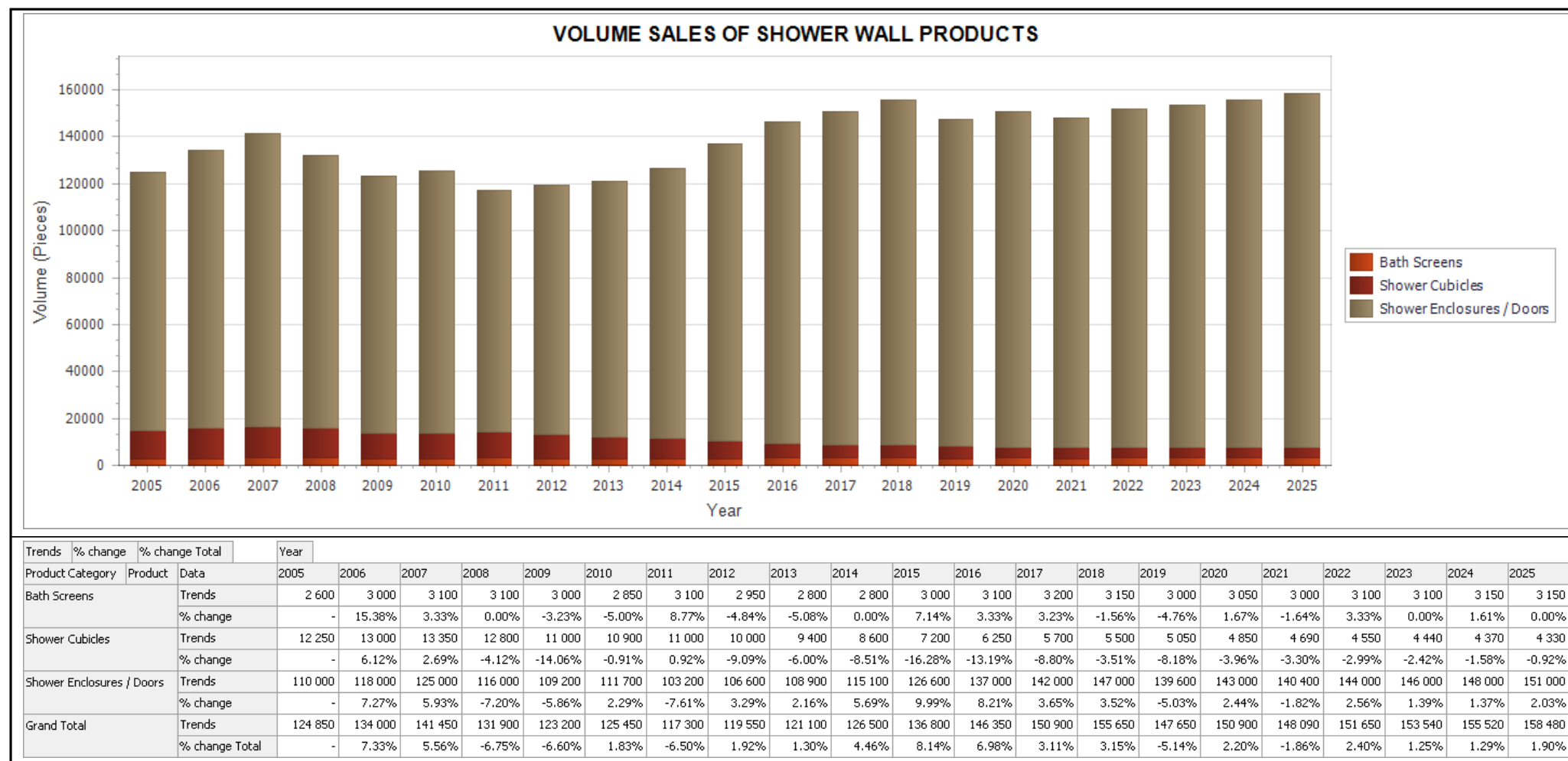
Forecasts

The overall shower wall market increased in 2020, as the market performed significantly better than earlier predicted. The anticipated decline is somewhat expected to happen in 2021 as housing RMI is expected to decrease, affecting especially the sales volumes of shower enclosures/doors. Also, conventional cubicles and hydrotherapy shower cubicles RMI should continue to decrease in 2021. Shower enclosure/door sales are expected to decline, which would negatively affect non-housing in 2021. The New housing shower enclosure share should pick up in 2021, helping to keep the overall market decline slight.

After an anticipated decline in 2021, the overall shower wall market is expected to increase and stay stable throughout the rest of the forecast period. Housing RMI and non-housing should keep the market increasing, despite a fluctuating new housing market. The bath screen market has stayed stable for a decade, and it should stay that way. Continuing the trend of other hydromassage products, hydromassage shower cubicles should continue to decline throughout the forecast period, reaching a new low in 2025. Conventional shower cubicles should continue to decrease, as wet rooms combined with shower enclosures/doors gain share. Shower enclosures/doors should pick up after 2021, and continue to dominate the shower wall market throughout the forecast period.

4.2 Historical Trends and Forecasts : Shower Wall

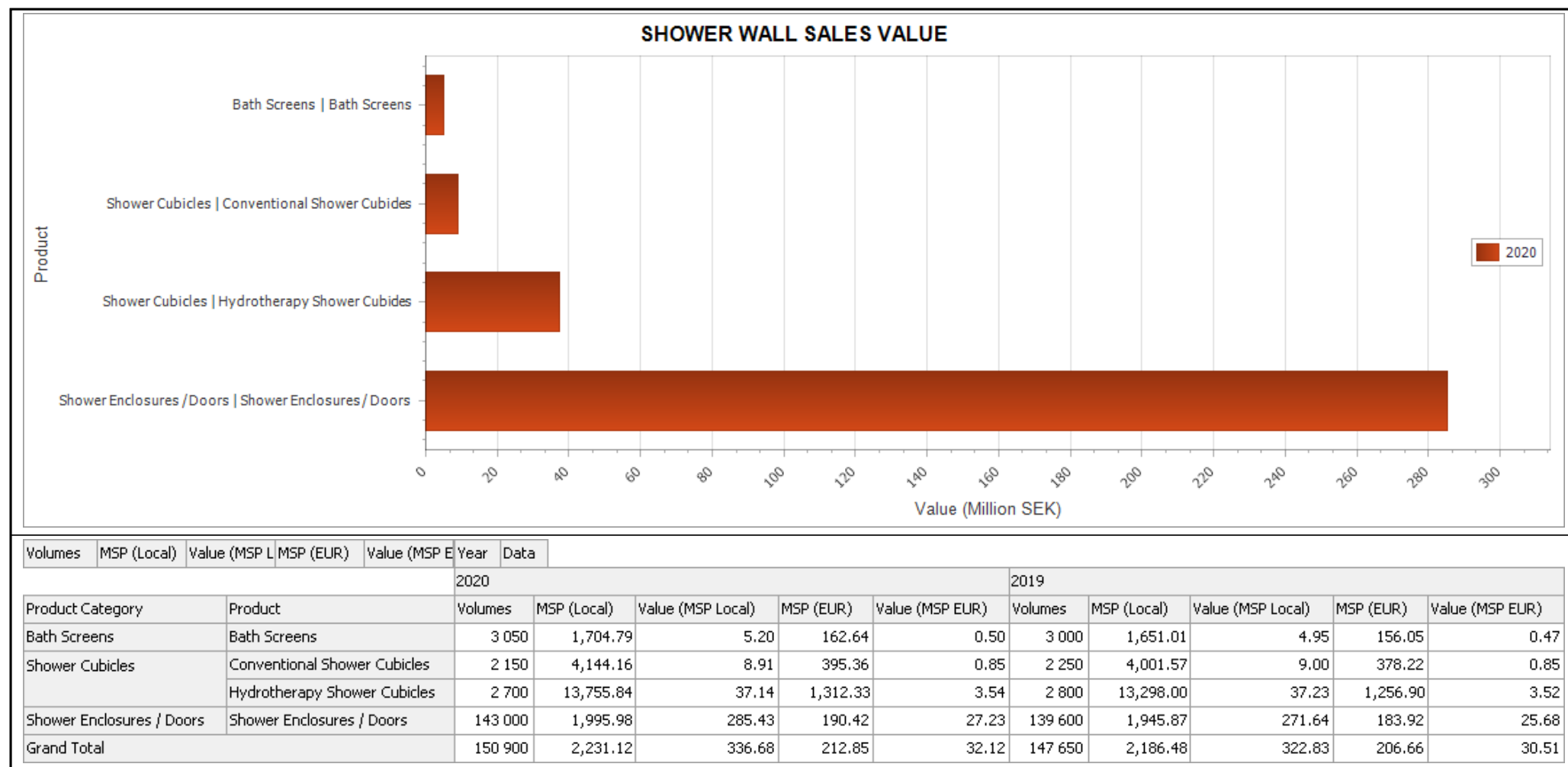
SE - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

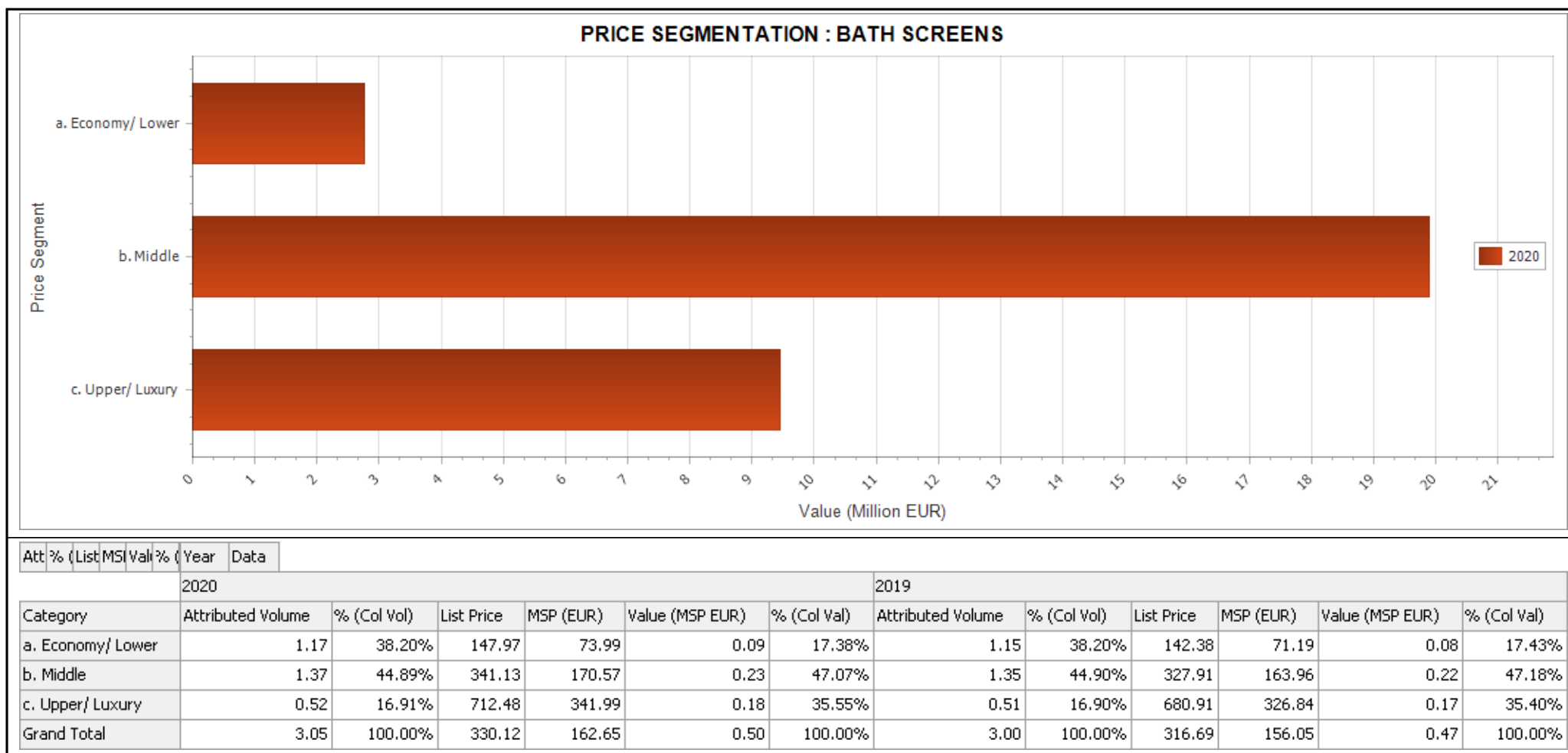
SE - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices in SEK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

4.3.2 Price Segmentation : Bath Screens

SE - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

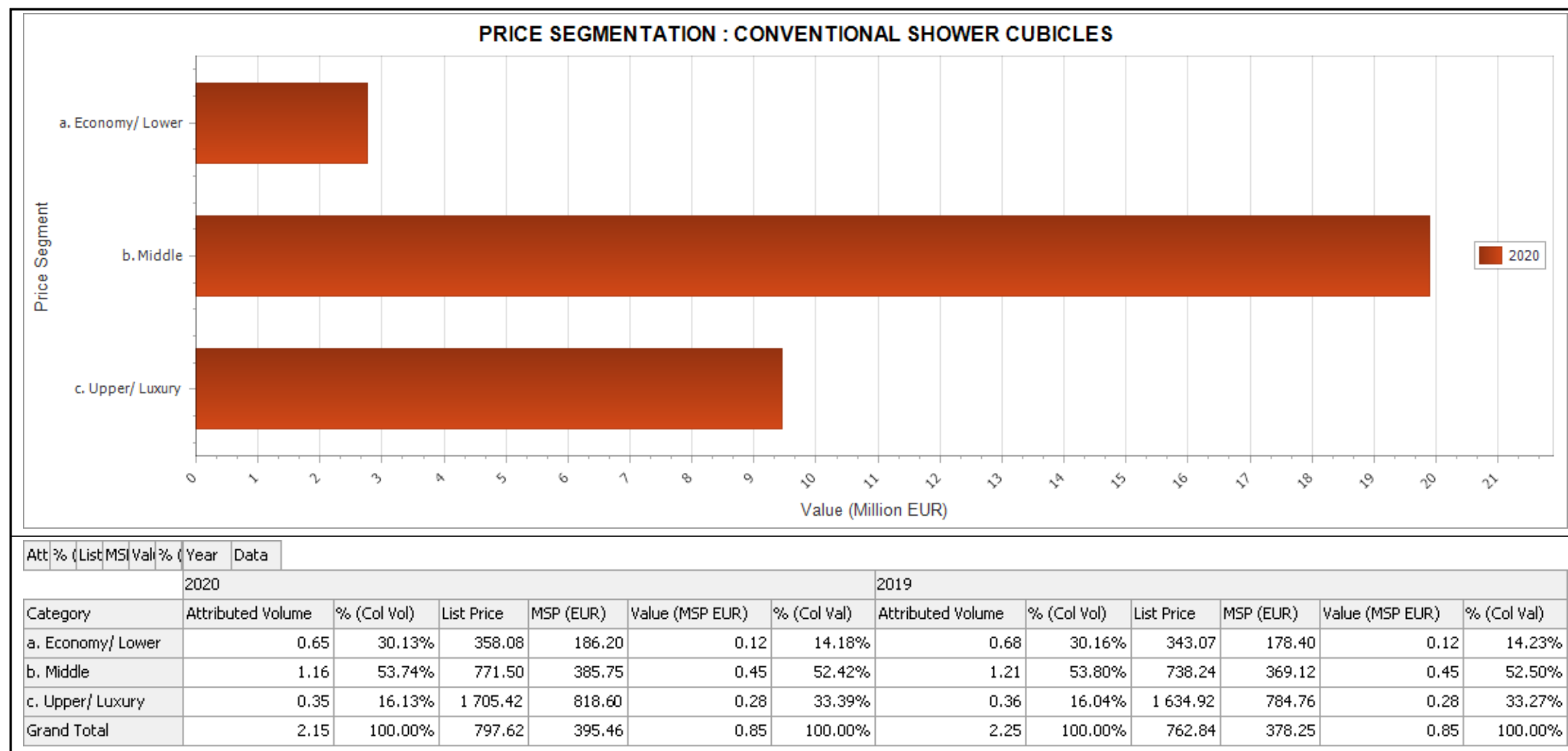


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

4.3.3 Price Segmentation : Conventional Shower Cubicles

SE - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

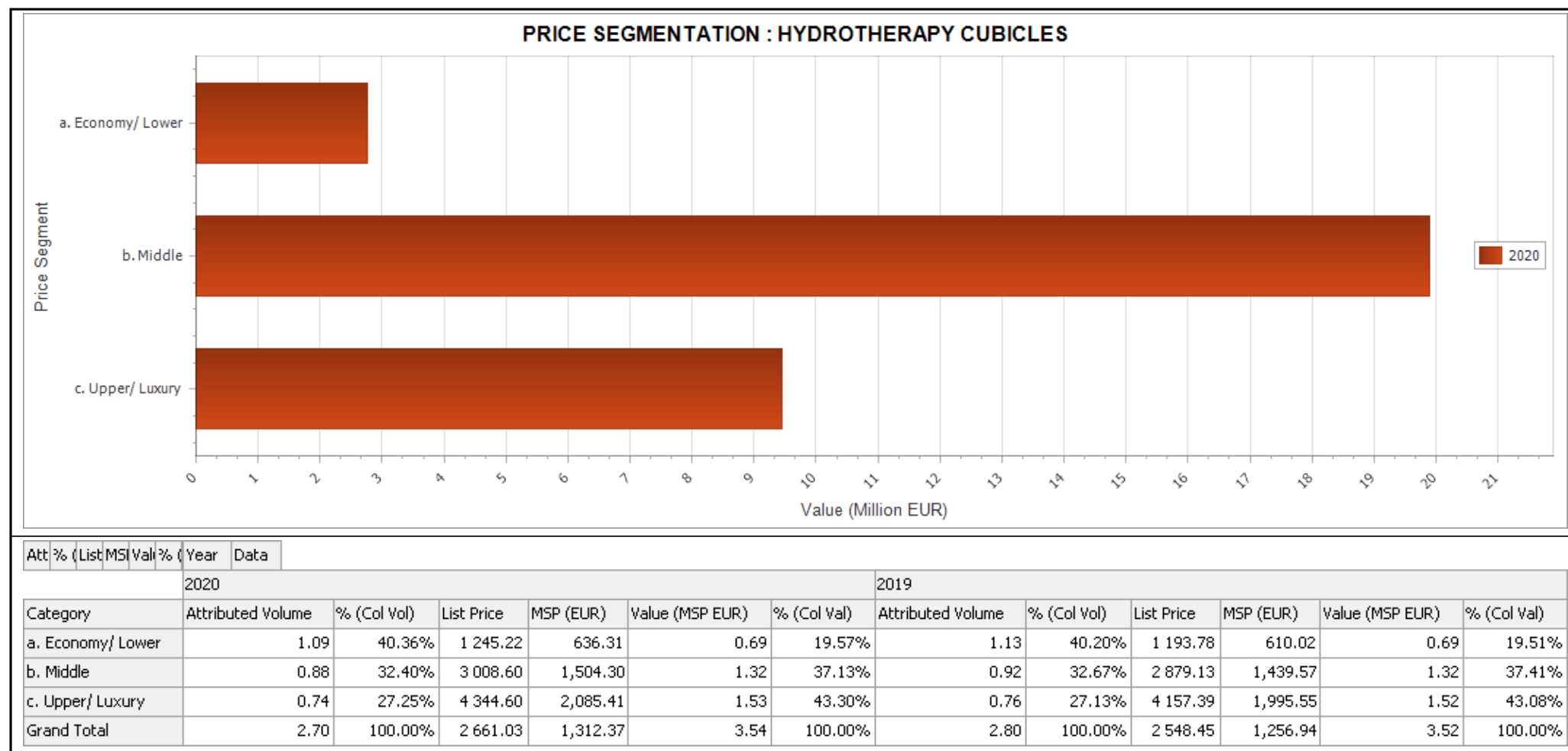


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€250, Middle €250-€500, Upper/ Luxury >€500

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

SE - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

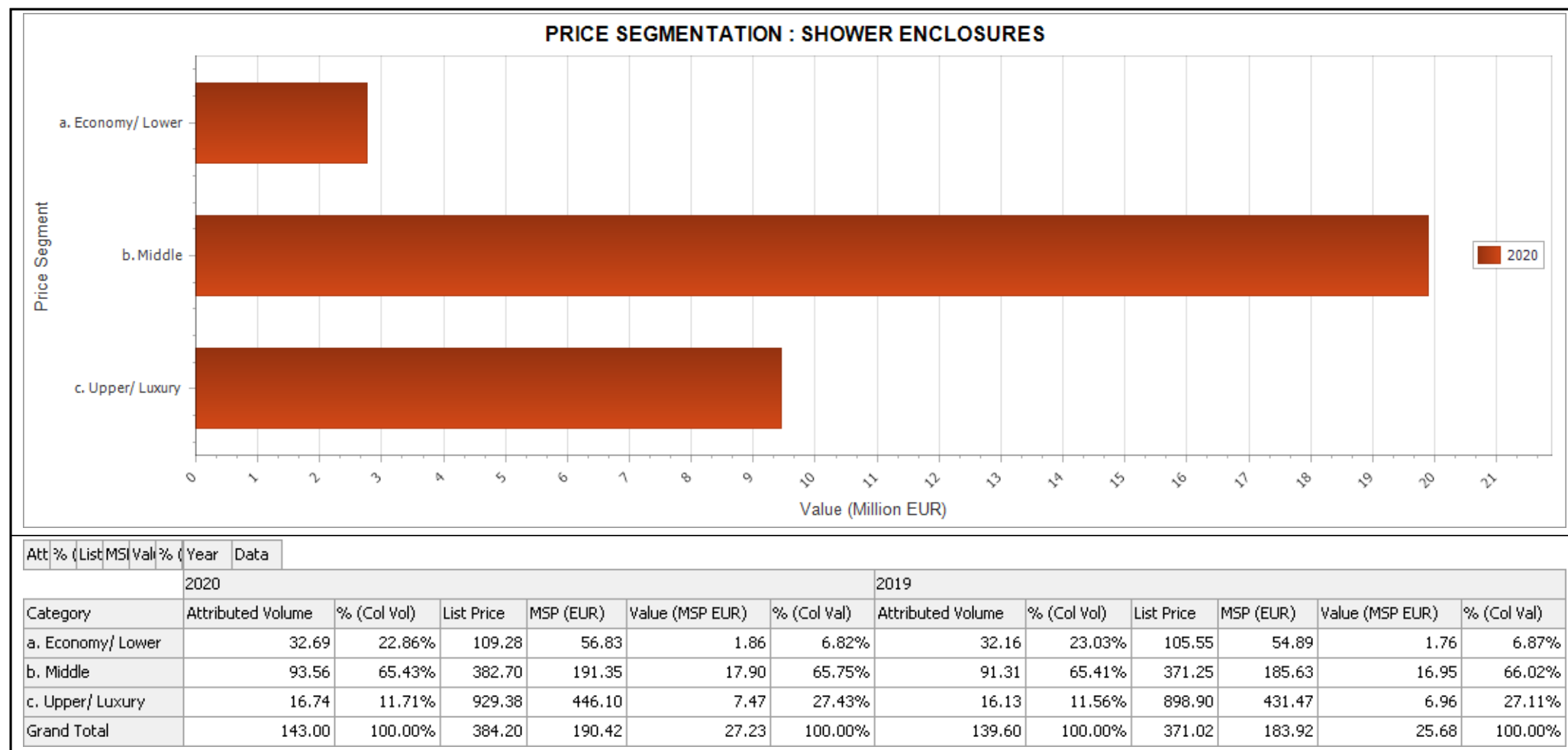


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€1,000, Middle €1,000-€1,600, Upper/ Luxury >€1,600

4.3.5 Price Segmentation : Shower Enclosures

SE - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

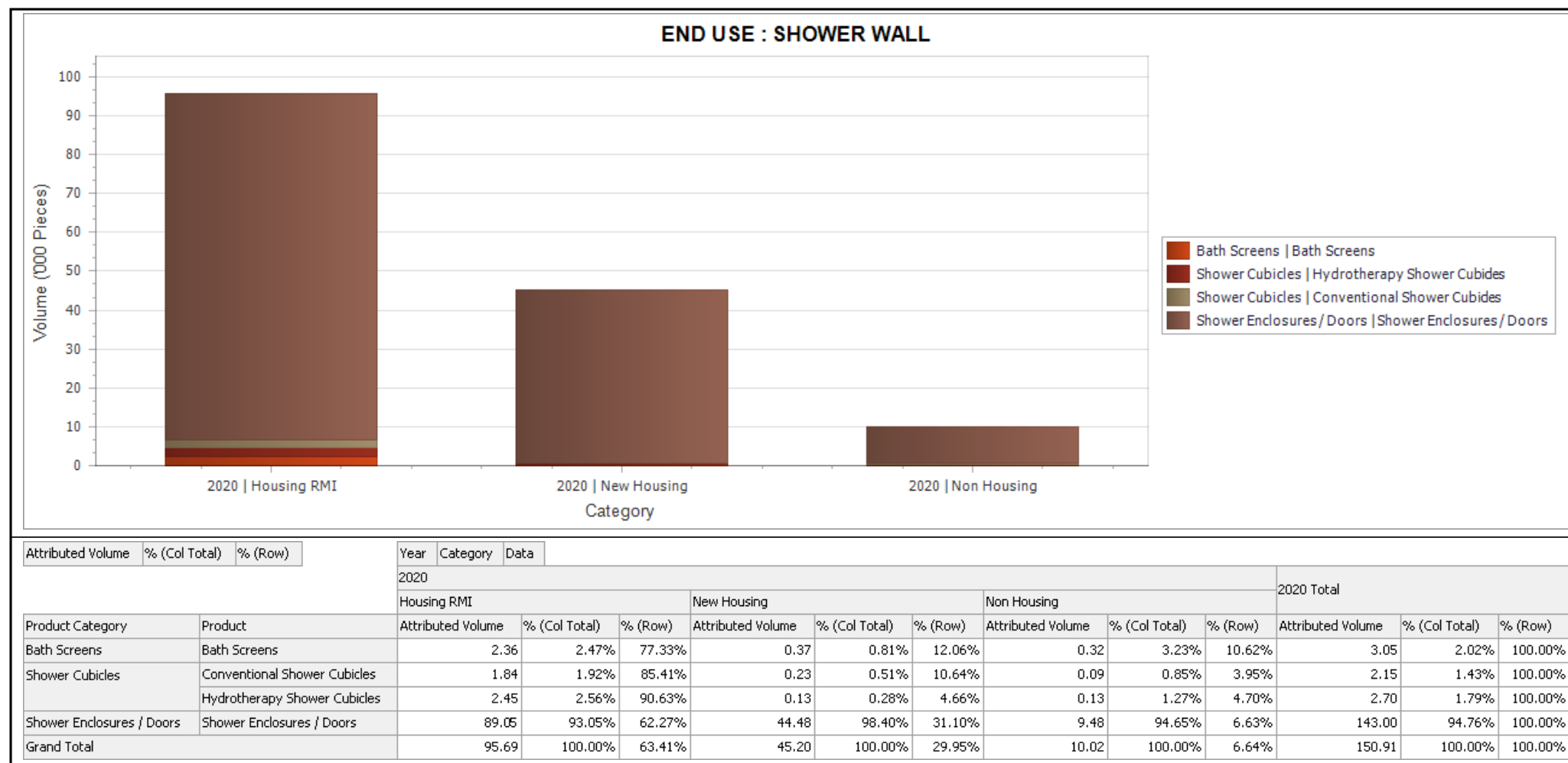


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€250, Upper/ Luxury >€250

4.4.1 End Use : Base Year

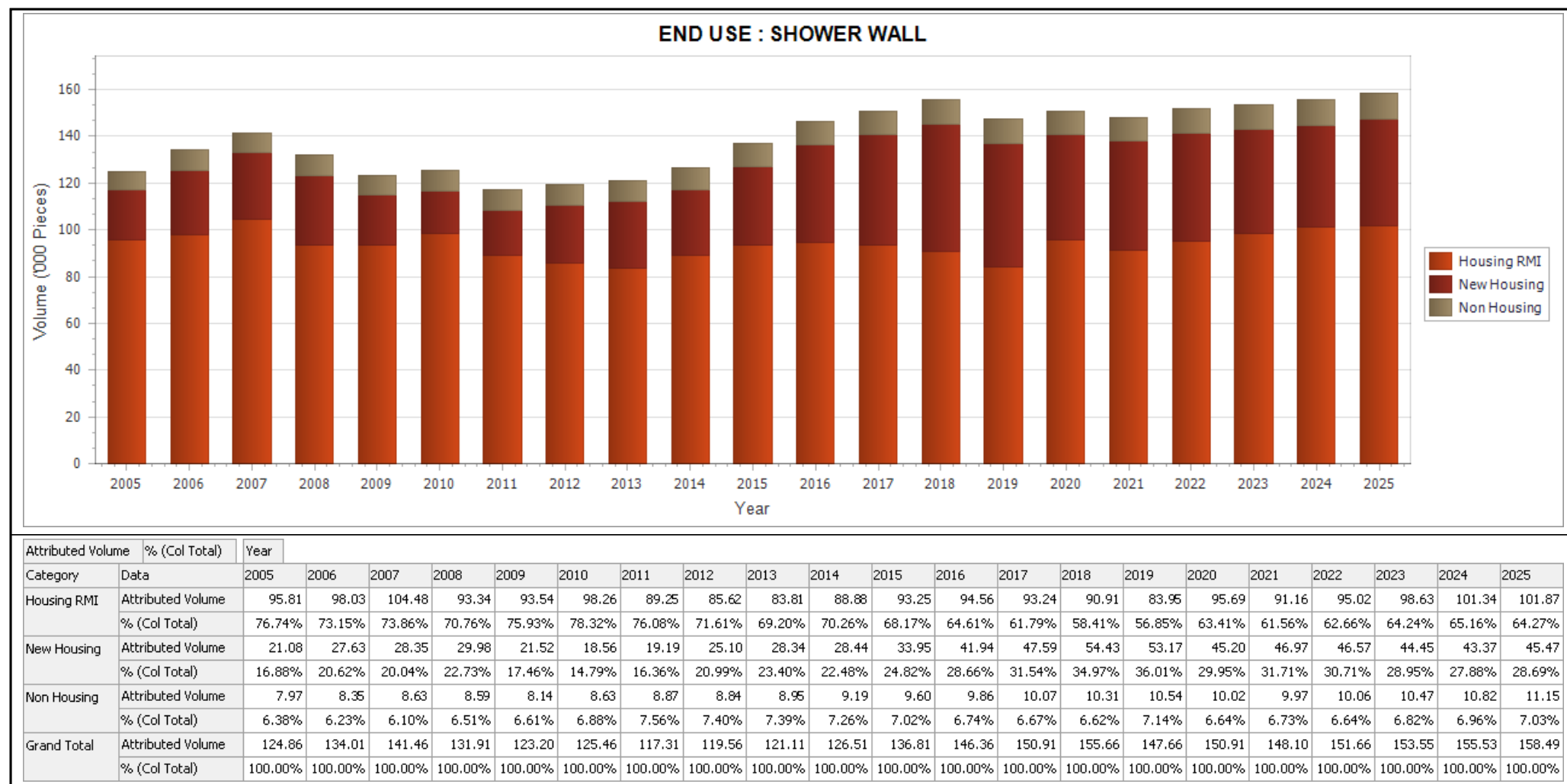
SE - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

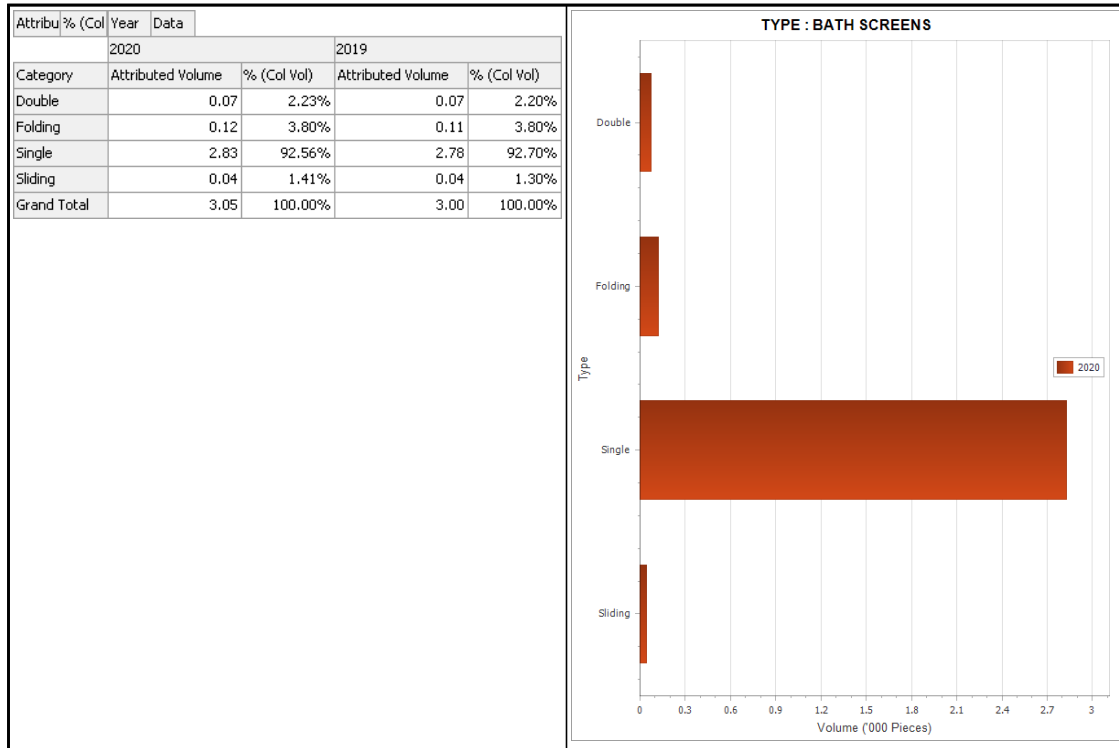
SE - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

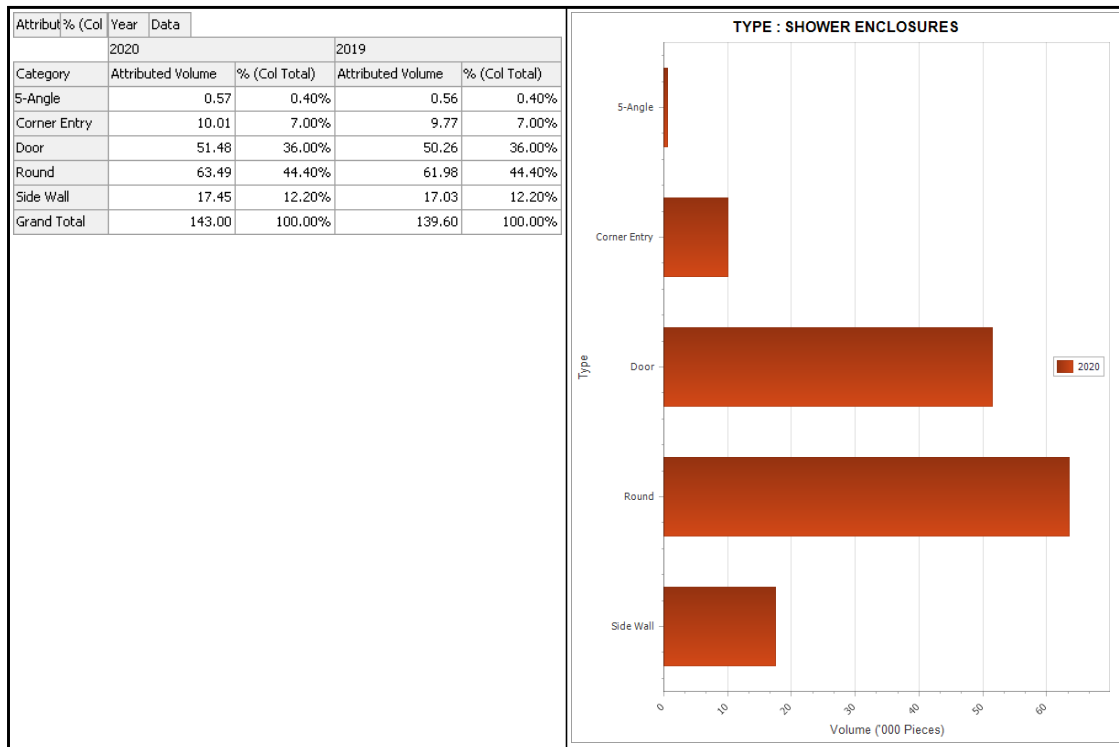
SE - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

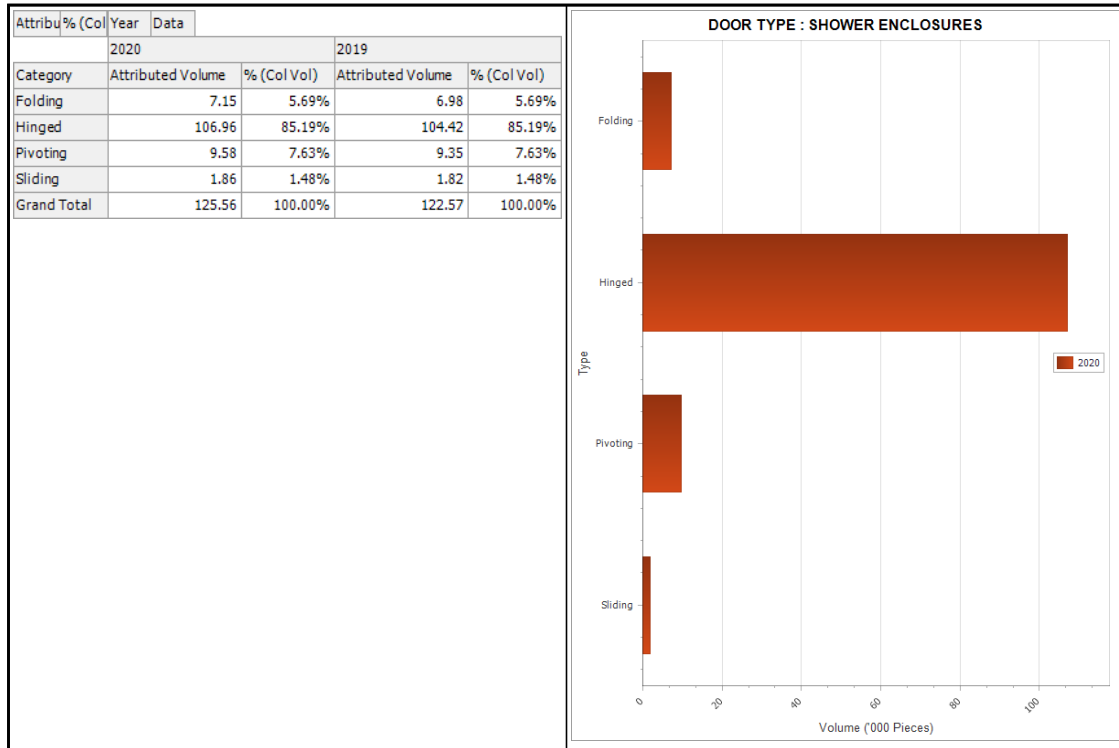
SE - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

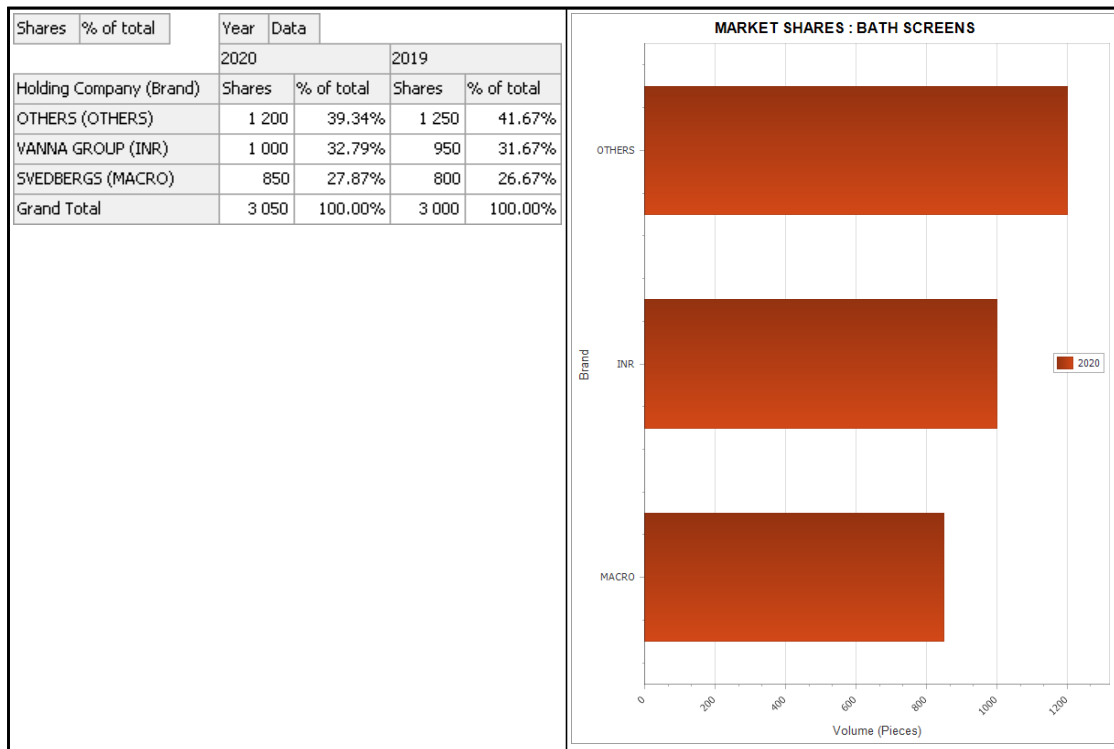
SE - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

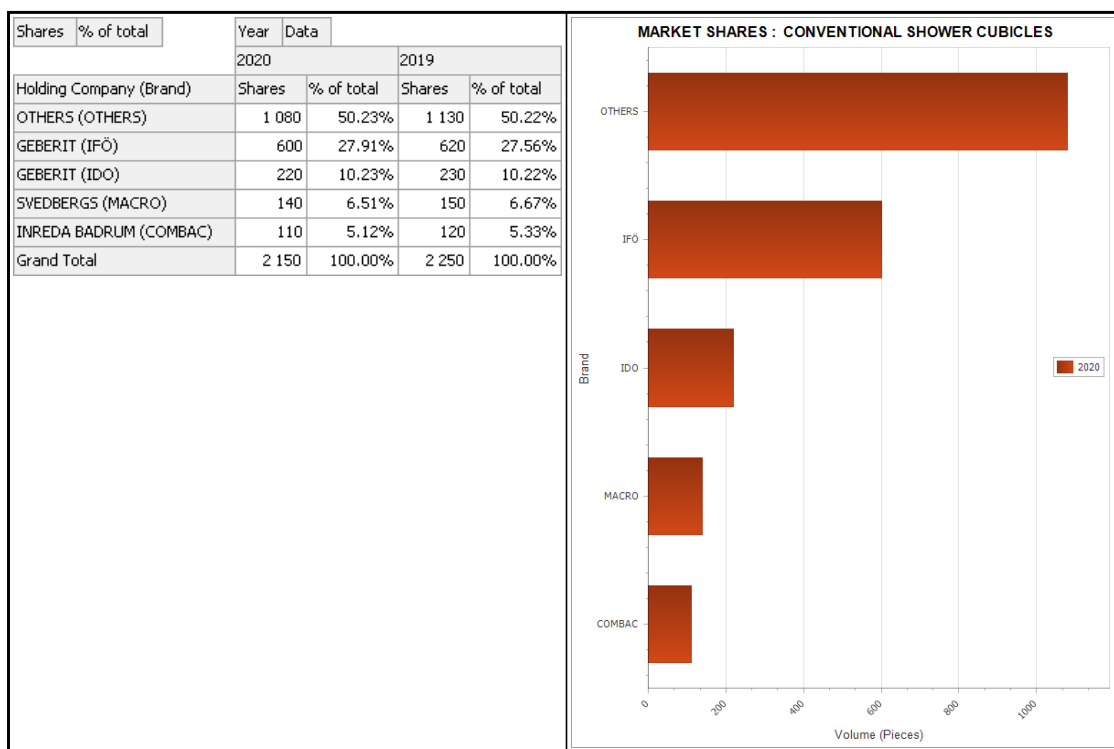
SE - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Conventional Shower Cubicles

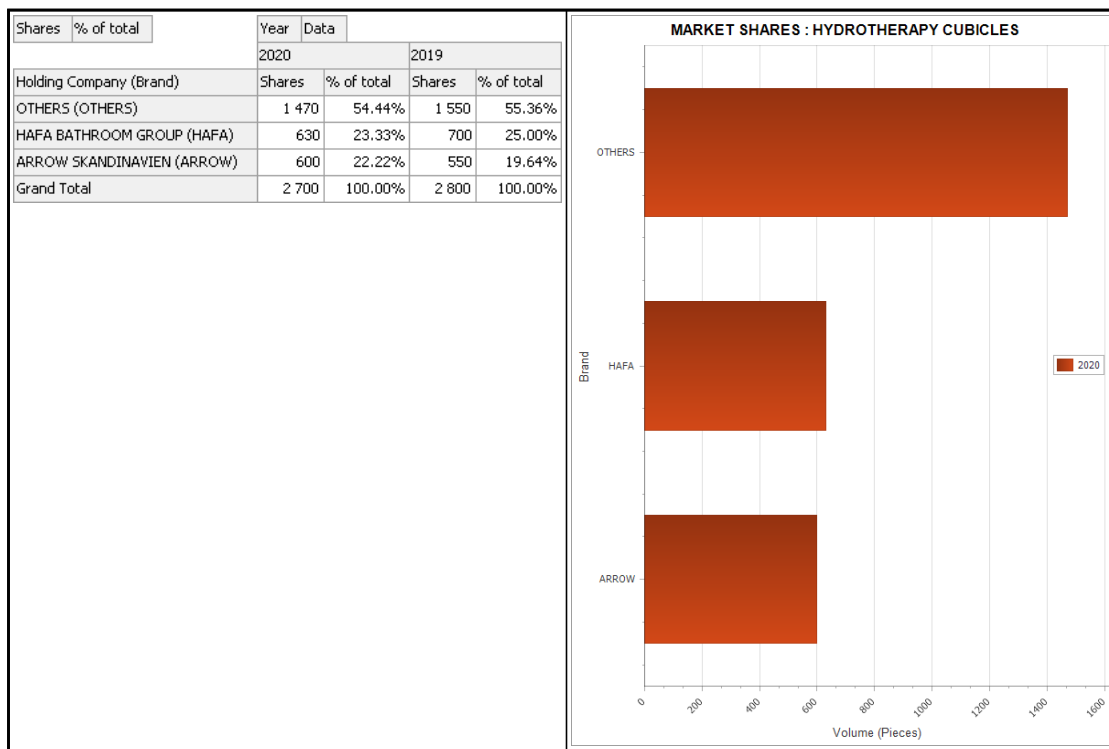
SE - ESTIMATED MARKET SHARES FOR CONVENTIONAL SHOWER CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Hydrotherapy Shower Cubicles

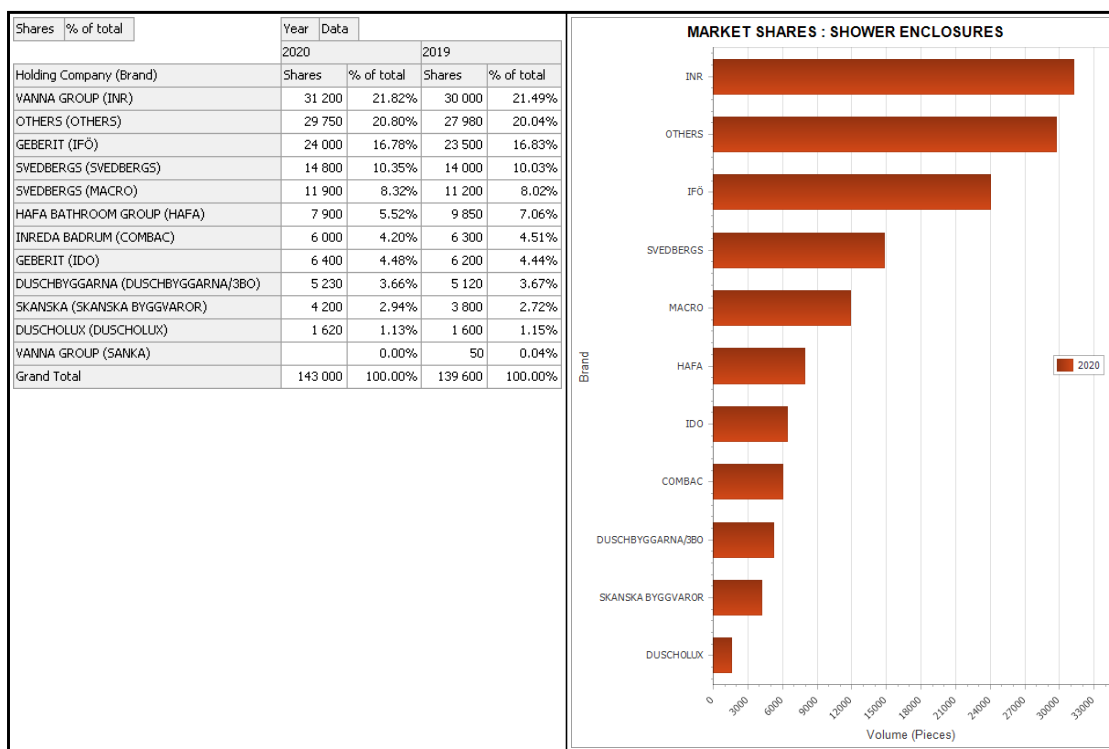
SE - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.4 Market Shares : Shower Enclosures

SE - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
SE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	57.8%
	Wholesalers / Merchants
	57.8%

Retail Level	Manufacturer 7.0%	Wholesaler 3.7%	Manufacturer 11.7%	Wholesaler 12.3%	Manufacturer 14.3%	Wholesaler 17.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.7%		24.0%		31.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
9.2%	14.3%	1.2%	3.2%	6.1%
Installers				
34.0%				

End Use Level	Manufacturer 0.0%	Wholesaler 8.7%	Internet 9.0%	DIY 20.8%	Specialist 25.0%	Installer 29.9%	Manufacturer 0.0%	Wholesaler 1.5%	Internet 0.5%	DIY 0.0%	Specialist 0.5%	Installer 4.1%
	Residential						Non-Residential					
	93.4%						6.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	30.0%			63.4%			4.9%			1.7%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	26.4%	3.6%		6.2%	57.2%		4.0%	0.9%		1.5%	0.2%	

4.6.2 Route to Market: Shower Wall
SE - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	58.9%
	Wholesalers / Merchants
	58.9%

Retail Level	Manufacturer 6.9%	Wholesaler 4.0%	Manufacturer 10.5%	Wholesaler 13.5%	Manufacturer 14.1%	Wholesaler 18.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.9%		24.0%		32.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
9.6%	16.4%	1.2%	3.6%	6.7%
Installers				
37.5%				

End Use Level	Manufacturer 0.0%	Wholesaler 4.8%	Internet 9.2%	DIY 20.4%	Specialist 25.0%	Installer 33.6%	Manufacturer 0.1%	Wholesaler 2.1%	Internet 0.5%	DIY 0.0%	Specialist 0.5%	Installer 3.8%
	Residential						Non-Residential					
	93.0%						7.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	28.7%			64.3%			5.1%			1.9%		
	Project	Non-Project		Project	Non-Project		Project	Non-Project		Project	Non-Project	
	23.5%	5.2%		10.6%	53.7%		4.9%	0.2%		1.6%	0.3%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

SE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2020

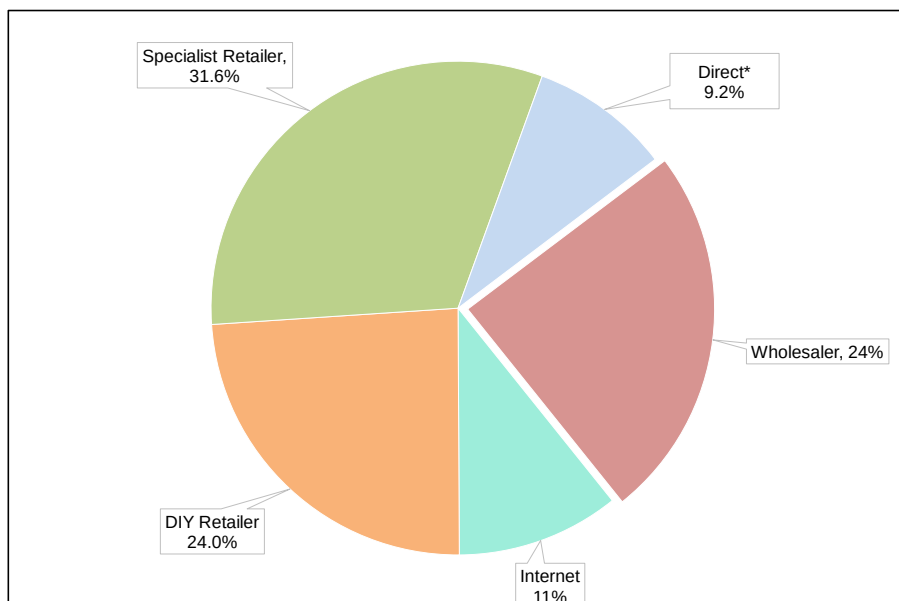
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
24.5%	10.7%	24.0%	31.6%	9.2%	32.6%	5.5%	60.8%	1.1%
100%					38.1%		61.9%	

4.6.4 Route to Market - Consolidated View : Shower Wall

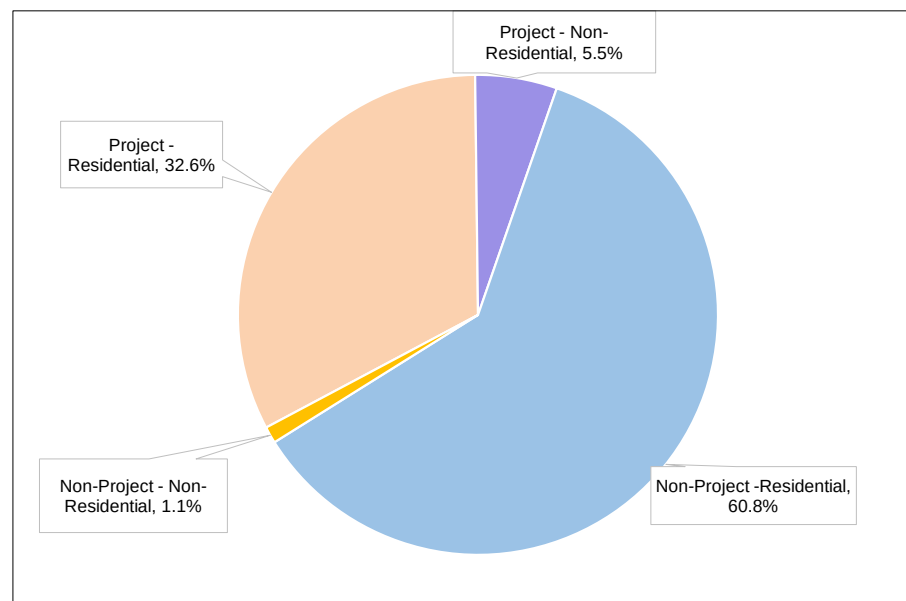
SE - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.3%	10.9%	24.0%	32.2%	9.6%	34.1%	6.5%	58.9%	0.5%
100%					40.6%		59.4%	

SE - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2020



SE - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2020



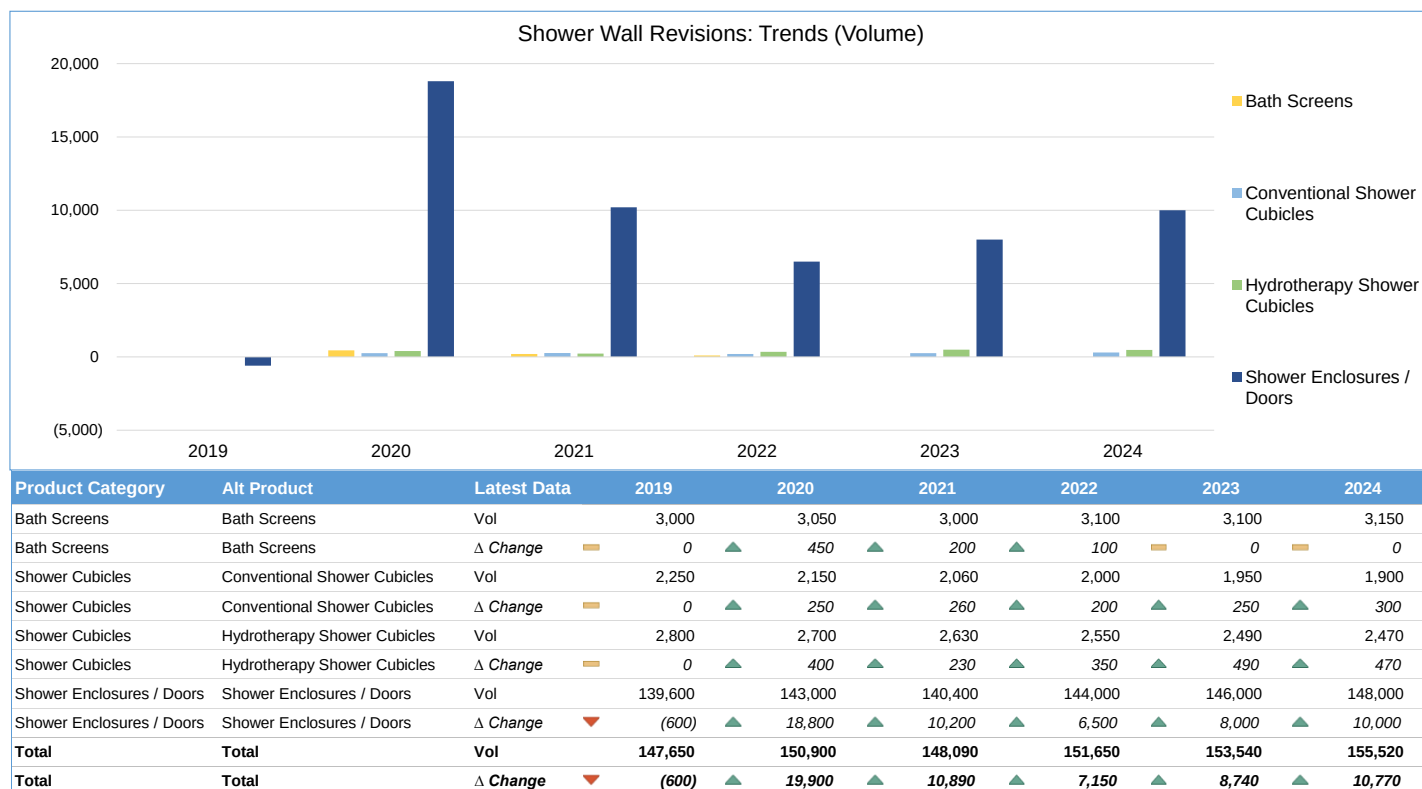
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Swedish Shower Wall Market (April 2021)

SE - REVISIONS IN THE SWEDISH SHOWER WALL MARKET

Data Comparison: April 2020



No or marginal changes were made to the historical sales and values of shower wall products.

SWEDEN

BATHROOM FURNITURE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Since the 1980s, many rented multi-family dwellings have been converted into housing cooperatives. This shift from renting to owning initiated a housing RMI boom in demand, with kitchens and bathrooms being the two main areas for major improvements. This became a golden era for bathroom products in general, whereby the focus on design and quality increased in line with the higher standards among Swedish consumers. As a result, the popularity of products perceived as luxurious increased and bathroom furniture became more common. As these dwellings were former rental apartments, they were equipped with smaller bathrooms than those in purpose-built apartments, restricting available floor space for bathroom furniture. Therefore, households were not able to fit everything in the bathroom and were forced to prioritise options. This trend affected sales of base units and floor-standing cupboard units, as these apartments seldom fitted both products. Nevertheless, the rate of conversion to housing cooperatives has been one of the main market drivers for bathroom furniture over the years.

More recently, a decrease in rentals being converted into housing cooperatives has been observed, and the market has increasingly become more dependent on new housing output. This has influenced the development of the bathroom furniture market, which grew from the beginning of the new millennium, initially recording double-digit growth rates, but then slowing down to only single-digit growth rates from 2005. The market took a hit after the outbreak of the financial crisis, when growing economic uncertainty led to a drop in new construction and housing RMI activity. However, after 2014 the bathroom furniture market started to increase as the Swedish economy became more stable.

Quality, design and functionality are important factors in the Swedish bathroom furniture market, and the recent development in the product offer can be explained partly by changes in the importance of these three characteristics for consumers. Mirrors and medicine cabinets have gradually increased in popularity in recent years, because of the growing share of apartments in the new construction mix and the relative advantage of these products in terms of space saving. Sales of mirror cabinets have been dominating the mirror market, due to their convenience in terms of storage. There has been, however, a growing trend towards using mirrors, as the popularity of separate cabinets (often used in combination with mirrors) has increased in recent years. Because of the lack of floor space, an increasing share of separate cabinets sold are wall-hung models. The share of smaller base units, fitted underneath the countertop washbasin, has also increased – in line with the increased focus of consumers on functionality and design.

The growing importance of design has also led to an increase in the share of countertop materials other than ceramic. Ceramics and synthetics (mainly cast marble) continue to be the two dominant materials used for washbasins. Most base unit casings sold are made of wood and, but to a lesser extent, chipboard. Base units with chipboard casings are often sold in the lower price segments, while wood

casings are higher-priced. Since separate cupboard units are often bought from the same range as base units, so the shares of different materials are, therefore, relatively similar – with wood, however, dominating the market for separate cupboard units. The majority of mirror cabinets are made of solid wood or other materials.

Recent Market Trends

The Swedish economy stayed relatively open in 2020, which allowed the bathroom market to perform better than initially anticipated. The overall bathroom furniture market decreased only slightly in the year, driven mainly by the decline in new housing construction. The weakening in 2020 was mainly due to a decrease in sales of mirrors and mirror cabinets, which depend the most on new housing construction out of all the bathroom furniture product categories. Both base units/vanities and separate cabinets saw a decrease in the year, due to the lack of new housing construction.

Sales growth has been evenly spread across product categories, which can be explained by the growing popularity of buying bathroom furniture as a ready package, instead of separately, as consumers wish to have products that have a homogenous aesthetic. These packages often include separate cabinets, a base unit and a washbasin countertop. Mirror cabinets can also be included. Packages like these are popular amongst specialists selling to both professionals and consumers. Based on sales in the recent years, it would seem that the market turmoil and shift towards cheaper units have resulted in fewer separate cabinets in these packages. Base units have also become fewer and cheaper, while mirrors and mirror cabinets have mostly become cheaper.

Business-to-consumer (B2C) sales have become more significant, as consumers are becoming more important decision makers at the buyer level. The response to this is a growing trend towards internet distribution, whereby the consumer him/herself can view and touch the products in one of the many showrooms that are increasing in numbers across the country, and then purchase products online. Another response is to offer 'pick-and-mix', whereby the consumers can put together their own products into a package according to their own style. This is where the internet has played an important and growing part, as much of this is done online.

The housing RMI market has long been slow for bathroom furniture, but in 2020 it experiences a slight increase. This was mainly due to an increase in base units. The tightening of the amortisation requirements for housing loans had previously pushed people to wait for bathroom renovations after moving into a new dwelling. Replacements of bathroom furniture, however, seem to be more common in big cities – where people tend to move more often. People have started to view the bathroom as a more important part of the dwelling, which should reflect on their personal style. New owners of a dwelling are therefore more willing to renovate the bathroom, even if the previous owners renovated the bathroom very recently.

Prices and Market Values

The average MSPs (in SEK) for all bathroom furniture products increased in 2020, when compared to 2019. Mirrors and mirror cabinets have been seeing a price decrease in recent years, due to an increase in sales of cheaper units. This is the result of strong price competition in the project market and an increased activity regarding rental apartments. However, in 2020 all the products had price increases, as the cost of materials increased due to a fluctuating Swedish Krona. The overall market value of each product in EUR increased, when compared to 2019.

Average MSPs (in EUR) for bathroom furniture increased in 2020 when compared to MSPs in SEK, as the Swedish Krona stabilised after fluctuating in the spring.

New Housing

The bathroom furniture market is progressively mature and, therefore, any growth is increasingly dependent on growth in new housing output. The popularity of bathroom furniture has increased steadily in this end-use sector over the years, with the biggest changes being seen as a consequence of changes in the mix between new houses and apartments built. In apartments, where available space is more limited than houses, the total number of bathroom furniture products installed tends to be significantly lower than in new houses. However, there is a growing trend to build larger bathrooms, especially in houses, as the bathroom has become a more popular room in recent years. The bathroom is becoming more linked with the individual's living style, and more dedication has been made to allow people to make the room feel more personal.

Sales of bathroom furniture to new housing are also linked to the number of washbasins sold, whereby a large majority are sold as part of bathroom furniture packages, including a washbasin but excluding taps and mixers. Nevertheless, the penetration rate of bathroom furniture within the new housing sector is relatively high, especially in new houses, wherein most washbasins are countertops.

With a growing penetration rate of smaller base units, mirrors with lights and smaller wall-hung separate cabinets in apartments, the bathroom furniture market grew in 2020, in line with the increase in new dwelling completions.

New housing is expected to diminish in importance as an end-use segment over the forecast period, as the boom in the housing market is widely expected to be over. The development in new apartments is set to drive most of this growth over the forecast period, but the recovering house/villa market should also contribute to this development, especially towards the end of the forecast years.

Housing RMI

The overall bathroom furniture market is heavily dependent on housing RMI sales. As a mature market, a considerable share of sales are like-for-like replacements.

Most homeowners opt to install at least a base unit and mirror cabinet, but they often include additional pieces of bathroom furniture, such as separate cabinets, as well. Growth in housing RMI demand can, therefore, often be explained by factors such as higher full bathroom renovations and the increasing popularity of washbasin countertops, upgrades, and a general increase in the number of bathroom furniture packages sold. The replacement of washbasin countertops and base units tends to be closely linked, as many base units are fitted underneath a washbasin. Because of concerns with fittings, it is thus often necessary to replace both units.

As a result of the dominance of pure replacement sales when compared to full renovation sales, a significant percentage of the housing RMI market is made up of sales to end-customers, through either DIY, specialist or internet retailers. Products sold to the professional segment are mainly large-scale renovation projects, such as housing cooperatives or full bathroom renovation projects.

Since bathroom furniture is becoming more viewed as a lifestyle product linked to consumers' personal tastes, it is more common to renovate a bathroom after moving into a new dwelling, despite the bathroom being renovated recently. This is more common in big cities, wherein people tend to move more.

In 2020, the bathroom industry's housing RMI performed better than previously expected. Housing RMI is more diversified than the other segments within the bathroom industry. Most manufacturers are operating in this segment, but it is considered to be relatively easier for smaller companies to enter when compared to the non-housing and new housing segments. Housing RMI is expected to continue to stay stable or slightly decline for most of the forecast period, but turn positive at the end of this time. The positive activity should be maintained within the housing RMI segment until the end of the forecast period, influenced by the growing popularity of bathroom furniture as a design and living style product. The functionality of bathroom furniture has also been improving in recent years, which should benefit the market and lead to a higher share of basins with furniture over the next couple of years.

Non-Housing

Sales to the non-housing segment are marginal and mainly consist of sales to the hospitality industry. This is a result of most public bathrooms being standardised in Sweden. For the non-residential segment, the standards are ceramic or, to a lesser degree, stainless steel wall-hung washbasins with no casing. The general exceptions to this rule are upper segment hotels and restaurants. In large washrooms, in industrial buildings, army barracks and schools, one large stainless steel washbasin commonly replaces individual water basins, with several taps sharing drainage or a stainless steel monobloc-style washbasin, with one basin for every tap.

The volume sales of bathroom furniture in this end-use sector declined in 2020. Growth in non-housing is expected to turn positive in 2021, and stay relatively

stable throughout the forecast period.

Supply Structure

The Swedish bathroom furniture market is made up of many domestic and Nordic suppliers. The market is very fragmented and characterised by a large share of 'others'. Since bathroom furniture products are often sold as part of a complete range, the same manufacturers tend to be present across all product segments. The importance of having a strong brand has increased across all price segments, with the biggest impact being seen in the middle and upper price segments. Economy brands such as IKEA also have a strong position in the bathroom furniture market, and so do the market leaders with their domestic brands IFO, SVEDBERGS, and VEDUM. SVEDBERGS acquired MACRO INTERNATIONAL AKTIEBOLAG (commonly known as MACRO) in late 2016, which makes it one of the leading companies within bathroom furniture and shower walls in Scandinavia. SVEDBERGS has established three sales departments: *Macro* (a specialist retailer), *Svedbergs Consumers* (which focuses on sales to specialists and DIY), and *Svedbergs Project* (focusing on sales to wholesalers and projects).

Manufacturers with primary operations within the kitchen furniture market supply a large share of bathroom furniture products in Sweden. Examples include BALLINGSLÖV, VEDUM, HTH, and MARBODAL – with HTH and MARBODAL belonging to the NOBIA GROUP. Most furniture manufacturers, apart from dedicated bathroom furniture manufacturers, also produce wardrobes. These products are often sold via the same distribution channels, most commonly through specialist retailers.

The other large share of suppliers originates from the ceramic manufacturing industry. These companies mainly focus on bathtubs, washbasins and WCs, and often seem to look at bathroom furniture as complementary products to its existing range. This includes suppliers such as IFÖ SANITÄR and GUSTAVSBERG. The share of 'others' includes brands such as MARBODAL, HTH, VVS MARKETING, WESTERBERGS, DEMERX, PUUSTELLI, JKE DESIGN, NORO, TEMEL, and BATHLIFE. HAFA BATHROOM GROUP acquired NORO AB at the beginning of 2017, which means that the latter will now go under the name of HAFA BATHROOM GROUP. WESTERBERGS will still focus more on sales to specialists and the bath (including hydromassage) and outdoor spa segments.

A considerable share is also made up of imports. The majority of these imports are sold unbranded or under private labels, through wholesalers and DIY retail chains in the low or economy price segments. Examples of private label brands include DAHL's ALTERNA. Moreover, DIY retailers CHEAPY and JULA sell their own brands of base units, mirrors and mirror cabinets. The internet retailer SKÅNSKA BYGGVAROR also supplies bathroom furniture products under its own private label offering.

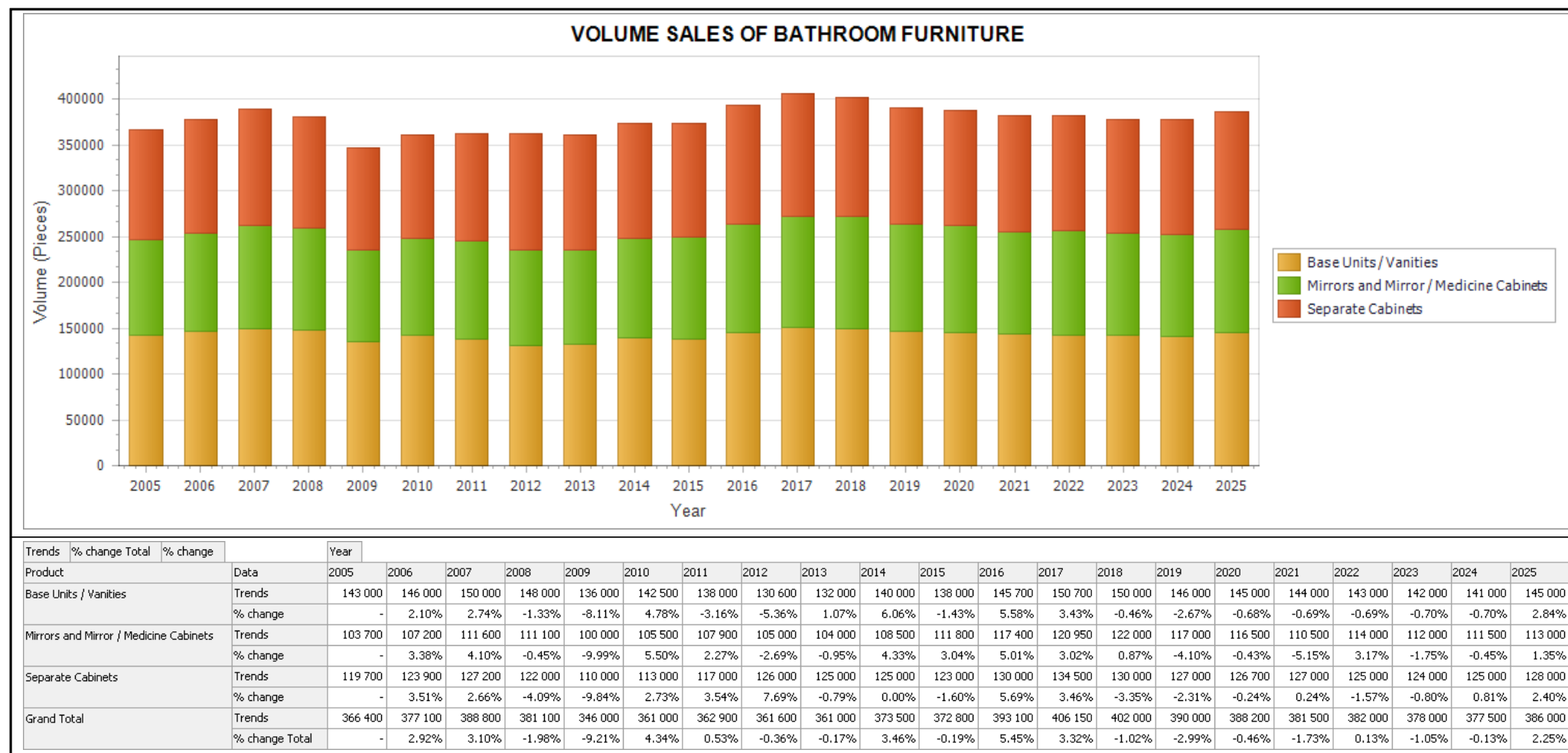
Forecasts

The overall bathroom furniture market is expected to experience a decline in 2021. After a strong housing RMI year in 2020, the segment is expected to weaken, bringing down the entire bathroom furniture market. New housing is expected to increase in 2021, mainly due to sales of base units/vanities and separate cabinets, which will keep the decline moderate. Larger bathrooms are becoming more popular among new establishments, which especially benefits the market for separate cabinets. Non-housing base unit/vanities' sales are expected to keep the non-housing market stable in 2021.

Based on preliminary figures on SCB, the new housing market is expected to fluctuate during the forecast period, which will affect the overall bathroom furniture market. Housing RMI should pick up after 2021, but BRG does not anticipate any major changes to the overall trends over the forecast period, as the RMI levels are anticipated to stay relatively stable. The non-housing bathroom furniture market has had a steady growth rate over the last decade, and although it suffered in 2020, it is anticipated to continue to increase at a similar level throughout the forecast period. The growing popularity of mirrors is set to increase at the expense of mirror cabinets, as well as combining a mirror with separate cabinets. Moreover, wall-hung separate cabinets are expected to gain market share over the floor-standing ones – as they improve the accessibility in the room.

5.2 Historical Trends & Forecasts : Bathroom Furniture

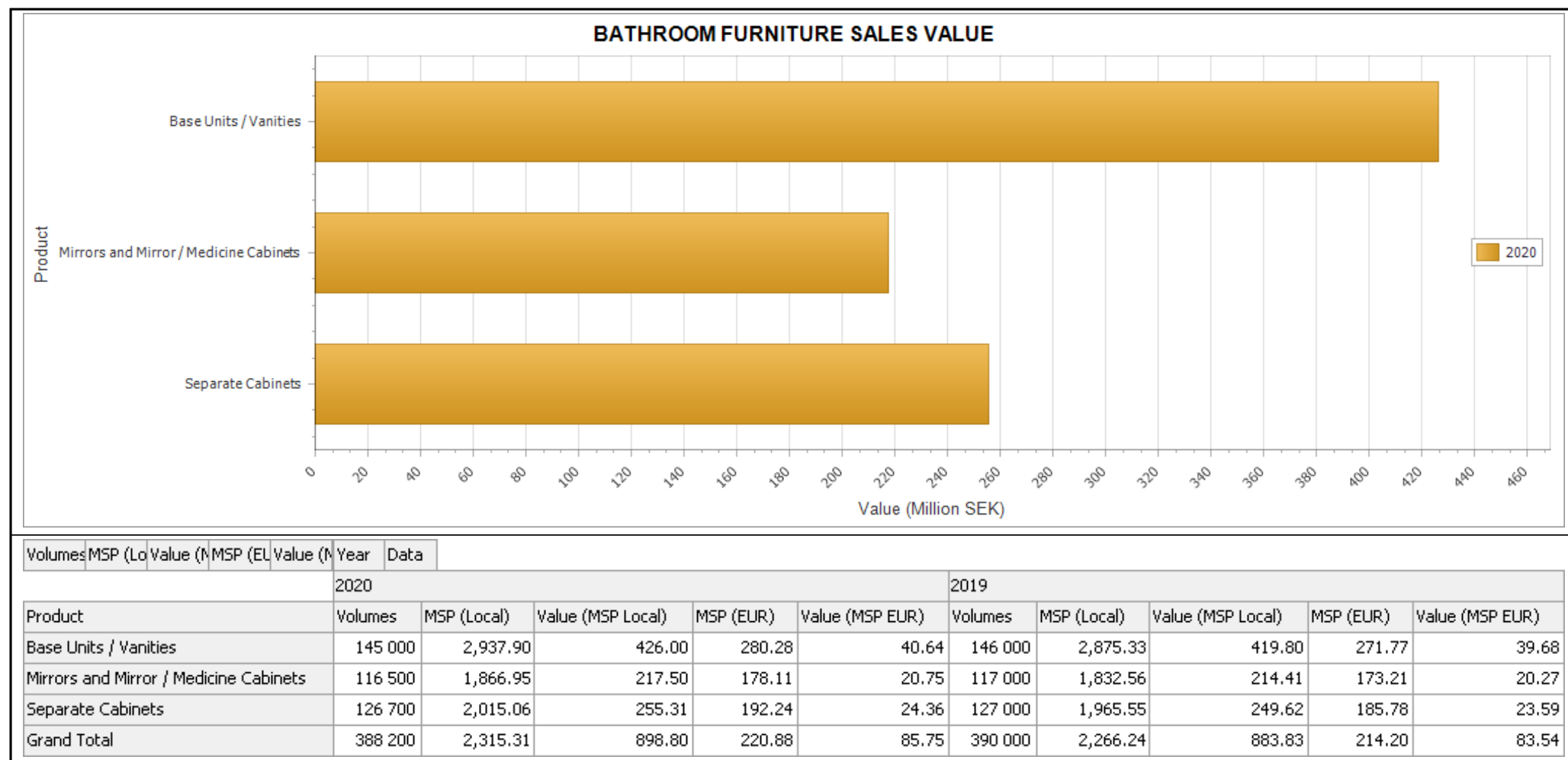
SE - SUMMARY OF TRENDS IN THE BATHROOM FURNITURE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

5.3.1 Prices and Market Values : Bathroom Furniture

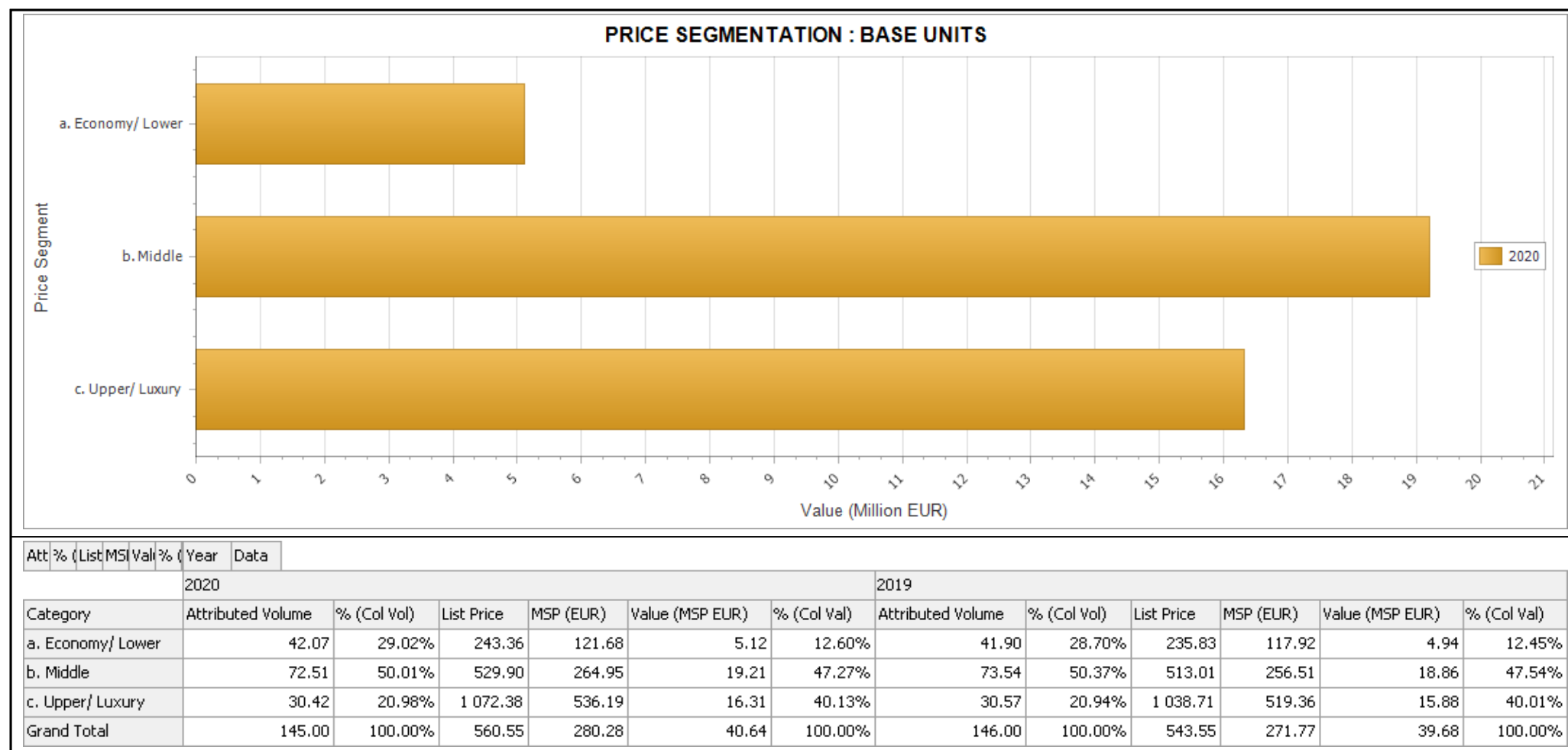
SE - ESTIMATED VALUES OF THE BATHROOM FURNITURE MARKET



Source: BRG based on industry interviews. Local Prices Shown in SEK. Values Shown in Millions (at MSP = Manufacturers' Selling Price)

5.3.2 Price Segmentation : Base Units

SE - ESTIMATED PRICE SEGMENTATION FOR BASE UNITS

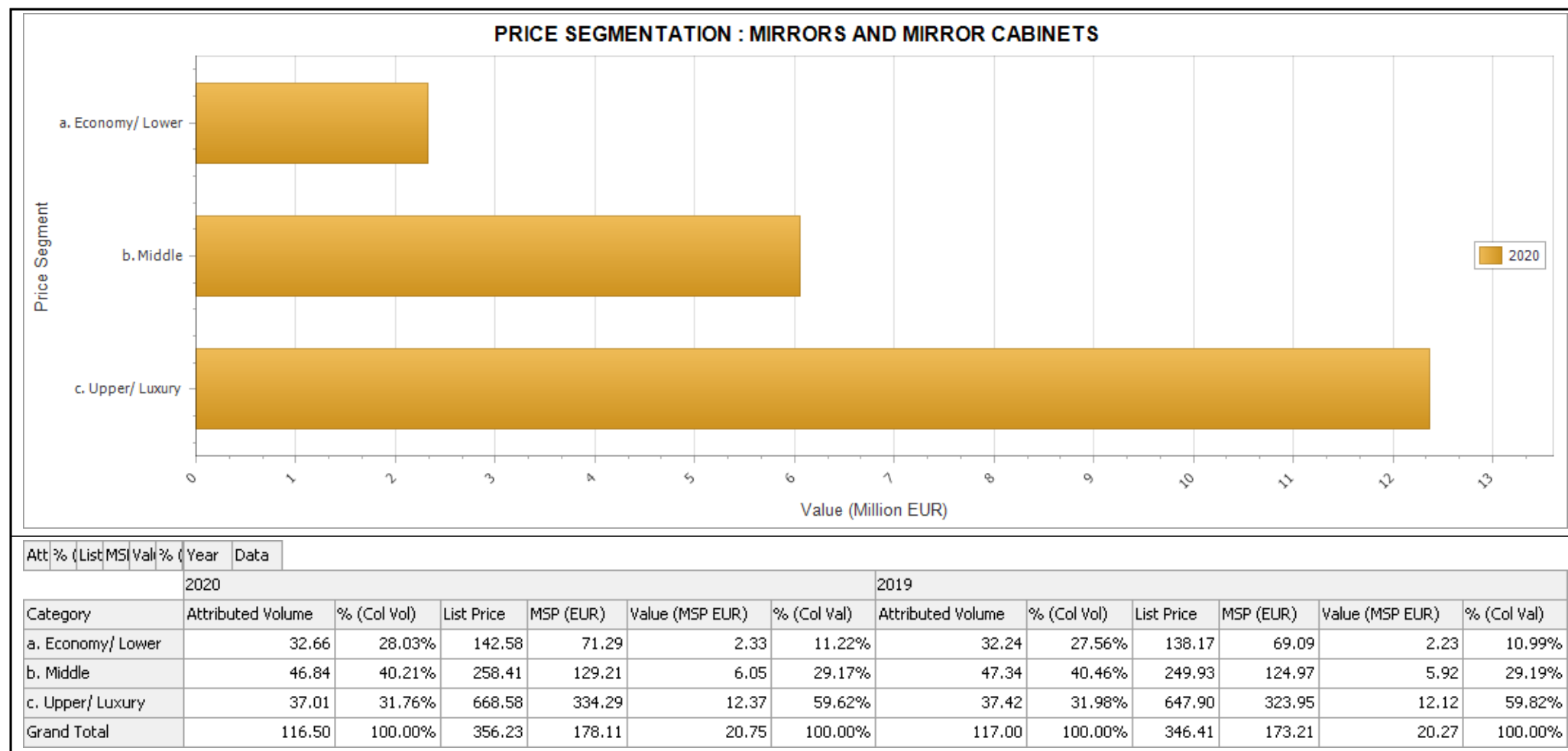


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€350, Upper/ Luxury >€350

5.3.3 Price Segmentation : Mirrors and Mirror Cabinets

SE - ESTIMATED PRICE SEGMENTATION FOR MIRRORS AND MIRROR CABINETS

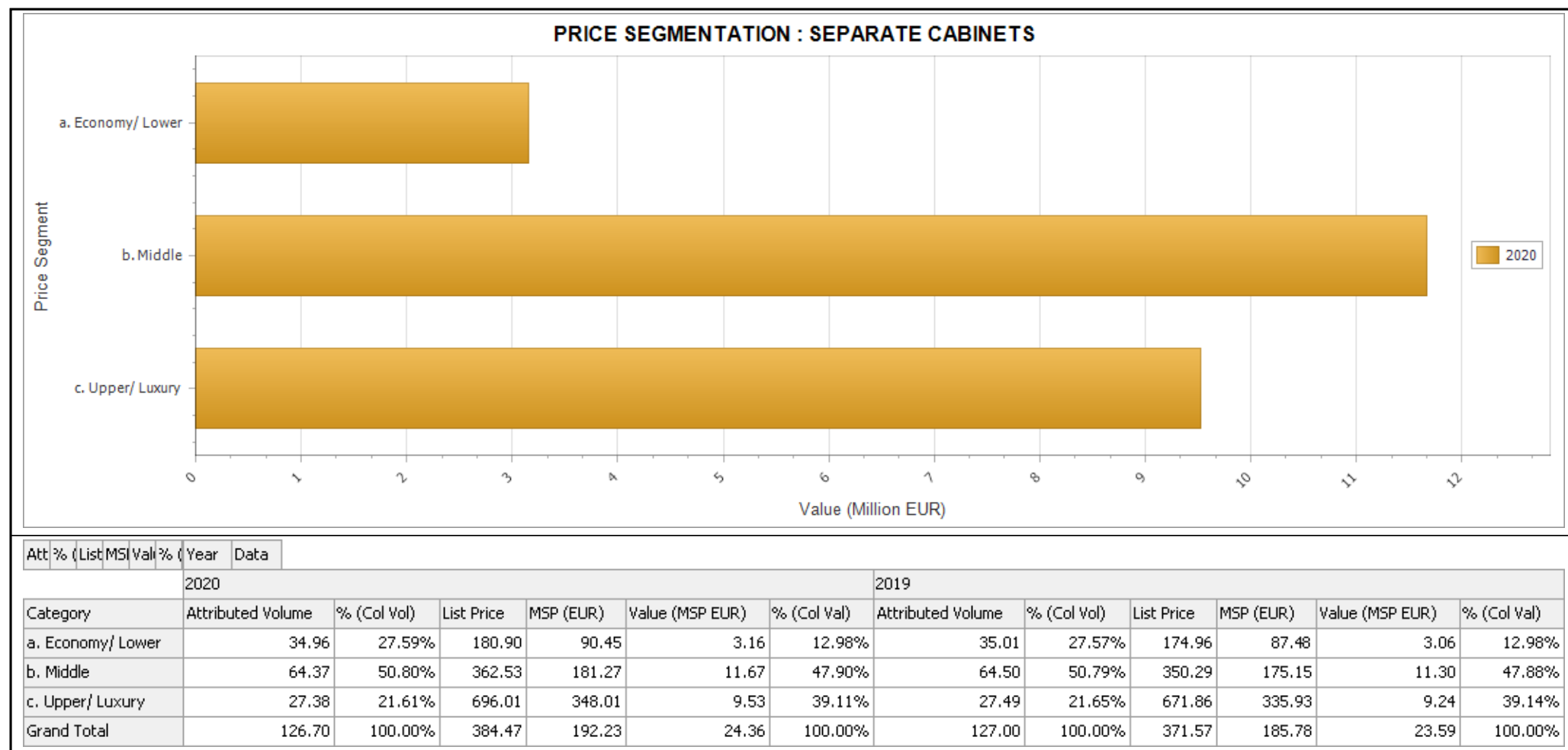


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

5.3.4 Price Segmentation : Separate Cabinets

SE - ESTIMATED PRICE SEGMENTATION FOR SEPARATE CABINETS

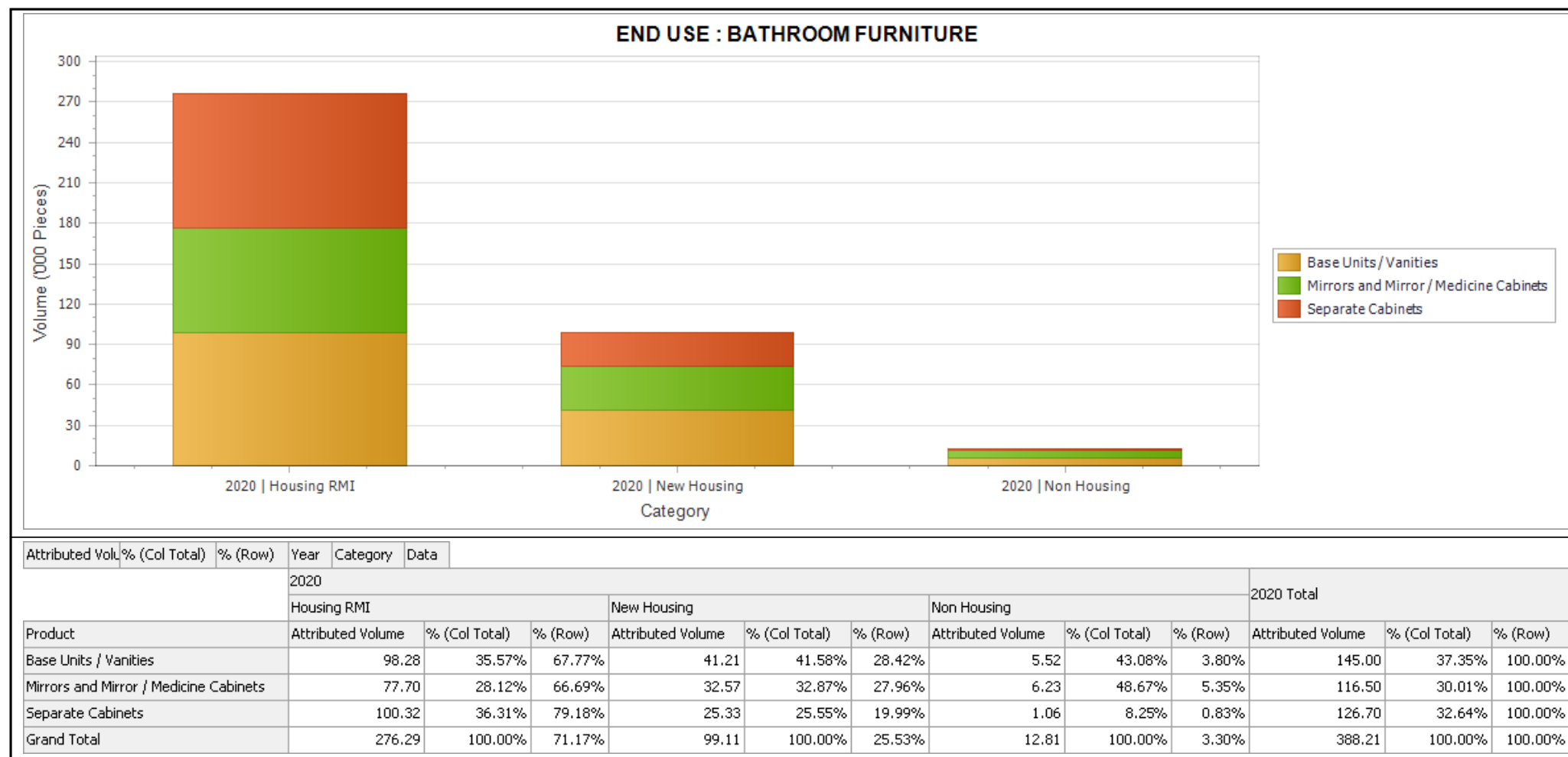


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€125, Middle €125-€250, Upper/ Luxury >€250

5.4.1 End Use : Base Year

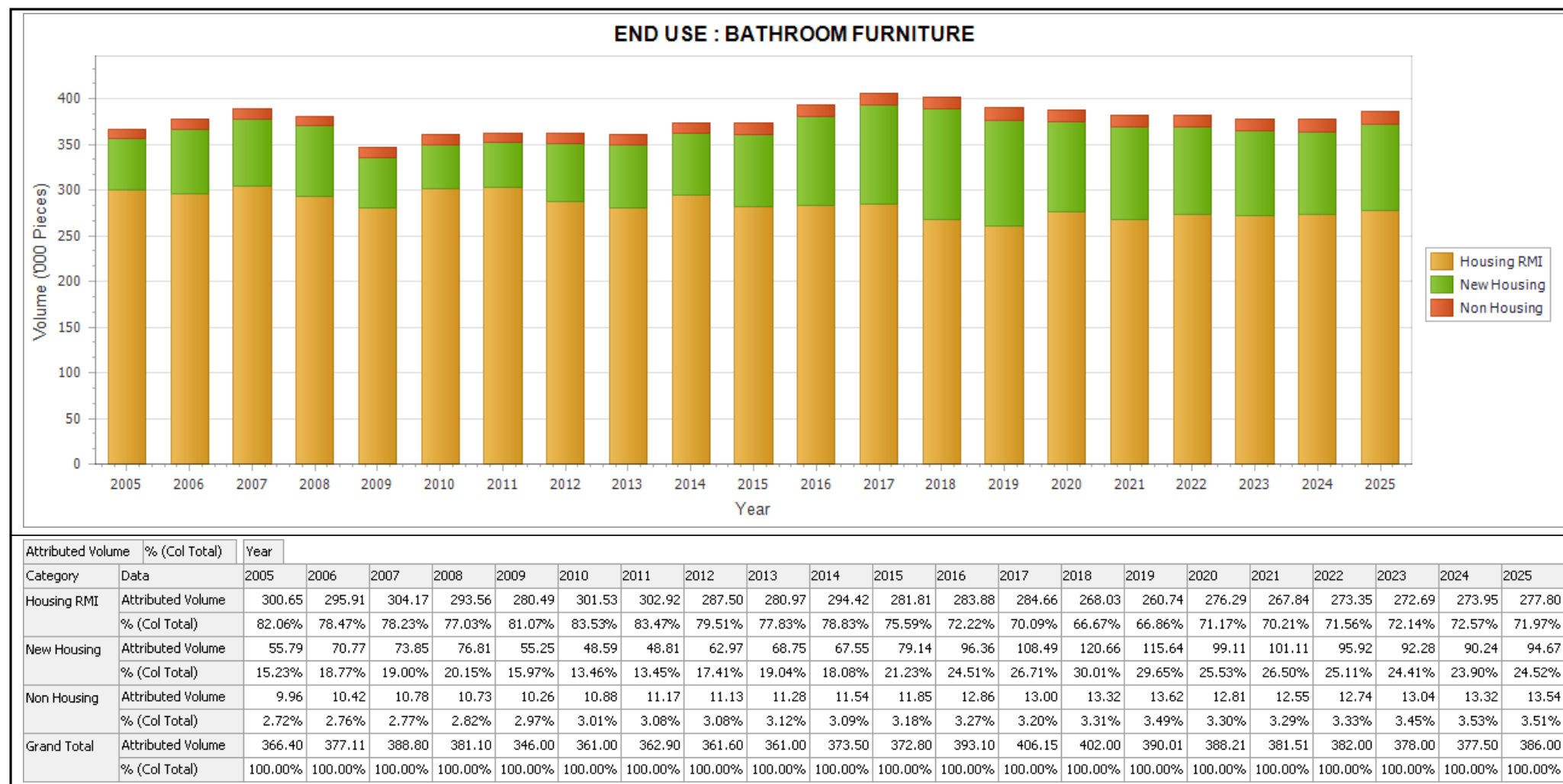
SE - SALES OF BATHROOM FURNITURE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

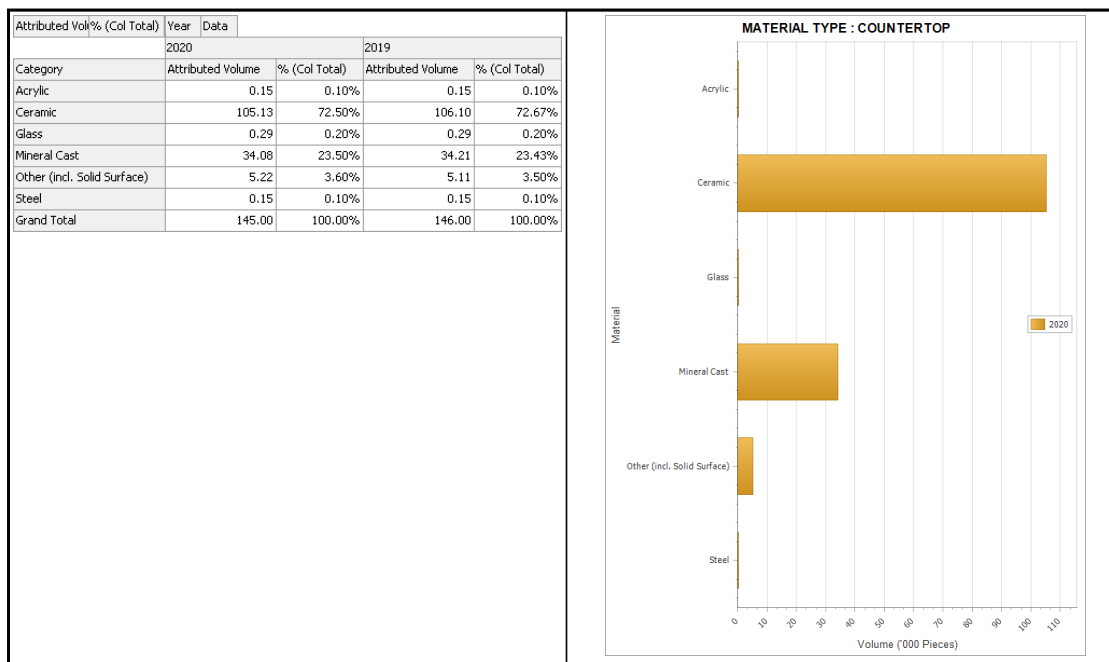
SE - SALES OF BATHROOM FURNITURE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Washbasin Material : Base Units

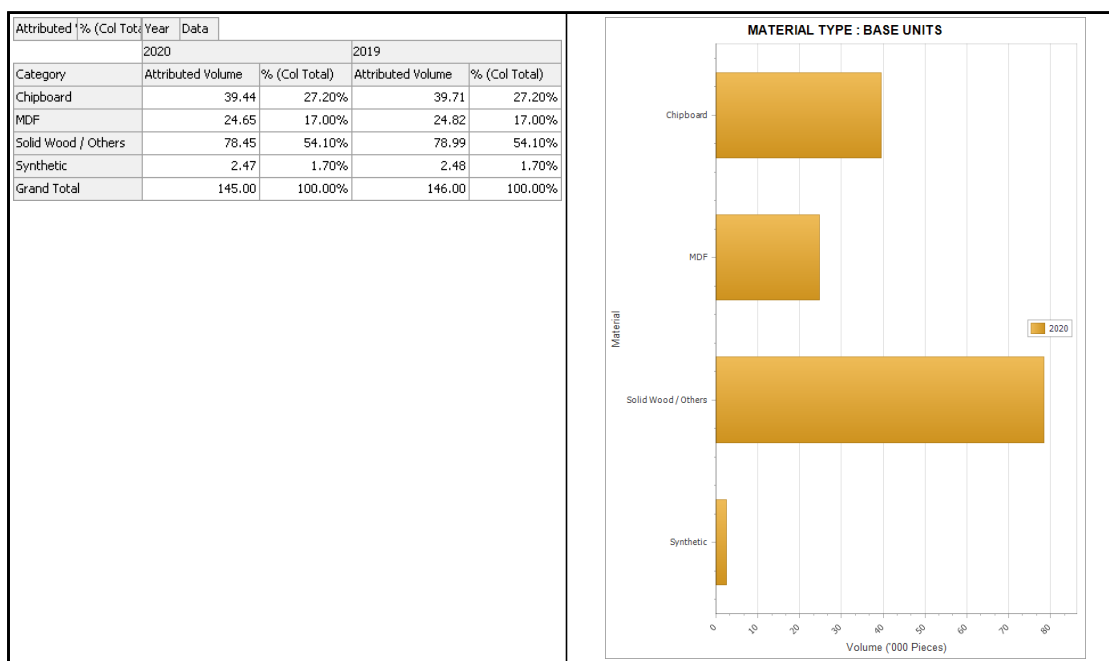
SE - BASE UNIT SALES BY WASHBASIN MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.4 Sales by Type of Material : Base Units

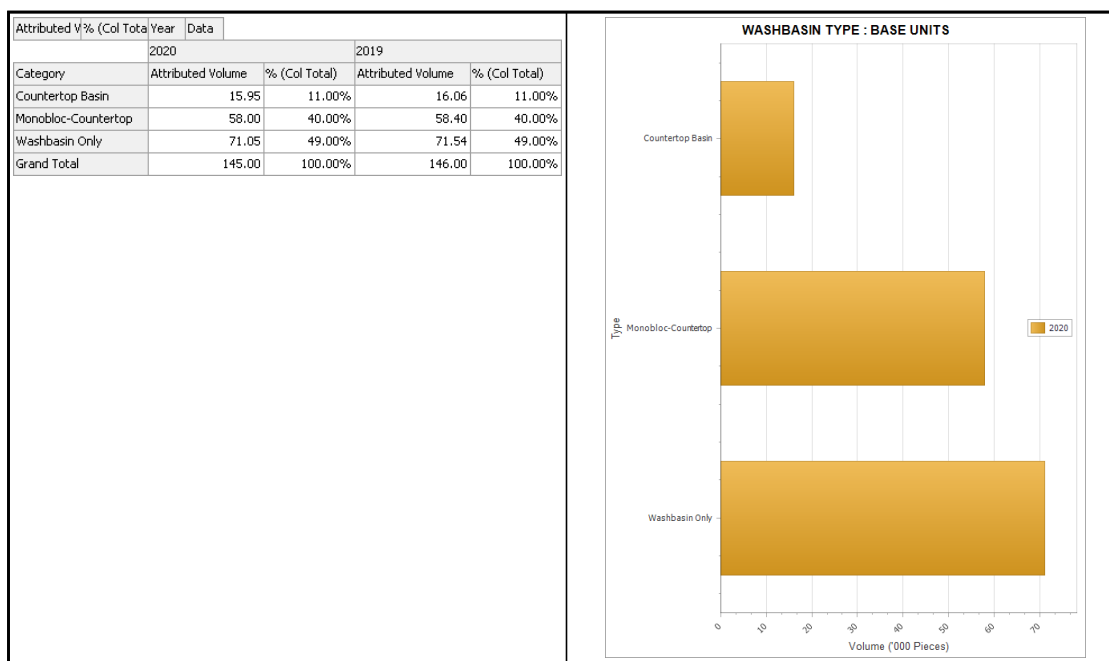
SE - BASE UNIT SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.5 Sales by Type of Washbasin : Base Units

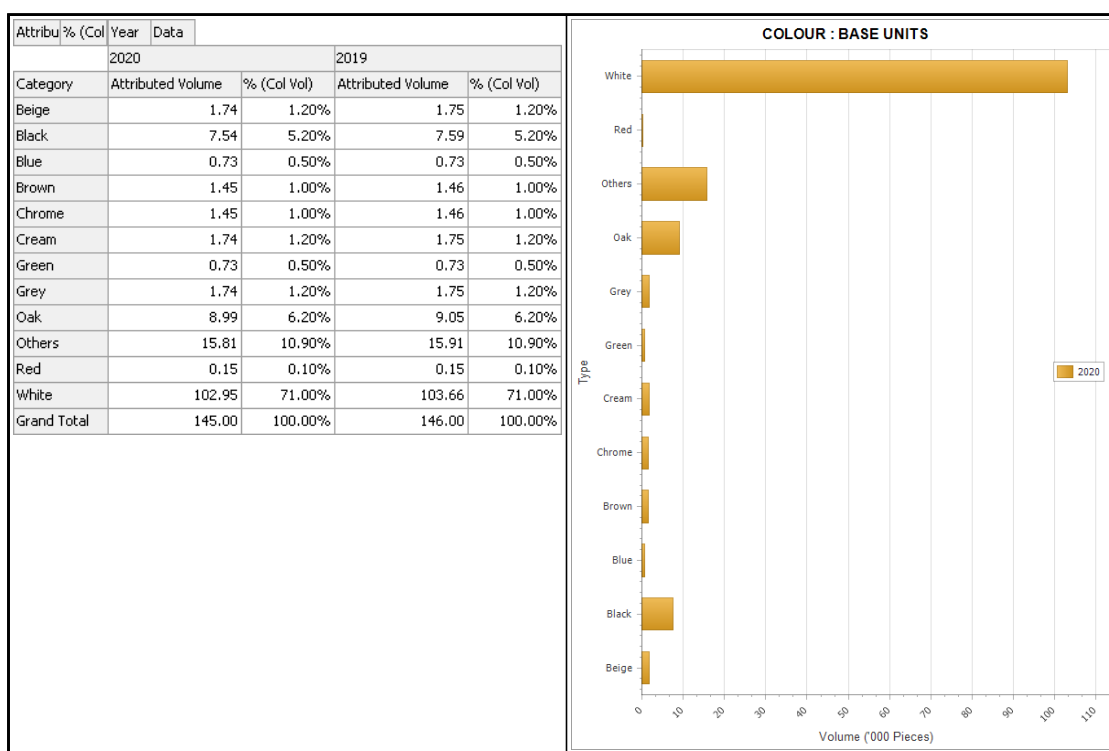
SE - BASE UNIT SALES BY WASHBASIN TYPE ('000 PIECES)



N.B. Washbasins only (non-countertop) are included in the above volumes for purposes of completeness.

5.4.6 Sales by Type of Colour : Base Units

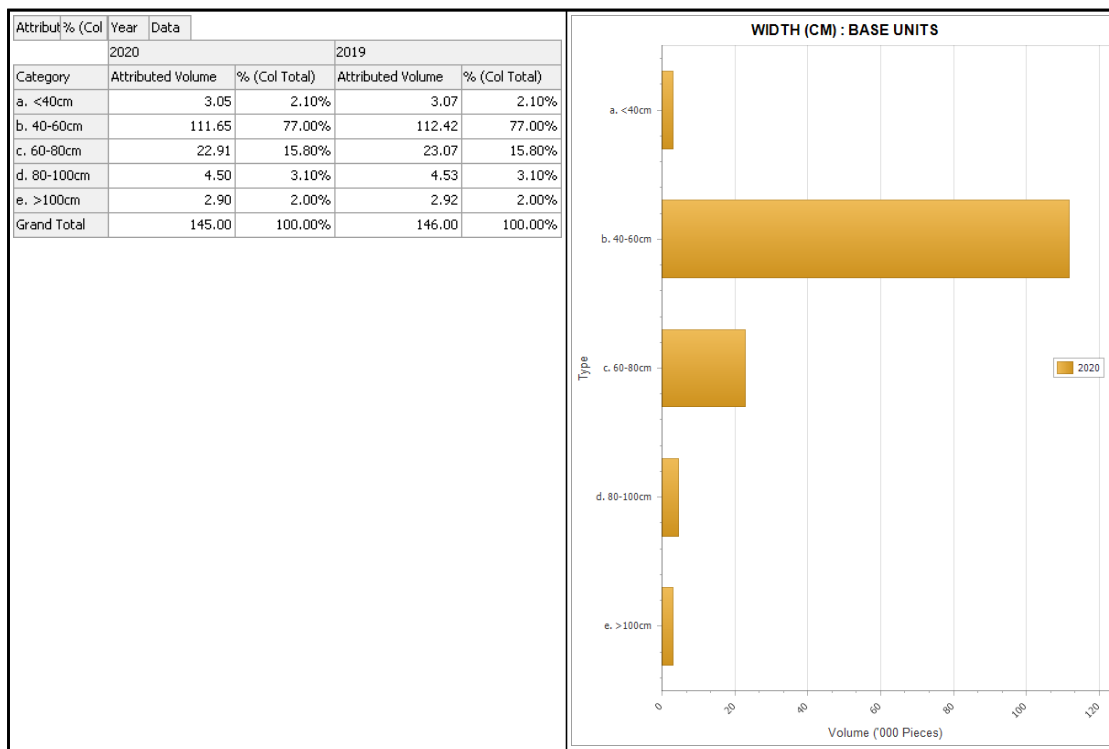
SE - BASE UNIT SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.7 Sales by Width : Base Units

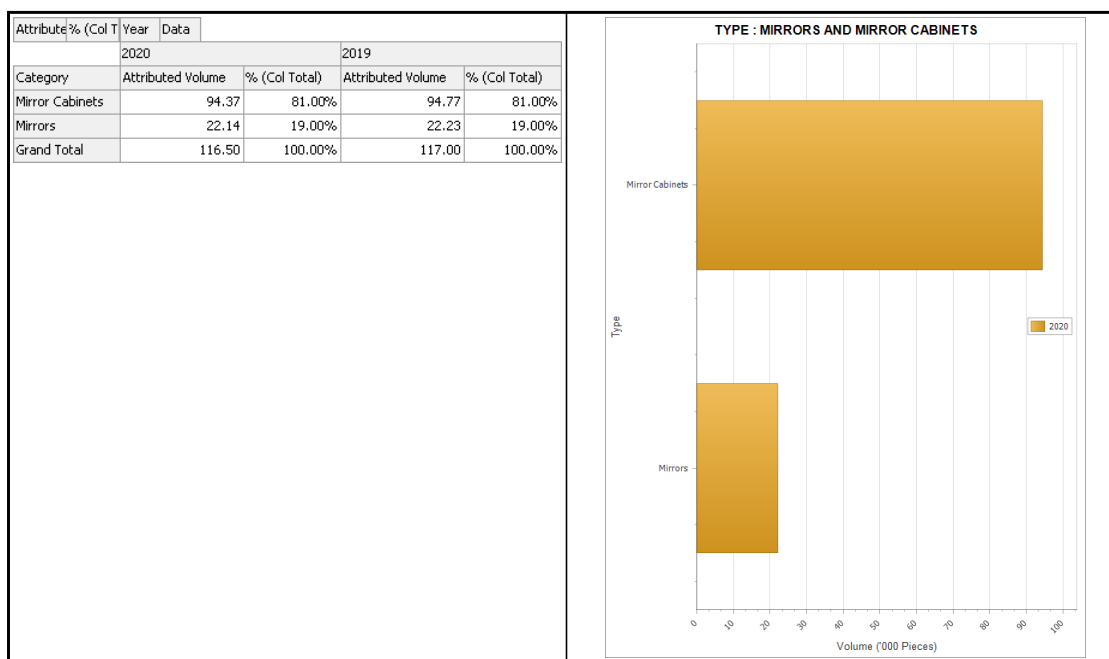
SE - BASE UNIT SALES BY WIDTH ('000 PIECES)



Source: BRG based on industry interviews

5.4.8 Sales by Type : Mirror and Mirror Cabinets

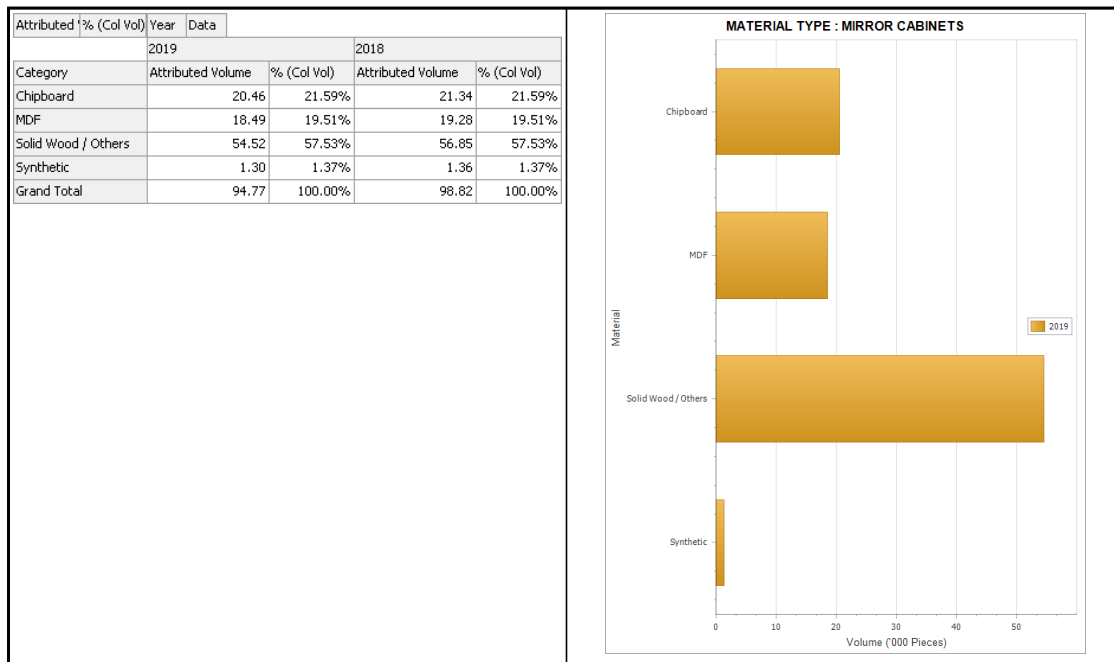
SE - MIRROR AND MIRROR CABINET SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

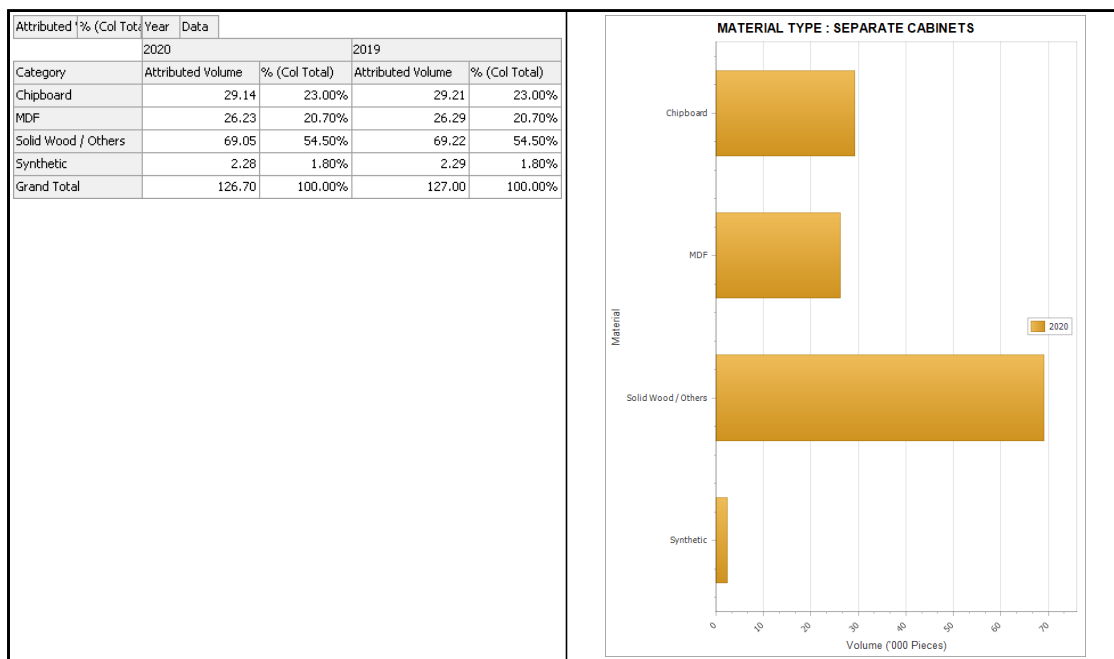
5.4.9 Sales by Type of Material : Mirror Cabinets

SE - MIRROR CABINET SALES BY MATERIAL TYPE ('000 PIECES)



5.4.10 Sales by Type of Material : Separate Cabinets

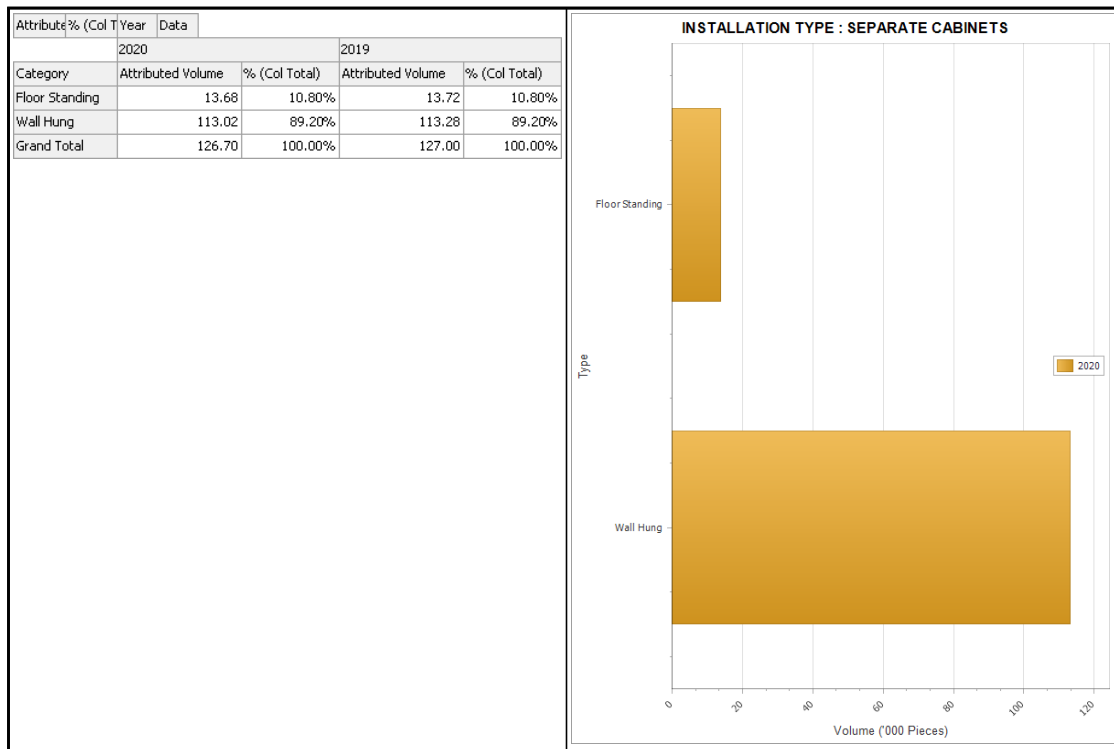
SE - SEPARATE CABINET SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.11 Sales by Type of Installation : Separate Cabinets

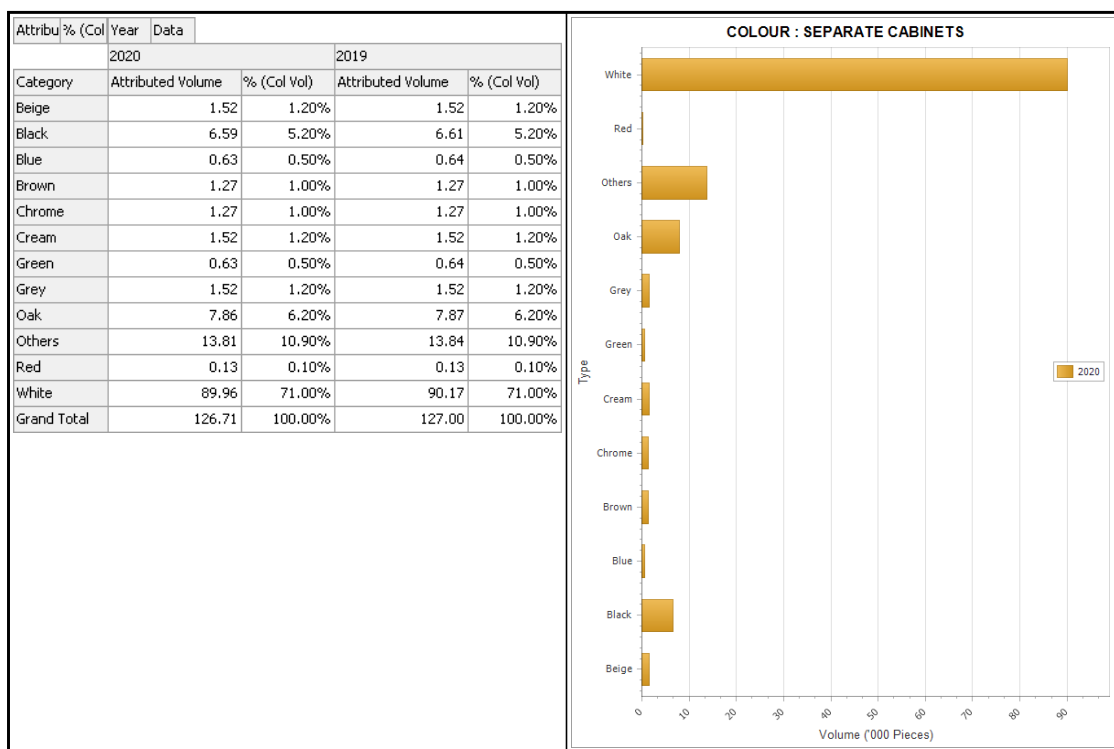
SE - SEPARATE CABINET SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews

5.4.12 Sales by Type of Colour : Separate Cabinets

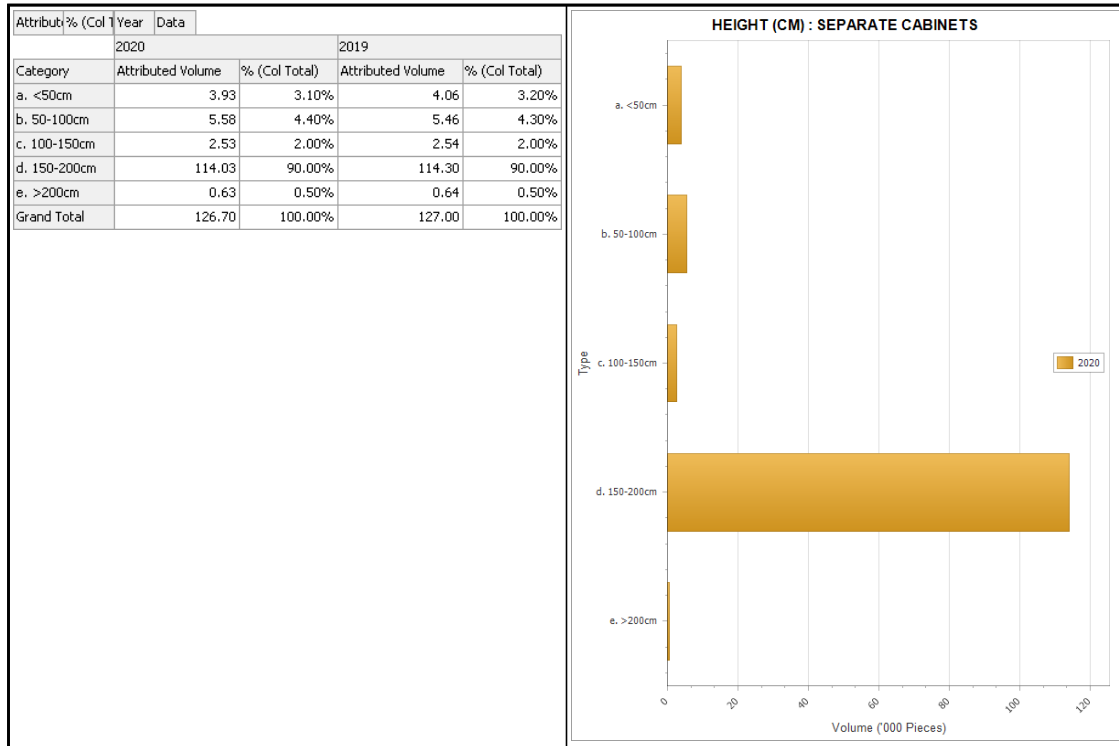
SE - SEPARATE CABINET SALES BY COLOUR ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.13 Sales by Height : Separate Cabinets

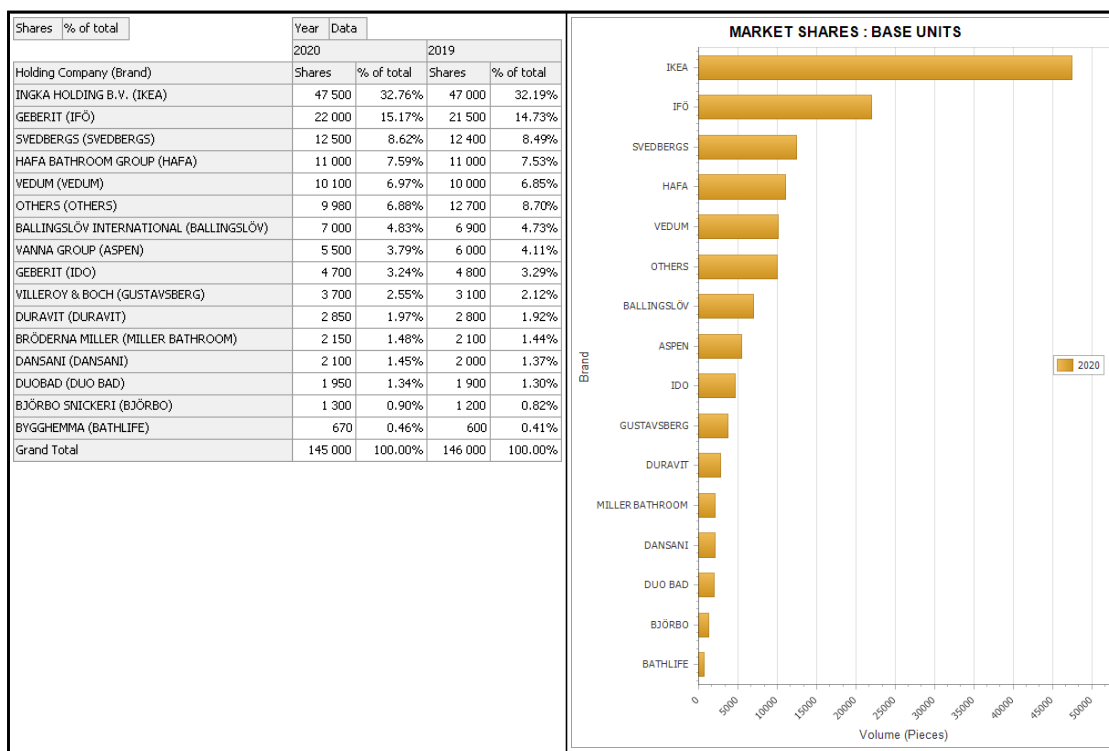
SE - SEPARATE CABINET SALES BY HEIGHT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5.1 Market Shares : Base Units

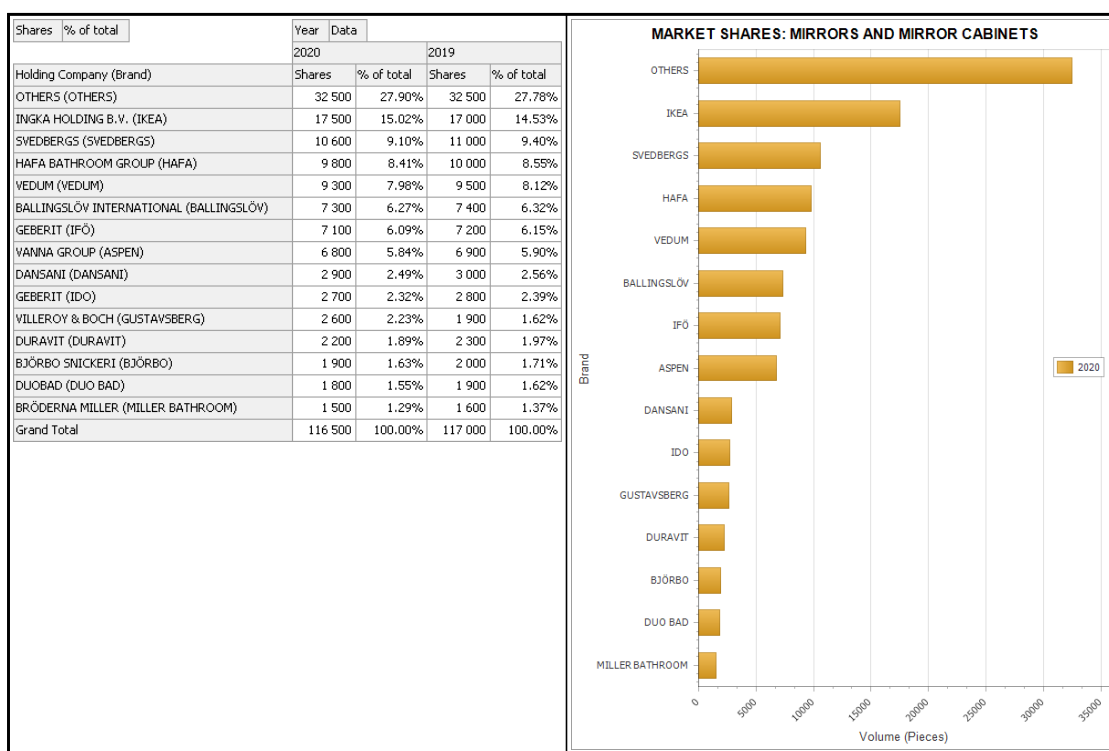
SE - ESTIMATED MARKET SHARES FOR BASE UNITS



Source: BRG based on industry interviews.

5.5.2 Market Shares : Mirror and Mirror Cabinets

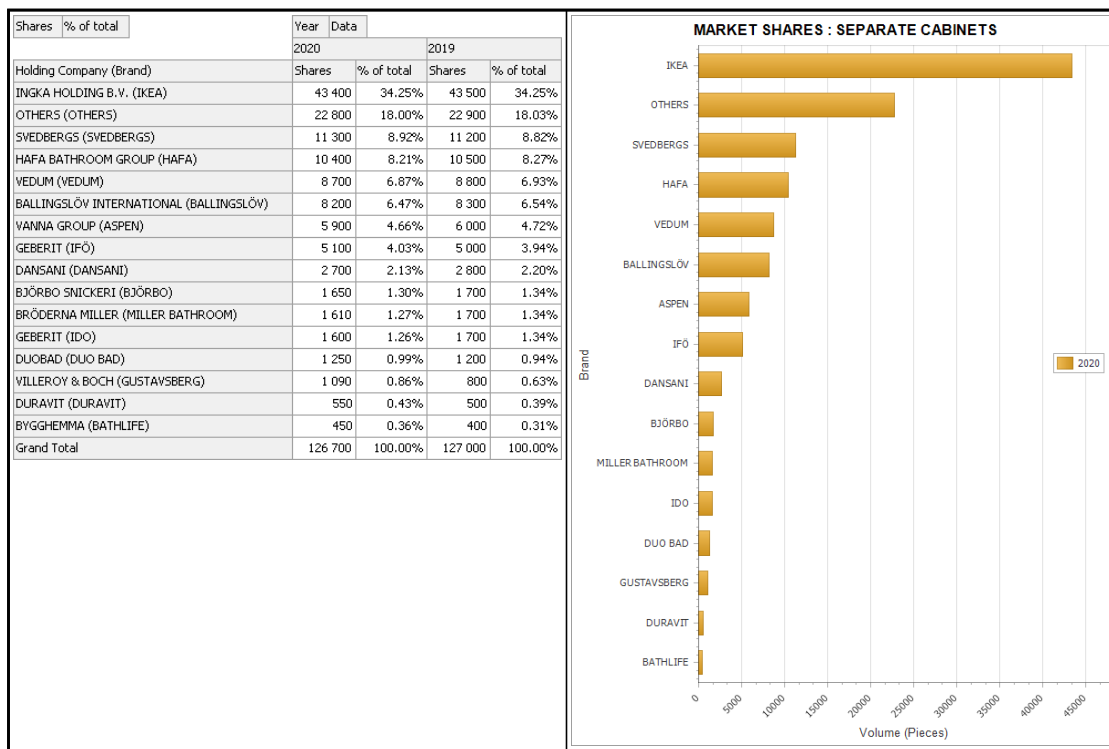
SE - ESTIMATED MARKET SHARES FOR MIRRORS AND MIRROR CABINETS



Source: BRG based on industry interviews.

5.5.3 Market Shares : Separate Cabinets

SE - ESTIMATED MARKET SHARES FOR SEPARATE CABINETS



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Furniture
SE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2020

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	26.8%
	Wholesalers / Merchants
	26.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	5.9%	4.5%	13.1%	8.2%	40.8%	3.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	10.4%		21.3%		43.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
13.4%	10.4%	0.4%	4.5%	11.7%
Installers				
40.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.0%	9.9%	16.4%	32.0%	38.4%	0.0%	0.7%	0.1%	0.4%	0.1%	2.0%
	Residential						Non-Residential					
	96.7%						3.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	25.5%			71.2%			2.1%			1.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.1%		13.4%	8.1%		63.1%	1.6%		0.5%	1.0%		0.2%

5.6.2 Route to Market: Bathroom Furniture
SE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE: 2025

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	28.0%
	Wholesalers / Merchants
	28.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	6.5%	4.9%	12.9%	8.6%	39.8%	3.1%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	11.4%		21.5%		42.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
12.8%	11.0%	0.6%	4.1%	11.3%
Installers				
39.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	0.0%	10.5%	17.3%	31.5%	37.2%	0.0%	0.4%	0.3%	0.1%	0.1%	2.6%
	Residential						Non-Residential					
	96.5%						3.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	24.5%			72.0%			2.0%			1.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.1%		12.4%	8.3%		63.7%	1.5%		0.5%	1.3%		0.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Furniture

SE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2020

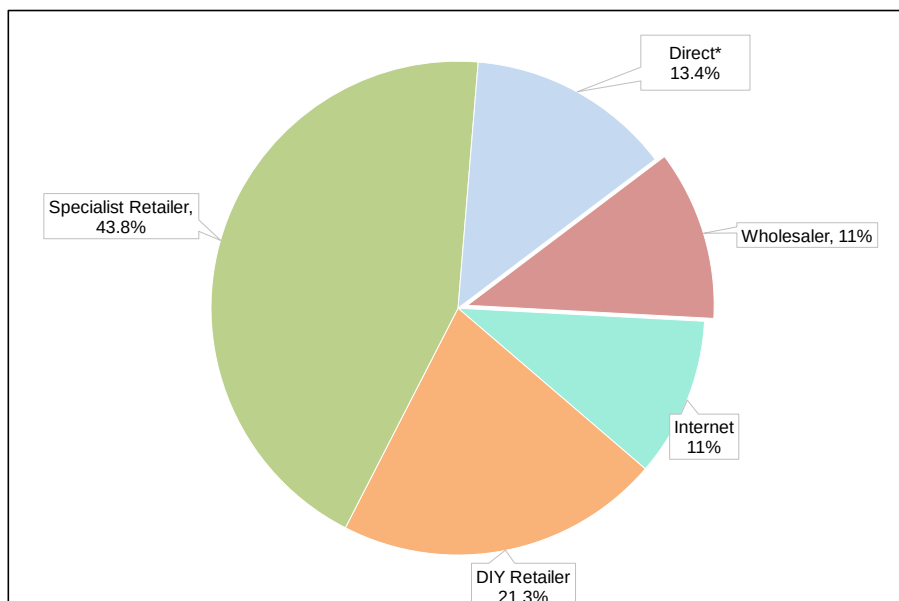
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.1%	10.4%	21.3%	43.8%	13.4%	20.2%	2.6%	76.5%	0.7%
100%					22.8%		77.2%	

5.6.4 Route to Market - Consolidated View : Bathroom Furniture

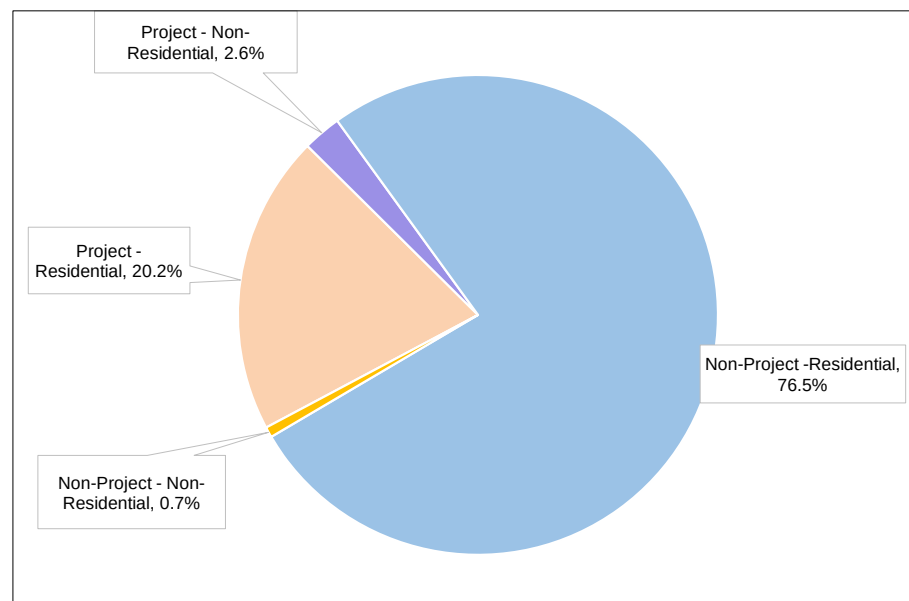
SE - ESTIMATED DISTRIBUTION FOR BATHROOM FURNITURE : 2025

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
11.4%	11.4%	21.5%	42.9%	12.8%	20.4%	2.8%	76.1%	0.7%
100%					23.2%		76.8%	

SE - SALES OF BATHROOM FURNITURE BY DISTRIBUTION CHANNEL: 2020



SE - SALES OF BATHROOM FURNITURE BY POINT OF DECISION AND END-USE SECTOR: 2020



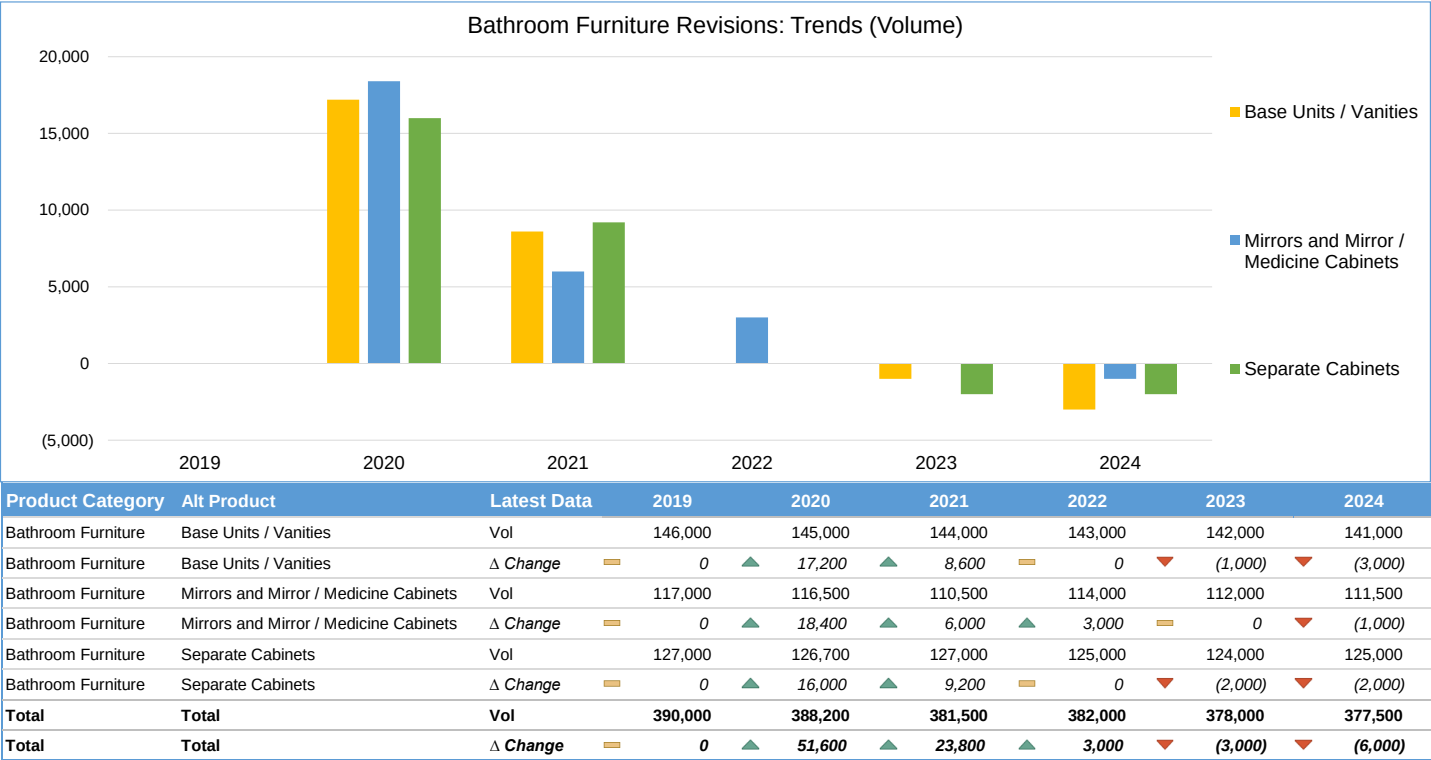
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Swedish Bathroom Furniture Market (April 2021)

SE - REVISIONS IN THE SWEDISH BATHROOM FURNITURE MARKET

Data Comparison: April 2020



No or only minor changes were made to the historical sales of bathroom furniture. The overall sales volumes were revised upwards for the base year as replacement demand managed to offset most of the losses experienced in new housing and non-housing sectors.

No changes were made to the MSPs of bathroom furniture products.